

PVR Inox (PVRINOX)

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Call: Jul 2022

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"PVR Limited Q1 FY -23 Earnings Conference Call"

July 21, 2022

MANAGEMENT : MR. AJAY BIJLI – CHAIRMAN & MANAGING

DIRECTOR , PVR LIMITED
MR. SANJEEV KUMAR – JOINT MANAGING DIRECTOR ,
PVR LIMITED
MR. GAUTAM DUTTA – CEO, PVR LIMITED
MR. KAMAL GIANCHANDANI – CHIEF OF BUSINESS
PLANNING & STRATEGY & CEO, PVR PICTURES
MR. NITIN SOOD – CFO, PVR LIMITED
MODERATOR : MR. ANKUR PERIWAL – RESEARCH ANALYST , AXIS
CAPITAL LIMITED

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Moderator : Ladies and gentlemen good day and welcome to the PVR Limited Q1 FY23 Earnings Conference Call hosted by Axis Capital Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal. Thank you and over to you sir.

Ankur Periwal : Thank you Peter. Good evening, friends and welcome to PVR Limited's Q1 FY23 post result earnings call. The call will be initiated with the brief management discussion on the earnings performance followed by an interactive Q&A session. Management team will be represented by Mr. Ajay Bijli – Chairman and Managing Director, PVR Limited, Mr. Sanjeev Kumar – Joint Managing Director, PVR Limited, Mr. Gautam Dutta – CEO, PVR Limited, Mr. Kamal Gianchandani – Chief of Business Planning and Strategy and CEO, PVR Pictures and Mr. Nitin Sood – CFO, PVR Limited. Over to you Mr. Bijli for the initial comments.

Ajay Bijli: Thank you. Like to welcome you all to the earnings call to discuss the unaudited results of Quarter 1 FY23. I hope you had an opportunity to review our presentation and results which have been uploaded on our as well as on the stock exchange website.

I'm happy to share the quarter ended June 30th, 2022, was the best quarter in PVR's history with the highest ever Revenue, EBITDA and PAT. Please note that the above numbers are after adjusting for the impact of Ind-AS 116 relating to lease accounting and are different from the reported numbers which we submitted today to the stock exchange. This robust performance was driven by the strong bounce back in theatrical admissions with 25 million patrons visiting our cinema during the quarter. This is further bolstered by a strong growth of 23% in average ticket price as compared to Q1 of 2019-20 which is a pre-pandemic period to 250 and 32% growth in average food and beverage spend per head as compared to Q1 of 2019 to Rs. 134 which is the SPH. The quarter was marked by the release of some of the biggest domestic hits like K.G.F:2 which went on to become a second highest grossing domestic movie of all times. Net box office for the K.G.F:2 alone contributed 23% to PVR's overall box office collection for the quarter which was the highest ever movie collection by PVR. RRR which was released in the last week of March had significant spillover revenue in the last quarter. Bhool Bhulaiya 2, Vikram, Dr. Strange from Marvel, Top Gun: Maverick and Jurassic World Dominion were the other big movies that did well during this quarter. The content pipeline in the months ahead looks promising. Over the next few months, we have several big budget Bollywood movies lined up for release like Shamshera, Lal Singh Chaddha, Brahmastra and Vikram Vedha. From Hollywood we have Bullet Train, Paws of Fury, DC League of Super-Pets amongst others. From regional genre we have Vikrant Rona, Liger, Godfather and Ponniyin Selvan.

On the F&B front the company recorded the highest monthly average F&B revenue of 100+ crores during the quarter with strong underlying growth in SPH. The robust growth was a result of our team's focused efforts on F&B initiatives. The company has opened 14 screens across three properties in the last quarter and is fast ramping up its CAPEX plan to open a total of 125

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screens by the end of the current fiscal. About a third of our new screens addition will be in the Tier-II and Tier-III cities and we will be entering into nine new cities during the year. The entire CAPEX will be funded through internal

accruals and liquidity available with the company. Our

screen portfolio currently stands at 854 screens across 173 cinemas in more than 75 cities in India and Sri Lanka.

Gross debt during the quarter has reduced sequentially by 91 crores and was 1,414 crores as of the end of the Quarter 1 FY23 as compared to the end of Q4 of FY22. The net debt was 844

crores.

A quick update on the progress on the proposed merger of Inox Leisure Limited with the company. Both the companies seem to no objection certificates from the two stock exchanges that is BSE and NSE on the proposed scheme of the merger and we are in the process of filing our application for the approval of the scheme of merger with the NCLT in the next couple of weeks. I am told that NCLT process typically takes anywhere between 5 to 7 months, so we seem to be on track. Given the excellent performance of the movies in the last few months and a very promising lineup of content that is up for the release during the rest of the year we are expecting full recovery in admissions and advertising income over the next couple of quarters. I believe that this year will be great year for the company. With these opening remarks I open the platform for any Q&A. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session . Our first question is from Abneesh Roy from Edelweiss.

Abneesh Roy: Thanks and Congrats on a very good set of numbers. My first question is on your slide #16, so essentially SPH to ATP ratio, if I see almost every year you have managed to improve it, so from 28% it has now become 54% and versus pre -COVID also there is 500 bps jump. So, where do you see these numbers settling because now would you go for a better occupancy and slightly lower ATP, so could this number keep going up in the medium term in the next 2 to 3 years, SPH to ATP?

Ajay Bijli: Abneesh you're the first person to ask, always the first person to ask the first question. So, that's something that intrigues me. In the meantime, I will ask Gautam to answer this question because he has been the force behind taking the percentage of F&B to ticket prices, he has just been working relentlessly, so Gautam would you like to answer this question please.

Gautam Dutta: Yes. So, typically, we have been at about 50% -55% now. We believe that there is still usual room for this to grow and we are gradually going up every year as you rightly pointed out. So, we believe that this is really about the glass ceiling. There are still certain cinemas where we could be 80% of the ATP. So, this trend has to just now keep growing. We seem to have a great strategy in place where the both quality of food, hospitality and certain promotions which are run around F&B seem to be working very well. In a couple of years, we can clearly see that the SPH could be matching our ATP. To your question of saying does ATP need to be blended down, no, ATP will continue its path and growth and so would SPH. This proportion of SPH to

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ATP has to keep getting better. That is the endeavor and that's the focus and that's the vision and we believe that every year we will only notch up a few percentage as we go forward.

Abneesh Roy: My second question is on ad revenue on an overall basis and on per screen basis. How do you see the normalcy coming back in terms of ad revenue per screen versus pre -COVID? Why I am asking this is currently still Q1 -Q2, we expect huge cutback by advertisers because of the inflation pressure which they are seeing. On the other hand, we are also seeing discretionary sectors come back. So, if you could discuss a bit on the mix of advertisers also versus pre - COVID, has that changed anything dramatically and in terms of normalcy versus pre-COVID ad revenue per screen when do you see that happening?

Gautam Dutta: There's lots of questions that

you have asked but let me give you a macro trend here. We believe that Quarter 2 we should be getting our averages lot better than the pre -COVID numbers of Q1 as against Q1 of last year. So, currently we are in the gap of about 38% which should be reduced to about 20% odd in Q2. By Q3 which is really a festive period and lot of advertisers begin to advertise, we believe that we will be within the pre -COVID levels or maybe 5% or 7% lower. I am very certain that by Q4 we will end up sort of exceeding the pre -COVID numbers. So, that is going to be the trajectory and having said that yes there has also been a big churn in the advertisers those used to come earlier to now. We are seeing a lot of traction with new age advertisers who have come in, some of the FMCG and the multinational brands are taking a little more time. We hope that by Quarter 3 they would possibly be back at the cinemas, so that's largely what it is, retail the clients are showing a quicker turnaround and we are seeing that while the RO size is small but they are kind of coming back to cinemas much faster. So, overall I think Quarter 2 is going to be a little under pressure but the average will get better than what we have achieved in Q1 but Q3 is really where I believe that we will be largely in the hitting range of pre-COVID numbers.

Abneesh Roy: So, just to get clarity, if I see your ad revenue in Q3 FY20, it was almost double of what you have done in Q1. So, you are saying you will be ending up pretty close to that, so you think in two quarters you can kind of double this number say around 110-115 crores?

Gautam Dutta: Yes, when it begins to ramp up this number can really jump up and with some of the big releases which are going to be there around the Quarter 3 which I said was the most a quarter where the maximum footfall gets in. I believe that we will be in around a very good range of what we had

done pre -COVID. So, that's where I feel we will be. In Quarter 3 we will be able to get there.
Abneesh Roy: One last question , so one concern I think a lot of investors are having is on the performance of the main Hindi movies which is extremely important for you in terms of box office. So, when do you see it fully reviving, what is the issue here? I understand the usual answer of content but we are definitely seeing south Indian movies doing consistently well and while Hindi movies are not doing well. So, it can't be the only content, is there some other issue also?

Ajay Bijli: No, there is no issue. I think it's too early only; i t's only been 3 -4 months since movies have started coming and basically, I am not going to write -off Hindi movies so soon. There are some

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big movies lined up. So, people just want to watch whatever appeals to them and it just so happens that these two big films did exceedingly well and they have overshadowed other releases but we have got Shmashera coming tomorrow, we have Lal Singh Chaddha, Raksha Bandhan on a very big weekend in August which is a 5-day weekend from 11th August all the way to 15th August. And then we have Brahmastra coming, we have Vikram Vedha coming. So, there are some big movies coming and this is just a beginning. When you have smaller movies which have always traditionally become sleeper hits in the past. So, one quarter is too short a timeframe to draw any conclusions that only regional terms will dominate and Hindis will not do well anymore. We have to let the whole year pan out and I don't see any problem whatsoever because there are some prolific film makers and directors and actors even the Hindi film industry who are also seeing this happening and they will bounce back. No problem whatsoever.

Moderator: Our next question is from Aaron Armstrong with Ashmore Group.

Aaron Armstrong: First question would be around box office which kind of relates to some of the earlier points

made. Can you talk about the box office growth and the revenue growth that we've seen this quarter ? And whether that reflect s pent up demand and very good slate of movie content or it is more of like PVR gaining market share and consolidation of the industry just kind of where you would place the emphasis on those two ?

Kamal Gianchandani: Firstly, I think the performance of Q1 and if I was to also include March 2022, the performance in these four months reflects partly the pent -up demand. It also reflects and it also puts the debate that whether people would come back to the aters, whether the consumer appeal of movie theaters has gone down. Streaming has taken away a lot of eyeballs that debate has been put to rest and that's reflecting in these four months admissions , it's also the quality of films. Some of these films which came out were exceptional films. Marvel came out with Dr. Strange, Warner came out with The Bat man in March, Mr. Sanjay Leela B hansali came out with another edition to his ever-growing list of successful films and of course we had K .G.F and RRR which surprised everyone on the positive side. So, it was a mix of pent -up demand, it was a mix of t he fact that the whole debate came to an end . The consumer appeal for movie theaters is very much intact and it's also the quality of content. I would also like to add another point to the earlier question from the panelist where there is a concer n about some of the Hindi films under perform ing and Mr. Bijli summed it up and he answered it comprehensively. I would only add one point to it that Hindi films have done well. Gangubai, Kahsmir Files, Bhool Bhulaiyaa even Jug Jug Jiyo which came out recen tly, they have all done well. And also, we have to keep in mind that K.G.F and RRR actually performed a lot better in the Hindi version. Whether you would categorize them as a Hindi film or would you consider them as a Kannad a or a Telegu film is a matter of debate, depends on which angle you are looking at it from. B ut we think of them as Hindi films and the way we look at it is that if RRR, K.G.F which are films essentially dubbed in Hindi can do so well, imagine when a Hindi film in the original version with a popular actor or with multiple popular actors the film which will connect to audience, imagine the upper limit for those films, imagine the potential for those films. So, we see it as a big positive and those were the three elements why we think con tent is done well, these four months have done so well for us.

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Aaron Armstrong: So, that's on the market share. So, would you say that your market share is now higher than it was pre-COVID. A ny kind of consolidation signs or small operators exiting the market?

Kamal Gianchandani: That's a good point. And thanks for adding that question. Definitely the market share of I would say larger chains which have more credibility with the consumers , definitely the market share of such chains have gone up as compared to the pre -COVID period. I wouldn't comment on consolidation at this point because we are in the midst of a merger . But your question on whether smaller chains are exiting, to be honest at a very macro level, at a very high level the n umber of people who have exited the business is a fairly small number , it's a moderate part of the overall

screen count in India. We reckon its less than 10% and it's mostly those cinemas which were underperforming or which were not contributing with any meaningful box office, even during pre-COVID those were the ones who have exited. So, from industry point of view at high level there hasn't been a lot of exits.

Aaron Armstrong: Just around the sustainability, the extra numbers that we've seen this quarter, we spoke about pent-up demand, we have spoken about very strong slate of film content and is that kind of feed into an expectation

that we could see some softer quarter?

Kamal Gianchandani: Subsequent quarters would have certain quarters which will exceed expectations and there is a possibility that certain quarters could underwhelm in terms of admissions. But to be honest the way we see it, the way we look at the lineup that we have in the third quarter and the fourth quarter of this current financial year, we feel fairly confident that this could turn out to be a year which will end up with aggregate admissions which are a lot better than what we did in 2019 - 20. We feel extremely buoyant looking at the lineup and the response that we have got from the audiences. That said our business is of hits and misses. I think it's best to look at it on an annual basis rather than on quarter-to-quarter basis in terms of admissions. There are segments like Hollywood films which have a depressed number in terms of quantity. Quality is fantastic, Dr. Strange, Spiderman, Top Gun, all of these films have exceeded the expectations, Jurassic World. But as far as the quantity goes, studios are still ramping up their production. Same is the case with Hindi films, producers are still ramping up their production. There has been a lot of disruption in terms of shooting over the last 2 years. We could have some surprises as we move forward but I think at an annual level, the entire financial year we are looking at very strong set of numbers in terms of admissions.

Moderator: Our next question is from Jinesh Joshi from Prabhudas Lilladher Private Limited.

Jinesh Joshi: I have a question on the windowing gap which was expected to revert to eight-weeks at the end of July. Has that already happened, that is question number one? And secondly if I am not mistaken, we recently piloted one program which allows subscribers to watch movies on weekdays by paying some monthly subscription fee. So, if you can shed some light on this plan, how has been the response to it that would be really helpful.

Kamal Gianchandani: Your first question on windows, answer is yes. On 1st August we will revert back to the erstwhile eight-week window which is what used to be prevalent pre-COVID. So, we will revert to on the PVR Limited

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eight-week window on 1st August 2022. On your second question with respect to subscription program I would request my colleague Gautam to share some comments.

Gautam Dutta: Actually, on the subscription, we had to go a bit slow simply because the regulatory authority had some issues regarding recurring payments for over 3 months. So, there were certain negotiations and certain clarity required from the regulator. We are planning to go and launch this in a big way. We have already sort of piloted this project. However, on the recurring payment plan there were certain amount of, as I said, regulatory concerns which has been managed now. We will be now going full stream with the Phase -2 of the launch.

Jinesh Joshi: Secondly, I had one question on the book keeping side. If I look at our electricity and utility charges, they are lower by about 4% when I compare it with the pre-pandemic days. Now this is despite the fact that we are operating with higher number of screens in 1Q. So, if you can highlight the reason behind this. And secondly in the opening remarks we mentioned that our debt is down by about 90 crores odd sequentially, so where exactly do we expect to end the year on the debt side? That is a second question.

Nitin Sood: I think the reason for low electricity cost is because of the tight control that we kept at operating level on some of the unit consumption. Also, some of the states we have got reliefs from the government which are temporary in nature, so I think both of things coupled helped us to keep the unit consumption under check. But these costs will gradually rise as there is increase in power cost all over. But

we will try and keep them under a tight control as much as possible.

Also, on your second question around leverage, I think the operating cash flows of the business continue to remain strong and since we will be opening a lot of screens this fiscal year, the focus during the next 9 months will be to use some of the operating cash flows to fund most of the growth. So, it's difficult to say what our net debt numbers will look like. We want to sustain those numbers because we want to reinvest all the operating cash flows into growth and that will be the focus for us this year.

Jinesh Joshi: So, basically, if we are funding our CAPEX needs via operating cash flows essentially the debt levels should not rise from here on, is that kind of...?

Nitin Sood: No, they will not rise from here.

Moderator: Our next question is from the line of Harit Kapoor from Investec Capital Services India.

Harit Kapoor : Just had two questions, the first one on the rent side. So, if you take the rental numbers 2.1+0.5 that is about 2.6 million per screen. We have seen a roughly 26% kind of increase in rental cost as well as 18% in CAM I think over the 3-year CAGR you are getting 4.5% on comparable property . Just wanted to get your sense about whether this 2.6 million is something that we have to now expect on a going forward basis because this is the pent-up increase which we have seen over a 3-year period will imply that rent to revenue is little higher than what your pre-COVID number was so how do we think about this?

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Nitin Sood : First of all, our rentals will continue to grow with on a contracted basis , roughly 4% to 4.5% CAGR but our revenue growth is much stronger than that. So, I don't know when you say that our rent to revenue ratio will keep rising, I'm not able to get that because rent to revenue ratio should actually either remain same or will get lower because the revenue growth is stronger than the rental growth right now.

Harit Kapoor : No, I meant this year. I mean this year so far if we look at Quarter 1, we are at 23% which is compared to Quarter 1 '20 I think that is 20% -21%. That number is higher. I think from is this like a rebasing and then from there it starts to come -off in '24 onwards, is that the way to look at it?

Nitin Sood : No, I think that's not the correct way of reviewing this because Q1 revenue still does not reflect full recovery in admission, still does not reflect full recovery in advertising revenue. So, in that respect I think you should look at the rental number on annual basis, even for Q1 on a 1000 crores revenue our rent is about 180 crores which is about 18%. So, the re is from a rent to revenue ratio perspective, there is no material change.

Harit Kapoor : The second question was on the personal cost side, also you had mentioned that there is an expected move up on account of increments and wage inflation. This quarter you can manage it at similar levels which is down 2%. I think you had made a comment that you will try and keep it in the similar ballpark as pre-COVID. So, just wanted to understand any change in that thought process given the recent kind of as I said in wage inflation as well as the increments that you were talking about ?

Nitin Sood : I think our personal cost per screen will move up by about 9% to 10% from existing levels on account of wage inflation which is minimum wage increase and increments for people over the existing levels. But on an absolute level if we look at the amount of headcount reduction that we have managed to squeeze in, we intend to sustain that. There will be very limited increases in the headcount savings that we have managed to achieve. But if you look at a 3-year period and then compare and factor in the inflation for 3 years, it is significantly lower as compared to the revenue growth that we have seen.

Harit Kapoor : My last question was on

when you have mentioned admits are not yet back fully. This seems like a fairly normal quarter where you had some big hit films as well, obviously you had a very good overall revenue performance led by ATP and SPH as well. I understand that occupancies are little lower but wouldn't you think that this is as normalized as it could get from a footfall's perspective? Anything I'm missing there.

Nitin Sood : I think it will be slightly premature for us to come to that . I think we have not had a full run of operations. There is still a large segment of people who have not shown up at the cinemas. Our sense is that will take a few months for the full recovery to play out as more films get released across theaters, as more genre of films released across theatres, whether it is Hindi films or big tentpoles like Avatar which will draw consumers back to cinemas. So, the full recovery will take another 6 months to play out. Our sense is by December of this year where we have had a big

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run of films, effectively recovery should take out shape fully because you must also understand that in a country like India there is a very large segment of people who show up at the theaters only once or twice a year. So, for that to play out you have to give it time and see a full recovery. So, our sense is by end of December we should hopefully be able to see some of that.

Moderator : Our next question is from Prateek from Nippon India Mutual Fund .

Prateek : Just wanted to check, with this rebasing of rent has happened plus the 5% rev share , how should I think about SPH and ATP specially in quarters which are dull or where there are more hits or more misses rather than hits?

Gautam Dutta : SPH, there will be no change at all and largely we feel that 30% growth can easily be maintained. On ATP is really a function of what kind of films get released. So, if we do not have a mega blockbuster or a tent pole film then ATP could be depressed by about Rs.10 -12 but nothing very significant. But given the flow whenever we will have big films, we will be able to record similar

ATP growth as well.

Prateek : And secondly if you were to break down the admits recovery between metros, Tier-I, Tier-II, can you just give us a flavor where is this lack or degrowth coming from or which pocket is contributing to the highest degrowth?

Kamal Gianchandani: The recovery Tier-I, Tier-II have had similar recovery but there are pockets within Tier-I which have underwhelmed in terms of admission. You could attribute it to the kind of films which have done well because these films were targeting the lowest denominator, they appeal to a certain sensibility. And as a result, certain pockets which tend to be affluent have shown the results which are inferior as compared to certain other pockets, that's one. Number two, like Nitin touched upon briefly in his commentary, there is a large number of people who come to the theaters once a year. There is also sizeable number of people who come only twice. From various analytics that we do, we are observing that a lot of those people have not yet come back to theaters which means cinemas which are more dependent cinemas which have more frequent moviegoers in their catchment, they are showing superior recovery and catchments which have less number of frequent cinagoers are showing slightly inferior recovery. But also, like Nitin mentioned, these are still early days and we have to give it another 5 to 6 months to form a firm view on which are the areas which have underperformed and which are the areas which have done better. But yes, that's our very high -level sense of what's happening in the marketplace at this point.

Prateek : And Kamal, let's say this continues after 6 months what do you do to get that admit back? In the sense we continue to see negative or decline in footfalls on like -to-like basis, what do you do to

get the footfalls back?

Kamal Gianchandani: The way we see it and all possibilities are there on table. You are right, I mean there could be certain quarters which underperform but the way we see it at a very high level, like I mentioned earlier the consumer sentiment or the consumer preference for theater going is very much intact.

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Producers who were experimenting a lot with different models, with different distribution models I mean in some cases they were going direct to streaming, in some cases. At least in US producers, distributors were releasing it simultaneously with theatrical even on streaming. All of that has stopped now, windows are back, producers have come to a conclusion and I think even streaming platforms recognize and respect this fact that the erstwhile model of following windows, being respectful to windows is the right way of creating value for the entire ecosystem. Also, when we look at the films which have been lined up and the kind of response that we have seen for KGF, Spider-Man earlier in November last year, films like Pushpa which released with pretty much no marketing, not a very known popular face in the Hindi belt, the kind of performance we have seen. Even films like Rocketry which picks up later. What we are seeing is that the consumer sentiment is to escape. People want to escape from news, people want to escape from this constant war or inflation or other worries which we have in the economy and they are finding cinemas still has the best platform to get this escapism and the success of films that have performed, the quantum of and the scale of success is clearly showing that this possibility of this year underperforming is fairly remote. So, your question sorry I gave an elaborate answer but your question what will we do, I mean I would not get into that because that is all sensitive, strategic information. But frankly from our prism, the way we look at the whole situation we don't see that situation panning out this year. This year looks like we are going to have a V-shaped recovery, a very sharp bounce back. At the end of the year that's what we are going to finish with.

Prateek : And lastly just wanted to check, can you call out Quarter 1 FY23 industry box office collections, is it possible?

Kamal Gianchandani: So, industry wise you are asking?

Prateek : Yes.

Kamal Gianchandani: I can tell you that in the first 6 months; I don't have the breakup for Q4 of last year and Q1 of this year but the data that we have is that the gross box office of the industry and I am sharing gross box office, not the admission is roughly Rs. 5,700 crores which is slightly better than what the industry did in 2019 and this considering the backdrop that the whole of January got spoiled because of Omicron and then half of February was impacted because of Omicron. So, even with that constraints, finishing the first 6 months with Rs. 5,700 crores box office is a fairly aggressive achievement. A lot of pent-up demand, lot of credit goes to KGF, RRR but those are the numbers. So, first 6 months about Rs. 5,700 crores better than 2019.

Moderator : Our next question is from Anurag Dayal from HSBC.

Anurag Dayal: First question is basically about seats per screen. So, as per my calculation I could see that seats per screen has been coming down, used to be around 220 odd which has come down to around 210 or below that in this quarter. So, this was the reason behind it, is it because you are moving

more into smaller towns and opening smaller properties or some light into this? And how to see it going forward?

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Nitin Sood: I think the new properties that we have opened have an average lesser number of screens. Some of the premium properties that we have opened like Maison, a New Director's Cut in Gurgaon etc. they are more premium with the mu

ch smaller auditorium count, more premium in terms of facilities. So, yes, our average seat count on the new screen portfolio is close to that number, about 200 odd screens per seat. Depending upon how the mix is evolving at that particular year, your averages reflect that way. Also, we have shut down few cinemas which were old and dilapidated, we have also exited few properties. So, that's the sum total of the ratio.

Gautam Dutta: And also, to add what Nitin said we are adding more premium screens in our circuit and except for IMAX and the P(XL), all the premium formats are largely operating in a slightly smaller audi sizes. So, whether it's the 4DX, whether it's the Playhouse, whether it's other formats as well, LUXE and Director's Cut, they all operate on slightly smaller audi sizes and which technically brings the average a little down.

Anurag Dayal: Just a follow up on this I understand is around 12% of screens are premium right now. So, how you see it going forward, if how much I mean ballpark could go in the next 5 years say?

Nitin Sood: Anurag, can you repeat your question?

Anurag Dayal: Yes, I am talking about the share of premium screens is around 12% currently. So, how you see it going forward over the next 5 years, it could be higher, how much? Is there any target which you have in mind?

Nitin Sood: I think we are focused on creating more and more experiential cinema offerings. Our sense is it will keep inching up but I think over a long period of time, say next 5 years this number could potentially look like 18% to 20% from 12% levels.

Anurag Dayal: I have another question is basically what I have read is you are exploring franchisee route per screen additions kind of asset light model. So, what is the thought process behind it and if you can give some insight and how the mechanics of franchisee cinema work for you guys? Any direction in terms of how much it is, high or lower in terms of CAPEX and OPEX? Anything insight will be very helpful for that.

Nitin Sood: It's slightly premature for us to talk about that. Once we launch a few screens and we open a few screens would like to talk a little more about that. Currently we are focused on doing lot of screens the way we are doing. Obviously, the focus is to reduce the CAPEX per screen and that we are constantly working on but we haven't launched the full-scale franchisee model as yet. So, when we get there, I think and we have opened a few screens we would like to talk a little more about it. I think slightly premature for that.

Moderator: Our next question is from Piyush Sharma from Minerva India.

Piyush Sharma: First of, just wanted to better understand the IMAX formatting challenge for domestic content. Now IMAX typically requires content I guess 2 weeks before release and I think it becomes 3

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weeks for international delivery and domestic producers did struggle at least historically with that. Do you see this changing going forward?

Kamal Gianchandani: I will take this question. I must say that you are quite clued-on because this is a constraint which only people in the industry would know. Answer to your question is, it has improved considerably both non-Hindi Indian film producers as well as Hindi film producers have become extremely proactive. They are preparing, they are finishing their films much in advance and not just in advance, to be able to deliver it to IMAX and many other service providers so that they can format it in that particular, they can process and even make it ready for that particular format but also a lot of producers are doing screenings to get feedback on the film and then make changes in the film, if they find the feedback relevant. So, answer to your question is yes, things have improved a lot and producers are finishing up, wrapping up films much in advance and then they are leaving enough time to do a lot of

last-minute R&D before they go out and release

and of course naturally formatting, processing for these formats is no problem anymore.

Piyush Sharma: Secondly, now while ticket receipts can be directly attributed to premium versus regular formats that we will do. Would it be possible to get some sense of how concession revenues are broken down between premium versus non-premium screens, roughly?

Gautam Dutta: So, to answer your question first and foremost in terms of SPH to ATP ratios; this ratio is lot more healthier and when we talk about premium screens. Now we honestly, do not have a way

to figure out candy sales in a cinema where all formats feed out of the same concession. I am talking largely in context of the LUXE Audis or the Gold Class auditoriums which has a separate counter. There our SPH to ATP ratios are about 70% and even the actual SPH numbers hover around Rs. 350 -400 per person but overall, when you look at any property which does have a premium format even if it feeds out of the same concession; the ratios are much healthier and premium auditoriums wherever consumer is paying a little more as ATP or ticket pricing tends to even come and consume more food. So, clearly a premium format helps to build a better candy sales number.

Piyush Sharma: Just very quickly looking at slide #12, is the box office ATP and admits stacked versus fiscal first quarter '20; possible to share the ATP movement on comparable properties versus like this?

Nitin Sood: I think there is no big difference in the ATP movement in comparable properties. I think it's largely in the same ratio.

Piyush Sharma: Very quickly if I can just slide just one more. Just next slide and slide #13 you have got language wise contributions. So, this is clearly in our not original content contribution but if you were to hypothetically re-create this in original content; fair to say that Hindi would have dropped not just from 47 to 46 but much sharply lower?

Nitin Sood: That's correct because the Hindi language contribution of KGF and RRR and Vikram have been quite decent and it's absolutely fair to say that if you were to remove that and count it as a regional content then this ratio would be much lower.

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Moderator : Our next question is from the line of Arun Prasad from Spark Capital.

Arun Prasad: I joined little bit late so apologies if the question is repetitive in nature. What I'm trying to understand, Kamal and Nitin is that I'm looking at this quarter compared to the first quarter of FY20 and if I see that the screens growth 3 years CAGR is close to 3% -3.5% whereas the rental expense and common area maintenance have grown by more than 8% to 12%. Is it because the developers are trying to charge higher rent to offset for the losses they had during the COVID or how should we read these numbers?

Nitin Sood: That's not the case. You have to factor in a 3 -year inflation and cost. We have gone back to paying full contracted rentals. Our rental CAGR growth on an annual basis about 4.5% per annum and if you look at the slide #18, we have given up break -up of how the rental costs have evolved. Our rental cost across comparable properties is up 18% to 19% out of which 14% is on account of a 3 -year rental escalation which is kicked in on a regular contracted rent and the balance 5% is revenue share linked so because we have done great revenues we have also shared as per our contracts a percentage of that with the landlords. So, that's primarily the reason. There is no claw back or any such thing.

Arun Prasad: So, this run rate should continue? There is no one off or anything like that? This should continue as we move forward.

Nitin Sood: Correct.

Arun Prasad : And also, I am not sure it was even asked, I missed your commentary on the ad revenues per screen which looks like it is still yet to recover completely to

the pre -COVID levels. What is

your sense and outlook on this revenue spend?

Gautam Dutta: Yes, this as I have just spoken will take some time and we hope that by Quarter 3 we would be within the hitting range of the pre -COVID number. Currently it's down. We should recover in terms of percentage in Quarter 2 but the full recovery would technically, be closer in Quarter 3 on one could safely say in Quarter 4 we may end up exceeding the pre -COVID number. But Quarter 2, we are still going to be lagging behind.

Arun Prasad: Just reading across the commentary from others especially FMCG. What used to be the contribution to FMCG to your ad revenues? Is it like are you getting dragged on because of their spend is lower or some any other category which is not yet back to the mark? Some category wise commentary would be very helpful Kamal?

Gautam Dutta: FMCG of course was contributing close to about 15% to 17% of our total revenues. That's taking time and the second big category which was contributing which is telecom and handsets which have also slowed down simply because of imports to India and the short of those chips and they have lesser products to sell. So, these are the two which have taken a bit of a dent and we believe that the way and we have been really having a lot of communication with the brand managers there and we believe that Quarter 3 because that's a festive time, they are all kind of gearing up

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for making sure that India has enough and more supplies is when these guys will come back into advertising a big way at the cinemas.

Moderator : Our next question is from Abneesh Roy from Edelweiss.

Abneesh Roy: I had few follow-up questions. First is on some of your new or smaller businesses like the cleaning service which you had launched during COVID. Is it more of a marketing exercise? I understand you do have some level of core competence or maybe a lot of core competence but are you seeing any traction from the B2C side of customer here and similarly on the Popcorn and the V Café or your presence say on Swiggy, how is the scale up, if you could discuss that?

Gautam Dutta : Your first question I couldn't get. V -Pristine is actually showing up some very encouraging numbers and while the numbers in relatively could be small but it's very consistent and growing. We do about Rs. 30 lakhs odd revenue every month so that's growing and very -very encouraging. Even on M Pop which is our Microwave Popcorn, this has been one big I think boon of the COVID times and some of the SPH that you see is because of the volume of M Pop which is being sold at the cinema and this is a wonderful product because consumers buy. We add it in our SPH but these popcorns not consumed at the cinema. So, at one end we are kind of servicing their hunger by selling them more product, we are also beginning to supply them a food which they can take home. So, on both ends it's kind of doing a brilliant job. So, M Pop is doing very -very well and this is Pan -India, it's not just a region specific thing. Overall, it's contributing to every cinema, in every region in a very positive way. Our initiative around Zomato and Swiggy is I would say not so encouraging. We are learning a lot as we move forward. This is a different ballgame and we are also realizing that, that it needs a different mindset to be able to come out winners within this program. We are not giving up; we are still working with our partners Zomato and Swiggy to see how we can make this bigger but we have realized one thing that this business will at best contribute positively in some locations and deliver a certain SPH contribution to a cinema but if you look at it at the standalone business, may not be very sizable ever.

Abneesh Roy: So, in Swiggy -Zomato part of business, any plans for setting up Cloud kitchen because I think that is a bit more relevant and would you have

any number in mind as to how much of initial investments or losses in this part of the business because I do understand it does get cross subsidized by your current infra but if you evaluate on a standalone business; are you looking at any investment or this is just more of a pilot project?

Nitin Sood: I think we have to rethink the whole piece because we also realize you need a larger network and I think we will have to reimagine this post the merger as well as our network of cinemas will go up significantly in lot of markets. And you are right, I think it will just not be about adding Cloud kitchens. We will have to rethink the whole business plan of how to make it relevant which may require some investments, that's not the concern. But I think we will have to rethink the whole piece how to make it relevant. Next year would potentially be the right time to do it as we have a much larger network of cinemas across cities.

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Abneesh Roy: Globally do multiplexes in any country do this kind of business, delivery?

Gautam Dutta : Not at all, not even one. Across the board I would say PVR took this charge, no one else has ever tried this before.

Abneesh Roy: And last question was on essentially closure of some of the tough properties or properties which have lived their life. So, any more color you can give in terms of next 1 -year-2-years, how many properties you see undergoing this kind of an evaluation? Because in retail this is quite common that always churn keeps happening and malls also become dead and so could you discuss any numbers next 1 -year-2-years, how many such properties can happen?

Nitin Sood: So, if you look at it, we have a typically long leases and when these leases come to an end typically, we continuously evaluate this on an ongoing basis and during the last 2 years, 3 years from June '19 till now, we have shut down 39 screens, out of which 23 the leases expired, we did not renew of Cineline and the balance 16 screens we shut down. We believe as of now bulk of our portfolio I would say 95% -96% of our portfolio is absolutely prime and doing exceedingly well. There will be 2% to 3% of the portfolio which is in malls which probably have outrun their life but cinemas continue to still do well and you know over a lifecycle we continue to evaluate this on an ongoing basis. If I am getting into a new market, into brand -new shopping malls and building my market presence and the existing cinema has lost steam or that mall has become irrelevant, we take those calls to move out and shut down those locations and properties. But I don't think that number is quite honestly any significant number. It will be not more than 1% or 2% of the portfolio and that's part of our annual exercise.

Abneesh Roy: One follow-up on Cineline. I understand it was just 2% -3% of your impact on numbers but in those market, are you able to get some part of the demand back because now your partner is kind of competing against you and of course they will have some obviously expansion plan also. So, if you could address both parts. Are you getting some part of the demand back because now it's not part of our network and second to see them as a competition in terms of longer term because

of expansion?

Nitin Sood: I think it's good for the industry that we have more and more operators because there will be cinema opening opportunities all over the country. Some we will find viable to do, some we may not find viable to do but it is good that the country adds more and more screens and it's good to have somebody who is willing to put capital to add more cinema screens apart from us. On Cineline like we said it was not a very big portion of our portfolio, less than 2% of our overall revenues and our cinemas in West have actually done quite well this quarter. In fact, only 50% of those screens that we were operating in Cineline properties

were relevant screens, some of them have outlived their lives and had got replaced by new cinemas. So, we believe that this churn, this is like any other regular churn that will keep happening in our portfolio. Every year we will keep shutting down one or two properties which will stay not relevant and keep replacing them with new screens that we will end up opening in those markets. So, we don't see that to be any major concern.

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Moderator : Thank you. Ladies and gentlemen that was the last question for today and now I would like to hand the conference over to Mr. Nitin Sood for closing comments.

Nitin Sood: I would just like to thank everyone for taking out time for our earnings call and if you have any follow-up questions, feel free to write to me. Thank you.

Moderator : Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

07th August , 2023

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
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Company Code: PVRINOX / 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the Company participated in the conference call for analysts and investors on Tuesday, August 1st, 2023 for post announcement of Financial Results for the First Quarter ended on 30th June, 2023 .

Please find enclosed the copy of transcript in this regard.

Further, in continuation to our above communication, we also wish to share the below link of audio recording of conference call for analysts and investors. The said audio recording is also available on the website of the Company.

[https://originserver-static1-
uat.pvrcinemas.com/pvrcms/financial/ENA0820230801148368.mp3](https://originserver-static1-uat.pvrcinemas.com/pvrcms/financial/ENA0820230801148368.mp3)

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Mukesh Kumar
SVP - Company Secretary
& Compliance Officer
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"PVR -INOX Limited
Q1 FY '24 Earnings Conference Call "
August 01, 2023

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR -
INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. NITIN SOOD – GROUP CHIEF FINANCIAL OFFICER

– PVR -INOX LIMITED
MR. ALOK TANDON – CO - CHIEF EXECUTIVE
OFFICER , CENTRAL , WEST AND EAST– PVR -INOX
LIMITED
MR. GAUTAM DUTTA – CO - CHIEF EXECUTIVE
OFFICER , NORTH AND SOUTH – PVR -INOX LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR -INOX Limited Q1 FY '24 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Ankur Periwai from Axis Capital Limited. Thank you, and over to you, sir.

Ankur Periwai : Thank you, Carol . Good evening, friends, and welcome to PVR INOX Limited Q1 FY '24 Post - Results Earnings Call. The call will start with a brief management discussion on the quarterly earnings performance, followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Nitin Sood, Group CFO; and other senior management, including Mr. Alok Tandon, Co - CEO, Central, West, and East; and Mr. Gautam Dutta, Co -CEO, North and South. Over to you, Mr. Bijli, for the initial comments.

Ajay Bijli : Thanks very much. Dear all, I'd like to welcome you all to discuss the unaudited results for the quarter ended June 30, 2023. I hope you've had the opportunity to review our presentation and results, which are uploaded earlier today in our company's website as well as the stock exchange's website.

Quarter 1 of this fiscal started off on a slow note due to weak content in the month of April. However, the box office picked up pace in the month of May with the success of super hits like The Kerala Story from Hindi, 2018 from Malayalam, PS -2 from Tamil, and Fast X and Guardians of the Galaxy Vol. 3 from Hollywood. The momentum continued in June as we record the highest weekend admissions of 2023, primarily attributable to the blockbuster release of Adipurush.

We are witnessing a consistent month -on-month increasing trend at the box office collection. The number of Hollywood releases has significantly increased when compared to last year. Strong performance of Hollywood films, especially in urban markets and special formats like IMAX, has immensely benefited us due to a robust presence in these markets and formats. The recent success of Hollywood blockbusters like Oppenheimer, Mission Impossible - Dead Reckoning Part One, and Barbie reaffirms our belief that audiences' enthusiasm for theatrical movie going remain intact when there is compelling content.

Regional movies across languages also continue to do well. Carry on Jatta 3 has become the highest -grossing Punjabi movie to cross the INR100 crore mark worldwide, Baipen Bhairi Deva has become the fourth highest -grossing Marathi movie till date. The success of these regional services is a testament to the growing popularity and appeal of diverse storytelling. We remain optimistic about the continued strong performance of regional movies in the coming months.

Volatility in Hindi films performance has reduced, and we've seen a quarter -on-quarter improvement in the average collection of Hindi films as well, with mid -scale movies like Zara

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Hatke Zara Bachke, and Satyaprem Ki Katha performing well at the box office. PVR INOX welcomed 33.9 million guests across our cinemas in Q1 FY '24.

Coming to the financial results for the quarter. The following numbers are after adjusting for the impact of Ind AS 116 relating to lease accounting. Total revenue for the quarter was INR1,324 crores, EBITDA was INR100 crores, and PAT loss was INR44 crores. Proforma financials of PVR -INOX combined for the same period last year, where revenue was INR1,590 crores, EBITDA was between INR338 crores, a

and PAT was INR142 crores.

As we look ahead to Q2, we are quite optimistic about the robust content lineup across all languages. Over the next couple of months, we have several exciting Hindi movies lined up for

release like OMG 2, Gadar 2, and Dream Girl 2 in August; and Jawan starring Shahrukh Khan in September. From Hollywood, we have Meg 2, Blue Beetle, Gran Turismo in August. The Equalizer, The Nun 2, A Haunting in Venice, and Expendables 4 in September, amongst others. From the regional genre, we have Jailer starring Rajinikanth, Bhola Shankar starring Chiranjeevi, and King of Kotha starring Dulquer Salmaan in August, Salaar starring Prabhas and Kushi starring Vijay Deverakonda and Samantha Prabhu in September, amongst others. On the screen openings, PVR INOX opened 31 screens in Q1 FY '24 and closed 14 underperforming screens, which form part of the 50 screens that we had guided for closure in line with our strategy to focus on profitable growth and improve unit-level economics. Our screen portfolio, including 38 management screens, stands at 1,707 screens across 361 cinemas in 114 cities in India and Sri Lanka.

Now I open the platform for any Q&A. Thanks once again for joining.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy : Yes. Thanks it is Nuvama Institutional Equities. I have three questions. My first question is on the footfall. The last three four quarters, we are seeing that number of admits is broadly in the 30 million to 37 million. And now this month and the last few weeks, we are seeing a word of mouth has also been good and no controversy for the Hindi movies. Three back-to-back, very good Hollywood movies, Oppenheimer, Barbie, MI, etcetera.

So would you say that now we are moving from a say, 29 million, 33 million to a much more robust number? Even Hollywood is also doing well. Regional is doing well, south is also, reasonably okay, but finally, Hindi seems to be doing well, and there has been some delay also. For example, Jawan got delayed by a few months. So is this helping to have better VFX better marketing, etcetera. So what would be your take on Hindi movie revival and sustainable footfalls in the coming quarters?

Ajay Bijli : I think Kamal, would you like to answer that? Hindi movies, right?

Kamal Gianchandani : Abneesh, I think you've -- in your question, you captured all the reasons quite well. And it is definitely, April, May, June were throwing a lot of positive signals in the narrative that Mr. Bijli

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gave in the opening statement he captured a few films which have done well, and those were very positive signals in the first quarter. We could see the buildup happening. And with the success of the three Hollywood films now Rocky Aur Rani Ki Prem Kahani. I think we are all set for a take-off.

We would not like to get into any specific numbers, but Hindi films definitely are finding favour with the audiences. A lot of -- and Jawan, like you mentioned because of VFX and to augment the marketing effort to ensure that they give the best output in terms of a film, a finished product to the audiences. They have taken more time, and I think this augurs well for the exhibition space and also for the filmed entertainment spaces on the whole. So it's all looking very positive without getting into specifics in terms of numbers.

Abneesh Roy : One follow-up I had on the Hollywood, which is doing really well, passed few weeks. We also have the Hollywood strike, which is happening, so both on the scriptwriter, there's a strike, and also on the main star cast also now joining the strike. Now this could impact... So this would impact the marketing of the movie. The movies may be ready, but if the marketing doesn't happen, then the release again gets impacted, and

next year, in fact, the pipeline gets impacted.

So would you be really worried about the Hollywood strike? Or do you think this will get self-resolved at some stage.

Kamal Gianchandani : So we believe, it will get self-resolved at some stage and that some stage will hopefully be the next we reckon five to six weeks. But that said, this is one of those areas. This is like whether we have no control over this, but we are watching it very carefully. Our sense remains that over the next four weeks to six weeks, there would be a solution because studios and both the Actors Guild, as soon as the Writer Association, they're working very closely.

A lot of what we are seeing in media is also part of the negotiation, but we understand from people we are talking to in Hollywood that there are -- the backroom channels are working at full speed, and there could be a solution at any point in time.

Ajay Bijli : And currently, the lineup of Hollywood movies continues to remain very robust. We have plenty of movies coming. We have Dune Two, The Equalizer, Expendables, Aquaman?

Kamal Gianchandani : Again. So at this point, there is absolutely no delay. If you were at the point that you mentioned that, with the actor's unavailability for promoting films, that could have an impact. We had the same challenge with Oppenheimer, and we've all seen the kind of results we've got. So, fingers crossed, we're watching it very closely, and we will see how the situation unfolds.

Abneesh Roy : Sir, thanks, that's useful. My last question is on the very good scale up in SPH, 9% quarter-on-quarter versus ATP, only 3%. So how much of the work in terms of augmenting INOX in terms

of some of the requirements on the F&B side is already done? So what is driving this sharp -up move quarter -on-quarter that's much higher than ATP? And how much is the job done in terms of INOX also being brought up? Of course, PVR also is a continuous process. I wanted to understand that a bit.

Alok Tandon : So Abneesh, work has been done with synergy of F&B concerned. A lot of the INOX properties have now -- the menu has been changed. The new SKUs have come into place. And also new PVR INOX Limited

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items like microwave popcorn, instant popcorn, all those things have been added. To take it further, a few INOX properties are also now selling non-vegetarians' food. So whether it is the changes of SKUs of popcorn and Pepsis, or Coke or whether it is introducing new MRP items or whether it is changing the sales mix, all these have contributed for increase in SPH.

Kamal Gianchandani : And I would like to add to the comment you made on the average ticket price, we continue to remain buoyant. We are quite happy with the 3% growth that we've seen in this quarter. You would also appreciate that we are comparing this quarter, which was lacking blockbusters totally, and we're comparing it to Q1 of last financial year, which was full of blockbusters, one after another.

And as you know, our ability to charge in terms of ticket price goes up, and the willingness of consumers to accept our offering goes up, when we have blockbusters and bigger films. We expect the second quarter to sort of makeup for the average ticket price growth. We remain quite positive on ATP growth as well.

Abneesh Roy : So one very quick follow-up there. In terms of the F&B and overall, what you're doing, I'm seeing a lot of innovation, marketing innovation also being there, for example, in non-prime time, this INR99 Samosa and all those, which are otherwise much higher. How is the response to that? What are you learning? And similarly, thirty-minute INR1, I think the cost in terms of the trailers, what is the response? What is your learning from there?

Gautam Dutta : Okay. So on the trailer show, we've got a fantastic response. We are trending close to about 22% occupancy

on these shows. And what is most encouraging is that roughly about 40% of the audiences, who are coming to watch these trailers are actually being tracked on booking a ticket to watch a film of one of the trailers that there was.

So clearly, this technique is working. It's just that given the fact that it's a trailer so for half an hour, nobody comes all the way to a cinema to watch the show, it's people around the mall and the destination who technically walk in to watch this half-an-hour show. So that's on the trailer show. On the -- what was your other question?

Abneesh Roy : On the INR99 ?

Gautam Dutta : Yes, that's been exceedingly well. In fact, all the chatter around F&B pricing being too high is completely now mitigated. We've got fantastic strike rates at the cinema. Now consumers are able to club both tickets as well as F&B as a holistic experience cost and which they are finding it a lot better, and we feel it's very timely done, both for weekends as well as for weekdays. And clearly, it's showing a great positive move for the F&B.

Abneesh Roy : Sir, thanks. That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi : Yes, thanks for the opportunity. I have a bookkeeping question. If I look at our convenience fee, it has fallen by about 23% year-over-year on a pro forma basis. But if my understanding is

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correct, we typically enter into contracts with ticket aggregators, and the minimum guarantee generated over time towards the term of the contract, which you essentially impact, there should not be a substantial rise or fall in this income. If you can, just explain the reason behind this 23% fall?

Nitin Sood : Yes. So two things. One, our contract with BMS came to an end earlier this quarter. So PVR has renegotiated the contract. The contract is more on a revenue share basis and not with a minimum guaranteed commitment. Secondly, also, this is also the first quarter, where INOX contract is also consolidated. INOX is already on a revenue share basis. So part of the impact that you see is due to drop in admissions and when you compare it with Q1 of last year. And that's partly the reason. And secondly, there is no minimum guarantee. Now it's a pure revenue share contract, which is similar to the previous term.

Jinesh Joshi : Can you share, what is the quantum of our share in this arrangement?

Nitin Sood : No, we'll not be able to share any specifics with respect to the contract.

Jinesh Joshi : Sure. And sir, my second question is with respect to the debt level, which were up by about

INR150 crores on sequential basis. If you can elaborate a bit on this, because if I recollect properly, in the last call, you highlighted that our net debt levels will remain more or less constant. And the capex funding will happen via internal accruals, but we have seen the debt level move by about INR150 crores odd. So any reason behind this?

Nitin Sood : So first of all, debt levels have only moved up by INR70 crores at a net debt level, not INR150 crores. I think our gross debt has moved up, but that is because of our strategy to keep more cash on the balance sheet. So net debt is only up by INR70 crores. And we stick by the guidance that we've given, but there will be quarter-on-quarter volatility.

Some quarters which are -- because we are on a capex plan, we are fitting out screens. Some quarters, which have a lower EBITDA, you will see debt levels marginally rising. In some quarters, where we have higher EBITDA, you will see debt levels decreasing. But on an annual basis, there is no change.

Jinesh Joshi: Sure, sir. So actually, I was actually referring to the gross debt number, but nonetheless, that's okay. Sir, one last question from my side. I mean we have the Cricket World Cup

come up in

India in the month of October. And historically, we have been airing the matches on the cricket side as well. So any particular contract you are executing with ICC this time around? Or where are we on that point, if you can just share some thoughts on that?

Gautam Dutta : So we are in the process of signing the contract, and we will screen just about any match that we wish to in the tournament. So we will pick on those important matches, and we will be screening those matches, specifically all the India matches.

Jinesh Joshi: Sure, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Arun Prasath from Aventus Spark. Please go ahead. Mr. Arun -- ladies and gentlemen, we've lost the line for the current participant. We

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proceed to the next question from the line of Harit Kapoor from Investec Capital. Please go ahead.

Harit Kapoor : Hi, good afternoon. I just had two or three questions. One was on the special format slide which you posted in the presentation. Given that experiential films are actually doing even better probably than even Pre COVID levels. Is there a view that this 13.5% salience, which is special format screens, should be increased further? I just wanted to get your outlook on how you're thinking about this...

Ajay Bijli : Yes. I mean this is already 13.5%, and as the slide said, in 229 screens, have some special format. Definitely, this differentiates us even further from any other format of movie watching. And consumers have given their verdict when they go out, and they see these movies, they become more impactful. As I said, big movies become even bigger.

So we are rolling out more and more of these in our various properties, which are coming up. And also in some of our existing properties, which were retrofitting and renovating, we are also introducing various formats like IMAX, ICE, 4DX, MX4D, and also LUXE, Insignia, and Director's Cut. So all these special formats, definitely have further room for growth.

Harit Kapoor : So in terms of our overall mix, this number should keep increasing. Any targets that you have in place in terms of percentage of total screens, maybe one year, three years out?

Nitin Sood : No. We don't look at it from that perspective. We look at it very specific to each market and what is the right fit for each market. Obviously, this percentage will grow and would land up anywhere between 15% to 20%, but very difficult to put a target of any specific numbers because we're very focused on building the right product for each market, but we should get to anything between 15% to 20%.

Harit Kapoor : Got it. And the second question is on the cost side. Is there any expenses incrementally that you want to call out on account of merger, etcetera, any costs there in Q1? Or what was there in Q4 is just pretty much done with?

Nitin Sood : Yes. I think merger-related pretty much we're done with most of the expenses. So there is no merger-related expense appearing in Q1.

Harit Kapoor : Got it. And lastly, I just wanted to understand your occupancy maths on your numbers. The occupancies are kind of flattish on a Q-o-Q basis, while footfalls are up more than 10%. Is this only primarily due to a higher number of shows? And was that only the impact of June? Just wanted to get your sense on that.

Nitin Sood : That's correct. We've played a higher number of shows this quarter, and that's the reason, the occupancy percentage is appearing similar to what it was in Q4. February and March are very slow months for us, and we had cut down a lot of shows during those two months. So yes, we increased the number of shows during this quarter.

Harit Kapoor: Got it. I have some more. I will get back in the queue. Thank you.

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Moderator: Thank you

. The next question is from the line of Jay Doshi from Kotak Securities. Please go ahead.

Jay Doshi : Hi. Thanks for the opportunity. Nitin , is it possible for you to give us some color in terms of where are you in the journey of capturing synergies that you had called out? What percentage of that overall target that you have set, you've already achieved that? That's my first question.

Nitin Sood : Yes. It's still early days. We've begun a lot of work on that front. F&B is the first one which has kicked off, and we are seeing some very promising results. We're already seeing some part of the synergy kicking in, in Q1. But more will follow in Q2, Q3, and Q4 later this year as we implement more and more initiatives across the chain. So F&B is completely on track. Bulk of our ticket price synergy will flow in, in Q2, Q3, and Q4. Quarter 1 was when you compare it to Q1 of last year was -- it was not possible to get a ticket price increase at that level. But we harmonize a lot of stuff at the operating level, including harmonizing the programming efforts, ensuring the shows are programmed quite well, ticket price standardization , all of those initiatives have been implemented on the ground, and they will start reflecting in Q2, Q3, Q4. Advertising is one number , which is currently lagging behind . Once the box office recovery plays out. May be the latter half of this year is when that will start kicking in. On the cost front, we are running absolutely on track, in fact, running slightly ahead of what we had thought we'll be able to achieve. And in Q2, Q3, we will start getting some of the synergies reflected in the bottom line. And maybe later part of this year, we will be sharing an update on where we stand with respect to the synergies.

Jay Doshi : Understood, thank you. And second, on the earlier question on Cricket. Now this World Cup is a one-day format, right? So for that duration , have you in the past experimented and what is the kind of traction and demand that you anticipate for it?

Gautam Dutta : So we have done many shows for one days , and typically how it works is that we go to corporates who end up sponsoring a certain match. And they are the ones who would call in people, it could be the whole lot of dealers or consumers that they would kind of invite. Some bits of the tickets in the auditorium are also left for us to sell at the box office. So that's how it's largely done. People come and go, and it's like a bit like a carnival or a mela, that happens at the cinema.

There are face painters and dholwallahs and stuff like that. So we make it out of really like a carnival. And in the past, we've seen some of the key matches garnering some great interest across. And so we have to be choosy about the matches we pickup. It can't sort of play out for all the matches, but surely, some of the key matches and the India matches will be sort of picked up for screening, and we are 100% sure that , we will get corporate sort of participation for this as well .

Jay Doshi : That's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

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Arun Prasath : Thank you very much for the opportunity. The first question is on ad revenues. As you mentioned, it is to yet to recover completely. Can you just give me a high -level category commentary on what is lagging -- what has recovered? Is it because we have already more or less seen footfalls coming to normalized levels except for Hindi. So should we assume this is a normalized level of the ad revenues?

Gautam Dutta : No, clearly not. I think starting Q2, as Nitin had just mentioned, the recovery will clearly be seen. And by Q3, which is also the festive period, we will see fairly normal levels of advertising coming back, thanks to some of the big releases that

happened in the month of July, the overall

-- the noise level around cinemas is a lot better now , very positive, and we are getting some big accounts back.

What was missing has been the absence of some long -term campaigns because of the overall negativity in the market about which films are doing well, is Bollywood be able to deliver success or not, and when Hollywood films would do well. All that noise has completely died out now.

And we are now over the next 60 days to 90 days in the market to close some of the long -term deals. Even sectors like telecom and consumer durables is something that , we believe will come back very strongly even -- and hopefully, we'll be able to post some very strong numbers starting Q2.

Arun Prasath : Okay. So this confidence obviously depends upon the footfalls coming back. Is that the right

understanding?

Gautam Dutta : Actually, both in advertising and more than even footfall, you need big banner films, and you need a certain positivity. The good thing is that happened. Clearly, films which have performed have left a dent with the advertisers to say that they've missed out on an opportunity. And we have -- the entire teams have kind of used this as an opportunity to create more conversations with clients.

So the hard work is all done. And now, we are ready to reap the benefits of some of the good marketing that has been done by these films over the last couple of months. So we are now on the path. It's not as if we are waiting for any more recovery to happen.

Arun Prasath : You mentioned long-term deals with advertisers. Was it the case pre-COVID as well or it was more like a spot selling?

Gautam Dutta : No, it was always there. We always had about 10, 15 very big clients, who would be with us advertising for 8 months to 12 months of the year. Those were kind of missing in action so far, and we hope to get them back very soon.

Arun Prasath : Understood. Right. And my second question is on the box-office collection from regional, which seems to be around 20% of the overall regional box office PVR INOX share is close to around 20%. Whereas for Indian - Hollywood it is almost at 50%. What are our plans to address this anomaly? And why -- what are the current bottlenecks we are facing in achieving this?

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Kamal Gianchandani : Could you repeat your question, please? Your voice was cracking. We couldn't get the question properly. Could you please repeat it?

Arun Prasath: I was asking if you see the total regional box office collections, and our share of the regional box office is close -- it's hovering around 20s whereas in Hollywood and Hindi it is around 50s.

What are the steps we are taking to bring this regional box office at par with the share of regional box office at par with the other language this was my question?

Kamal Gianchandani : So that's a very good question. We just need to grow more in the Southern territories, the Southern films, regional films. And when you say regional, I'm assuming you're referring to the South Indian films because for Punjabi films, Marathi films, the contribution of PVR INOX even for Gujarati and Bengali films, contribution of PVR INOX is similar to Hindi. But for Southern films, because it penetrates deep, it travels deep into smaller centers. We need to increase our penetration more that's the road map. I would just leave it at that.

Arun Prasath: But it's -- so that means most of the -- you need to go into, say, Tier 2, Tier 3 cities, but obviously, the mall coming up in these say cities or towns is obviously not up to the mark. So, this roadblock will always be there, or we can do something about it?

Nitin Sood : So, we are adding -- we've already guided that we are adding a lot of screens in South India. In fact, 40% to 45% of our total screen additions right now are in South India alone. And we will

bu

ild according to the right opportunity. We are entering new cities every year. This year, we've entered Machilipatnam is a city where we're entering. We entered Armoor, we've entered in, Nizamabad earlier last year. So, a lot of new city additions are happening as we go along, but we wait for the right opportunity to build a PVR property. And even in big cities, we are adding a lot more cinemas. We just opened a very large 12-screenplex in Bangalore with Prestige in Kanakapura and that hit the road running. It's already performing very well in the first two weeks itself. So there is a lot of focus on adding more screens in South India.

Arun Prasath: Understood. Just one last question on this.

Moderator: Thank you. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala: Hi, thanks for the opportunity. So just book keeping questions, I just wanted to check how you see employee costs going ahead in the upcoming quarters and also the depreciation as you reduce the number of screens going ahead along with the additions.

Nitin Sood : So, employee costs will grow with inflation. We are bound for a large part of our workforce with minimum wage increases. And from a headcount perspective, at least at a site level, we are at the optimum headcount level. So I don't see any reduction at least at a site level. So, that cost will grow with inflation or with minimum wages, as the case may be. At the depreciation level, I don't see any significant impact while we are shutting down screens. Most of those screens have come to the end of their life cycle. They're already depreciated to a large extent. So depreciation would only change based on the new screens that we are adding effectively. So, no big substantial change other than addition of depreciation of new screens.

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Lavanya Tottala: Okay. So anything on the no interval high ticket pricing like a continuous screening -- any different kind of offering that you are planning or -- no intervals, no ads, but at a higher price,

something like -- similar to OTT, but a bigger screen experience?

Gautam Dutta : No, really. We aren't planning anything screening without an ad or an increase in the ticket price on account of no ad. No, that isn't in the plan.

Lavanya Tottala: Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Nikhil Garg from BNP Paribas. Please go ahead.

Nikhil Garg: Hi, sir. Thanks for the detailed presentation. I have a couple of questions. One on quarterly results, and the second on -- second which is more structural in nature. On quarter results, if I look at on a Y-o-Y basis, your EBITDA is down from INR300 crores to INR 100 crores and this is despite higher ATP, F&B spent per head, lower volatility in Hindi movies, and a much higher number of Hollywood movies also on a year-on-year basis. So, would it be fair to say that to achieve INR300 crores of EBITDA, we would need one all month s to fire and probably two big hits every quarter and if we have like one big hit only like Pathaan in Q4 or Avatar 2 in Q3, then we would be somewhere in the middle. So that's my first question?

Nitin Sood : Yes. So, the answer to your first question is that our business is a very high operating leverage business. We run a certain fixed -cost structure for all the properties that we have, and number of footfalls have a direct impact on the overall profitability of the business. When you compare it with Q1 of last year, Q1 of last year was one of the best quarters ever in the box office history. We had almost 1 crore more footfalls than this quarter. And that is -- that reflects the operating leverage directly on the bottom line.

So obviously, Q1 has been a slow quarter. April was a very slow month, and May and June have built up, but we're still trending significantly below

what we did in

Q1 of last year or even prior to pandemic. So, as the momentum picks up, July has been an excellent month. And as the footfalls increase, the operating leverage due to higher admissions will reflect directly on the bottom line. So, that's broadly the answer to your question.

Nikhil Garg: Sure. And just to add to this question only and on a quarterly result basis. So basically, you could -- given the content remains also volatile on a quarter-on-quarter basis. So, we could expect this kind of volatility to continue. I mean, it's not that something structurally has changed for the content to be on an improving trajectory from here, and therefore, we don't expect the volatility in content going forward?

Nitin Sood : No, we can't -- we don't have an answer. We can only say that there is a good line up of content, a lot of pessimism around Hindi film underperformance, which was there and has been kind of done away within the last few months. We've seen small -to-mid-budget films doing quite well. So, the volatility in the Hindi box office is reduced considerably. The share of negative noise has died down. Films are hitting INR100 crores benchmark, and we have a good line up ahead. Hollywood film slate, which was very low last year has got supplemented. This has been one of

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the best Hollywood performances over the last few months, and all the films there have been doing exceptionally well.

So Hollywood is back both in terms of content availability as well as box office performance, and regional films continue to be a stable fare. Yes, there will be quarter-on-quarter ups and downs depending upon what content is coming up in each quarter, but we see a lot more stability in all the language content. And that is reflected in the back-to-back success of the last 4 films or 5 films starting from May with Kerala Story, then Zara Hatke Zara Bachke followed by the Kartik Aaryan film and then MI7, Oppenheimer, Barbie, and Rocky and Rani. So, there is a lot of positive sentiment, and this is something that which we have started this quarter, and hopefully, this will continue in August and September.

Nikhil Garg: Sure. Sir, the second question is, have you given a thought on stopping expansion in metro cities?

The reason why I ask is that like, for example, if the demand for a particular movie is more than supply for that particular week, then our footfalls move to the second week, which in fact should be more profitable for us, right? Because second week the distributor share would be lower, and you would get more. But expansion in metros will prevent that.

Second, in the scenario where demand is, in fact, less than the supply for that particular movie for that particular week, our occupancies, in fact, take a bigger hit, and therefore, our profitability also goes down. So, are we thinking something on like stopping expansion in the current metros like Delhi, Bangalore, where we already have enough presence, and going into more into Tier 2, Tier 3 towns only?

Alok Tandon : No, that's not the case. We are not stopping our expansion into metros. And way you talk about going into Tier 2 and Tier 3, we are already present in, whether it's a metro or Tier 1, or Tier 4. So we are present all over. We have a presence in 114 cities. So, just to tell you that you said that there will be more footfalls in metros. My only answer to that is that today India is a very under-screened nation. We still have about 3.2 multiplex screens for million population and

about 8.5 screens to 9 screens per milli on population if I add all the screens in the country. So, today also there's a lot of opportunity for us to grow. And I don't think that we as a chain will ever stop expansion, whether it's a metro or even in a Tier 4.

Nikhil Garg: All right sir. Thank you very much.

Moderator:

Thank you. The next question is from the line of Rohit Gupta from Fullerton Fund Management. Please go ahead.

Rohit Gupta: Hi, thank you. Thanks for taking my question. Based on the current net-debt levels, business outlook and screen addition plan, do you see any need for fund raise, let's say, in the next one year?

Nitin Sood : No, we have no plans to do any fundraising during the next one year. As we've guided, we intend to fund all our growth from internal accruals. So, there is no plan for any fundraise.

Rohit Gupta: Okay. Thank you.

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Moderator: Thank you. The next question is from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Yes. First question on the revenue sharing contracts, which you have been discussing with a lot of the landlords, could you give some color on how that is working out, especially now that crowds are back to the theatres?

Nitin Sood : No, are you talking about existing properties, are you talking about new properties I am not very clear?

Abhishek Banerjee: New properties, new properties as well as existing properties that you're managing to renegotiate?

Nitin Sood : Yes. So, all of that is work in progress. Most of the new properties are structured on a minimum guarantee or a revenue share basis, whichever is higher. That is broadly the structure of our deals. The minimum guarantees have come down from what they were, and the revenue shares are where they were. So, yes, we have been quite successful in pretty much renegotiating most of our leases for upcoming properties and have achieved a lot of success. In some of our existing properties, which are underperforming where the rental cost is high, we are currently in discussions with some of our landlords and hopeful of getting some success there as well.

Abhishek Banerjee: Understood. And one more thing on this thing, so post the merger I'm sure you would have a lot of properties where there is a significant overlap of the catchment area. So, the recent closures that you announced, will that also be to kind of reduce the overlap of properties?

Nitin Sood : Not really. I think from a screening capacity perspective. I think the bulk of the screens which we are deciding to shut down are in catchments which are either run down or we built cinemas 10 years or 15 years ago. Those malls have become dilapidated and have not become relevant with the passage of time or in a lot of cases, those malls cannot also be revived, and the properties cannot be revived. So, as a result of which, we have decided to shut them down. In some cases, there could be overlap situations as well. But generally, as a principle, I don't think that's a big area for concern and the reason for shutdown of any property.

Alok Tandon : So overlap is not a concern at all and areas where we do have overlap, we do our programming differently. So for any guest when he does not get a ticket in one particular plex, he can walk across or just drive across in a few minutes to the other property. So we're using that to our advantage to have different programming so that a guest is never turned back in a high-volume day because of a lack of tickets.

Abhishek Banerjee: Understood. And just one last question, so regarding what do you see in this month, July. What would you say -- I mean, I know you might not be willing to give out a number, but qualitatively speaking, how would you rate this month in terms of the historical trends because 60%, 65% kind of occupancies in English movies I don't think I've ever heard of that kind of occupancy in this business?

Kamal Gianchandani : Well, we are always buoyant about the prospects, and sometimes our business has peaks and valleys. There are times when we peak in terms of occupancies, and there are times where films

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underperformed vis-a-vis expectations and results are not occupancies, and percentages are not as per expectations. So, it's difficult to predict, and we've always sort of encouraged our friends in the analyst community to see the business on an annual basis and not on a quarter-to-quarter basis because quarterly occupancies can be fairly volatile. At this point, like we mentioned earlier, we've been seeing positive signals in April, May, and June. We look pretty set to take

off in terms of admission numbers. So, we are fairly positive, fingers crossed. I think we will see numbers hopefully that we've not seen before.

Abhisek Banerjee: Perfect, sir. Thank you so much. Best of luck for the next couple of quarters.

Moderator: Thank you. The next question is from the line of Anurag Dayal from HSBC. Please go ahead.

Anurag Dayal: Hi, thank you for taking my question. Could you give some update on the loyalty program, as – as the loyalty program for PVR INOX is integrated already or we have some plans, and what is the membership today and do you track what percentage of the ticket at least internally, what percentage of ticket sales come by our new loyalty programs, and your plans ahead?

Gautam Dutta : So, we have close to about 20 million each members, both for PVR and INOX, so about 40 million in all. However, our current loyalty program is coming towards an end. We have already issued a communication to all the members across PVR and INOX to say that the points -based system is coming towards an end. And towards H2 of the year, we will embark on a new personalized loyalty program, which will really focus on a little more active involvement of the consumer and seeing how we could sort of push the consumer for higher consumption at the cinemas.

Anurag Dayal: Great. Thank you so much. And just one small bookkeeping question. So, there have been sequentially 39% jump in electricity and electricity charges. So, is there any one -off here, or what's the reason behind it?

Nitin Sood : No, there is no one -off here that the nature of our business, that is due to change in seasonality. We have a lot of properties in North India and then winter you don't have high air conditioning bills. In summer, you have air conditioning bills which are fairly high. So, there's nothing that's quite normal in our business. Q4 is the lowest quarter in terms of electricity consumption in Q1, Q2, Q3, the electricity consumption is high.

Anurag Dayal: Okay. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Pulkit Chawla from Emkay Global. Please go ahead.

Pulkit Chawla: Hi, thanks for the opportunity. So, just wanted to get a sense on the Bollywood movies releases. So this quarter, you're expecting probably 6 Bollywood to 7 Bollywood movie releases, and probably the next quarter will be a similar sort of number. Now pre -COVID the number of Bollywood movies release is cost used to be slightly much more higher. So, is this concern regarding the number of movies getting released in the first place?

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Kamal Gianchandani : I think the films are -- have been fairly steady in all quarters, and we continue to solidify. But our problem in the past has been the quality of films. The success ratio of Hindi films performing at the box office has left a lot to be designed. I think the good news is that the success rate is improving in a noticeable and a firm manner. So, thankfully, in this quarter and in the subsequent quarter, including third quarter, we have some very strong quality films, compelling content, and fingers crossed again. Hopefully, the success ratio will also be better than what we've seen in the last few quarters.

Pulkit Chawla: Thanks. That's helpful. Thank you.

Moderator: Thank you. The next question is from the line of from Centra Insights. Please go ahead.

Jensen Ja

cob: Hi, thank you for taking my question. My question was on the growth front. This quarter, we have only added 18 screens, and could you please throw some light on why are these additions have been so low?

Alok Tandon : Well, I don't think that the additions are low. We have opened 31 new screens in Q1. And in Q2, as we speak, we have opened another 15 screens and as recently as afternoon we opened one in Patna. So, overall, we have already opened in this financial year, 8 properties and 46 screens, which I don't think is low by any standards. And the target which we have given for opening the number of screens this year will be on target to achieve those.

Jensen Jacob: Okay. So what is the target that you have given as the combined entity?

Alok Tandon : Well, it's about anything between 150 screens to 160 screens to 165 screens. And as I said, we have already opened 46 screens till today, and we are on target for the remaining.

Jensen Jacob: Okay. Thank you that's from my side.

Moderator: Thank you. The next question is from the line of Sumit Sarda from Compound Everyday Capital. Please go ahead.

Sumit Sarda: Thank you. So I appreciate the guidance that you have given that you would want to grow only through internal accruals, but I wanted to go a step further and maybe ask that given the content volatility and a high fixed cost structure inherent in our business, do we have an aspiration to go zero debt and improve the resilience and robustness of balance sheet ?

Nitin Sood : Yes, I think that will automatically happen with the passage of time as the operating earnings start kicking in. The focus will be post -growth, whatever is the free cash flow left to reduce the leverage on the balance sheet, and that's the way we think about the business.

Sumit Sarda: Okay. So do you have any medium-term period target, maybe 3 years, 5 years, you want to do that?

Nitin Sood : Yes. I think we should get there in 3 years to 5 years, maybe earlier, depending upon how soon the operating earnings bounce back and what is the free cash flow generation based on that every year.

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Sumit Sarda: Thanks now. That's all I have. All the best.

Moderator: Thank you. The next question is from the line of Khush Gosrani from InCred Asset Management.

Khush Gosrani: Yes, hi. Thanks for the opportunity. Sir, I just wanted to ask a lot of the medium-tier volume films are going towards OTT, and OTT themselves have started to produce a lot of increase in the budgeted films. So how is it impacting our footfalls say, as of now and what's the overall view on the OTT window as well?

Alok Tandon : Sir, we always said that OTT and cinemas will co-exist and yes, there are movies which are made only for the OTT, and there are some movies which are made for the cinema, and then they come on OTT platform. So it's not that all movies are going to OTT. I've always said that for a giant screen experience, for uncompressed sound, for absolutely clear image, larger-than-life movies are there to be entertained only in a cinema hall.

Yes, there are a few movies that have taken the OTT route only, but that's the will of the producer, the person who's already made it. But let me tell you, with the footfall we have seen in the last couple of weeks, be it Hindi movies, be it movies in other Indian languages or Hollywood movies. I think that movies are here to stay, and it's only a matter of time before great content again kicks in and people again have -- they come back to the cinema halls.

Khush Gosrani: Sure, sir. And so this does not -- so this then increases our what you could say the dependency on the big budgeted or the higher budgeted films, right, across the languages?

Alok Tandon : Zara Hatke Zara Bachke was not a big budget films. There are other Hindi movies which are not big budget films, Satyaprem Ki Katha is not a very

big budget film. So, I don't think that

comparison is absolutely right. If movies which are based on the big screen are released on the big screen and if the content is good naturally there will be a great footfall.

Khush Gosrani: Sure. And on the advertisement revenue income side, what would be the Y-o-Y comparable growth for us in this quarter?

Gautam Dutta : Last quarter Q1, we are at INR93 crores, and we are INR89 crores this time. And again, in Q4, we were again INR93 crores. So, basically, it compares to INR93 crores to INR89 crores this quarter.

Khush Gosrani: And last question and you don't see there to be a structural impact to the advertisement income, right?

Gautam Dutta : No. It will bounce back very sharply, and we strongly believe in because once cinema starts to sort of deliver footfalls, which it has, the story is now going out very strongly. We've been out of the game for close to about a couple of quarters during COVID, and this has taken some time for the market to stabilize. We are working very strongly with all the media planners and buyers, and we are hoping for a sharp recovery starting Q2.

Khush Gosrani: Got it sir. Thank you for patiently answering the questions. Thank you.

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Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Thanks for the follow-up opportunity. I was about to ask, what is the percentage of screens do you think is currently kind of underperforming and pulling down your overall numbers, which will probably which are kind of candidates for future closures?

Nitin Sood : We've already given that guidance that we believe, I think, the bottom, 2%, 3% of our screens is what we intend to shut down, which we don't think are revivable. That number will be between 50 screens to 60 screens is broadly what we intend to shut down.

Arun Prasath: Okay. Thank you, sir. My concall disconnected, no issues. Second, just on bookkeeping the audience who are coming to watch trailers, you said these are part of the footfalls that we are showing in our report and part of ATP & SPH calculations sir?

Gautam Dutta : Yes, they are part of the reported numbers. Yes, they are.

Arun Prasath: So that means actual ATP excluding these trailers is higher than much?

Gautam Dutta : Yes absolutely.

Nitin Sood : There will be marginal differences. Saurabh you can give the actual number of admissions this quarter on trailer screening?

Gautam Dutta : It's about I think about 4 odd lakhs.

Nitin Sood : It's about 2.8 lakhs.

Gautam Dutta : 3 lakhs sorry 3 lakhs.

Arun Prasath: 3 lakhs for the quarter?

Gautam Dutta : 3 lakhs for the quarter.

Arun Prasath: So, my understanding is they may not be contributing to ATP, but obviously, they will be contributing to SPH, right?

Gautam Dutta : Yes, a little bit not as significantly as a movie consumer does because they are into the cinema only for about half an hour, but yes, they do end up buying some F&B, but not as significantly as a movie consumer if you were to get this 3 lakhs out both ATP and SPH would marginally go up.

Arun Prasath: Understood. Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

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Nitin Sood : Thank you, everyone, for taking out time to attend the PVR INOX Q1 Earnings Call. And if you have any follow-up questions, feel free to reach out to us individually, and we'll be happy to answer your questions on a one-on-one basis. Thank you once again.

Moderator: Thank you. On behalf of Axis Capital Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Oct 2023

26th October, 2023

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
Bandra Kurla Complex, PJ Towers, Dalal Street,
Bandra (East), Mumbai - 400 051 Fort, Mumbai - 400 001
Fax: 022 -26598237/38 Fax: 022 -22723121/1278

Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

In continuation to our letter dated 16th October, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company had participated in the Q2 & H1 FY 2024 Earnings Conference Call on 19th October, 2023.

Enclosed is the transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,

For PVR INOX Limited

Mukesh Kumar
SVP - Company Secretary
& Compliance Officer

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"PVR INOX Limited
Q2 FY2024 Earnings Conference Call"

October 19 , 2023

ANALYST : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

MANAGEMENT : MR. AJAY BIJLI –MANAGING DIRECTOR – PVR
INOX LIMITED
MR. SANJEEV KUMAR - EXECUTIVE DIRECTOR –
PVR INOX LIMITED
MR. NITIN SOOD – GROUP CHIEF FINANCIAL
OFFICER – PVR INOX LIMITED
MR. ALOK TANDON – CO-CEO CENTRAL , WEST &
EAST– PVR INOX LIMITED
MR. GAUTAM DUTTA– CO-CEO NORTH & SOUTH–
PVR INOX LIMITED
MR. KAMAL GIANCHANDANI – CHIEF OF BUSINESS
PLANNING & STRATEGY & CHIEF EXECUTIVE
OFFICER - PVR INOX LIMITED
PVR INOX Limited
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Page 2 of 17 Moderator : Ladies and gentlemen , good day and welcome to the PVR INOX Limited 's Q2 FY2024 Conference Call hosted by Axis Capital Limited .. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal. Thank you and over to you Sir!

Ankur Periwal : Thank you Anshup and good afternoon everyone and welcome to PVR INOX Limited 's Q2 FY2024 post result earning call. The call will be starting with a brief management discussion on the quarterly performance followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director ; Mr. Sanjeev Kumar, Executive Director ; Mr. Nitin Sood, Group CFO and other senior management personnel including Mr. Alok Tandon , Co-CEO Central, West & East and Mr. Gautam Dutta, Co -CEO North and South. Over to you Mr. Bijli for the initial comments !

Ajay Bijli : Thank you very much. Good afternoon everyone. I would like to welcome you all to discuss the unaudited results for the quarter and half year ended September 30 , 2023. I hope you have had the opportunity to review our presentation and results, which were uploaded earlier today on our company' s website as well as the stock exchange 's website. I am delighted to share the quarter ended September 30 , 2023, was a record -breaking quarter in company' s history with the highest ever admits ATP and SPH leading to highest ever quarterly revenue , EBITDA and PAT. In Q2 of FY2024 we welcomed 4.8 Crores guests and delivered an ATP of 276 and SPH of 136 which represents a year -on-year growth of 64 % , 25% and 15% respectively over proforma PVR and INOX numbers in Q2 FY2023.

Coming to the financial results for the quarter, the f

ollowing numbers are after adjusting for the impact of Ind AS 116 relating to lease accounting. Total revenue for the quarter was 2020 Crores , EBITDA was 447 Crores and PAT was 207 Crores . Proforma financials of PVR and INOX combined for the same period last year were revenue of 1082 Crores , EBITDA of 16 Crores and PAT loss of 78 Crores .

The biggest highlight of the quarter was a historic performance of the Hindi box office . Jawan and Ga dar 2 released during the quarter emerged as two of the biggest grossing Hindi films of all times recording over 750 Crores and 620 Crores at the box office, respectively. In addition, midscale movies like Rocky Aur Rani K ii Prem Kahani and Oh My God 2 each grossed over 150 Crores while Dream Girl 2 and Fukrey 3 comfortably exceeded the 100 Crores mark . Volatility in Hindi films performance has reduced considerably with a marked improvement in the average collection of Hindi films particularly in the case of midscale movies which have been making a strong impact at the box office.

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Page 3 of 17 Hollywood films helped the quarter started on a fantastic note. Blockbusters like Oppenheimer and Mission Impossible - Dead Reckoning Part One grossed over 150 Crores and 130 Crores . Barbie and Nun II also performed well and crossed the 50 Crores mark at the box office. Regional movies across languages continue to demonstrate stable performance . Jailer, which is Tamil, was the highest grossing digital movie with 390 plus Crores of box office collections. Baipan Bhaari Deva became the second highest grossing Marathi movie at box office of 90 Crores plus. The growing acceptance and attraction of regional content is demonstrated by the success of these movies. We are confident that regional films will continue to do well in the upcoming months.

We are quite optimistic about the robust content lineup we have across all languages over the next few months. From Hindi we have Gan apath and Tejas in October, Tiger 3 in November and Animal, Sam Bahadur, Merry Christmas, Yod ha, Dunki and Salaar in December. From Hollywood we have Killers of the Flower Moon in October, The Marvels, and Taylor Swift : the Tour Movie , Napoleon in November, Wonka and Aquaman and the Lost Kingdom in December . On the regional genre we have Leo , Mauja an Hi Mauja an, and Tiger Nageswara Rao in October , Naal 2, and Japan in November , Captain Miller and Hi Nanna in December.

In the first half of FY 2024 we have also reduced our net debt by 328 Crores; this firmly places us on the path to attain a free cash flow positive status by the end of FY2024. On the integration front of PVR and INOX it is progressing seamlessly and is yielding substantial operational efficiencies as outlined in our investor presentation . PVR INOX continues its strong growth momentum adding 68 new screens in the first half of this fiscal while strategically exiting 33 underperforming screens. We are on course to open 150 to 160 new screens in FY 2024 and expect to exit a total of 60 screens in the current fiscal . Our screen portfolio stands at 1702 screens across 358 cinemas in 115 cities in India and Sri Lanka. I now open the platform for any Q&A. Thanks once again.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.

Abneesh Roy : Yes thanks for the opportunity and congrats on very good set of numbers. My first question is on your debt levels coming down by 327 Crores . I wanted to understand given now you are much more confident from the Hindi movie business which was suffering for the industry what will be the plan from one to two years perspective on the overall debt levels , you had rationalized the store openings , the cinema screen openings also

erlier, would that change because of now free cash flow turning on the favorable side?

Ajay Bijli : You are saying that will our opening of screens get impacted? No because we still have a pipeline as I said of 100 to 150 odd screens that we will be filling and I think the accruals will be enough to take care of both and every screen that we are opening is going to be value accretive . We are obviously very conscious of now how to invest capital, where to invest capital , in which PVR INOX Limited
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Page 4 of 17 malls, which development , which catchment in south India as well and keeping everything in mind we should be able to maintain our growth trajectory as well as pay down debt.

Abneesh Roy : So just to understand 1100 Crores net debt which is there currently what will be the long-term goal on this do you have any aim to make it almost negligible over the next two years will that be your vision?

Nitin Sood : Abneesh you are right I think reduction in net debt will not come at the cost of growth. Our operating earnings and cash flows will continue to grow and they will be sufficient to take care of our growth and the surpluses will be used to reduce the net debt levels in the balance sheet. Our focus this year obviously is to get down to 1:1 net debt to EBITDA, but over the next couple of years reduce that from existing levels.

Abneesh Roy: Sure. My second question was on your promotions in F &B, so essentially this Rs.99 Monday to Thursday kind of pricing which you have introduced I think it is a great initiative and on the other hand you have this unlimited refill offer for the weekend , so how is the response here especially in the Monday to Thursday kind of a lean period when footfalls are low but within those footfalls are you seeing a much stronger conversion than earlier so some insights into that?

Gautam Dutta : So largely Rs.99 promotion was done to one correct the price perception of cinema food being expensive , number two we wanted to drive higher conversion at the concession both the objectives were completely met and this is something that we plan to keep the promotions on for a long time. We are not going to sort of get off the promotion so this is something which is going to be there because we realized that consumers today are looking at movie experience which is bundled in with F &B, everyone who gets to the cinema would ideally want to eat so from that perspective a great successful programme is there and we are trending well on both the parameters .

Abneesh Roy : Sure and last quick question on advertising revenue quarter -on-quarter very good scale up and now that you are quite confident on the movie industry revival which I think will be also true for the advertisers and overall GDP is doing also quite well so in that context where do you see pre - COVID level getting breached from outlook perspective when do you see pre -COVID level on advertising getting breached?

Ajay Bijli : That will be next year. Largely we will come within the hitting range this year. Q3 and Q4 are looking very good and positive, but in terms of breaching the pre-COVID PVR INOX combined revenue it will be next year. We will go ahead of that number next year.

Abneesh Roy : Understood. Thanks a lot Sir. That is all from my side .

Moderator : Thank you so much. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.

Page 5 of 17 Jinesh Joshi : Thanks for the opportunity. I was just trying to think through how is the foot fall count be maintained for the subscription plan that we have just launched . So if I understand this right the customer here is paying us a fee to buy the subscription so to say and irrespective of how many time he visits us we have got our money up front, s o how will

the foot fall count be actually be

maintained , will every visit be considered as a separate foot fall or how will it be?

Nitin Sood : See this is li ke a sub scription voucher which has been sold to a customer . Every time he comes to the cinema ticket will get issued to him and that is how the sub scription count will be captured

Gautam Dutta: and 699 is largely an advance that the company we are holdin g.

Jinesh Joshi : The revenue recognition how will it happen because this is a minimum three -month plan if I am not mistaken so will we recognize the revenue right at the sale of the pa ss itself or will it be amortized towards the term of the plan?

Nitin So od: So it is not a long -term pass it is a monthly pass so it will be recognized at the end of every month.

Gautam Dutta : It has a validity of 30 days, so 699 expires within 30 days and within the 30 days you get 10 movie vouchers so if you do not sort of e nd up using those 10 vouchers there is an expiry and then you move into the next month.

Jinesh Joshi : Got that . One last question from my side . If I look at our screen portfolio down south I think the screen mix for us is about 32% but if I look at our box office share in Jailer's collection I think it is a bit low at about 17% odd, so is there any specific reason to look into it because our screen concentration down south is pretty decent, but our share in Jailer is a bit low if I compare it with our scree n mix ?

Nitin Sood : That is incorrect comparison . South is a very large market which comprises of Karnataka, Kerala, Telangana, Andhra , and Tamil Nadu. Tamil Nadu is a sub set of south India . Jailer as a film is a Tamil film which is primarily released in Ta mil Nadu and did exceedingly well in Tamil Nadu so you have to look at it in that context and while we have about more than 500 screens in south India the total screen count in south India if you include single screen cinemas as well is in excess of 4000 s creens, s o obviously our market share in south India is much lower and that is the reason we have been mentioning in all our calls and conversations as more retail development happens in that part of the market we want to add more and more multiplex screen s because we think that part of the market is under screen ed in terms of multiplex screen capacity.

Jinesh Joshi : Got that . Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Arun Prasath from Avendus Spark . Please go-ahead Sir.

Page 6 of 17 Arun Prasath : Thanks for opportunity. My first question is on the advertisement revenue. I think on a per screen basis we are still at least 30 -40% lower than the pre -COVID levels a nd I think this is the best quarter we had even better t han the June 2022 quarter almost double the revenue footfalls are also much higher but obviously on a per screen basis the growth is very, very less, is it a structural issue that advertise rs are not coming into the cinema because there is something which is happening for the last three, four quarters despite of the strong footfalls we are not translating into the advertising revenue on a per screen basis ?

Gautam Dutta : Advertising technically works on big blockbuster films doing well. We have spoken about this in our earlier calls as well and we were very positive that Q2 would have some big titles and on basis which advertising will go up, which is exactly what has happened . Even now as we move forward advertisers are coming back there is absolutely no iss ue there , it is just that we need certain momentum to be able to get the mone y which advertisers earlier used to plough back into cinemas which had gone into other media sources, s o it takes time and as I have just mentioned by next year we should definite ly be reaching our 2019 -2020 number and moving ahead so it seems

to be on the right path.

Arun Prasath : Sorry just a c larification. When you say that advertisers have moved to other sources what is the competition for you in this sources , obviously it has to be more hyperlocal ?

Gautam Dutta : No, it is not that. The fact of the matter is that when you rate a cinema media it used to come in the fifth or the sixth preference for a media planner and buyer so technically when we were out of action during the CO VID time they started to put that money which was available for promotions and media into digital, into TV, into radio, into outdoor mall activation , so now we have to go back and start getting all of those advertisers back. The good news is that most of t he brands are back and it is about now when you would see that a bigger traction begins to play out as we move forward into some big blockbuster films releasing over the next two quarters.

Arun Prasath : I understand. What I am trying to get clarity on this is that what is your competition when it comes to this kind of advertising, is it like outdoor digital or is it like newspapers or what is it?

Gautam Dutta : I would not be able to comment on this because the fact of the matter is if you look at the total advertising pie, cinema advertising is only about 1% of the total pie so it is very difficult for me to ascertain where that 1% is getting allocated in terms of any alternate media choices. Media planners have different choices available and we are also a brand building media eventually so that money being spent on digital, on radio, on any media that works best for that product category, so difficult for me to put a finger to say the money which were coming to me has now gone to outdoor or mall activation so difficult for me to have an answer around this. Different clients have decided in different strategy but to get back our share we are already on it. We have shown a great growth this quarter and we believe that we are on the right path.

Arun Prasath : Understood. My second question is on the Rs.99 subscription plan I think it is still not extended to the south given that less share we have on the south is there any reason why the south is

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Page 7 of 17 excluded or we do not want to cannibalize the existing revenues what is the thought process behind this?

Gautam Dutta : We have all said in media that we have opened passport for a big trial program me. We want to enroll only 20,000 passport users in the first phase, we want to close the subscription after that and study the consumption pattern. Down south the consumption is anyway very high and this program me is largely to propel more consumption, a market which is already fairly fertile and also has price restrictions we felt that in the first phase we needed a better clarity on how it changes consumer consumption pattern, so in the next phase after we have studied the consumer a little more closely and deeply we may come out with the product for down south as well in phase two.

Arun Prasath : Alright. Thanks for the clarification. All the best.

Moderator : Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead, Sir.

Ankur Periwal : Sure. Thank you for the opportunity. First on the synergy benefits overall, your representation does highlight benefits coming from F&B, box office as well as overall cost synergies. Just trying to understand is the ATP improvement because of price disparity and now everything is in sync in terms of pricing across INOX as well as PVR theatres and secondly on the F & B side where are we in terms of updating the menu as well as veg, non veg options, etc., across the INOX screens?

Alok Tandon : So Ankur we are answering your first question first. Where ATP is concerned yes we have seen a significant growth in ATP and that is because of regular

inflation increase as well as the

contribution of the entire synergy which has taken place across the two companies that is one.

Where F&B is concerned yes we have changed a lot of menu, both companies have incorporated the best of menu of either and whether it was the erstwhile PVR or the erstwhile INOX menu are available in most of the cinema halls across the country so a lot of work and synergy has been done as you see from the slide also whether it is ATP which has gone up by about 13% year-on-year, which normally due to inflation used to be only 3.5 to 4.5 as well as F & B SPH has again witnessed a 13% growth which used to be in the range of 7.5% to 8.5%. So whether it is a menu tweaking, menu mix all that has contributed to SPH and the ATP is concerned yes proper programming, if they have more cinemas in a cluster they have been treated as one so that a patron whenever he comes he watches a movie in a gap of 10 to 15 minutes so this is what the result of synergy has been over the last six months.

Ankur Periwal : Sure so just to clarify, so slide #19 wherein we are highlighting the ATP growth, organic growth as well as the implied synergy led growth will be fair to say that on a proforma number there will be a Rs.20 higher ATP on an average on an annual basis henceforth as a base case?

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Page 8 of 17 Nitin Sood : So Ankur the way to look at it is this year like we had guided we will see much higher ticket pricing as a lot of the stuff will get rationalized and synchronized between both the PVR and INOX properties and we will see a significantly higher average ticket price growth than the normal averages that we have seen. It may marginally keep on varying quarter-on-quarter because it is partly also linked to content but we are reasonably confident, yes it will be a decent number. Whether that number will be Rs.20 or Rs.15 is difficult to comment at this stage because part of it will be linked to movie-by-movie performance as well.

Ankur Periwal : Sure, fair enough and on the SPH side the full benefits presumably the launch across as well as the acceptance of all the new menu may take maybe a quarter or so, the full benefit will you expect it let us say by the end of this year which is Q4 or probably we should look at FY 2025 for that number?

Gautam Dutta : FY2025 first quarter I think we should have largely everything rolled out. It would take about three more quarters for the entire synergy in terms of the backend work and menu , synchronization to happen . To your question on nonveg about already about 74 sites have been rolled out and a few more are in the pipeline , so the work is happening and by end of March that piece will be largely out of the way.

Ankur Periwal : Great and just continuing the synergy bit on the advertisement side while I take your point in terms of the overall macro, etc., but how has been the industry response to the negotiated joint sort of negotiation now on the advertisement as well as on the convenience fee bit?

Gautam Dutta : It has been tough and to be very honest and this year we may not get too much synergies on the advertising front while there will be growth, but the fact is in terms of synergy the major part of the synergy may roll out next year , we will look at a fairly decent growth this year in Q3 and 4.

Ankur Periwal : Great Sir and just last question from my side on the windowing period among the digital release and the theatricals for Hindi and regional where do we stand because as I understand there were certain negotiations again especially on the regional side to expand the window ?

Kamal Gianchandani : Yes the window on Hindi films is eight weeks , regional films varies from region -to-region , Punjabi films for example is eight weeks , Bengali films is eight weeks , Hollywood films, which are the international segment

and films that is eight weeks , Tamil , Telugu hovers between four weeks and six weeks. We would not like to comment on any active negotiation but suffice to say that our endeavor is to sort of standardize windows as far as possible. Our aspiration is to take the windows to minimum eight weeks that is our current position on it.

Ankur Periwal : Sure, Sir. That is helpful and that is it from my side. Thank you and all the best .

Moderator : Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

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Page 9 of 17 Arjun Khanna : Thank you for taking my question and congratulations on a good set of numbers. Sir I just wanted to understand the convenience fee in a little bit more detail . For the last few quarters we are seeing a decline on a per admit level so last quarter when this question was asked we mentioned that now both our PVR and INOX are on a revenue base since the deal with BookMyShow has come to an end , I was curious why in the second quarter FY 2024 on a per admit basis we are down compared to first quarter FY2024 ?

Nitin Sood : I think Arjun we answered this question last quarter alone. Our previous contract with online aggregators had a concept of a minimum guaranteed payment irrespective of what the footfalls would be and subject to a revenue share because there is no minimum guaranteed payment under the existing contract and online aggregators underperform in terms of what effective admissions were in cinemas, our effective realization due to the minimum guarantee commitment in the previous contract was higher than the revenue share commitment which is not the case under the current contract and as a result of which that is reflecting on a per admit basis lower .

Arjun Khanna : So that has happened in the previous quarter since you did allude to that in the previous quarter , so if I look at the second quarter versus first quarter, since the impact is already in the base we have declined on quarter -on-quarter level on a per admit basis while our ATP has moved up from 246 to 276, so I just wanted to understand is 14.15 the right number or previous quarter of 15.69 the right number?

Gaurav Sharma : So Arjun our Q1 for the month of May there was the minimum guarantee under the older contract .

Arjun Khanna : Okay sure.

Gaurav Sharma : April and part of May and therefore on a per admit basis the convenience fee in Q1 was higher and then we moved to the new contract from May onwards and that is why on a per admit basis you see a drop quarter -on-quarter.

Arjun Khanna : Sure since this quarter is fully on revenue so this would be the base going forward?

Nitin Sood : That is right.

Arjun Khanna : Sure perfect. Very helpful. Secondly in terms of the number of screens that we are planning on closing we have increased from 50 to 60 obviously given what the multiplexes, where they are situated just wanted to understand how do we look at our growth over this year, next year and is the real estate availability, etc., largely on track for our growth path that we had early articulated?

Alok Tandon : Yes the growth path is absolutely intact. We have lots of screens in the pipeline and this year also as Mr. Bijli said in his opening statement that we will be opening 160 screens and 68 we have already opened. While we are shutting down only those screens which have come to the end of the lifecycle or are not profitable or the mall is shutting down, so that is the way which we take

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Page 10 of 17 going forward and this year we said that 33 we have already closed and we will in totality close 60 this year but the answer to your question is that our growth is absolutely intact and if we go by

160 screens per year I think that is a very, very aggressive and a nice number for the

industry.

Arjun Khanna : Sure for the next year so this closure of screens is it just one time even this year or potentially that could be repeated going forward in the future?

Nitin Sood : No it will not be a onetime event. Now we have a fairly mature portfolio every year. We will continue to evaluate bottom 1 to 2% of our screens which we believe would have come to an end of the lifecycle and accordingly take decisions to move out. That is the constant part of any retail portfolio. Anyway screens at the bottom end are not contributing to our profitability and margins, so closure of this screen should only help positively in taking our operating margins higher and profitability higher.

Arjun Khanna : Sure. If we are adding gross between 160 and net or assuming 1 to 2% that is around 15 to 30 moving out so essentially on a net basis we are looking at adding 130 to 150 is that the right way of looking at it?

Nitin Sood : Absolutely.

Arjun Khanna : Sure. Thank you very much. Wishing you all the best.

Moderator : Thank you. The next question is from the line of Mayank Babla from Enam AMC. Please go ahead.

Mayank Babla : Congratulations on a great set of numbers. My question is around the screen openings. So in the earlier calls we had mentioned that our vision is to expand more towards the south and around 35 to 40% of the new screen openings will be in the south, now pertaining to that I noticed that we are fairly concentrated around Karnataka the new screen openings, so wanted to understand why the skewness towards Karnataka and what is the strategy as far as other states are concerned in the south?

Alok Tandon : Well you have seen that yes we opened a few in Karnataka but does not mean that we will not open in other southern states it is that those properties are ready in Q2 and we opened it. Going forward, you will see more screens being opened in other parts of the country also. So as we always say that we are a pan India player and yes south is important to us and this time what you have seen is that we have opened a few properties down south especially in Karnataka but the strategy of the company is to be in all possible states and the guidance which we have given that yes south is a preference. It is for all the four to five states which are over there and if we get great properties we will open it but let me also tell you that in some other states other than Karnataka our projects are going on and you will see opening of our properties very soon.

Mayank Babla : Sure. Thank you so much that is all.

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Page 11 of 17 Moderator : Thank you. The next question is from the line of Abhisek Banerjee from ICICI Securities. Please go ahead.

Abhisek Banerjee : Thanks for the opportunity and congratulations on a great set of numbers. Sir just a couple of questions on the outlook for Q3 right so the lineup seems great, what exactly are you expecting from the movie vis-à-vis Q2 numbers and if you could give us any update on how the screening of matches is going that will be helpful?

Nitin Sood : See we do not like to give any specific guidance on Q3 or Q4. All we can say is that the content lineup is quite strong. October and November have been slightly slower in terms of movie releases, but December is looking quite packed. There are almost two big films releasing every month. So both Q3 and Q4 are looking quite strong and they should be decent quarters, but it will be tough to replicate what we managed to get in Q2 where all the films fired in one quarter, Hindi, regional and English that will be a tough act to repeat but irrespective of that I think Q3 and Q4 should be good, decent quarters.

Abhisek Banerjee : Understood. In terms of your ROCE right now that you have done the merger and you are kind of working in reducing the variability of earnings, so how do you look

at ROCE in the steady state number going forward?

Nitin Sood : No, you should see ROCE inching up strongly in the balance sheet on a gradual basis, we will have a full year of stabilized earnings this year to some extent and you will see ROCEs at mid teen level even in the end of the financial year and it should get better as we move forward so clearly we are very positive. I think as the earnings stabilize and move up with content flow coming in you will see a significant increase in ROCE at a balance sheet level.

Abhisek Banerjee : Got it and again just coming back to the content part, earlier there was this trend of Hindi movies Bollywood not releasing more than one or two large budget Hindi movies in a quarter now that the number seems to be going up significantly, so if Mr. Bijli could comment on whether this is just because of the bunching up of lot of releases or is it something that you believe is a sustainable trend going ahead that would be really helpful?

Kamal Gianchandani : This is a sustainable trend. The business, the response that producers have seen for bigger film and without taking away any sheen from the mid level films their performance has been also very

positive and very strong but the bigger films have done extraordinary business, and taking a cue from the response that the audience has given to these mainstream, the potboilers, which target every segment of the four quadrants whether it is male, female, above 25, below 25, they have something for everyone these sort of films I think is a sustainable trend because a lot of producers are getting disproportionate return on their investment. Actors are sort of expanding on their reach, they are expanding on their brand equity and which augurs well for them as well in the long term and therefore producers, actors naturally would want to do more, bigger films. The other trend which would be helpful to exhibition and to film industry at large is that the South Indian film specially but even non-south Indian regional films are getting pan India acceptance.

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Page 12 of 17 So films are getting dubbed in Hindi and they have started to penetrate territories which till now were sort of focused only on Hindi films or Hollywood films dubbed in Hindi regional films are also finding acceptability, so I think this is a sustainable trend, you will see a lot of big films in Hindi, you will continue to see a lot of regional big films being dubbed in Hindi and gaining a lot of success in territories which are on pan India basis.

Abhisek Banerjee : Understood and in terms of your brand portfolio PVR and INOX continue to be two separate brands as of now, so what would be your vision for each of these brands is there a case where you use one of these brands as a comparatively more value effect and more premium and one has a more value brand and try to expand the penetration of screens overall bringing more foot falls from the lower consumption categories?

Nitin Sood : So I will answer that. Both PVR and INOX are very strong brands in the consumer space. These have an existence of over 20 years and have a very strong consumer affinity and consumer visitation behavior, so INOX used to get about 70 million footfalls on an annual basis pre-COVID, PVR used to get 100 million footfalls pre-COVID. With such large footfalls and consumer base we have decided that we will continue to run and operate both the brands on individual basis. While the corporate identity of the company will be PVR and INOX, both the brands will continue their journey and will continue to coexist as far as consumers are concerned.

Abhisek Banerjee : My question was more with regards to is there a way of using maybe INOX as a more value brand?

Nitin Sood : I have got your question, but we do not think there is any change we want to do with respect to

how both the brands are currently perceived. Both the brands have a certain perception, we want to continue and maintain that perception and not use one brand as a premium brand or one brand as a value brand that is not the idea.

Abhisek Banerjee : Understood thank s.

Moderator : Thank you so much. The next question is from the line of Lavanya Tottala from UBS. Please go ahead.

Lavanya Tottala : Hello, thank you for the opportunity and congratulations Sir. Sir most of my questions are answered. Just one thing when you mentioned ad revenue you expected to recover next year is it on absolute levels or per screen basis that you expect it to reach pre-COVID levels next year?

Gautam Dutta : At absolute levels.

Lavanya Tottala : So it will still be lower per screen basis even in FY 2025 then?

Gautam Dutta : Yes.

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Page 13 of 17 Lavanya Tottala : One thing on the synergy bit synergies based on the ticket prices for Q2, so the Rs.20, which it is

showing it has impact of higher Hollywood share, which we have seen in Q2, so most likely that might decline a bit in the upcoming quarters right?

Gautam Dutta : Yes it could because ATP is a function of the kind of content we get, mega blockbusters and Hollywood do drive ATP up, you are right.

Nitin Sood : That point is quite valid. Ticket pricing will partly also be impacted by big films, but if you look at the way we have calculated the synergy we have not based it on Q2 numbers. Our average ticket pricing growth was 25% in Q2 and average ticket pricing growth in the first quarter was much lower at 3 to 4% so what we have done is we have calculated over an average of 13% growth which we have achieved in the first half of the year, which basically we thought is a much more fairer representation because there will be ups and downs and some quarters will have higher ticket pricing than others due to content so just wanted to call that out.

Lavanya Tottala : Sir I just wanted to mention that because Q2 last year our ticket price was much lower, like it was somewhere around 225 so even on average basis you are a bit high for the first half?

Nitin Sood : That is fair and what you have pointed out is fair. It is quite possible that the second half of the year may have a lower ticket price though and so it is not a multiplication formula. It can vary and it could be lower in the second half of the year that is possible.

Lavanya Tottala : But F&B it should be largely sustainable even for the second half is that understanding right?

Gautam Dutta : Yes, absolutely it could be.

Lavanya Tottala : Thank you so much Sir.

Moderator : Thank you. The next question is from the line of Favilo from Favilo Funds. Please go ahead.

Favilo : Congratulations on a great set of numbers Mr. Bijli and thank you for the opportunity. My question is on the price elasticity of the tickets. So what I understand is that tickets even for a blockbuster like Jailer are priced lower even where there is demand as compared to Jawan in the north so why is this difference is it because of the competition or if that is the case because the next opening of screens is concentrated in south right, so if this is the case how are we going to work on the ATP to increase the ATP down south I will come on to the second question later?

Alok Tandon : See Jailer was a Tamil film and in Tamil Nadu there is a price cap incident. So there are few southern states where there is a cap on tickets and hence we can not increase it. So the comparison with Jawan and Jailer was not right because Jawan released all over the country and in states where there is absolutely free pricing so that is one answer and when you said that how will we increase the ticket pricing once the movies which are released in Tamil Nadu, Andhra Pradesh or Telangana we have to go as per the rates which are already

subscribed but in other states

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Page 14 of 17 depending on the demand of the movie, the cost structure of the property or as per the paying propensity of the people we can price the tickets accordingly.

Kamal Gianchandani : It is just addition to what Alok said the price of Jailer in Karnataka was higher than Jawan that is because Jailer was a bigger film in Karnataka where there is no price restriction. Ours is a very heterogeneous market each state, each city has its own dynamics and are governed by the local dynamics, hence north India, west India, central India Jawan was a much bigger title than Jailer which is the reason Jawan tickets were more expensive as compared to Jailer.

Favilo : On to the second question and does the overhead spend that is the food and beverage spend also vary depending upon the movies, say for example the crowd that might come for Jawan might spend more versus the crowd that is coming for other, does it vary according to the movie too?

Nitin Sood : Not significantly. It is more region specific. Yes you know titles which are not family titles or where we see films which are depressing in nature, more serious films you can have very selective and a niche audience. Yes there is a marginal impact, but largely what we have seen is that it does not change for every film. The trend is normally homogeneous, but obviously for each market the trend is different, more and more family films where the group sizes are larger, people come more often there is definitely a positive impact on the average of food spending at the cinemas.

Favilo : Thank you.

Moderator : Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead, Sir.

Arun Prasath : Thanks for the followup questions opportunity. My question is on synergy so if you look at the PVR INOX combined numbers the pre-COVID level we are around 19 to 20 % EBITDA margins and going by the quantified synergy benefits we have shown in this quarter it looks like our steady state margin should be at least 200 bps higher than the pre-COVID levels is this the right understanding and this is what we can build in our numbers?

Nitin Sood : Absolutely I think this is what we have guided. Once we realize the full synergy benefits clearly that should have an impact of at least 200 bps on our operating margins.

Arun Prasath : Right so that means the current quarter margin 22% it is still below because this is a very strong quarter so despite that we just achieved around our steady state margins, so in a future scenario where this kind of a blockbuster quarter should result in a much higher margins, right?

Nitin Sood : This quarter already reflects a very large portion of the merger synergies, but yes lot of elements will play out like advertising revenues still to recover to the fullest extent and if we continue to achieve these kind of level of occupancy, can we do better margins from here, 12 months out definitely.

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Page 15 of 17 Arun Prasath : Right understood. Thank you very much. All the best once again.

Moderator : Thank you. The next question is from the line of Apurva Mehta from AM Investments. Please go ahead.

Apurva Mehta : Yes, Sir congratulations on great set of number. Sir how much could be the synergy benefit in the coming quarters left to pencil out?

Nitin Sood : We can not give any quarterly estimates.

Apurva Mehta : On a ballpark basis we still have like 30% left or we have 70%. we have done with it, 30% still remaining.

Nitin Sood : I would not like to give any guidance.

Apurva Mehta : On the cost front when we were comparing quarter -on-quarter the rentals are up by 12%, personal expenses about 8% and then other expenses about 16% because rentals are more or less fixed in nature , why the

re is so much of inflation in such cost can you just throw some light?

Nitin Sood : There are three factors. One we have added a lot of new screens, new age screens in new shopping centers , so one there is screen addition . Number two rentals are subject to annual inflation . Number three lot of our rental expense and lot of proper ty is linked to revenue share. In quarters where we will have much higher occupancies we also end up sharing much higher revenues in form of rentals with the landlords. So all three factors put together is the reason for increase in revenues for rental cos ts.

Apurva Mehta : For person al and other expenses on Q-on-Q are up by almost 16% ?

Nitin Sood : Same logic if you calculate wages are subject to average 7 to 8% annual inflation and we have added a lot of new screens you should calculate on a per screen bas is the effective cost increase will be very minimal.

Apurva Mehta : We have not added any screens barring from Q1 to Q2 we are more or less at just adding around 15 to 17 screens and if you see the per screen everything is going up , other expenses are up.

Personal expenses are up by 8% on quarter -on-quarter I am not talking about year -on-year?

Nitin Sood : Yes so on quarter -on-quarter basis also see w hen you look at the new screen ad itions that we have done in terms of new property . On a net basis you compa re per screen, all the old properties that we are shutting down are small , dilapidated screens whereas the new screens that we are opening are in all modern shopping centers with different quality of staff, more premium screens. One obviously the cost of r unning those screens is not the same. Secondly there is annual wage inflation , minimum wage inc reases which happens from state -to-state, so south Indian states of Tamil Nadu and Karnataka alone have had 29 % to 30% minimum wage inflation this year. Wage inflation definitely takes place and thirdly temporary manpower because lot of our manpower

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Page 16 of 17 also goes up . We add manpower when the foot falls are high on cinemas because we run largely a weekend business and when the occupancies are at th at peak we have to sup plement headcount .

So quarter -on-quarter we have added headcount this quarter . Our admissions are up from 3.3

Crores admissions in Q1 to 4.8 Crores admissions almost 45% over Q1 so we need additional hands to take care of consumers and service them on a we ekend. So these three factors put together are the reason for the people cost increase.

Alok Tandon : And 37 screens is not a less number to open in a quarter with big ticket items like K anakapura . Bengaluru properties in Rourkela , Patna, Delhi, Dharwad, so hence all this add to the cost.

Apurva Mehta : On the movie distribu tion and paying charges which has also gone up substantially it is because of the blockbuster films coming in and that is why the thing has gone up or there is anything else we can do ?

Nitin Sood : That is largely relating to our PVR picture business and i t will continue to vary quarter -on-quarter depending upon what films that we are distributing , so it is not link ed to our core cinema exhibition business .

Apurva Mehta : Thanks a lot and wish you all the best.

Moderator : Thank you. The next question is from the line of Yash from Dante Equity. Please go ahead.

Yash : Hi congratulations on good second set of number s. I missed the first 20 minutes of the call, so I am sorry if question is repet itive but my question is regarding de bt are you giving a guidance on debt for the next two years , we see the debt number in the next two years and also what is the net debt right now?

Nitin Sood : One our net debt at the end of this quarter is about 1100 Crores as compared to 1430 Crores which was at the beginning of the year. So we have reduced our net debt by 327 Crores in the first six months

. I think I can only give you a directional sense over the next two years depending upon how the busi ness performs; our endeavor would be to reduce and pay down leverage from even the existing levels . Our current year endeavor is to get to 1:1 debt to EBITDA but over a period of next two years we want to fund all our growth from internal accruals , be free cash flow positive and use the free cash flow to reduce leverage even from the existing levels.

Yash : So how are your expansion plans basically looking for the next two years and what you are trying to basically tell is that the next phase of expansion will basically c ome through internal accruals ?

Nitin Sood : That is correct. Even current year if you look at our presentation we are adding 160 screens , we have guided in the first half of the year we are free cash flow positive after funding all our capex and the endeavo r would be that even for the full year we are reasonably confident that we will be free cash flow positive company after funding all our growth from internal a ccuals .

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Page 17 of 17 Yash : So just to conclude your answer, would it be safe to conclude that the debt for P VR INOX is peaked out?

Nitin Sood : Absolutely it has peaked out; in fact, it is now going down from its peak level .

Yash : Could you give me the number for your interest what rate are you borrowing at on a net level?

Nitin Sood : Our average cost of debt is a pproximately 9% .

Yash : Do you see that coming down anytime soon because you have become basically cash flow positive right and I think that should rerate you in terms of the debt security market?

Nitin Sood : Yes we have pretty much benchmark ed most of our borrowings to market , so it will move in line with how the interest rates move from the existing levels. Most of our borrowings are benchmark ed to market rates.

Yash : Perfect. T hank you for taking my question. I will come back in queue . Have a great day.

Moderator : Thank you so much. As there are no further questions , I would like to hand the conference over to the management for closing comments. Over to you Sir!

Nitin Sood : Thanks everyone for taking ou t time to join the earnings call. If you have any una nswered questions please feel free to write to us and we will be happy to respond. Thank you.

Moderator : Thank you so much . On behalf of A xis Capital Limited that concludes this confe rence. Thank you for joining us. Y ou may now disconnect your line s.

Call: Feb 2024

07th February, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
Bandra Kurla Complex, PJ Towers, Dalal Street,
Bandra (East), Mumbai - 400 051 Fort, Mumbai - 400 001
Fax: 022 -26598237/38 Fax: 022 -22723121/ 1278

Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

In continuation to our letter dated 25th January, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company had participated in the Q3 FY 2024 Earnings Conference Call on 31st January , 2024.

Enclosed is the transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Mukesh Kumar
SVP - Company Secretary
& Compliance Officer

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"PVR -INOX Limited
Q3 and 9 Months FY'24 Results Conference Call "
January 31, 202 4

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR -
INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. NITIN SOOD – GROUP CHIEF FINANCIAL OFFICER
– PVR -INOX LIMITED
MR. ALOK TANDON – CO- CHIEF EXECUTIVE
OFFICER , CENTRAL , WEST AND EAST – PVR -INOX
LIMITED
MR. GAUTAM DUTTA – CO- CHIEF EXECUTIVE
OFFICER , NORTH AND SOUTH – PVR -INOX LIMITED
MR. KAMAL GIANCHANDANI – CHIEF OF BUSINESS
PLANNING & STRATEGY & CHIEF EXECUTIVE
OFFICER – PVR INOX LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited Q3 FY '24 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwai. Thank you, and over to you, sir.

Ankur Periwai: Yes. Thank you, Viren, and good evening, everyone. Welcome to PVR INOX Limited's Q3 and 9 Months Ending Financial Year '24 post Results Earnings Call.

From the management side, we have with us Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Nitin Sood, Group CFO; and other senior management personnel, including Mr. Alok Tandon, Co-CEO, Central, West and East; and Mr. Gautam Dutta, Co-CEO, North and South.

As usual, we'll start the call with a brief management discussion on the earnings performance, followed by an interactive Q&A session. Over to you, Mr. Bijli, for the initial remarks.

Ajay Bijli: Yes. Thanks very much. Good evening, everyone. I'd like to welcome you all to discuss the unaudited results for the quarter and the 9-month period ending December 31, 2023, I hope you've had the opportunity to review our presentation and results, which were uploaded earlier today on our company's website as well as the stock exchange website.

It's really heartening to see that in the calendar year 2023, India stands out as a sole major market worldwide to surpass the pre-pandemic peak in box office collections. The Indian box office witnessed a notable 12% increase, reaching INR12,226 crores in 2023 compared to INR10,948 crores in 2019.

Other significant markets like the U.S., China and South Korea continue to be lower than the respective pre-COVID levels. In 2023, the Hindi box office experienced a remarkable comeback with 4 highest grossing Hindi films of all time, each crossing the INR500 crores mark, besides a diverse range of mid-scale movies across different languages, showcased robust performance at the box office.

I'll be discussing the Q3, of course. But despite the results, which I'll be -- which you've all seen and I'll be talking about the highlights, I just want to take a moment and just say that, despite everything that you see, the company after the merger continues to focus on improvement, our revenues and cost matrices. We are very, very focused to make sure that ROCE is a prime focus of the company to improve it as we go forward despite all the other highlights, which I'll be talking about now because that is really something that after this merger, we are very, very focused to improve in the coming quarters.

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So coming to quarter 3. The first half of the quarter for very valid reasons, which is the World Cup which is being hosted in India and obviously, with India playing very well and also playing over the weekends impacted the movie releases and performance in October and November. And movies that did well in October were only Leo from Tamil, which grossed INR400-plus crores; and 12th Fail, which is a mid-budget movie from Hindi, grossed INR65 crores plus and Tiger 3 was the biggest hit for November, grossing INR350 crores at the box office. However, the moment the World Cup finished, it once again showed the appetite of the people to go out and watch movies on the big screen.

And of course, in an uninhibited way, the film industry also released a lot of movies in this month, which propelled December to be the highest grossing month of 2023 with the phenomenal success of Animal, which grossed

over INR650 crores and became the second highest grossing Hindi movie of all time. Other notable releases during the month included Salaar which grossed INR480 crores; Dunki, 270 crores; and Sam Bahadur with an impressive INR110 crores till date. We welcome 36.5 million guests across our cinemas in Q3 of FY '24. Coming to the financial results for the quarter. The following numbers are after adjusting for the impact of Ind AS 116 relating to lease accounting. Total revenue for the quarter was INR1,569 crores, EBITDA was INR226 crores and PAT was INR41 crores. The pro forma financials of PVR and INOX combined for the same period last year was the revenue of

INR1,474 crores, EBITDA INR220 crores and PAT of INR4 crores.

Now January has also started off on a decent note with Hanuman which is Telugu grossing INR190 crores Guntur Kaaram, which is Telugu grossing INR140 crores; and Fighter continuing its run. It's only been 5 days -- or 6 days rather INR140 crores till date.

As we look ahead, we are optimistic about the compelling content lineup across the languages.

In Hindi, we have Teri Baaton Main Aisa Uljha Jiya, which is Shahid Kapoor and Kriti Sanon; Article 370, starring Yami Gautam; Yodha of Sidharth Malhotra; Shaitaan starring Ajay Devgn and Madhavan; and The Crew starring Kareena Kapoor and Diljit Dosanjh in March.

From South we have some big films in February like Lal Salaam in Tamil starring Rajinikanth; Eagle in Telugu, starring Ravi Teja; and Operation Valentine in Telugu and Hindi starring Varun Tej. We also have a lineup of some exciting titles in the regional languages, including Kannada, Malayalam, Marathi and Punjabi.

From Hollywood, we have Argylle and Madame Web in February; Dune: Part Two, Kung Fu Panda and Arthur the King in March. On the growth front, PVR INOX opened 29 new screens in Q3 of FY '24 and exited similar number of underperforming screens. For the 9-month period, the company has opened 97 new screens and is on track to open 160 to 170 new screens in FY '24.

On screen closures, the company will exit 77 underperforming screens in FY '24. Our screen portfolio, including the 42 management screen stands at 1,712 screens across 360 cinemas and 113 cities in India and Sri Lanka.

Now I open the platform for any Q&A. Thank you once again.

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Moderator: Thank you very much. We have our first question from the line of [Abneesh Roy] from Nuvama. Please go ahead.

Abneesh Roy: My question is on the movie release calendar. So this year, we have seen some weeks there is too much of bunching up and some weeks there is a lull. And of course, this quarter, Q3, the World Cup impact, 41% impact was there in terms of number of movies.

So my question is, is this the right strategy of a 41% drop? Because in hindsight, if you see, was this the right strategy by the industry given now bunching up is happening or now exam season is there in Q4. So even if you release now, the appetite will be generally a bit lower.

And second is, when you see the World Cup kind of impact in hindsight, where do you see that? And third is, in terms of planning of the calendar, is there any improvement happening? Because we are seeing this again and again, lulls are happening when there is no movies, and then suddenly it's too many movies at the same time. What is the issue? Could this be made a bit more disciplined? Any thoughts on that?

Ajay Bijli: Yes, Abneesh, in fact, if the results of October, November were muted and we didn't know what to put our finger on, then I would be worried. But I think very clearly, as I mentioned in my opening remarks, this is an event that happens every 4 years. It has happened in India, which means that the timings overlapped, the peak timings of movie shows, plus all the Indian matches were India matches were on the weekend. And then fourth, obviously, it's

a case of

mixed emotions, India doing well and movies not getting released. But -- and India doing well.

All these 4 factors definitely made the film industry pull back or hold back their releases. I agree with you. It's not a right strategy, but some people -- they can get nervous about releasing upfront when such a large event with all those factors happens. But long ago, this happened during IPL as well. But then I think people should continue to release movies. They should not hold back.

But as I said, I mean, it was an event with -- of such a large scale that they held them back.

And that's why the results are -- in October and November, slightly muted. But I'm happy, I'm able to explain why the results are muted. It's not because of lack of people to -- the appetite of people to watch movies or anything else. It's literally, if the content flow is going to be slow, then obviously, the footfalls are also going to be slow.

But come December, suddenly it only goes to prove what a strong appetite people have that suddenly Animal, which didn't look such a big movie on paper, ended up doing over INR600 crores. Salaar, Dunki, Sam Bahadur, 12th Fail, all of them did well. So I think I'm very heartened by the fact that when movies do get released, they do very well.

Definitely, even the industry is aware of the fact that you should not come on the same date, and that is something we are also trying to work with them on. But sometimes, if the movies are of different genres, it's okay. But 2 very big movies coming, yes, it can cannibalize. But sometimes, it can work the other way around as well and the appetite gets vetted. If both movies are good, both end up doing well.

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So Oh My God 2 and Gadar 2 came on the same date and both did very well and nobody was expecting them to do so well. So anything can happen. But I think on any big date like 15th August, 26 January, Diwali, Eid, sometimes you'll end up finding clashes, but we're working on them to stagger them in a better manner.

Abneesh Roy: Sure. My second question is on the comparison you have done with the global box office. So one is, of course, you have given very advanced countries, very mature countries. I think the data would have been more useful if you would have put more -- in terms of the emerging countries, what is the pre-COVID versus current performance. But specific question is, we are seeing in all these mature countries a drop versus pre-COVID being 17% to 34%, which is very high.

So my second question is, would you be worried on this, that structurally in spite of now the Netflix kind of OTT is being fairly there for many years but still 34% kind of drops in UK, in China, in Japan, for example, or say, 17% drop in China for example. These are very worrying numbers. So I wanted to understand, is this the right data to compare given these are countries with much higher GDP, per capita versus India at much lower? So if you could compare with the more comparable countries, that is one.

And second would you be worried? And related question is even in Q3, if you see the December month was the all-time high month within that year. But isn't every year December month highest? And second related question is most of the revenue is coming from a few movies. How do you really make it more democratic? I know you have tried the INR99 pricing and those things also. But it seems that only the few big movies are getting all the revenues. And rest of the movies are having very tough time, that's not enough for the health of the industry. So if you could address all these aspects.

Ajay Bijli: Abneesh, that's a lot of questions. So let me just try to first calibrate and process what all you have asked. One is that why are we comparing because, these are the countries which have the highest movie consumption. So typically, whenever

you look at global comparisons, you

always compare with U.S., China, South Korea, South Korea because it's got its own robust industry as well and Japan.

So these are top performing countries when it comes to movies. So typically, you'd always make -- you don't look at GDP, you look at moviegoing patterns, you look at the overall box office collections and you look at the number of films that get released over there. So I think these are the 5 countries typically that you always compare yourself with.

So I think I would stick my neck out once again to say that it's very heartening to see that -- amongst all these countries, India is still performed better than pre-COVID level. That's one. Secondly, once again, there's a reason why these countries have not done very well, is because all these countries are highly dependent on Hollywood. And Hollywood has had its number of releases getting reduced. One is because the recent strike that happened of the actors and the screenwriters. And prior to that, because a lot of studios, created their own streaming channels.

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So when they created their own streaming channels, they got distracted between releasing some tentpole movies and also creating content for their own streaming platforms. All that is now in the past. And after the massive success of movies like Oppenheimer, Barbie, MI7, everybody has gone back to the drawing board and they're all making movies for the big screen because you just can't get these kind of results if you go straight to the streaming services.

Lastly, Netflix and OTT really is old news. I think it's a very tired question, I'm really sorry to say that. Because 8 weeks window is back now. People are not doing only one thing. They are going out also to shop, to eat, to watch movies and also they are staying at home and getting food on Zomato or booking, shopping online. So I think movies are similar. People can go out on the big screen and watch movies and people can sit at home and watch TV shows.

TV shows is the USP of OTT platforms, not movies. Movies is still a big screen phenomena. And after we got our windows back of 8 weeks, now people -- even mid-budget movies that people used to say are only meant for OTT, people are going out and seeing. How do you explain the collections of Fukrey, Dream Girl 2, of 12th Fail, of movie like Sam Bahadur? So many -- mid-budget movies have come and they've done well.

So I don't think the skew is only in big movies. Yes, the big movies are doing exceedingly well. We have never seen these kind of numbers, but that doesn't mean that the mid-budget movies are not doing well. It's just that the decibel level of the big movies is so high that we forget the small movies which have done well also. And December, we've not said that December has never been bad before. We are saying that this year, December has been the best

month. That's all we've said.

Abneesh Roy: That was useful. My question was on metrics in terms of the other countries, not in India, that is well understood. But on one question, which was still unanswered was on the loyalty program. If you could say what are the learnings? How do you improve on that? What was the initial data, et cetera? Because it feels very good and novel concept. But definitely, if we see, still it is the bigger movies which are driving lot of the numbers. So how do you ensure that on every week basis, the footfalls are much strong rather than one big movie every month or 2 big movies every month? How do we democratize that in terms of loyalty?

Ajay Bijli: Yes. Gautam, would you like to talk about the loyalty program or somebody else...

Gautam Dutta: Yes. So basically, we had a traditional loyalty program where we used to give points against your visits to PVR. We saw that, that wasn't really changing the behaviour in the direction that we wanted

d. We run that program for over 3 years and we realized that consumers were still flowing to the cinema in the pattern they wanted. And that's the reason we have now changed the complexion of our loyalty program.

Our first bit that happened was on the Passport, which is the new form loyalty in a manner where we are -- where we want to drive visitation of the consumer to a cinema many more times in a month than you would normally come. And that would mean that he would

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definitely come and watch the big film, but he would also then be propelled to watch the medium and the small scale films.

And any friction point, basis on the pricing of a ticket is completely removed. So we did that experiment, that was very, very positive. We had great learnings around the Passport program that we had launched. You will be happy to know that within about 3 weeks' time, we're coming up with the second version of the Passport program. This time, it will be launched as a pan-India program. And hopefully, it will be a much sharper program than before. And to your point, we shall propel the consumer to watch or visit the cinema at least a couple of times in a month.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just have 2 questions. The first one was on the occupancy. So as you rightly mentioned, this last one year has been fantastic. And some of the best year in terms of collections in India. In that context, in the first 9 months you've been able to do close to 26.5% kind of occupancy. I just wanted to get your sense about, with the customer, with the audience now stabilizing in terms of at-home versus out-of-home. Do you think this is now closer to the new normal that one would look at for the combined entity? Just your thoughts on that in terms of going forward.

Nitin Sood: This is Nitin. I'll take that question. First 9 months of this year has been 26.5% average occupancy. And you're right, while the overall box office has been up for the year, I think admissions continue to lag behind. I think the primary reason for this has been the volatility in the content supply that we've seen. And you had months where there is supplies and where the -- supply of content has been consistent, where we've seen strong admissions. And there have been months where there has been lull in supply of content.

I think the content situation is not fully resolved itself the way I see it. We are continuing to see gaps in terms of releases and that's one of the primary reasons you have huge amount of peaks and valleys in the occupancies. The best months are a bit bigger than some of the best months we've had pre-COVID and the downs are a bit lower. My sense is this volatility is likely to continue in the near term till the time the content situation stabilizes.

And maybe Kamal, you can add a little bit of color on what's happening on the content side. But definitely, we see occupancy is getting better from here. The occupancy should land up somewhere between where we are and where we were, pre-COVID. But definitely, the occupancies are likely to improve over current levels is what -- where we think things are.

Kamal Gianchandani: This is Kamal. I think Nitin has covered pretty much all the important points. I would only add that COVID had lot of impact on the taste and preferences of the customers. There were certain type of films which were acceptable and which resonated with a large number of people pre-COVID. And what producers start realizing along with us as exhibitors that those films were not resonating as well with the customers. And of course, producers have taken -- because as you know, there is a lag in producing a film. It takes about 15 to 24 months, from the point you greenlight a film to the point you bring it to theatres.

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So what we are going through is a period where producers are calibrating their content to the changing taste and preferences of the customers. Also, we've had in the backdrop Hollywood, which has been an important cause in terms of the content and the admissions that we draw. Hollywood has also had its own share of problems for studios, as Mr. Bijli was pointing out. They had different priorities. They were investing a lot of time, effort, money on their own streaming platforms. Thereafter, we got into these interpersonal disputes with the actors and the writers and that took some 6, 7 months to fall in place, and that, of course, delayed a lot of films. That also has had some impact.

To Nitin's point, I think we feel there is a lot of headroom to grow as we move forward in terms of both occupancies in -- also in terms of contribution that we're getting from per customer. So the ticket price, although we've had a healthy jump, but we believe going forward also there is scope to improve on the ticket price along with the concession spend. I would also add another point that when you look at the data of the overseas markets, mature markets like U.S., U.K., South Korea and many other markets, they have a very, very massive penetration of streaming platforms. In terms of behaviour adoption of streaming platforms, they are leaps and bounds ahead of India.

Now with that backdrop, if these mature markets can -- and also with the problems they've had with the Hollywood content, if they can bounce back to 80% of pre-COVID level, we draw a lot of comfort from that fact from this data point because this is pointing to a lot of resilience in the exhibition space. It clearly shows that exhibition is part of a social fabric.

It's an important habit that people have developed over a long period of time, and it's a habit they want to -- they enjoy it, they want to continue with it. So in fact, we draw a lot of comfort from the data point and the recovery that we are seeing in the Western markets. And within India, as producers are calibrating the kind of films they want to put out, as Hollywood films are falling in place, we see headroom to grow occupancies and also the contribution per customer.

Harit Kapoor: I just had one more question. This is probably the year where we've done maximum kind of gross closures in probably our recent history. I just wanted to get your sense that after this? number is done for this year, do you think this is largely done with the adjustments we have to make to our screen pipeline? And from here on gross openings and net openings will be much closer?

Nitin Sood: You're right. I just want to say that this is one-off exercise that we've done this year immediately post the merger to rationalize all our unprofitable screens, which we believe has come to the end of the life cycle. And this is obviously a onetime exercise. I think on an annual basis, unlike any other retail company, there will be some properties which will come to the end of their lease tenure and 1% to 2% of the portfolio, like any retail country will go for a churn.

But I don't think the 77 screen closures that we've done this year is going to repeat itself. It's a one-time event. And new screen opening numbers next year will be similar range, 150 to 160

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new screens opening next year. And the net screen addition number will be closer to that number. There'll be a regular churn in portfolio for sure, but it will be a very small number.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is a little bit clarification on the ad revenue side. You have seen on a per screen basis a sequential improvement despite, let's say, footfall taking a hit. Is it -- how much of this improvement is we can attribute to the overall spending in

crease by the advertisers due

to festival season? And how much is -- can we attribute to our turnaround process?

Gautam Dutta: So we had indicated in last couple of quarters as well that advertising is going to be coming back in a few quarters, and this is exactly how it's happening. Of course, you're right. This festive season does propel brands to do more advertising and we've benefited. We've also done some long-term deals during this period. Having said that, advertising still, I would say, is in the path of recovery and in a couple of more quarters when we will be getting back to the 2019, '20 numbers.

Arun Prasath: Right. And when you say long-term deals you have done with advertisers, is it on a price basis or a volume contract? Can you give a little bit more details on this?

Gautam Dutta: It's just on track of how much time they will consume and what media they will consume on our screen on a perennial basis. So there is a certain burn. Otherwise, what happens is that every month, you have to go farming for business. If you have slightly long-term deals which stretch upon 3 months, 4 months, 5 months, then you could sort of begin the month with a certain surety of income, and that really benefits our business.

Arun Prasath: And today, what percentage of our ad revenue comes from these kind of deals?

Gautam Dutta: It would be in the region of about 30 % to 35 -odd percent ..

Arun Prasath: Right. So rest of the slot, we need to -- that will still depend upon the content, how strong that is in...

Gautam Dutta: It is absolutely content based and the kind of hype the movie creates in the market.

Arun Prasath: Right, right. And then second thing is that, obviously, sequentially, our mix change is much -- is very visible. When it come -- when you see the box office collections of Hollywood, Bollywood and regional. But it is not reflecting in our ATP numbers. Any -- can you then give more color on this, what 's happening to the ATP?

Nitin Sood: So our average ticket pricing is actually very strong. It was up. In this quarter, our average ticket pricing is up 14% and our average food and beverage spending is up 8%. So I'm not clear on the question.

Gautam Dutta : It totally mirrors what's happening today. The big film end up playing on much higher ticket price, all special formats, IMAX, PXL, 4DX films also attract much higher ticket pricing. So -- and this is exactly how the ATP gets reflected in our results.

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Arun Prasath: Okay. So is it -- the point of asking is that we usually have much better ATP when a Bollywood -- but despite -- of course, couple of films did very well during -- from Bollywood side, but Hollywood hasn't really performed as compared to say, previous quarter. So ATP still holding up. So that's what I'm trying to understand.

Gautam Dutta : Yes. So -- because you're comparing a Hollywood big film versus a Bollywood big film, both actually stack up exactly the same way. So there could be months where we will continue to get big Hollywood titles, and they too shall attract higher and similar ATPs. And a strong Bollywood film, in fact. What has happened now is some of the strong regional films like Pushpa 2 which is in the pipeline, or a Leo, whatever, would also attract the similar high ATP. So which is very encouraging for the market that big star rer big event films across the board, whether it's regional, whether it's Bollywood or whether it's Hollywood, continue to operate at high ATPs.

Arun Prasath: And does it mean this is our steady state ATP? Or do we still have some growth levers that we can expect to play out in the next 12 to 18 months?

Gautam Dutta : Yes. Of course, ATP is always in line with inflation. And every year, if you look at the past so many years, ATP always goes up between 4% to 6%, and that trajectory will be maintained.

Arun Prasath: Right,

right. And you spoke about the occupancy being far lower than, say, what we had at a pre-COVID levels. Does it mean that the repricing of the contracts will also happen? Does it give any room for lower, fixed opex on a per screen basis?

Nitin Sood: Which contracts are you referring to, lease contracts?

Arun Prasath: With the developers. With the mall developers and...

Nitin Sood: Yes, of course. I think based on how the cinema is performing, lease contract will be a function of, as and when they are available for reset, they will get price based on what the cinema can pay to achieve the optimum ROCE and profitability for that unit.

Arun Prasath: All right. So the question is how many such contract or the properties are coming up for renewal, where you are expecting that because of the lower occupancy that we are seeing, we will be able to -- what percentage of our portfolio is falling under this category?

Nitin Sood: We can't share that data. We can't share that information.

Arun Prasath: Right, right. Okay. My last question is on the screens that you have added so far. Usually, it takes some time to arrive at the steady state, say, 2 quarters to 4 quarters. Is it something in line with the pre -COVID trends, what we have added in the recent quarters?

Nitin Sood: Sorry, I have not understood your question.

Arun Prasath: My question is, usually, when you are putting new screen, it takes some time to reach steady - state occupancy and the profitability for that screen to achieve. The time period is same now as compared to the pre -COVID levels?

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Nitin Sood: Yes. There has been no change. In fact, lot of our screens have hit the road running in terms of what we've opened. So there is no fundamental change in what we were seeing in screen performance pre -COVID versus now in terms of new property openings.

Arun Prasath: Right. So which means -- what I'm trying to understand is that we have closed around 100, 150 screens in the last 12 to 18 months and which is similarly replaced by the new screens, which should have ideally led to a much better margins despite -- even though the content performance is more or less same. But we have not seen this in the numbers. So what we are missing?

Nitin Sood: Because overall footfalls are much lower as compared to where they were pre -COVID levels. And if you analyse the numbers, every single parameter is up and all costs are lower when you compare. But I think it's the sheer operating leverage of the business. Because the footfalls are lower, average occupancies are low, that's the reason that's not reflecting in the operating margins.

Alok Tandon : But otherwise, Arun, just to add what Mr. Bijli said earlier and what Nitin is saying now, anything else has remained the same. I'm just continuing with what he said is that occupancy is low because of what Mr. Bijli said was because of the World Cup cricket. So October, November were low, yes, December was outstandingly well. But otherwise, the other metrics are the same. In fact, you'll see a healthy growth in ATP, a healthy growth in SPH. So all those things are valid. So all the new screens we have added, the 97 screens, I would say whether the -- I would say, the payback or the returns we get is identical as per pre -COVID.

Arun Prasath: It's not just Q3. If I'm looking at the 9 -month numbers, we have roughly around 120 million footfalls during this first 9 months versus around 112 million in the 9 months of FY '23. But a lot more screens are new and it is new and it has replaced the old underperforming screens. So it is not explaining that fact that we have put a new brand new screens, which have turned around faster or at the same rate as the pre -COVID levels but still not seeing footfalls. That is what is we're trying to understand, not just Q3 performance.

Nitin Sood: Yes. As I mentioned earl

ier, we can take this offline as well. But our basic difference is because the average occupancy levels are much lower and footfall per screen on same stores are much lower than they were pre -COVID level. That delta in operating leverage is reflecting in the operating margin.

Moderator: Thank you. The next question is from the line of Nitin Sharma from MC Pro Research. Please go ahead.

Nitin Sharma : Just one question. So is there any kind of a debt reduction target that you for FY '25?

Nitin Sood: Yes. As we've guided, all the free operating cash flow that we will achieve from the business after funding our capex needs will all go for debt reduction, depending upon what the operating cash flows for the year will play out to be. The surplus cash flows will be used for debt reduction, which we've already done, and this is demonstrated in the first 9 months of the year. So that's the plan.

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Nitin Sharma : Okay. And average cost of debt is around 9%. Is that correct?

Nitin Sood: That's correct. That's correct.

Moderator: Thank you. The next question is from the line of Ganesh Nagarsekar from Bharat Bet Research. Please go ahead. Hello Mr. Pathanjali Srinivasan, sir.

Pathanjali Srinivasan : Yes. So firstly, I wanted to understand a bit on the Passport program and the likely pricing because we've been talking about this for quite some time. Any tentative timeline on when this is likely to come into -- like the -- when are you trying to launch it by?

Nitin Sood: Yes. As Gautam has mentioned, I think the [inaudible] sometime this month with the revised features, and it will be a pan -India program that we were planning to launch. We don't want to divulge too much about what are the changes that we are making based on the pilot. I think in next few weeks, you will get to hear about them.

Gautam Dutta: And this would go through its own churn and alteration. This is not the final product because through launching this product, we also are learning a lot about how consumers are accepting and using this product. So we will keep -- as we move forward, we will keep sharpening this product.

Pathanjali Srinivasan : Sure. And just couple of more questions from me. So one is on the occupancy level. So you have mentioned that October and November was very weak and December was better. So if you could give me from December, what was your exit occupancy level just to figure out what kind of traction you were seeing?

Nitin Sood: Yes. We don't disclose month -by-month occupancy. But just to give you a perspective, average occupancy during the month of December was 37% as compared to the average of quarter 4 of 25 -- quarter 3 of 25%. So which means there was a huge variation in the occupancies in the first couple of months and the month of December.

Pathanjali Srinivasan : Sure, sir. And just one last question, if I could just ask. So region mix, I think currently, we have about 32% of our capacity in South and around 550 screens. So incrementally, when we're adding about 160, 170 screens in the next year or a year after that, what would be the additional mix coming in the South? And can we say that from an occupancy, the occupancy levels in south are much higher than what it would be rest of -- ex of South?

Nitin Sood: You're right. The occupancy levels in South are generally higher. Again, it varies market by market, but they are generally higher than rest of the country. And I think more than 40% of our new screen additions is in South India. The ratio will change marginally depending upon

what ends up opening first. But between 40% to 45% of new screen additions will be in South India.

Moderator: Thank you. The next question is from the line of Ganesh Nagarsekar from Bharat Bet Research. Please go ahead.

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Ganesh Nagarsekar : So my

question was the first part of my question is partly answered in terms of our growth in South India. The second part of my question is regarding our growth in new screens outside of Metro. So broadly, how is the management thinking about this? And in terms of what are the key challenges that you see in terms of growing outside of metro other than, say, malls or good real estate there. So if you could just shed some light on that?

Nitin Sood: Yes. See, what we are seeing is that the existing cities are continuing to expand. Metro cities are continuing to add premium locations. Tier 1 market share, tier 2 markets, all are expanding, the zones are expanding. So even in the current year, 50% of our screen additions is focused in metros, 20% is focused on Tier 1 cities, which are continued to add more capacity in -- as these cities are expanding. New age shopping malls are opening up.

Just to give you an example, we are opening 3 large -scale shopping malls with Phoenix Market city this quarter alone. We're opening a 14 -screen complex in Bangalore, at Phoenix Market city, Bangalore. We're opening a 14 -screen complex in Pune with Phoenix. And then we are opening a 9 -screen complex in Ahmedabad, Palladium Mall, which has recently opened. So what we are seeing is big cities continue to expand.

We are also adding about 30% of our screens in Tier 2, Tier 3 markets. But we are waiting for the right location and the right opportunity. We've moved to cities like Gwalior, we've just opened in Ajmer, Cuddalore -- so Bhubaneswar. We are opening in markets like Machilipatnam. So a lot of -- a mix of both is happening, but we want to open in the right locations, which will sustain over a period of time. And hence, we are very conscious on where we build and what we build.

Ganesh Nagarsekar : Understood. And sir, in terms of Tier 2, Tier 3 cinemas that are there, in terms of the pricing and occupancy, could you shed some light on the trends there versus the screens in metros?

Nitin Sood: We see no big noticeable differences in that, other than the fact that, obviously, the pricing power in some of the smaller markets is much lower. And so is the CapEx spending, but nothing changes as far as a return on employed metrics and return thresholds.

Ganesh Nagarsekar : Understood. And the occupancy will be broadly similar, right?

Nitin Sood: Yes. Occupancies are almost similar with what we are doing in other markets.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Liladher.

Jinesh Joshi: Yes. I have a question on our screen opening guidance. So we have opened about 97. And the plan is to open about 160 to 170 for the full year. So the run rate for 4Q appears to be a bit high at about 60 to 70 screens. So can you share, I mean, have we got the possession of the screens? And how many of them are currently under fitout?

Nitin Sood: Sorry.

Alok Tandon : You asked Jinesh about how many are on the fitout? Well, all 72 screens are under fitout and they're absolutely ready. And let me tell you that out of the 72, 4 screens in Ajmer we've

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already opened. So in the presentation, where you see the entire list, every cinema which you have mentioned is under fitout and is awaiting for licenses. So that's how ready we are. So we are not aggressive at all. Whatever we have committed we'll be opening. The projects are nearly over, and we are waiting for the licenses to come so that we can open our cinemas.

Jinesh Joshi: Sure, sir. One bookkeeping question from my side. So if I look at our income, it appears to be a bit high at about INR58 crores for the quarter. So is there an element of one-off here? And also, if I recall, in our last presentation, we had shared certain numbers on EBITDA synergy that resulted from the merger. And that figure, if I remember correctly, was anywhere between INR1

24 crores to INR143 crores in 1H. Would you like to call out any specific numbers for 3Q?

Nitin Sood: No. First of all, on merger synergies, we'll share an update now at the end of the year. We shared something in a 6 -month level. We'll share an update at the end of the year, on the -- what has played out during the year. On your first question about other income, the other income, like we mentioned in our notes includes, we've shut down about 62 screens in the first 9 months of this year.

There is other income representing about -- of about INR35 crores, which is represented in the financials -- reported financials, not in the Ind AS adjusted financials, which is the write-back of lease liabilities on account of shutdown of those screens, which I would say is relation to the exit properties and there's a one-off. Obviously, in the Ind AS adjusted financials, that number is not there, and that is adjusted for this one-off item.

Jinesh Joshi: Sure, sir. One last question from my side on the ad revenue front. I think in the earlier remarks, you mentioned that we have got some long-term contracts and currently that number is about 30% to 35%. So with this contract coming back, this INR130 crores to INR140 crores kind of a run rate, which we have seen in this quarter, is this something which will be sustainable now, given the fact that we have a committed inventory in the form of long-term contracts? Or how should we look at it from a yearly perspective, so to say?

Gautam Dutta: So advertising, as we've always said, mirrors what happens at the box office and the big films that get released. It also sort of has to keep in mind what is happening in the market in those months and weeks. So specifically in quarter 3 because this Diwali, New Year, new launches of cars, telecom, new products, of course, the advertising goes up. So it may not be fair to sort of level advertising out over 12 months or four quarters. There will be certain quarters where the advertising needs to peak and there will be quarters when it will fall, simply because, as I said, it sort of mirrors the sentiment of the overall market, retail market and stuff like that. So we technically never give guidance over a quarter-on-quarter number. But to -- but if you look at the trajectory, it is positive. We are coming back. And every quarter is going up and it's a healthy increase. It's not a marginal increase, but a healthy increase, which clearly shows that overall clients and media planners are sort of coming back. It has taken time because it is still a peripheral media, but I think the teams have done a great work in being able to get the money back into the cinemas. And hopefully, this trajectory will keep going.

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Jinesh Joshi: Sure, sir, one follow-up. Actually, the reason I thought of asking this is because if I look at 1Q, we were at INR89 crores and we were at about INR140 crores in 3Q and obviously, the content did well. But the pipeline for 4Q appears to be slightly weaker. So the context was that, if we have long-term contracts in place, then perhaps, the fall may not be as steep. And because the flow-through to EBITDA from advertising income is quite high.

So the margin knockoff will also be not that high. So that was the context. And was just trying to read through whether this INR130 crores, INR140 crores number, something which one should build in, or you might see some bit of high volatility in 4Q and 1Q where the pipeline is slightly weaker. So that was the broad context.

Gautam Dutta: Yes. So as I've just said, it will mirror the content, long term only is about 30% to 35%. Even if they continue to advertise, they cannot change the trajectory for the quarter. So technically, it is the balance, 65%, 70% that comes into play, which completely mirrors the content flow and the hype flow of the film. So technically

, you will need to keep the volatility of content

and the seasonality in mind whenever you are trying to project advertising revenues.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial Limited.

Abhishek Kumar: Just one question. I was just curious about the FHC. This seems to have gone up, both on a quarterly basis and also for the 9-month basis. I just wanted to understand, is it just because most of the box office collection is happening in the first couple of weeks? Or is it anything structural in terms of the price band, etcetera, that we set with the distributors?

Nitin Sood: Kamal, will you take this?

Kamal Gianchandani: Sure. So 2 reasons. One is that in Q3 specifically, as you know, for blockbusters, which cross a certain threshold, we offer a bonus percentage to our producer partners. In Q3, we had 4 such films versus last year same quarter, we had only 1 film. And that was the main variable which caused an increase in the film hire percentage. But please make no mistake, there has been absolutely no change in the arrangement with the producers. The percentage sharing arrangement, which has been there last year is the one which is continuing this year.

The other variable is also the fact that on 3D revenue, as you know, we charge for 3D films, for the 3D glasses, we charge service charge, separately for the glasses. And that amount is shared with the producers. But the percentage sharing of 3D revenue is much lower than the percentage sharing of the ticket revenue.

In last year, the 3D revenue was very high, almost 10x of the 3D revenue that we've had in the Q3 this year. That's another reason why there is an uptick in the film hire percentage. We are -- we expect this to even out. I mean, the whole year will remain slightly higher than last year. But one should see this as an aberration. Going forward, we believe it will remain stable and probably go back to the film hire percentage that we had last year.

Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Private Limited.

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Vivekanand Subbaraman: Could you share some qualitative updates on the progress made towards achieving synergies? I'm not looking for any numbers, specifically, but an update on the qualitative aspects that you have discussed in the past. That's question one. Secondly, what about PVR Pictures? What's the pipeline there and the capital investment envisage for FY '25?

Kamal Gianchandani: Okay. So Nitin, can I take this? Or are you taking -- no -- Nitin, go ahead.

Gautam Dutta : Okay. Kamal, are you sort of -- would you want to answer?

Kamal Gianchandani: Okay. So in terms of the first question, synergies, I think we've made rapid progress in terms of technological synergies. Both INOX and PVR were operating on different technological systems, different technologies, software and architecture, everything was different. We've integrated. We made great progress.

And hopefully by the end of March in '24, we would be ubiquitous, fully integrated, seamless system which would be operating. And this would help us in terms of eliminating a lot of duplication and processes. And therefore, in long run you would see efficiencies emanating from technological integration. The jump in average ticket price is also largely a result of synergies that we've been able to exploit with both chains coming together. I would request Gautam and Alok to contribute on the cost savings that we've had, and then I can come back to answer the PVR Picture related question. Gautam and Alok?

Gautam Dutta: The Board, whether it's been HR, rationalization both in RO and corporate function alignment, all process and alignments across, PVR and INOX cinemas, we've also taken into account all the best practices of both the brand and seen how we could move together. A lot of work has

happened on the branding, per se. On SMB side, you've already seen the kind of growth we've posted over the last 2 quarters.

So like a simple thing, like non-veg rollout in INOX properties, standardization of F&B menus, promotion to actually encourage footfalls and consumption in cinemas, which has run - which is INR99 promotion Monday to Thursday, this popcorn and Pepsi refill plan for weekends, brand campaigns across for both the brands coming together and taking the higher ground to get consumers back to cinema.

I think from design to uniform to processing systems, branding, people rationalization, alignment in terms of leadership, a lot of work has happened. And hopefully, starting next year, this would all now start to yield great results for the company.

Kamal Gianchandani: Alok, do you want to add something?

Alok Tandon: No, Just Gautam, I think, you touched each and every aspect. Just to put it in a nutshell that every line item of the P&L is being looked at with a very fine-tooth comb. A lot of work is being done on heat, light and power. So energy conservation is one big, I would say, area where we are looking at and ensuring that we conserve energy. We're using economies of scale for various AMC's and R&M products. So in every line item, just to say what Gautam has mentioned, that we are looking at, and we are ensuring that synergy benefits are there for the company.

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Kamal Gianchandani: So coming to the PVR Pictures part of your question, we've had a muted first 9 months. But we are expecting a strong Q4, and we are likely to finish with -- on a high note. As far as this financial year is concerned, we've allocated more capital for this business, and you can be rest assured that next year, you would not just see a jump in the top line, but you would also see a healthy jump.

As far as the bottom line goes, I would not get into specific numbers or divulge any sensitive information on our strategies, but we are working very hard in ensuring that PVR Pictures can be scaled up -- and so that we can derive the synergies between exhibition now with this combination of INOX and PVR, the synergies between exhibition and distribution, they can be exploited to the hilt. We are working very hard in that direction. You would see a lot of results going forward next year.

Moderator: Thank you. Due to time constraints, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Nitin Sood : I'd just like to thank everyone for taking out time for the call. And if we've not been able to answer any of your questions, then I would request you to please write to Gaurav or me, and we shall be happy to talk to you one on one basis. Thank you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

20th May, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
Bandra Kurla Complex, PJ Towers, Dalal Street,
Bandra (East), Mumbai - 400 051 Fort, Mumbai - 400 001
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Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation to our letter dated 8th May, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, We wish to inform you that the officials of the Company have participated in the conference call for analysts and investors held on Tuesday, May 14, 2024 for post announcement of Financial Results for the 4th Quarter and year ended 31st March, 2024.

Please find enclosed the copy of transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Mukesh Kumar
SVP - Company Secretary
& Compliance Officer

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"PVR -INOX Limited
Q4 FY '24 Results Conference Call "
May 14, 2024

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR -
INOX LIMITED
MR. SANJEEV KUMAR BIJLI – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. NITIN SOOD – GROUP CHIEF FINANCIAL OFFICER
– PVR -INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER ,
GROWTH & INVESTMENT – PVR -INOX LIMITED

MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER ,
REVENUE & OPERATIONS – PVR -INOX LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

PVR INOX Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited's Q4 FY'24 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwala from Axis Capital. Thank you, and over to you, Mr. Ankur.

Ankur Periwala: Thank you, Manisha. Good evening, friends, and welcome to PVR INOX Limited's Quarter 4 and Full Year FY'24 Conference Call. From the management side, we have with us Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Nitin Sood, Group CFO; and other senior management personnel.

As usual, the call will start with a brief management discussion on the earnings performance followed by an interactive Q&A session. Over to you, Mr. Bijli, for the initial comments.

Ajay Bijli: Yes. Thank you. Just wanted to correct, Mr. Sanjeev Kumar Bijli, my brother, not Kapoor.

Ankur Periwala: Okay.

Ajay Bijli: Anyway, good afternoon. Thank you, and I'd like to welcome you all to discuss the Audited Results for the Quarter and the 12-Month period ending March 31, 2024. I hope you've had the opportunity to review our presentation and results, which were uploaded earlier today on our company's website as well as the stock exchange website.

The exhibition industry witnessed a significant year. It was slightly volatile while we saw the biggest hits in the Hindi cinema last year and witnessed the best-ever quarter played out in Q2, the year ended on a softer note with the fourth quarter being the weakest due to a lack of appeal for the content released in Hindi, other languages and limited Hollywood releases. The ongoing general election has also impacted the flow of new releases in the current quarter, which is expected to stabilize by mid-June. We welcomed 32.6 million guests across our cinemas in Q4 FY'24, 151 million customers in FY'24.

Coming to the financial results for the quarter. The following numbers are after adjusting for the impact of Ind AS 116 relating to lease accounting. Total revenue for the quarter was INR1,290 crores. EBITDA was INR35 crores and PAT loss was INR90 crores as compared to revenue of INR1,165 crores, EBITDA of INR27 crores and PAT loss of INR286 crores in the same period last year.

In the upcoming months, we have several exciting Hindi movie releases to look forward to, including Mr. & Mrs. Mahi, starring Jhanvi Kapoor and Rajkummar Rao in May; Emergency, starring Kangana Ranaut; Chandu Champion with Kartik Aaryan; and Kalki 2898 AD, starring Prabhas, Deepika Padukone, and Amitabh Bachchan in June; Sarfira, starring Akshay Kumar; and Vedaa, starring John Abraham in July. Stree 2 with Rajkumar Rao and Shraddha. Pushpa

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2, which is a large multilingual release starting Allu Arjun, is expected to release in August. And it can potentially be the biggest release of the year.

From Hollywood, we have IF, which is imaginary friends; The Garfield Movie, Bad Boys: Ride or Die; Inside Out; Exorcism; Quiet Place: Day One; Despicable Me 4; Deadpool & Wolverine in July, Borderlands, Alien: Romulus and Kraven the Hunter in August.

On the merger front, we are happy to update that the integration process has been moving along well on all fronts. We made significant process on manpower, technology and operating process integration, which has produced -- and is expected to produce significant operational savings.

During the year, we achieved a total EBITDA level synergy of INR185

crores to INR208

crores, almost INR127 crores to INR137 crores of the above synergies were achieved in the Box Office and F&B revenues and balance INR62 crores to INR71 crores of synergies were achieved on the cost side.

We expect some of the revenues and cost level synergies to play out further in FY'25. While a major part of the synergies of about INR225 crores that we had guided for at the completion of the merger has been achieved in FY'24, a heightened impact of these synergies would be visible as occupancies improve.

Despite a volatile year, the business generated free cash flow of about INR116 crores in FY'24. Our key strategic priorities going forward will be to enhance our return on capital employed and drive free cash flow generation. As part of this strategy, we will focus on operational excellence to improve performance of our existing circuit. We will be taking various initiatives to drive admissions and improve visitation frequency through programs like the movie Passport, Cinema Lovers ' Day, screening of alternative content and running various F&B promotions.

Secondly, we will close underperforming cinemas, which have reached the end of their life cycle. In FY'24, we have exited 85 underperforming screens and we plan to shut down about 70 underperforming screens in FY'25. We will prioritize initiatives aimed at reducing rental expenses, overhead costs and streamlining our organizational structure for greater efficiency. We will be transitioning to a capital-light growth model for the new screen additions where in our endeavour is to reduce our capex intensity by partnering with developers for joint investments in new screen capex and actively exploring alternate models like FOCO, which is franchise-owned company-operated cinema. We will be very selective in adding new cinemas and plan to open about 120 new screens in FY'25, prioritizing expansion efforts in South India. We're also evaluating monetization of owned real estate assets inherited from the INOX merger and plan to use the proceeds to reduce debt. Our scale, market leadership and brand equity will be the key enablers to drive our growth strategy going forward. On the growth front, the company has opened 130 new screens and exited 85 screens resulting in a net addition of 45 screens during the year.

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For FY'25, the company expects to open 120 new screens and exit 70 screens resulting in a net addition of 50 screens. Our screen portfolio, including the 42 management screens stands at 1,748 screens across 360 cinema in 112 cities in India and Sri Lanka.

I'm delighted to announce that PVR INOX has formed a strategic partnership with Devyani International Limited, one of the largest quick service restaurants operated in India, to jointly establish a company for the purpose of development and operational food courts within shopping malls in India.

Movie watching and fantastic content experience is a partnership worth celebrating, and we are happy to partner with a brand that shares our passion, and we hope to accentuate our market presence and potential for significant growth.

I'd like to now open the platform for any Q&A. Thanks once again for joining.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: My first question is on the company you have formed with Devyani. So I wanted to understand what are the reasons for doing this now? And what will be the benefit for you? And in terms of investments, say, from a three-year perspective, what kind of investments will go into this?

Will this be more of cross-promotion because in many developed markets, like UK, etcetera, there is good cross-promotion of food and cinema?

Is that the main reason because

otherwise you and Devyani both are fairly well-established

players and who understand both malls and foods quite well? So what are the real benefits for you? And what will be the investment and in what timeframe?

Ajay Bijli: Thanks, Abneesh. Basically, most of our revenues, all of our revenues on F&B front are post-ticketed. So only when a person buys a ticket, he will end up buying F&B. And we were very keen to pivot towards some pre-ticketing -- pre-ticketed F&B business as well. And Devyani is very well established. They've got their own very well established QSR brands like KFC, Pizza Hut, Costa Coffee. We've had a relationship with them for a long time because they are suppliers to Pepsi suppliers for the longest time through most of our circuit.

And we felt this partnership is a win-win one because: a, we get to have some F&B revenues, which are pre-ticketed. And we are able to get the opportunity to come up with some branded food courts. So most of the mall operators currently don't have branded food courts and we believe that we can add value there and also get more -- 150 million people come to our cinemas and get more share of the wallet of the customers who are already coming to us. And who better than Devyani to partner with since they already have their own brand?

So I think they're looking at us from being able to negotiate very good rental deals and lease deals and acquiring good locations because that's what we bring to the table. We take a very large offtake from the developers of real estate in terms of cinema space. So for us, we can get a better deal and better locations on commercial terms with the real estate developers and make

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these food courts adjacent to our cinemas and pivot only from being an exhibition company to

having an F&B play as well.

Abneesh Roy: Sir, two, three follow-ups there. One is in terms of consumer behaviour, I wanted to understand how exactly this will work because the consumer, again, he sees the movie and then he comes out and then he shops and then he decides to go for the food court. So how exactly you're able to tap or change this? Second, you yourself have a pre-ticket booking, which is possible. So that -- any way you have, so how does this add or change that?

Second is, is there any capex also involved from your side because branded food court, obviously, there will be some level of capex? And will this be more towards new properties or existing also? Is there any possibility or change, because that will be very difficult, in my view, because most existing malls already the brand -- food court will be in a separate location or in a separate floor? So how does it work for existing property?

Ajay Bijli: No. The opportunities are there in the existing food courts as well and a lot of malls, food courts are not managed that well. So we, of course, looked at all those opportunities only then decided to venture into this. So that is one. And we don't have any pre-ticketed F&B business just now, very little through 4700 BC and very little through some home delivery happens. But most of our -- bulk of our business is post ticketed only. So this will be -- people don't have to buy a ticket and then they go to the food courts.

And consumer behaviour is already in place. People come to the shopping centres, they shop, they eat, they watch movies. So I think we are not planning to change the consumer behaviour. Yes, definitely, we want to build these food courts and very good shopping centres and leverage the marketing opportunities, cross promotions between food being consumed at the food courts, maybe trailoring, lots of cross-promotion between the cinema.

And because these are the 2 anchors in any mall that generate the maximum footfall. So I think having a play in this with Devyani is something we believe is a good

strategic pivot for the

company. And the investments in (inaudible), I think we've signed about five-odd projects. So, Nitin, the first year, if you can throw some light on the kind of investment that is being entailed?

Nitin Sood: Yes. Abneesh, we are still in the process of developing a long-term business plan. So we will talk about investments in due course, but I think the plan is to open about 5 to 6 food courts early this year. And both the teams are currently involved in putting together a long-term business plan. So we'll be sharing more in due course.

Abneesh Roy: Understood. My second and last question will be on the main box office business. If I see last year, of course, has been quite volatile, as you rightly said. So we had a very strong Q2, which means base for Q2 this year will be high base and Q1, already half of the quarter is gone, and election season is there, so which means Q1 also will be weak. And last year also, except Q2, most of the quarters were challenging, I'll say.

Now when I see QSR also, that's also a form of consumption. They have seen six quarters of slowdown. And currently, the earliest visibility of a turnaround seems Q3, and that's more of a

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hope currently. So in our view, for box office, next three quarters, so Q1 has already gone, what exactly is needed to change in earlier quarter calendarization or scheduling of movies was an issue which I think will automatically get course corrected because if it is not working obviously producers are not foolish enough so they will course correct that.

But what else is needed because your ATP is down 2% in Q4 which again I think is a good initiative because ultimately it has to be price value favourable to the customer, but when you see QSR slowdown, when you see broad-based urban slowdown across all forms of consumption. In box office, what is needed to change? I understand content part, which is very difficult to predict, yes.

Ajay Bijli: I think I already feel that the Indian market is very interesting, and that's why we are operating only in this market. And also, we have a diversified portfolio. I think June onwards, the moment the elections that announced, the line up is looking very strong to us. And I think that business is driven -- I mean, your question is what will change?

What will change that just now in the first -- the way the year has started because of elections, movies are not coming. What will change is the robust pipeline that will bring people back to the cinemas because of the supply and the appetite to go out and watch movies has always been there.

So I think this is the nature of the business because it is cyclical in nature. But at the same time, when the movies come as quarter 2 of last year showed us that if you have an operating base, which is efficient and that's what we've done by cutting down a lot of costs and even the capital intensity this time is going to be lesser than last year.

Then suddenly, all the operating metrics look -- end up looking very good. So I think it's a two drivers which have always helped us in the past, the supply side and the demand side, which we see will start kicking in from June onwards.

Moderator: The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Could you please shed some more light on the asset-light model, how the sharing of capex will work? When do you expect this to kind of start-up? And how much can the capex from our book reduce? This is in the context of the fact that you've gross additions in FY '24 resulted in a INR600 crores type of capex. So just wanted to get a sense of that. That's my first question.

Ajay Bijli: Nitin, do you want to answer or Pramod, do you want to answer?

Nitin Sood: Yes. So what we are doing is I think, increasingly over the last 12 months our focus has been

to

to reduce our capex in investments. During the last 12 months to 18 months we've consciously renegotiated and repositioned a lot of our existing contracts which were committed by both PVR and INOX earlier.

And have got significant amount of developer contributions to fund part of the growth. We've also renegotiated some of the rentals in most of the new locations that have got opened up. Our focus going forward I think is incrementally the new screen additions that we make. We

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eventually want to evolve to a capex-light model which means that over a period of time, reduce our capex intensity by 30% to 50%.

I think it is beginning to already happen. Our next year projected capex is likely to be 25% lower than this year, but it will take us a couple of years to get down to that 35% to 50% level, as we roll out the new screen portfolio, where our landlord partners will take and invest -- co-invest with us for most of the screen growth.

In addition to that, I think the teams are also working on a model which will be franchisee-owned company-operated stores, where in a lot of new markets where we venture into, I think there will be investment made by the property owners, and we will be operating. So the idea is to leverage our brand and market leadership to fund bulk of the growth as we go forward and focus on the free cash flow generation from the business.

Harit Kapoor: Got it. Just a follow-up on that is what's the give and take here? I mean the landlord obviously invests with you and in terms of his incremental take from this relationship, how does that kind of pan out? Is it in the form of kind of a higher entry revenue share? I just wanted to get your sense on that at least from the initial transactions that you've done.

Nitin Sood: Give and take will be in form of incremental revenue share. So that I think the core business will end up sharing with the landlord when we make them as a partner, which means increasingly more and more of our deals, we are trying to pivot to higher percentage revenue share as compared to investing upfront capital.

So yes, the pivot will be a mix of incremental return on the capital that they're investing either in form of a pre-agreed return or a higher revenue share. That's largely how it is going to evolve.

Harit Kapoor: And in that context, if you look at this year rent to revenue if you just take rent plus CAM, that ratio is close to 25% of total sales I think, INR1,500-odd crores on a INR6,000 crores revenue. Given that you are pivoting to a slightly more asset-light model, do we expect that those ratios don't dramatically change given that you are putting in less on your balance sheet? Is that the way to think about it?

Nitin Sood: Yes. I think it will take time for them to change at an overall level because for the incremental screen additions it will start getting better, but because we also have a large base and in the existing portfolio, as some of the screens are coming out of their lock-in periods, the teams are working towards renegotiating rentals and pivoting them to more reasonable rental contracts or more lower revenue share contracts. So I think that process will take time to play out.

Pramod Arora: Yes. So financially if you look at it, the asset to turnover ratios will become better. The margins may see a slight dip. The ROCE will see a far superior return. So the ROCE would be far superior. So as set-to-turnover ratio is going to go better, margins will see a slight dip in a model which is capital light. Effectively, the returns on capital employed would be far, far superior.

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Harit Kapoor: Got it. Great. And last thing was on the convenience fee. When we look at this quarter, I think it's a full impact of variabilizing the convenience fee. Just wanted to get a sense of what

her this

is the kind of run rate as a -- on a per footfall basis or a per admit basis that we should kind of model in for the future.

Nitin Sood: So you can use, I think, the current quarter number as a broad estimate per footfall to use it for modelling purposes because it is largely variable in nature. So I think it will be directly proportional to the footfall additions that we will have.

Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: My first question is on the screen closure that we are talking about 70 screens. And we are also in the process of renegotiating the rentals with the existing screens, which are coming up for renewal. So putting this together -- putting these statements together, can we say that only where you are not able to renew the rentals, you are closing? Is it the statement -- a fair assumption to make?

Nitin Sood: Not really. I think we are also focused on shutting down screens where we believe they have come to the end of their life cycles. The malls, which were built 10 years or 15 years ago have become dilapidated and are unlikely to survive in that market given the new shopping centres that have opened up in that city. I think that's the key driver.

Of course, rent paid also -- if we believe that rental is the only way to solve for it, then we'll definitely work hard towards reducing the rental. But I think in most cases, we realize that in some markets, better shopping malls have opened and taken away the market share.

And the new -- and in most of the new malls only we are present. So shutting down an obsolete mall will help us in cutting down not just operating losses, but also shift most of the consumers to the new -age shopping centre where we are the brand we are present. So we are likely to be the beneficiary o n -- of closure also in some of these markets.

Arun Prasath: Right. Great. But last time we spoke, I think last year, there was a comment that you have identified all such screens and this year, there will not be suc h closures. Is it the becoming a n ongoing exercise or your threshold for shutting the malls is also has gone down? I'm just trying to understand. Because obviously, there is a dead investment, you can't recoup some of the investments, which are made in these screens. So how should we think about it?

Nitin Sood: Yes. So I think this is going to be a continuous exercise in any retail business. Every retail business on a continuous basis will continue to evaluate their retail portfolio and something which was built earlier and become obsolete. It's a continuous process. Most of the retail companies shut down about 2% of their stores on an annual basis, which will become obsolete. In our case, the numbers are marginally higher than that because we are coming out of a merger, and we've evaluated the p ortal portfolio in context of some markets which are not firing. And hence, this number looks higher, but this will be a continuous effort.

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Pramod Arora: And most of these assets have actually lived up their useful life after which we are closing them. So in term s of the write -off, we will be minimalistic because most of these assets have already lived their life. It is -- when you look at the rent -to-revenue ratio, revenue has dropped because the malls are not performing, by virtue of which we are looking at the closures.

Arun Prasath: Right. And one clarification on this FOCO model that we are talking about to reduce the capex intensity. I just want a clarification because we already operate the management properties. So what is -- philosophically, what is the di fference between management properties versus FOCO versus, say, a developer as a partner where we invest a little bit? What is the key difference between these?

Pramod Arora : In that, it is the same model, the fra

nchisee -owned and company -operated. It's the same model

that we're talking about, the management structure of deal. Effectively, if you look at it, India is one of those countries wherein the gross box office this year has expanded.

Unlike most of the other countries across the world, the box office in the country has expanded which gives us the visibility that there is more to happen in terms of screens in the country, and that is one of the reasons to adopt this FOCO model wherein we are finding a lot of traction coming in from far and wide across the country.

It is the same model, but given the scale now that we want to operate it, it may be worthwhile to look at it after 3 years when there would be substantial inco me which will be getting generated from the management fee in this model.

Arun Prasath: So am I right in understanding that in FOCO or managing properties, capex is 100% done by the developers? And in other cases, only a few part of the capex is done by th e developer, right?

Pramod Arora: Absolutely. So in the capital -light model you could look at it that the immovables would be invested by the development partner, and the movable will be brought in by us. And in the FOCO model, both the movables as well as the immovable to the extent of 100% of the investments shall be brought in by the development partner or an investor.

Arun Prasath: Typically, in your screen as a percentage of capex what will be contributed by movable and what will be by the immovable?

Ajay Bijli: Anywhere between 35% to 45% amounts to be immovable and 50% to 55% amount to be movables.

Arun Prasath: But this is not something new concept because during the merger also, we had around 35 management properties. Now if you look at it, it is cl ose to 42 management properties. So it

hasn't really grown the management properties as in number hasn't grown in the last 2 years.

So what has changed now that we are -- we see more developers will be happy to do this.

Pramod Arora: So one of the reasons, which I suggested right in the beginning was the expansion of the box office happening in India is one of the clear indicators that there is more to screen growth in the country. That is my first point.

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The second point being the fact that many of the shopping centres, who are looking at multiplex being their partner, are very happy to work on our franchisee-owned company-operated model provided they have returns out of it. So in effect, if it's a bad centre or a bad shopping centre or a old mall, the FOCO model is also not going to make any success for anyone because that is going to die down a natural death in very less time.

So that is not the objective. So FOCO model again would be happening in very, very select malls. It will not be that anyone who is able to give a deal for a FOCO model can basically do a contract with the company. It is a proper feasibility where even if it is done to the returns to the developer also as well. Because if the development partner or the investor doesn't make returns this model is not going to fly for a long run.

Arun Prasath: Understood. And finally, on the new screens that you are guiding of 120 new screens in '25.

You have mentioned that it's -- you are very selective. Does it mean the actual supply of new screens by your letter of intent is much higher? And out of that, you have chosen only this much and so that this guidance can dynamically improve over the period of the year?

Nitin Sood: Yes. I think currently, our focus is to expand more in South like we said, and we are reducing down the new screen handover this year. The focus is to optimize occupancies across the existing circuit. That's the near-term focus and reduce capex intensity. So I think progressively, over the last 12 to 24 months, we have reduced the new screen handovers and additions.

So this 120 screens

reens, almost 60% to 65% of the pipeline is already under fit-out and the balance is some of the screens where we are taking incremental handovers of, bulk of them are in South India. And that's how we will end up opening about 120 new screens this year.

Arun Prasath: Nitin, does that mean you have rejected to take over the other properties, which were handed over to?

Pramod Arora: Yes, we've rejected a huge number of properties. So the ratio is actually 1:6. So out of the six projects which come on the table or basically are having a multiplex, we will end up relating one of those.

Arun Prasath: Understood. And then any -- of course, any screen, obviously, at some costs, you will be happy to take. There is never a no to the screen. So probably at a lower rentals, you will be happy to...

Pramod Arora: No. You can look through the screen and look at it that which screen and even -- which is a zero rental also would have an operating loss. So the screens can make an operating loss even at no occupancy costs. So effectively not all screens would be able to pass the litmus test.

Nitin Sood: I think the fundamental of any retail business is demand/supply economics in that catchment, which is the way we look at the business, that's the primary basis for us to take a call on whether we want to do the site and then apply the cost dynamics on top of it.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

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Umang Mehta: I just wanted to check, if it would be possible to quantify the incremental merger synergies that you expect in FY '25.

Nitin Sood: No, it's very tough for us to quantify that number. I think as we progress along during the year, we'll be able to give a better guidance, but it's very tough for us to quantify a number right now.

Umang Mehta: Understood. And the second question I had was, if we were to remove the drag of 70 screens that you plan to close in the upcoming financial year, would it be possible to share any margin targets you can expect, assuming that some of these screens could be loss-making? If you were to look at FY '24 performance of these 70 screens.

Nitin Sood: No, I think it's too small a number for us to comment on, on a portfolio of 1,700 screens, how it will impact the overall margins. But broadly, most of these screens are loss-making in nature. It's -- so any closure of bottom end of the portfolio will have incremental impact on the margin. But in the overall context of things, I think it will not be very significant.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited.

Jinesh Joshi: Sir, the 70 screens that we plan to close, I mean, has the rental agreement ended? Or are we disengaging in between? And if yes, do we have to pay any fee for that? And a related follow-up is that, if you are choosing opt-out in between, how does it impact the relationship with the developer if we are signing a new property within -- anywhere else?

Pramod Arora: Our contract -- we are not in breach of our contractual obligations in all these 70 screens. So

we are maintaining the sanctity of the contractual documents that we have signed with our development partners, hence ensuring an amicable exit, which is allowed as per the clauses, or the covenants signed by both the parties.

Jinesh Joshi: Do we have to pay any fee? Because typically, these are long-term contracts, if I remember right, for 10 to 15 years. So do we have to pay any fee for disengaging in between?

Pramod Arora: With an enforcement of a lock-in, most of the clauses -- most of the agreements do have a lock-in period to our favour, which could be anywhere between three to seven years. And in accordance with that, we have the right to take an exit after the lock-in has expired without any obligations of any payers.

Jinesh

Joshi: Sure. And sir, can you share are the closures maximum under the PVR brand or under the INOX brand? And if possible, is there increase, which is -- sorry.

Pramod Arora: It's a mixed bag. It's a mixed bag amongst both PVR and INOX. Erstwhile PVR, Erstwhile INOX properties, it's a mixed bag and the ratio could be very, very similar.

Jinesh Joshi: Any screen below, say, five to seven years within this portfolio, which we have opened say five to seven years back?

Pramod Arora: Not as of now.

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Jinesh Joshi: Sure. And just one last follow-up from my side, and this pertains to the ad-free movie campaign that we launched recently. I just wanted to understand the business rationale of replacing ad with the content in the current environment. So basically, when you play ads, the flow-through to EBITDA is high, but when you're trying to replace it with the content, especially in this environment when the release flow is a bit erratic, you may incur fixed cost with little corresponding revenue because footfalls are lower. So I just wanted to get a sense on timing with respect to this product launch.

Gautam Dutta : So first and foremost, this is an experiment. We have just kind of done this experiment in about seven cinemas spanning over 29 screens. And there is no time -- right time for the experiment. We often, whether it's F&B, whether it's design or whether it's such experiments, we would want to, at any point in time, continue our journey on these experiments because by the time we get to know the real output of how consumers are behaving, we are in a position to either then sort of expand this experiment across a larger domain or shut it down.

So in fact, on the contrary, we felt that this was a great time to do -- run all such experiments.

Now coming back to what was the logic, the logic was simple that in our luxury cinemas, we get a clientele which is very, very time sensitive. They are the ones who would want to get in for a movie experience, and they would not want anything to sort of come in between the movie experience. Because they are largely all-time poor guys. And they are also the consumers who is willing to pay a tad extra for getting that kind of experience.

And that's the reason why when we started off, we felt there were two ends to this whole experiment. When the big movie comes because of the shorter turnaround, we could add a show during that time. And during the nonpeak or non-blockbuster period, we could sort of charge a higher ticket price for an ad-free experience. So both these experiments are on course and hopefully, within about eight to 10 months from now, we will have a much far better, clearer picture of how this is kind of evolving.

Jinesh Joshi: So, so far, is it fair to assume that the incremental revenue that is coming from adding an additional show more than compensate for the ad revenue loss that you might be taking?

Gautam Dutta : So we exactly know what is the ad revenue in the cinemas. The whole plan has been chopped out, keeping in mind that this experiment should be successful because nobody would plan an experiment wanting it to fail. So we have planned, and we have chopped out a budget of how much we need to incrementally sort of galvanize extra footfalls to be able to offset that revenues from advertising.

So the teams are fully aware. And as I said, with big films, extra show will start to play because of the sheer quick turnaround time. And during the non-blockbuster period, we will play in with a slightly higher ATP growth in these seven cinemas to see how it kind of covers up for that deficit.

Jinesh Joshi: Sure, sir. Actually, I still did not get the answer. I just wanted to know whether the incremental revenue so far has compensated for the ad revenue loss or not, sorry, I'm repeating the question.

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Nitin Sood: It's too early. The experiment is run for nine to 10 months before I can give you an answer on this.

Gautam Dutta : It's just been four weeks, so it's very difficult to give an answer currently.

Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Capital.

Vivekanand Subbaraman: Two questions. So one is with respect to the Passport, refresh that you have done and launched in the south markets as well. So what's the update with respect to the variance of the Passport scheme that you have launched? That's question one. And the second question, as far as the franchise model is concerned, do you have any specific targets in terms of what proportion of your new screens will get rolled out in this model? And have you had any discussions or detailed study in the catchment areas where you will roll this out? Is it more a south phenomenon? Is it more on an incremental basis in Tier 2 and 3 cities? How should we think about it? Thank you.

Gautam Dutta : So I'll take the Passport question. Passport currently as of today is about a lakh an 80 total, out of which South contributes close to about 35% total Passport enrolments. What we are seeing while there is a fairly decent uptake so far, and we are adding subscribers virtually every day. What we are seeing is that once the flow gets better, this has the potential of doing a lot better. We had actually envisaged that South will kind of take over all the other markets, but actually North and West are also keeping good pace with the overall additions and South still dominates with 35%. But North is just behind at about 32%, 33% additions as well. So overall, a very, very encouraging signal. We believe very strongly once consumers are able to see a kind of a pipeline of movies coming in, Passport could really evolve into a game changer for us.

Moderator: The next question is from the line of Anurag Dayal from HSBC.

Anurag Dayal : I have one clarification on the FOCO model basically. So will -- is it fair to assume that it will be more directed towards smaller towns, or will it be in metros as well?

Pramod Arora: So it will be in both metros as well as small town. It depends on the demand and supply situation that we are going to evaluate, and it will be in both the markets.

Anurag Dayal: So is it like you're offering these developers, both the models revenue sharing and they -- what they choose and that you're proceeding? Or you already have identified certain properties?

Pramod Arora: It'll be something that we will be choosing on the basis of our parameterization and then go for it. The metros in a country like India are very, very large. So there are still unaddressed pockets wherein FOCO model may represent a possibility for us. And that's where the FOCO model even in metros can come up. And of course, in many small towns, which are still bereft of a cinema or have very limited screens, there, the model may find relevance, and we may come up with the model.

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So when we talk about a development partner, we had certain expectations on its financial returns. As a company, we have certain financial expectations on our money. So effectively, that is the mix that we are going to use in terms of defining that it will be a FOCO model or a capital-light model.

Anurag Dayal: Great. And my second question is on this JV with Devyani. So basically, it is purely for pre-ticketing or you're exploring that in future brands will be available inside PVR premises as well, like you have tied for Costa Coffee, something like that?

Nitin Sood: No. So I think currently, the partnership is focused on exclusively on rolling out food courts for a pre-ticketing area. Obviously, Devyani has been a good F&B partner to us, where they supply to us the entire Pepsi products. We've also had a partnership with

them for Costa, where

we have 76 or 78 stores already operational within -- in premises. So that is independent of this JV. There, here, I think the focus is to roll out food courts in shopping malls all over the country, and we're in the process of building a long-term business plan for this business.

Moderator: The next question is from the line of Akhil from Pkeday Family Office.

Akhil: So my question is on the expansion plans that you have. So the last few years have been challenging for the industry and for multiplexes in general. You had to do fundraise a couple of times. The debt on the balance sheet is really high. And yes, PVR INOX is expanding rapidly, you spent over INR600 crores in capex this year. So don't you think consolidation would be a better strategy rather than just expanding? Don't you think strengthening the balance sheet, reducing borrowings and just having a strong balance sheet would be a better plan going ahead?

Nitin Sood: Yes. That's what we've said in the presentation, if you look at our investor update, that's what you've said that we intend to reduce capex by 25% to 30% this year over what we did last year. We want to use all our free cash flows that we generate from the business to pay down debt. In addition to that, we've also mentioned we are also evaluating monetization of our own real estate assets that we acquired by way of merger with INOX and looking at a potential sale of those assets, which could potentially get us anything between INR300 crores to INR400 crores and use all of those proceeds to reduce leverage from the balance sheet.

So the idea is in the next 12, 15 months or 12 to 18 months, bring down leverage on the

balance sheet from free cash flows and monetizing real estate assets by at least 50%.

Akhil: Okay. But 2023 has been one of the best years for cinema and Cinema history, and we are still PAT negative. So do you ever see that changing? Do you see the economics of it changing or because even now, a large part of our costs are going into interest costs as well as rental expansions?

Nitin Sood: We are not, first of all, PAT negative. We have INR114 crores PAT this year. But yes, our operating margins are still trending below where we were pre-pandemic. You would notice that we've done a lot of work on the cost side, costs which were within our control. I think -- but the revenues are still not fully back. Occupancies have trending still lower than where we were pre-pandemic. Mix of supply side issues because we've not had all the languages firing
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together. But -- and ad revenues have shown good traction. This year, they've picked up versus last year, and we are hoping that as the momentum continues, hopefully, this year, we should see ad revenue growth over what we've achieved in the current year and getting closer to where we were pre-pandemic level and hopefully crossing that number.

So as the revenue picks up, I think the margin profile of the business should come back. And whatever is the free-operating cash flow, the business will generate, will be used to reduce the leverage on the balance sheet.

Akhil: And my second question is around competition. So when you're opening up new screens, do you see any competition from other multiplexes? How do you see your competitors evolving? Do you see the number of supply of creator in the country reducing because that is where a major growth is going to come going ahead?

Pramod Arora : So the competition in the country is in fact expanding. We should look at a lot of regional players have taken a position wherein there is more and more play of operators coming into the market. Within this competitive domain, we intend to keep our numero uno position intact. And we would tend to believe with the modelling and the structures that we have come out with, which is capital-light, FOCO as well

as a lease model, we should be able to retain the

position. And be able to grow and expand also as well within the given terrain of the country.

Moderator: The next question is from the line of Abhishek Kumar Zhunzhunwala from Kan Capital Services Pvt Ltd. Yes, Abhishek go ahead. The participant got disconnected. The next question is from the line of Ganesh from Bharat Beta Research.

Ganesh : My first question is slightly strategic in nature. So on the one hand, we are being slightly conservative with screen growth and our net screen growth for the next year will be around 3% odd. At the same time, we are moving towards F&B partnerships with Devyani. So just wanted to get the hang of the management view on the core movie box office business and whether they are seeing any medium to long-term negatives there as a result of which we're trying to diversify or the broad rationale with respect to the capital allocation away from the core business into ancillary business as such?

Nitin Sood: Yes. I think the main idea behind the merger and building a large scale in the core exhibition business was to leverage the brand to the competitive advantage and reduce, be in a position so that your return on capital employed metric gets improved. Now that we've reached that position where we have a large market share in this business, our ability to incrementally grow by putting in lower capital on our own balance sheet has to evolve from here. It will not happen overnight, but it will play out. That's the way we want to grow going forward.

And that's part of the core exhibition business expansion strategy. I think the 120 screen addition and 70 screen closure is part of our operating strategy. We are very focused on growing the business profitably. And hence, the decision to close down bottom end of the screen is focused purely from a profitability metric. The idea is -- so our exhibition growth reduction that you're seeing is largely because we are rationalizing the portfolio of underperforming screens. We're still continuing to add 120-odd screens. And I think that
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screen growth number will continue, but will -- our capex investment to build out new screens in the coming years will keep going down from where we are.

And the idea is to use the free cash flows to look at adjacent businesses, which could potentially add value over a period of time. And hence, food is a very large piece which we currently are in a post ticketed area. And this partnership to invest in the pre-ticketed F&B is one of such things that we are looking at.

Ganesh : Got it. And sir, my second question is on our market share in the Hindi box office segment. So if I'm looking at the slide correctly, I think our market share has gone down slightly from say, 42.9% to 41.5% in the Hindi segment. So just wanted to check that despite our growth and our market position there, why do you think we're losing market share in this segment? And

incrementally, what is the management focusing on to kind of improve our position there?

Nitin Sood: So I think the market share hasn't changed materially. What happens is, it's the nature of films, which end up doing well. Sometimes there are mass-market films like Gadar which will do exceedingly well in large pockets. They are not typically multiplex films, they do exceedingly well in a large number of single-screen theatres.

So your market share in case of those films will be slightly lower. And then there will be films, which will be -- do significantly better in multiplex. So these minor fluctuations in market share is entirely a function of what kind of films have done well. And if there are some films which have done exceedingly well, dominated by large single-screen theatres, that's how it plays out.

So if you look at a film like Rocky and Rani, which was primarily a multiplex movie, our

market share in that film was up excess of 50% as compared to Gadar where our market share would be 30%. So those variations are the reason when you look at the total average numbers, it could be minor here or there, but there is no overall shift.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: So of the 120 screens that the company plans to gross addition that is, how many are going to be in the FOCO model?

Pramod Arora: So about 15 screens out of this would be in the FOCO model, the balance as of now are contracted under a lease model itself.

Nitin Sood: Bulk of these screens, like I mentioned, are already under set out from previous year. This year, the new screen additions is very limited in terms of new screen handovers, but yes, about 15 to 20 screens will be opening under this model.

Naveen Baid: Sir, the (inaudible) that most of the screens have already in the setout stage for this year. So wouldn't it be fair to assume that in FY '26, whatever the screen addition count will be, a bulk of that would be under the FOCO model? Like for example, this year, it's turning out to be close to 10%, would it be closer to, say, 20%, 30% or even higher...

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Gautam Dutta: So the model is going to gain precedence in the coming years. It will take about 4 years for this model to become a dominant model. In the next year, you could see 20% to 25% of the screens in the capital-light and FOCO model.

Moderator: The next question is from the line of Devang Bhatt from IDBI Capital & Securities pvt Ltd.

Devang Bhatt: Just wanted to know whether it is possible for you to quantify the debt that you are planning to reduce this year and next year. And because of this FOCO model, how much reduction in rental will come for this year and next year?

Nitin Sood: Yes, it's very tough to quantify. Like we said, the plan is to whatever free cash flows that the business will generate after the capex this year, all the money will be used to pay down debt.

But it is a function of how the box office pans out this year. So it's difficult to quantify a number. In addition to that, we've also indicated that all the proceeds from monetization of real estate assets will get used to pay down debt. So over the next 12 to 18 months period, we think it will be at least 50% of -- we want to get down to 50% of the existing leverage levels.

Devang Bhatt: Right. And in terms of rental that you are seeing. How much benefit in terms of rental, you will see?

Nitin Sood: No, it is not possible for us to quantify on that.

Devang Bhatt: Okay. And lastly, on -- in terms of screens that you have said that there would be a reduction in capex by 25%. Would it be on a combined basis? I mean, the capex that you will do it for Devyani, I mean, is it that -- or it would be similar to FY '24 if you combine Devyani in terms of total?

Nitin Sood: Yes, yes, yes. Actually, if you look at our total capex outlay this year was about INR630-odd crores. So we expect that to go down by at least 25% this year.

Devang Bhatt: Okay. That includes Devyani investment.

Nitin Sood: Yes, everything included, everything included, yes.

Moderator: Due to time constraint, that will be the last question for the day. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Nitin Sood: Thank you. I would like to thank everyone for taking out time for the earnings call. In case we've not been able to answer some of you, you feel free to write to Gaurav Sharma and Saurabh Pant, my colleagues, and we'll be happy to come back to you with answers to your questions. Thank you.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

26th July, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
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Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation to our letter dated 16th July, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. We wish to inform you that the officials of the Company have participated in the conference call for analysts and investors held on Monday, 22nd July, 2024 for post announcement of Financial Results for the 1st Quarter ended 30th June, 2024.

Please find enclosed the copy of transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Mukesh Kumar
SVP - Company Secretary
& Compliance Officer

Encl.: a/a

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"PVR -INOX Limited
Q1 FY '25 Results Conference Call"
July 22, 2024

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR -
INOX LIMITED
MR. SANJEEV KUMAR BIJLI – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. NITIN SOOD – GROUP CHIEF FINANCIAL OFFICER
– PVR -INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER ,
GROWTH & INVESTMENT – PVR -INOX LIMITED
MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER ,
REVENUE & OPERATIONS – PVR -INOX LIMITED

MR. KAMAL GIANCHANDANI – CHIEF , BUSINESS
PLANNING , STRATEGY – PVR -INOX LIMITED
MR. GAURAV SHARMA – HEAD OF INVESTOR
RELATIONS AND CORPORATE FINANCE – PVR -INOX
LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to PVR INOX Limited Q1 FY '25 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwai. Thank you and over to you, Mr. Ankur.

Ankur Periwai : Thanks, Shlok. Good evening, friends and welcome to PVR INOX Limited Q1 FY '25 Post Results Earnings Call. The call will start with a brief management discussion on the earnings performance, followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Nitin Sood , Group CFO; Mr. Gaurav Sharma , Head of Investor Relations and Corporate Finance and other senior management personnel. Over to you, Mr. Bijli, for the initial comments.

Ajay Bijli: Yes. Thanks very much. Good afternoon, everyone. I'd like to invite you all to discuss the unaudited results for the quarter ending June 30, 2024. We uploaded our earnings presentation and results on our company's and the stock exchange's websites last Friday and I hope you've had a chance to review them. This quarter's results got impacted by the 2024 general elections, which was the largest second longest polling exercise in India's electoral history lasting 44 days in April and May.

This prompted many producers to postpone film releases, resulting in a 13% drop in the number of releases in the quarter as compared to the first quarter of last year. We also witnessed a sharp decline in the number of blockbusters with only 3 films crossing the INR100 crore mark compared to 7 last year. June dominated the quarter at the box office in both mid- and big budget movies performing well.

The horror comedy, Munjya grossed over INR110 crores and Chandu Champion, a biopic on India's first paralympics gold medalist, Murlikant Petkar earned more than INR75 crores. But the real game changer was Kalki released at the very end of June, it became the year's biggest movie so far, pulling in nearly 16% of the quarter's total box office in just 4 days and grossing over INR1,000 crores globally till date.

The outstanding performance of both big and small films demonstrates that audiences are eager for high-quality content regardless of the film's budget or the star cast. With Kalki's spill over and the visibility of a great lineup ahead across the languages, Q2 has started off on a great note. We see no other major event disruptions that could hamper the release calendar. Even Hollywood is rebounding with the impact of the writer and actor strikes now starting to fade away.

We welcome 30.4 million guests across our cinemas in Q1 FY '25. In terms of financial results for the quarter, the following numbers are after adjusting for the impact of IND AS 116 on lease accounting. Total revenues for the quarter was INR1,209 crores. EBITDA loss was INR20 crores and PAT loss of INR137 crores as compared to revenues of INR1,324 crores, EBITDA of

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INR100 crores and PAT loss of INR44 crores in the same period last year. In the upcoming months, we have several exciting Hindi movies to be released.

Last week, we had Bad Newz starring Vicky Kaushal, Tripti Dimri. In August, we have Street Starring Shraddha Kapoor and Rajkummar Rao, Vedaa starring John Abraham, Aarun Mehra Kahan Dum Tha starring Ajay Devgan and Tabu. In September, we have Emergency starring Kangana Ranaut, The Buckingham Murders starring Kareena Kapoor. In October, we have Devast

starring Shahid Kapoor, Jigra starring Alia Bhatt. In November, we have sequels of successful franchises like Bhool Bhulaiyaa 3 starring Kartik Aaryan, Singham Again with Ajay Devgan, Dhadaak 2 starring Tripti Dimri and in December, we have Sitare Zameen Par, Aamir Khan's come back and Baby John starring Varun Dhawan. Pushpa 2 starring Allu Arjun is releasing in

December and is expected to be a mega blockbuster.

Other notable releases from regional languages include Raayan starring Dhanush in July, Double iSmart with Sanjay Dutt and Ram Pothineni in August, The GOAT starring Vijay Thalapathy, Lucky Baskhar, Barroz, Devara, Vettaian starring Rajinikanth and Amitabh Bachchan, Kanguva starring Suriya and Thandel starring Naga Chaitanya in October.

Hollywood is touting Deadpool & Wolverine, which releases this coming weekend as the biggest global movie of 2024. Even our circuit has seen a very strong advance booking for the film. Other notable releases of Hollywood are M. Night Shyamalan's Trap, Alien: Romulus, Borderlands, Speak No Evil, Transformers One, Wolfs, Joker 2, Smile 2, Venom: The Last Dance, Gladiator II, Red One, The Lord of the Rings: The War of the Rohirrim, Kraven the Hunter and Mufasa: The Lion King.

We launched the PVR INOX Pasport 2.0 on March 18th and have seen a tremendous response to the revised program. Even in a quarter as impacted as Q1, we sold 2.5 lakh passports. We expect this program to gain momentum with improved content release visibility. On the growth front, the company opened 50 new screens and exited 14 underperforming screens resulting in a net addition of 36 screens during the quarter. For FY '25, the company expects to open 120 new screens and exit 70 screens resulting in a net addition of 50 new screens.

As guided last quarter, we are being selective in new screen additions and gradually implementing a capital-light growth model by partnering with developers and jointly investing in new screen capex. Our screen portfolio, including 42 management screens stands at 1,754 screens across 361 cinemas in 113 cities in India and Sri Lanka.

Now I'd like to open the platform for any Q&A. Thanks once again for joining.

Moderator: Thank you very much. The first question is from the line of Mr. Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on the ticket pricing. So you're trying to have flexible pricing. So if you could tell us how has been the success, any tweaking needed there? Second is this news flow, which came on Karnataka, that 1% to 2% cess can be put on the ticket pricing and all other revenue related to the establishment. Would you be worried on this given the weak footfalls,

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could this get copied in other states? And what can the industry do to prevent this, given in GST, a lot of the tax reforms happened, now somehow again cess, et cetera, is coming back?

Ajay Bijli: Kamal, would you like to take this question?

Sanjeev Kumar: Kamal, would you like to take the question on Karnataka and...

Ajay Bijli: Since you're representing the Multiplex Association of India, I think you are in best position to answer this question.

Kamal Gianchandani: Answering the second question first, this is a media report. We've been in touch with the government officers. We reached out to the relevant ministry. And so far, there is no confirmation that this is a definitive government order. We are also in touch with the local cinema chains. And we are also in touch with the film council, the KFC which would be a fixed body for Kannada film industry. And we are aligned that this is something which is detrimental to the industry, it sets a wrong example. The promise of GST where we said there will be one tax you know across the country.

This defeats the whole purpose of GST and therefore, we are confident that we would be able

to

make the relevant ministry, state government ministry and the relevant government officers, see our point of view. But at this point in time, this is not a definitive order. It's a media report, which we are trying to establish whether there is -- how much weight is there in this sort of decision, which is a media report has spoken about. So that's the answer to the first question, but please be assured that we continue to monitor this situation very, very closely.

On the flexi-ticket pricing, we've had flexi-ticket pricing forever. We've always played -- used pricing as a lever. We practice variable ticket pricing depending on the films, depending on locations, depending on days, weekends, weekdays, even within the day, we've got different variable pricing for different shows. What you have seen in this quarter is a lack of blockbusters. And as you know, for bigger films, the consumers' willingness -- the curiosity around the film and therefore, the willingness to pay a little higher ticket price is much more for bigger films than the obvious blockbusters.

We were lacking bigger films for the reasons that Mr. Bijli spoke about in his opening comments, which is the reason you've seen muted ticket pricing. Post Kalki, which released towards the end of June, we've seen a very strong uptick in the average ticket price, and we continue to sort of build on that momentum as we move forward in July, August, September. So if you have any follow-up questions, happy to answer, but we've had flexible ticket pricing all along.

Abneesh Roy: One small follow-up, essentially on Karnataka. So in case something of this comes, would a legal remedy either from the courts or, say, any tax authority, could that be one of the options?

Kamal Gianchandani: Legal is always an option, but one will have to see the details and one will have to see what the government order is about. It could be -- I mean, the legal remedy can only be discussed once the government order comes out, but it's always an option.

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Abneesh Roy: Sure. My second and last question is on the impact of election. So one apparel listed retailer also said exactly same thing. Of course, they said that a lot of the elections voting was there on weekends. Of course, that is the prime time for the customer coming to the mall. Second, of course, is, this time it was extended, which you also alluded to. Just wanted to understand in 2014 and 2019, what kind of impact, if you could remember, was there? I understand that time the election phase may not have been this extended.

Second related question is on the content part. In Q4 also, we saw that overall content pipeline planning was not to the desired level due to whatever reason. Again, in Q1, because of election, yes, the fear factor was there, the heatwave was also there. But overall, would you say that the pipeline -- content pipeline planning, that is now fully addressed? Is there -- because ultimately, everyone is suffering because of that. Would you say that, that issue is now resolved?

Kamal Gianchandani: I think the impact of election in 2019, 2014, we don't recall the specifics, but the major impact in this election was that the producers took a view that they wanted to avoid clashing with the election dates. And therefore, they decided they would come out with their releases, especially the bigger films, after the elections get over. The issue also got compounded by the fact that we have the World Cup T20 running pretty much at the same time.

And that also sort of compounded the whole decision-making around the releases. From what we can recall, 2019, similar situation, producers wanted to stay away from the election date and therefore, a lot of bigger films were postponed. But apart from that, any sort of visible impact, any tangible impact of election on the films, which we're playing in

theatres, not much. As far

as -- what was your second question? Do you want to repeat, please?

Abneesh Roy: Yes, the whole pipeline planning in terms of releases. I understand fear factor of election, I fully understand that. But even in Q4, there were a lot of weeks when there was no content and then maybe some weeks there was too much content. That issue always can remain. I'm just asking in terms of planning, are we in a better situation now because everyone is suffering because of that?

Kamal Gianchandani: I think we continue to improve. The trend line is definitely positive as last 2 years, if one was to look at, post-COVID, things have improved, and there are tangible improvements in the producer sentiment, the number of films, which they are greenlighting, but we believe that we have scope to get better. Fortunately, Q2, Q3 and Q4 is looking fairly strong also partly because a lot of films, which were coming in Q1 were pushed to Q2 or Q3. Therefore, it's looking fairly crowded, but we believe the next calendar year and the next financial year will -- is when the content pipeline will be fully back to where it used to be pre-COVID.

Abneesh Roy: And one last follow-up, if I can, in terms of content only. What we are also seeing is, although content pipeline may be good, marketing a movie has been a big challenge either because a lot of producers may not have made good money last 4, 5 years because of various reasons. So they are compromising on the marketing aspect, so ultimately in consumption, what is seen sells. So what is the answer to this? Is there some better planning, better allocation of budgeting towards marketing also because if product is good and it is available, but if there is no marketing, then how do you get the footfall?

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Kamal Gianchandani: So firstly, the clear consensus amongst the producers is that the theatrical release delivers unparalleled level of promotional impact and quality perception, and it also strengthens the consumer interest to see films, improve the long-term recall value leads to the better sort of revenues from the other distribution channels. So the producers are firmly with theatrical platform.

There is a broad consensus, but fairly unanimous consensus that theatrical is a way to go. In terms of marketing strategy, I mean, there have been films where people like Mr. Shah Rukh Khan, who have been seen as a marketing wizard, took a call to sort of promote the film in a manner where he felt if he promoted less, that will create more curiosity and that strategy worked out well for him. A lot of other producers followed a similar strategy, it didn't work out for them. Kalki went out with high decibel marketing campaign. All sort of media platforms had Kalki and, of course, the film was good. There was a lot of curiosity, it worked out well. This high decibel marketing strategy worked out well for Kalki. So I think it's a mixed bag. We have to appreciate that all producers want the best for their film and producers -- most producers that we

have conversations with don't want to be penny-wise pound foolish, they want to go aggressive in terms of marketing.

Moderator: The next question is from the line of Mr. Jinesh Joshi from Pra bhudas Lilladher Private Limited.

Jinesh Joshi: Sir, my first question is on our top line. If I look at our NBO C and F&B revenue, it is down in this quarter. But despite that, we have seen our ad revenue, which is up by about 4.6%. So has there been any revision in ad rates? That is question one. And also in that context, would you like to share any update on the ad-free movie campaign that we had launched in the last quarter?

Gautam Dutta : So actually, on the advertising revenue, we did have Kalki, which opened exceedingly well for advertisers. We saw very strong traction on that. Even to the extent of some of the

other films,

while we were not able to maximize on Munjya because that was slated to be a very small film but ended up giving us a substantial shortfall. But Bade Miyan Chote Miyan was an average performer, but Kalki really stood out and did well.

Overall, as well, we looked at not only on-screen, but offscreen sponsorship deals with certain clients where we were playing classics and rereleases. So because of all of that effort, the team was able to deliver this 5% growth. We hope that going forward in Q2 and Q3, in conjunction to some of the bigger releases the advertising revenue should grow well.

Jinesh Joshi: Sure. Sir, any update on that ad-free movie campaign, which you would want to share?

Gautam Dutta : So actually, ad film, if you remember, we had gone out and done it in 8 properties across 36 screens, which accounts for roughly about 2% of the total volume of screens, and we had very clearly stated that this is an experiment that would take about 3 to 4 quarters before which we will have no clear indicators. So the first -- all I can share with you, the first quarter of this experiment is showing some positive signs.

But no concrete proof of saying that this is how it should go. We are trying many combinations, permutation with the pricing and seeing how the consumers are kind of willing to pay slightly

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higher for a no ad being screened in the show. So I think it's currently non-conclusive, and we would take a couple of more quarters to get back on how this is performing.

Jinesh Joshi: Sure, sir. My second question is on our box office, so I'm referring to the Slide 8 of our presentation. So basically it depicts that our share in a box office for regional movies is considerably lower than Bollywood and Hollywood. So is this attributable to a higher number of single screens in South India? Or is there something more to it? I thought of asking because 35% to 40% of our new screens openings is expected to be in South India. So is the share from here on going to change materially, given that our expansion plan in South is huge enough?

Kamal Gianchandani : The answer is yes. The penetration of single screens is more in South.

Jinesh Joshi: And also just one follow-up. I think there were some single screens, which were shut down in Telangana for a few days in May '24 due to a weak content flow. Any other region, did it witness closure? And did we close any of our screens in that state?

Kamal Gianchandani : We didn't close any theatres. I mean we do -- you know during various periods; we do shutdowns screens to upgrade them or to do some maintenance work. But due to content flow, we've not shut any screens in Q1. The single screens which shut shop, would not be able to comment on that.

Gautam Dutta : And just to add, while we did not close any screens, we did reduce the number of shows per screen. So whenever we would get a slightly new content, we would be playing 3 or maybe 2 shows a day.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is on the fixed opex. If you look at it on a per screen basis, despite sequentially, we had a lower top line. Our fixed expense on a per screen basis almost remained the same. Is there any -- ideally some kind of a revenue share impact would have resulted in the lower revenue and also on CAM it's slightly higher. Just wanted to understand what's happening out here.

Gaurav Sharma : So on our fixed cost, actually, if you look at our total fixed cost, it has gone up by 7% compared to last year quarter 1. And if we further break that down into like-for-like same-store basis, the same-store growth is only about 2.5%. So we have been very careful around the overall fixed cost control on all overheads, including personnel, electricity, utility, water, et cetera. On rentals, on a sam

e-store basis, it is about 3.5% up, which is in line with our escalations agreed in the lease agreements.

So about 4% to 4.5% is coming on account of new cinemas that we've opened in the last 1 year. And many of the new properties that we've opened are large properties in premium locations, 14 screen multiplexes in different parts of the country, where rentals and some of the other overheads are slightly higher than the rest of the portfolio. So on an overall basis, there is a 7%

Arun Prasath: Okay. Just to understand, you're saying the escalation is around 2%, 2.5%. And some of the old screens -- sorry?

Gaurav Sharma : 3.7% escalation on same cinemas over last 1 year.

Arun Prasath: Okay. And also the new screens, which got opened and which replaced probably the -- closed screens in the base quarter is having a much higher revenue rental. That's the remaining part.

Gaurav Sharma : Right, right.

Arun Prasath: And then -- and most of the new screens that got opened, that's again on a -- because we have been talking about the different revenue models where it will be fully variabilized. So these new screens are not in the variable opex model?

Gaurav Sharma : The new screens, we've opened in the last 1 year, they have been on our regular model of lease, where most of it is on minimum guarantee or revenue share, whichever is higher. The capital - light, asset -light model that we are talking about, which is more on variable rentals is going forward basis, where we are negotiating new properties under the new model. But there are still some properties where we are out of lock -in period, where we are -- which they are underperforming, or the performance is not up to mark. We are renegotiating rental there. So some bit of benefit on rental renegotiations appearing in our overall rental costs.

Arun Prasath: These new properties, which is in the original lease model, where we have fixed or revenue share, whichever is higher, is the energy portion is so high that even in a weak quarter like this our fixed expense is very high. Is it because of the location or is it something else?

Gaurav Sharma : Yes. So they are largely in locations like we've opened a 5 -screen multiplex in INOX Maison in Bombay, which is the top end of the property market. Then we opened up a 12 -screen multiplex in Forum Kanakapura, Bangalore, a 14 -screen multiplex in Pune with Phoenix, a 14 -screen multiplex in Bangalore with Phoenix. So all these locations are high -end malls, premium locations, and rentals are slightly higher than rest of the portfolio that we are operating in.

Arun Prasath: Understood. And my second question is on the last 2 years, if I take FY '23 and '24 put together, we closed -- we opened roughly around 300 screens on a gross basis, not on a net basis, on a gross basis. So how many of this is already you think -- you have seen it already turned it around or are kind of breakeven already? What percentage -- or is it usually in -- we usually take around 2, 2.5 years. So most of this should be profitable or still it's a long way from profitability for business screens?

Gaurav Sharma : The new screens that we open, depending on the market where they are opened, and the type of format takes different time to breakeven. Typically, they start becoming profitable at EBITDA level -- at cinema EBITDA level within 6 to 9 months of opening. And payback periods, et cetera, will vary depending on where the screen is and what sort of formats they are operating.

Arun Prasath: So all these new screens we opened in the last year is already kind of breakeven at the EBITDA level?

Gaurav Sharma : You know screens that we have opened in the last 6 to 9 months, they are still maturing. A few of them would be positive, a few

few of them are still lower. But majority of the screens that we opened a year ago, they are at a cinema level profitable.

Arun Prasath: Understood. And finally, on the re -releases or reruns. I understand this usually happens when the content is kind of weak. But do you see that there is an opportunity here along about the re -releases, given the nostalgic releases -- nostalgia creates within the people. Is it something that we can expect more going forward? And then what...

Gautam Dutta : This is something that we've been doing for many years, but we believe that we need to be a lot more consistent. And in fact, we have now an internal resource aligned to sort of curate these film festivals at the regional level as well. You will see a lot more re -releases happening. And this quarter, we contributed close to about 12 lakh admissions coming in from the re -releases itself. So we believe that this is a funnel, which should be truly irrigated, and we will be working on this very vigorously now going forward.

Arun Prasath: And this re -releases, is it seen across all geography or only to specific pockets?

Gautam Dutta : All geographies.

Arun Prasath: And then this revenue share, how this is shared with the producer? In the usual manner or it's slightly different?

Kamal Gianchandani : Well, I mean, this is sensitive information. We typically don't share it with -- we don't put it out in public domain, but these are very sort of competitive films, not more beneficial to us.

Arun Prasath: Okay. Even better than the rate cards we have on a week -on-week basis?

Kamal Gianchandani : Yes.

Moderator: The next question is from the line of Mr. Vivekanand Subbaraman from AMBIT Capital.

Vivekanand S. : Two questions here. One, Ajay, I know in your recent interviews, you have spoken extensively about the windowing periods being very, very less in India. And you spoke about how TVOD as a window exists in the developed countries, but that's not the case in India. So where have you reached in your discussions with the producers, some of whom have been very vocal in agreeing with you on this in terms of the windows? And when can we expect the alignment to happen between South India where it is still a 4 -week window versus rest of India? That's question one.

Secondly, is there any update that you have to share -- you want to share on the joint venture you have to set up these 5, 6 food courts with Devyani International. Have you finalized the cities or catchment areas? Any details there would be very helpful.

Kamal Gianchandani : I'll take the first question on windows, and then I'll request Gaurav to address the second question. On windows for Hindi, English and a few other languages, including Punjabi, we follow 8 -week window. For the South region, it varies, but it typically tends to be a minimum 4

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weeks. We've had some positive conversations with respect to increasing windows, making them consistent across the country.

We would not put any timelines to it. All I would say is that, like I mentioned before, that there is broad consensus amongst the producers that theatrical platform is of paramount importance to them from marketing perspective, from customer satisfaction perspective, from satisfying their creative talent, be it actors and directors, and for generating more income in the downstream, other distribution channels.

So they are extremely positive on the long -term sustainability of theatrical platform. They want to support it in every way possible. We are still recovering from COVID. A lot of producers are still sort of grappling to put together profitability plans on the films. So therefore, difficult to put a timeline to this. But all I can say is that there is positivity and there is consensus that windows moving forward should be consistent across the country. Gaurav, do you want to take the

second
one?

Gaurav Sharma : Sure. As an update on our JV on the food court business with Devyani International, we have already set up the JV company. The company has been registered by the name of Devyani PVR INOX Food Court limited. We've also finalized a brand name for the food court that will be set up in the shopping malls. We will be calling it Treat Junction as a brand for all the food courts. In the next 2 to 3 months, we expect at least 2 food courts to be fully operational. The locations have been identified. We will provide an update once we announce the opening of the food courts. And by the end of this fiscal, about 4 to 5 food courts will be operational.

Vivekanand S. : Just one follow -up on the harmonization of the windowing period across the country, how soon can we expect this? Is this a 1 -year thing? Do you think it will happen in 3 years? Or will it take as long as 5 years? Just to understand the urgency in this process because it's not that only the multiplexes are suffering, right? The producers also, I think, are coming around to this perspective.

Kamal Gianchandani : So we are very keen to make it consistent across the country. We are also keen to increase the window from 8 weeks to a longer duration. There is a lot of urgency. There have been several discussions with all stakeholders. As we know, we function with multiple different industries, coexisting and cooperating adjacent to each other. So Telugu is a separate industry with their own ecosystem, Tamil is a separate industry and so on and so forth. So we've had a lot of meaningful conversations, but I'm afraid very difficult to put a precise time frame to this. All I can say is that we are treating it with utmost urgency.

Moderator: The next question is from the line of Piyush Sharma from Minerva Asset Advisors.

Piyush Sharma: I just have a couple. Firstly, on the ATP. The headline number, of course, is a 5% decline. Could you share with the comparable properties ATP move was?

Gaurav Sharma : It's in similar range. There is no substantial difference.

Piyush Sharma: Okay. I'm just looking at a slide, which shows a sharp drop in blockbuster movies, defined here as INR100 crores plus GBO. I would believe that this is not unprecedented that you see a 50%

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to 60% drop Y-o-Y, yet, in distant memory, I don't recall a mid -single -digit decline in ATP. And looking at IMAX figures for India, it seems like gross box office for the quarter, just IMAX, and I know it's a small base, it is up 65%, 70%. Sense is premium format overall would have done relatively better. And if that's a fair assumption, then are the producers sort of pushing for lower

prices or something else? It's not like you've not tested with prices before, but the outcome has never been a 5% decline unless I am missing something.

Kamal Gianchandani : Firstly, on the premium screens, definitely, the trend is positive. People are upgrading their experiences. They've become more receptive to the new formats or even the premium formats, which have been around for a long time. We see a lot of people moving from standard mainstream seats to premium format seats. So that's a trend which is visible not just in India, but across the world.

This is a common thread that most exhibitors are noticing. In this particular quarter, the ticket prices did not -- they stayed muted, did not show a growth in spite of the fact that we've actually increased the ticket prices. We did pass on the inflation-led increase in ticket prices to the customers. So in fact, the ticket prices were increased by about 4%.

Unfortunately, because the number of films which made more than INR100 crores gross box office, films which were obvious blockbusters and were going to generate a lot of curiosity and initial interest, that's where we have the maximum ability to increase ticket prices and co

sumers

are happy and willing to pay those ticket prices. Unfortunately, those films were missing, which is why we've seen this drop in this quarter.

That said, we saw a very strong momentum as soon as Kalki came out, and that momentum has continued in July. We expect that momentum to continue further with Stree 2 and the other ones come out in August, in the week of August 15. We feel quite comfortable with our ticket pricing. We believe the experience is affordable for a majority of people in the country. And we believe this momentum of -- with the bigger films coming, you would see a significant improvement in the average ticket prices as we move forward to the second quarter and the third quarter.

Piyush Sharma: And a very quick follow-up on the theatrical window question. I'm just wondering, is this academic or there's more to it? Because if you look at the box office curve in India, it tends to be much, much steeper. I guess, is 98%, 99% of all GBO -- lifetime GBO would happen within 3- to 4-week window. So how does the incremental fit for 6 weeks really for Bollywood even help? Is the notion that if you increase the theatrical window, you might essentially push that person out of the household to watch versus waiting for the OTT release. Is that the reason?

Kamal Gianchandani : That's one reason that you're making the proposition much more compelling for the customer to come to a theatre and watch it on the big screen, the way the director and the actors intended it to be seen. The second reason or the rationale is that when you have a blackout period, when a film finishes its run in theatrical and before it starts its run on a digital platform or on a television station, that blackout period gives an impression of a much longer window than what it actually is to the customers.

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And therefore, in the long run, it creates a perception that there is a big gap between theatrical release and the release on other platforms. So because of this blackout period between when a film finishes its run and before it starts its run on another platform, that's the other reason why the windows -- with academic, there is relevance to windows being where they are.

Piyush Sharma: But the blackout window remains is, whether the theatrical window is 4 weeks or 8 weeks, correct?

Kamal Gianchandani : What I mean is that blackout period would change depending on when the film finishes its run. So for example, if a film can do well at the box office, finished its run in 2 weeks at the end of the second week and then it started post 8 weeks on a digital -- on a streaming platform. Now this gap of 6 weeks, which is the end of second week and before it starts on streaming, this 6-week would seem much longer to customers, and this is -- this point has been researched in many countries.

A lot of surveys have been done. And this 6 weeks will -- found a much longer window to most majority of customers and will create a perception of maybe a 10-week or a 12-week window, which is beneficial for the exhibition business for customers to believe if they want to watch a film legally when it comes out fresh, then theatre is a place to go and watch that.

Piyush Sharma: And do you believe that producers are more open to standardizing it or playing it by the -- on maybe the size of the movie that's coming out?

Kamal Gianchandani : I don't want to get into specific details, but there is consensus that the windows should be consistent across the country. And in terms of windows being longer than what they are, there are a lot of producers who do agree with this point of view that windows should be longer than what they are.

Moderator: The next question is from the line of Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: A few quick questions for me. Firstly, what would be the ad mix from the classical releases that

we did this quarter? Was it 3.4 million to...

Gaurav Sharma: Sorry, we didn't get it. Classical?

Abhisek Banerjee: So the older movies that you kind of released?

Gautam Dutta : The re-releases, 12 lakhs -- 12.5 lakhs.

Abhisek Banerjee: Okay. So that number would be about 1.5 million, right? In terms of the pipeline that you're now seeing for Q2 and Q3, especially for Q3, do we see that it could probably become as big as Q2 of last year?

Gaurav Sharma: The Q3 has some really big titles. Pushpa 2, for example, is scheduled in December, then December has some really big titles, like Sitaare Zameen Par from Aamir Khan. So it's very difficult to predict whether it will be bigger than Q2 of last year or no. But yes, it's going to potentially be the biggest quarter of this fiscal year.

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Abhisek Banerjee: Got it. And in terms of this -- the food court that you're talking about, what is the update, as in will people coming to your cinemas be able to shop at the food court? Or is it going to be normal walk-in customers can come in and shop from there without purchasing a movie ticket. How will that work? Have you kind of figured that out?

Gaurav Sharma: So our food court will be operated by the joint venture company with Devyani. It's going to be outside the cinema premises. Just like any other food court in a shopping mall, anybody can enter and exit the food court at his or her will. There is no requirement that a customer has to buy ticket or anything. It's a pre-ticketed F&B revenue that we, as a strategy, are targeting in this JV. So yes, that's the sort of business model the food court will be operating in.

Gautam Dutta : And there shall be no overlap with the cinemas at all.

Abhisek Banerjee: Got it. And with regards to the deleveraging plan by monetizing noncore assets, has there been any move on that? The monetization of some office properties that you had talked about last quarter in order to deleverage the balance sheet, is there anything more than that?

Pramod Arora : Yes, that's on track. We've already received the first level of bids, and we are in negotiations with various parties. We do anticipate this to take another 3 to 4 months, and we shall update you as soon as there is a confirmed option (inaudible).

Abhisek Banerjee: Got it. So on a very broad basis, what kind of deleverage we're talking about here in terms of quantum?

Pramod Arora : So about 300 to 350 is what we believe it shall be the capital values of the two assets.

Abhisek Banerjee: Okay. And these are not all the assets that you plan to monetize ?

Pramod Arora : Pardon me?

Abhisek Banerjee: And is this the entire monetization thing that you have?

Pramod Arora : No, no. There is more, but we are beginning with these 2 because the other ones are too small, and then we shall take it at the right appropriate time because since they do not represent the core line of our business.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I just have 2 questions. One is on the occupancy level now. I think one of the industry research agency also had mentioned that this calendar year's box office should be similar to last year, in spite of a slightly weaker start to the year. I just wanted to get your sense that in spite of Q1 being a bit weaker because of the external factors as well as Q2 having a large base, do you still believe that this year should at least kind of make up to what last year was in terms of your footfall occupancy levels rather? That's my first question.

Gaurav Sharma : I'll take it up and Kamal, you can add. I think Q1 got impacted because the films which were earlier scheduled to be released in Q1 got shifted. So as far as the full year picture goes, what we had earlier estimated, we feel that if the films which are scheduled to be released in the

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remaining part of the year, if they perform as per our original estimates, then we should be doing similar admissions as we did in last financial year.

Harit Kapoor: Got it. And the second element was on the synergy part. So would it be fair now to assume that bulk of the work which we have done for the 2 entities to come together and the numbers we have called out are largely now being built in the current P&L that we're looking at.

Gaurav Sharma : Yes. I think bulk of it from a cost perspective is reflected in the P&L. I think the revenue-related synergies would also be a function of the recovery on footfalls. So as the footfalls recover and occupancies come back to normal levels, we will see a slightly better impact on the P&L as compared to what we are currently seeing.

Moderator: The next question is from the line of Mr. Tushar R from KamayaKya Wealth Management Private Limited.

Tushar R: Sir, just wanted to understand in terms of revenue, like last -- like in terms of Y-o-Y, Q2 FY '24, I think Jawan and Gadar were the 2 big movies back then. So in terms of that, do you see the Q2

revenue to be beating the earlier Q2 FY '24 revenues?

Kamal Gianchandani: We don't want to make any forward -looking statements, but sufficient to say that Q2 last year was an exceptional quarter. We should be revisiting those numbers at some point this year, but whether it will be Q2 or Q3 or Q4, I think we'll have to wait for it to pan out, but very difficult to give any specific forward -looking state ment.

Tushar R: And sir, post -2020, like the company is struggling for profitability, though the gap is reducing in terms of the company to get profitable. Just wanted to know our internal target, when are we targeting to get profitable? And what are our i nitiatives in brief in order to move towards that?

Gaurav Sharma: As Kamal said, it's not possible for us to comment on forward -looking numbers in terms of profitability, but we are taking all steps to come back to the sort of EBITDA margin that the busine ss was delivering in the pre -COVID period. Various measures are being implemented on revenue as well as cost side. I think we have mentioned some of those strategic initiatives in our quarter 4 full year ending FY '24 investor presentation. I would request if you could take a look at it, and we can address any of your questions offline separately with the Investor Relations team.

Moderator: The next question is from the line of Mr. Sid dhant from Tusk Investments.

Siddhant: I have 2 questions. My first quest ion is out of the total 750 screens right now -- 1750 screens, how many screens are in the premium format? And going forward, out of the 120 screens that we plan to add this year, how many will be in the premium format? And the second question is basically , I wanted to understand the pricing mechanism basically. What is the say of the producer and/or the distributor when it comes to setting the ticket prices? How much of a say do they have?

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Gaurav Sharma: So I'll take up the first question. Almost 15% of our screens are premium and special format screens, which includes premium large formats, including IMAX, 4DX, et cetera. And maybe I'll request Kamal to address the second question.

Kamal Gianchandani: Because we operate on a revenue share relationship wi th the producers and distributors, we always tend to follow a consultative approach. We have the benefit of data crunching. We do a lot of analytics on ticket prices. As you know, cinema is a very local business and each cinema has its own peculiar nuances , which we have to factor in when we are deciding on the ticket prices. Therefore, while we take a consultative approach, but we tend to take a lead in these decisions and producers and distributors over last so many years, decade

s of relationship that

we've had with multiple producers and distributors, they've come to sort of lean heavily on the decisions that we take, but broadly, it's a consultative approach.

Siddhant: Okay. That was helpful. Regarding my first question, you said 15% is the current premi um format screens. And going forward out of the 120 screens that we plan to add, how many will be in the premium format?

Gaurav Sharma: New screen additions that we are doing, we are adding anywhere between 15% to 20% of new screens in premium or special f ormat screens. Other than that, even in the existing or the new mainstream cinemas that we open, we are adding a couple of rows of recliners, which are priced at a premium compared to rest of the seats in the theatre . So the total proposition for the consu mer is towards the premiumization, not only on premium screens, but also on mainstream screens, where the seats will be -- a certain category of seats will be premium.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I woul d now like to hand the conference over to Mr. Gaurav Sharma for closing comments.

Gaurav Sharma: Thank you, everyone. I would like to thank to everyone for taking the time for this call. In case there are any more questions, please feel free to reach out to me or the Investor Relations team at PVR INOX. Thank you very much.

Moderator: On behalf of Axis Capital Limited, that concludes this confe rence. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

18th October , 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
Bandra Kurla Complex, PJ Towers, Dalal Street,
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Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation to our letter dated 9th October , 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. We wish to inform you that the officials of the Company had participated in the conference call for analysts and investors held on Tuesday, 15th October , 2024 for post announcement of Financial Results for the 2nd Quarter and six months ended 30th September , 2024.

Please find enclosed the copy of transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Ajay Kumar Bijli
Managing Director

Encl.: a/a

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"PVR -INOX Limited
Q2 & H1 FY '25 Results Conference Call "
October 15, 2024

MANAGEMENT : MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. GAURAV SHARMA –CHIEF FINANCIAL OFFICER –
PVR -INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER ,
GROWTH & INVESTMENT – PVR -INOX LIMITED
MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER ,
REVENUE & OPERATIONS – PVR -INOX LIMITED

MR. KAMAL GIANCHANDANI – CHIEF , BUSINESS
PLANNING , STRATEGY – PVR -INOX LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited Q2 FY '25 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an Moderator: by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Perival from Axis Capital Limited. Thank you, and over to you, sir.

Ankur Perival : Thank you, Neha. Good afternoon, friends, and welcome to PVR INOX Limited Q2 and H1 FY '25 post result earnings call. The call will start with a brief management discussion on the earnings performance followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel. Over to Mr. Sanjeev for your initial comments.

Sanjeev Kumar: Thank you very much. Dear all, I'd like to invite you all to discuss the unaudited results for the quarter and the half year ending September 30th, 2024. We uploaded the earnings presentation and the results on our company's and the stock exchange's website earlier today, and I hope you've had a chance to review them.

Box office collection during the quarter saw a 40% sequential increase driven by a strong bounce back in Bollywood, led by the record-breaking success of *Street 2*. Now the highest grossing Hindi film of all time. This surge was further boosted by *Kalki*'s strong performance in both Hindi and Telugu markets as well as exceptional success of *Deadpool & Wolverine*, which became the highest grossing R-rated movie worldwide earning \$1.3 billion at the global box office. Our strategy of re-releasing older films has been highly successful contributing nearly 6% of admissions during the quarter. Re-releases offer consumers additional choices during leaner periods for a big screen experience.

The strong box office performance for both new releases and older classics demonstrates a good quality content with the primary factor that drives cinema attendance. This also reaffirms the profound love of Indian audiences for cinematic experiences. We celebrated the National Cinema Day on 20th September, which saw an overwhelming response. More than 11 multiplex chains and over 4,000 screens across India participated in this initiative and PVR INOX welcomed 1 million guests to our cinemas, making it one of the biggest days of the current fiscal year.

Overall, in Q2 FY '25, we welcomed 38.8 million guests across our cinemas. In terms of the financial results for the quarter, the following numbers are after adjusting for the impact of Ind AS 116 on lease accounting. Total revenue for the quarter was INR1,642 crores, EBITDA INR207 crores and PAT was at INR22 crores as compared to a revenue of INR2,020 crores, EBITDA of INR447 crores and a PAT of INR207 crores in the same period last year.

In the coming quarter, we have several exciting Hindi films. Last week, we had *Vicky Vidya Ka Woh Wala Video* and *Jigra* performing well at the cinemas. During Diwali in November, we have the highly anticipated multi-starrer release *Singham Again* and *Bhool Bhulaiyaa 3*. Pushpa

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2 is releasing in five languages in the first week of December and is expected to be a mega blockbuster. December also has *Baby John* starring Varun Dhawan.

From Hollywood, we have *Venom*, *Gladiator 2*, *Kraven the Hunter*, *Mufasa: The Lion King*, among others. And in regional languages, we have *Kanguva*, which is, again, a multilingual language release. We are highly focused on executing our strategy of

driving free cash flow

generation, improving return metrics and reducing debt. Despite a relatively soft first half in FY '25, the company generated positive free cash flow and reduced net debt by INR141 crores.

PVR INOX continues its strong growth momentum adding 71 new screens till date in this fiscal, while strategically exiting 42 underperforming screens. For the full year, the company expects to open around 110 to 120 new screens and exit 70 underperforming screens. Our current screen portfolio stands at 1,747 screens across 356 cinemas in 111 cities in India and Sri Lanka. Thank you very much, and I have opened the platform for any Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line Abneesh Roy from Nuvama Wealth. Please go ahead.

Abneesh Roy: My first question is on the re-releases. Two, three sub-questions there. One is when I see PVR share versus the India share, it's ranging from 50% to 95% in the three movies where you have given the data. So I wanted to understand why we have such a range, maybe because some are only in your screens and may not be widespread. So I wanted to understand what is the science behind this?

Second is in a year, how many movies would you be doing in terms of re-releases. For example, October month, again, the current month. Bollywood scheduling seems again quite weak. So are you planning some re-releases again right now? Third is in terms of variable cost, I understand you have got 6% admissions from re-releases. But in terms of variable cost and occupancy, if you could give some data, do you make good profits here?

Or it's more of a marketing exercise to increase the movie overall consumption habit as such?

Sanjeev Kumar: Kamal, would you like to take that on the re-release strategy first, there's multiple questions.

Kamal Gianchandani: Sure. Abneesh your first question, can you please refresh what was the first part of your question?

Abneesh Roy: Yes, 50% to 95% range between PVR and total in the three examples which you have given re-releases, the range is between 50% to 95%. So why such a wide range?

Kamal Gianchandani: Re-release is something which has been happening in film business for a very long period of time. And usually, it's been tactical. If it's an actor's birthday or if there is some event being celebrated, we tend to have either a festival or we bring back a popular film of that particular actor. But in the last, I would say, eight to nine months, we've seen consistent behaviour from re-releases, where re-releases quite a few of them have performed almost like a brand-new film.

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And this many people found it -- I mean this came in as unexpected. Many people were surprised and we thought it's a fluke, but it has managed to sustain itself. And initially because a lot of people didn't believe in the sort of long-term sustainability of this new trend that was emerging, a lot of exhibitors are not participating in re-releases. And as you know, PVR INOX has always been experimental. We've been more receptive.

We like to sort of push the envelope a bit. So we sort of participated aggressively. And this is why the earlier releases, Rockstar, Love Story, Rehna Hai Tere Dil Mein, PVR INOX had a disproportionate contribution in the all India because it's pretty much released in the entire chain of PVR INOX. By the time, Tumbbad came out in late August, September, more exhibitors sort of jumped on to the bandwagon.

And you see the contribution of PVR INOX in Tumbbad, has come back to -- has become more sort of closer to what a standard contribution is in the overall box office. So that's the answer to your first question. The second one was, I think whether this is a sustainable thing or just the marketing initiative...

Abneesh Roy: Given ATP is lower and m

y sense is occupancy also would be lower. If you could tell us in terms

of variable cost, would you be making money here in terms of do you take that into account?

Kamal Gianchandani: So without getting into specifics, it's a profitable initiative. You have to appreciate in our businesses, we -- there are weeks which are lean in nature and therefore, it gives us, the percentage occupancy that you do with the film is relative to the kind of period in which you're playing it, right? So we would not do a re-release in a week in which we've got two brand-new films which are blockbuster -- potentially a blockbuster category film.

We would never do a re-release in that week. But in a week where we have soft releases or we have scarce releases, we will come out with a re-release. And therefore, in that context, with that background, if a re-release does good business, above the threshold admissions that we normally do, is profitable for us. At a variable level, it's able to give us a contribution which helps us recover our overall fixed cost. What was your third question? Could you please repeat?

Abneesh Roy: Yes, it was again related to this only. So who is doing the planning for this? For example, in October month, again, Bollywood looks reasonably weak. So are there more movies planned in October month?

Kamal Gianchandani: Yes. We believe like the trend of South films being dubbed in Hindi, which has become like a sustainable practice or sustainable trend, which is doing very handsome numbers. We believe this -- the trend of re-releases is here to stay. We've got internally people who are constantly looking at opportunities and not, of course, not all re-releases do well at the box office. So you also have to curate content. You also have to be careful.

So we have a lot of people internally who are working at these gaps and opportunities. But at the same time, we also keep getting a lot of initiatives from the production houses, a lot of producers keep approaching us. For example, Khosla Ka Ghosla, which is releasing on 18th, we were approached by the producer. And of course, we depend on the producers for logistics,

So therefore, producers' initiative -- producers' interest in a re-release is also extremely important. So in many cases, we also get approached by producers. So it's a bit of both. Like we do a lot of internal planning, but producers also similarly take a lot of initiative.

Abneesh Roy: Sure. My second and last question will be on Q3. Last year, Q2 was extremely strong and you expressed optimism that maybe Q3 will also be quite close to it. Given how October month is looking, big week on the Hindi movie side. Is your expectation a bit on the optimistic side, given we'll have two months largely to overcome the very strong Q2?

Kamal Gianchandani: Well, looking at the line-up, looking at the line of sight in terms of films, we are confident November and December will do massive numbers. We don't want to get into specifics for these numbers. And I'm not trying to compare Q3 of this year with Q2 of last year. But suffice to say that in November and December, we'll do very strong numbers. In October, we are still in the middle of October. Venom is another film, which is keenly awaited. We expect Q3 to be quite robust. It will probably be the best quarter in this -- I mean most likely it will be the best quarter in this financial year.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Sir, I have a bookkeeping question. So if I remember right, our contract with BMS ended some time back. And now I believe the convenience income is variable in nature and ideally it should move in tandem with the box office performance, if I'm not mistaken. Now in this quarter,

we

saw a 25% fall on a Y-o-Y basis in our net box office collection, but the convenience income was down by only 5%. So has there been any revision in rates with BMS this time around?

Gaurav Sharma: Jinesh, this is Gaurav here. Let me take that question. The BMS contract was renewed last year itself, and we have a four-year term with BMS and that will expire by 2027. The 5% drop in convenience fee as compared to 25% drop in box office you've seen because during the quarter, what had happened was Paytm sold their ticketing business to Zomato. And as a part of that transaction, there was an arrangement between PVR INOX and Paytm, where IT integration services and support was provided by PVR INOX in the integration and transfer of their ticketing business to Zomato. And we have received some onetime payment on account of that IT integration process, which has been accounted for in the quarter two convenience fee. As a result, the convenience fee in quarter two is higher or the drop is lower compared to the box office drop in revenues.

Jinesh Joshi: Got that. Sir, second bookkeeping question is on the rent expense, which is flat on a Y-o-Y basis despite a 2% increase in the weighted average screen count. So if you can share the reason behind it? And also our film hire cost is down on Y-o-Y basis. So has there been any change in terms of our agreement with the distributors during the quarter? And the related follow-up is that for re-releases, do we pay a similar film hire cost? Or is it a bit lower?

Gaurav Sharma: On the film hire terms, there is no change in the contract terms. The drop compared to last year quarter two was mainly because of the revenue share that got triggered in both rentals as well as film hire charges last year -- sorry, only on the rentals, but in film hire charges last year in quarter

two, there were films which did very well. So we had to pay out some bonuses. As a result, last year, both FHC as well as the rentals to the landlords were higher compared to this year. In addition to that, we are also keeping a very close eye on our rental costs. We have taken a lot of initiative in renegotiating rentals in properties where there was underperformance and that is also reflected in the rental cost reduction.

Jinesh Joshi: And the re-release part, if you can just highlight that?

Gaurav Sharma: On the re-releases, I think Kamal had mentioned earlier, without getting into specific details, the film hire charges that we pay to the producers on older films that are re-released are lower compared to what we pay for a newer film. And therefore, the gross margin there is higher. But at the same time, the average ticket price is also lower. While in terms of percentage gross margin, it is higher but may be comparable in terms of absolute value.

Jinesh Joshi: Understood. Sir, one last question from my side. I think some time back, there was some news article in the media which stated that the Tamil Film Producers Association has called for a temporary halt on all film-related activities from November 1. Any idea whether this will be implemented or you expect some kind of a solution to be figured out by then?

Kamal Gianchandani: It turned out to be a media speculation. No such halt to the production has taken place in Tamil Nadu. Films are being produced and being shot at the regular pace. So it was just pure media speculation.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : See, this quarter, in many ways, represent a typical probably period for us where a couple of months were very strong , 1 month was relatively soft, we did reruns, etcetera. And still, after all that, the occupancy for the quarter was 25.7%. So is that the new normal that we should look at in the movie exhibition business? Because

e obviously, we can't expect every quarter to be like

Q2 of last year or Q3 of this year.

So just your view on what should be the new normal for occupancy? And if it has to go up on a sustainable basis, what would it take for the occupancies to move up?

Gaurav Sharma : Kamal, you would like to take that?

Kamal Gianchandani : Sure. So firstly, in terms of occupancy percentage, we hope and all the effort the entire PVR INOX team puts -- it's in the direction of raising this occupancy, improving this occupancy percentage. So while it's a good percentage, it's something which, especially given the backdrop of COVID, we've come a long way. But we believe there is a lot of headroom to grow, and we are not sort of pausing and being satisfied with this percentage.

The reason I say there is headroom to grow is because post -COVID the back -end production side of our business was, I wouldn't say disrupted. Disrupted in a strong word, but it was definitely disturbed. A lot of producers who are regularly churning out films took a pause and a PVR INOX Limited

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lot of people went into that zone where they became quite unsure whether they should make A film or B film or a C film .

And there is a lot of sort of the green -lighting process went through a lot of churn because the consumer taste was changing, box office had become more unpredictable. But in the last, I would say, 15, 18 months, there is more semblance to the box office, is becoming more and more like what we used to experience pre -COVID. And currently, the challenge that we face is with the quantity of films, quantity of, I would say, wide releases.

But in terms of quality, in terms of admission per film, we are pretty much back to 2019 levels.

So in terms of audiences coming and patronizing films of their choice , we are back to 2019 level.

And therefore, producers are very confident. They're enjoying a good run at the box office. A lot of producers are also laughing all the way to the bank because of the success that we're seeing at the box office.

But at the same time, the quantity is still not back in shape. It is still not back at the level at which it used to be in 2019. So that's an area where we are hoping over the next 12, 15 months, we will see a lot of improvement, the quantity of wide releases, good quality, big budget films or mid -budget films, that number will increase. And hopefully, that will help us increase the percentage of occupancy.

Abhishek Kumar : Okay. That's helpful. So just picking up on that, based on your conversations, do you think that the pipeline for next year by studios, etcetera, is looking better compared to what it has been so far this year in terms of just the quantity?

Kamal Gianchandani : Certainly, both in case in Hindi, regional Indian films and also in case of Hollywood. Hollywood, as you know, was disrupted because of the strike. That's behind us. And therefore, the number of wide releases that you will see globally, including India, would be much more than what we have seen in 2024 and '23. And in Hindi, we see a lot of producers who were on a pause mode. They have become active.

And we see -- looking at the -- I mean, the line of sight will become much more clearer by the end of the year by the time we get to December and January. But just basis what we know now, whatever it's releasing in 2025, we feel quite excited.

Gautam Dutta : And just kind of -- in addition to what Kamal said, one is the fact that you need to view the H1 of this year without any big starrer film getting released. So next year, hopefully, we'll get these blockbusters back even in the H1. Number two, the way this year is panning out and the way we are working on re -release strategy and the alternate content. It's something that will be hugely fine-tuned by the time we hit April of '25.

And we believe that this also has its own little churn and

a science to it, which I think we are

learning. And as Kamal had just explained about 80 -odd re -released films were marketed to our audiences in H1 alone, and this number would surely be upwards of 140, 150 by the time the year ends. So technically, next year, this is another line that we would have got created. Re -releases would be one and the alternate content would be the two.

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And with -- coupled with the fact that some of the big starrer which were completely missing in this year, your Ranbir Kapoor, your Ranveer Singh, Shahrukh Khan, Salman Khan, all of these guys have been -- have not really had any single release this year. And they all probably will be back next year.

Abhishek Kumar : Great. That's very encouraging. One last question on your operating leverage. Has it kind of run its course. By that, what I mean is if the occupancy stays where it is, is this the level of margins or fixed cost that we should expect for our models going forward?

Gaurav Sharma : Abhishek, taking a lot of steps to control our costs, especially the fixed cost and the biggest line item in our fixed cost is occupancy costs, rental and CAM which is driven by the contracts. But even there, wherever properties are underperforming or are located in malls, which are not doing well, we are picking up conversations with developers to re-negotiate rentals.

Rest of the costs on the fixed side, whether it is utilities, overheads, employee costs, we are trying to control as much as possible. And that's one area which the management team is very much focused on. So I think that's what I can tell you without getting into detailed numbers.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark . Please go ahead.

Arun Prasath : My first question is on the F&B spends. If you look at this metric for last four to five quarters, we are more or less -- this number is more or less stable. So have we reached kind of a maximum that we can extract out of the footfalls via the -- without the price increase? Is it -- from here the way forward is only the price increase? Or how we should think about it on this line item?

Gautam Dutta : No. There is a long way to go still. We believe that our SPH has a huge headroom to grow. The H1 really, you're right, has been a bit staggered in terms of when you compare it with last year, but there are reasons around it. There was huge blockbuster films last year, and that too Hollywood films, which drove SPH brilliantly well because Hollywood normally get high-propensity customers to our -- the top line of the cinema.

So because of Hollywood films, because of the fact that we have had muted ATPs, SPH has largely been in line with that. Apart from that, we've also done Cinema Lovers Day, which is also sort of brings down the SPH drastically for that month because roughly about 10% of the total month's footfall hits the cinemas on one day. So having said that, we believe that there's a huge headroom.

There's a lot of innovation that is happening. We are also looking at different formats within F&B to be able to take the growth forward. But this year, clearly, given the fact that last year, we grew fairly sharply, we will -- there will be a little bit of a pressure on SPH, but come next year, I think this will really explode.

Arun Prasath : Okay. Understood. Fair enough. And secondly, the capabilities of closing of the non-performing screens. Can you help us understand -- obviously we will be closing only if, say it's -- obviously for the malls, which are dilapidated, you will be closing no matter what is the rental is. In those cases where the closure is because the mall is good, but you closed it because of the non-performance, that part of the operation is that closure is done or still it is an ongoing process?

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Gaurav Sharma : I think the strategy on the closure of underperforming screens is mainly because we are a mature company with almost 20, 25 years of operations, a lot of cinemas are now -- which were opened maybe 15, 20 years back, are located in malls, which have lived their lives. So as a regular process, we will evaluate our entire portfolio every year.

And we will -- the endeavour is to improve profitability of the business and exit properties which are consistently not doing well because of the mall issue or the location issue or the catchment has become over penetrated. So I think while this year, we have identified about 70-odd screens for exit.

But going forward, maybe about 1% to 2% of our portfolio will undergo a churn where we will replace older screens with newer locations -- newer properties in those locations.

Arun Prasath : Okay. Actually, what I was trying to understand is, what percentage of our, say, underperforming screens is yet to be renegotiated for any rentals if other than the mall -- that is a closure of the mall or other than the location issues and apart from that, is there any scope we have still some 30%, 40% of properties, which is not under -- is not yet renegotiated, but that will lead to a better rental cost control going forward? Is that kind of a commentary? Can you just give some understanding for us?

Gaurav Sharma : So as I said, Arun, I think this is a continuous exercise. We evaluate our entire portfolio on a regular basis. While we are not chasing any target in terms of closures, but wherever we are identifying locations which are not doing well, we are picking up discussions with the landlord or the mall developers to renegotiate the rentals or figure out some operating efficiencies to turn around the location.

Having said that, I think going forward, it's going to be a continuous exercise. There is no specific percentage of closures or there is no specific properties that we are wanting specifically

to exit.

Arun Prasath : Finally, we spoke about a lot of emphasis on the i ncreasing the screen presence in South. South is, obviously, beyond the top cities. If you look at the Tier 2, Tier 3 cities, the supply of mall may not keep in place. So how we are planning to address this supply issue because obviously, we will need some kind of developer support to increase our screen share in the South.

Pramod Arora : So wherever the malls are coming in, there we are going in. You addressed it right in terms of - your question is right in terms of suggesting that there are not too many malls coming up in the interiors of smaller towns in the South, but this is changing very fast. From Cuddalore to other small cities like Tirunelveli many, many small cities in South are now coming up with shopping centres or malls which are housing cinema s.

And that is where we are going. Besides that, we are also using the push factor to reach out to developers in these small towns, suggesting them for malls wherein we can house the cinemas looking at the economic viability of the complete shopping centr e, and that is working favourably for us.

Arun Prasath : And these new shopping malls or shopping centr es, this will be an asset -light model for us?

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Pramod Arora : Most of them would be asset -light model for us.

Arun Prasath : So developer has to contribute a substantial capex ?

Pramod Arora : Yes. The developer has to contribute substantial capex and he's getting returns in either in the form of rental or in the revenue share, where he is able to make up in case the centr e does well.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities Limited. Please go ahead.

Umang Mehta : Just continuing the last question. So what is the new screen guidance for next year FY '26, and the capex guidance for the same? And what would be

the mix of FOCO and management properties within that plan?

Pramod Arora : The first question, we shall be roughly going at 100 screens per annum, give and take 20 screens, it could be 80, it could be 120. That is the screen count that looks year after year for the next few years. In terms of the FOCO which is franchisee -owned company -operated, we are looki ng at about 15% of the screens coming up in FOCO which is franchisee -owned company -opera ted. About 35% to 50% coming up in the asset -light model. And balance would be again structured lease model.

Umang Mehta : Understood. Then maybe Gaurav could help. So in terms of capex , should we expect decline from INR475-odd crores, which you expect this year given that asset light is fairly high?

Gaurav Sharma : Umang this year, our endeavo ur is to do about INR400 crores of capex . In the first half, we have done about INR205 crores. So we are well within our target for the year. Next year, as Pramod said, the mix of asset -light or capital -light screens and properties will increase. As a result, our share of capex outflow for new screen additions should ideally come down. But we will not be able to give you exact guidance of what we are targeting next year.

We will do that as part of our AOP planning by the end of this year. But overall, I think we should be in the ballpark of INR400 crores to INR500 crores. As a strategy, we will allocate slightly more capex on renovation where our high value, high performi ng properties where the payback periods are much faster and the risk is much lower. So some -- incremental capex allocation will be towards the renovation side.

Umang Mehta : Understood. Makes sense. And just my second question, it is not related to your co re business, but on the food delivery business of PVR Cafe. Anything you can share on that, any current plans to scale it up or anything on that?

Gautam Dutta : So that's on course. We still need a lot of work to be done on that because when we work with Zomato and Swiggy there, we realized that given the fact that cinemas are on the third floor, our deliveries tend to get a bit delayed. The walkers need to come to the third floor to collect. So while in South, we're doing some brisk business around home del ivery because a lot of cinemas do manage to get the food down to the box office, where it's very easily collectible.

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But overall, I would say that we still have to crack this model fully and perhaps set up dark kitchens under the name of PVR Cafe to be abl e to deliver. Delivering from cinema will always give us an incremental food sales or an SPH, but it could only be limited to an X amount, and we need to re look at the delivery model completely there.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid : This is also in line with what the previous speaker had asked, what should we model in terms of

sort of annual occupancy ratios since this is mostly become a eight to nine-month kind of a business model with IPL every year and some of the other events and T20 World Cup every second year and 50-over World Cup every four years, and many of the sporting events. What should we work with in terms of annual occupancy rate, something that the company is targeting?

Gaurav Sharma : We're not targeting any annual occupancy rate because it's very difficult in our business to say how the films will perform also dependent on supply of the films and their performance. While -- therefore, it will be very difficult for us to provide you a guidance on what you should model in your assumptions for occupancy. But as Kamal was referring at the beginning of the call, in financial year '26, we have a very strong line-up of films .

Some of the biggest blockbusters from some of the biggest stars is lined up across Hindi as we

II

as Hollywood and regional films. So on the basis of line-up, I think our feeling is that next year could be possibly a very strong year in terms of occupancy levels. Very difficult to comment on exact numbers. But I think I would restrict to that. Kamal, you would like to add anything?

Kamal Gianchandani : Yes. No, I think you've covered it well. I would only add to what Gaurav is saying that this point that you raised about World Cup and IPL or some other sporting event or some other global events, which could impact the release schedule in India. See it is a function of number of the quantity of films that get produced and which are ready for release. If that quantity goes up, producers would tend to come out and compete with these global or local events as they have done in the past, as they used to do pre-COVID. So once the quantity of films, good quality or wide release films goes up, you would find that they would also start releasing it during IPL, during World Cup, during other events. And they'll figure out a way to coexist with them.

Moderator: The next question is from the line of Sukant Garg from Equile Research Private Limited . Please go ahead.

Sukant Garg: So my question is related to the JV that we are pursuing with Devyani International, first one. And my second question is regarding PVR Cinemagic. So I heard news around four months back that there is a new range of cinema screens that has been launched by PVR called PVR Cinemagic, but that's been suspended in a very short span of time. So is there a particular reason for that?

Gaurav Sharma : Sorry, can you repeat your question on the food court, what exactly you're seeking ?

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Sukant Garg: So my first question is the state of the JV with Devyani International. When it is going to be launched, when it is expected to be launched? And my second question is regarding PVR Cinemagic. So which I heard that there is a new set of screens being launched by PVR around May '24 called PVR Cinemagic, but it is suspended in a very short span of time. Why so? So is there any particular reason for that?

Alok Tandon : Okay. So let me take the second question first. Cinemagic has not been suspended. Those 4 schemes are changing the interiors. We are doing some changes after. We've got some feedback from the guests. So just to assure you that Cinemagic has not been suspended and we'll be opening it soon. So that's first. Secondly, where with Devyani our joint venture is concerned, it's on track.

And we are hoping to open the first food court in December. So that's we are working towards it. That's our endeavour . And we all are looking to ensure that the first food court opens by December.

Sukant Garg: Just to follow up on that. For PVR Cinemagic, are we planning to expand that also in other parts of the country? Or it is just going to remain in very specific concept as an experimental experience?

Pramod Arora : Yes, Cinemagic would expand to different parts of the country, wherever the demographics permit us to do so. So it's conceptually a little different from the other cinemas. And it will expand into other parts of the country also as well.

Moderator: The next question is from the line of Ketan Athavale from RoboCapital. Please go ahead.

Ketan Athavale : I just wanted to know pre-Ind AS EBITDA guidance?

Moderator: Sorry to interrupt you, sir. I request you to use the handset, please.

Ketan Athavale : I will come back in the queue.

Moderator: The next question is from the line of Nitin Sharma from Seeberg Private Limited . Please go ahead.

Nitin Sharma : Firstly, can you please point out how many of this closed screens in the first half include premium format? And then I have a follow-up.

Gaurav Sharma : So there is no premium format. These are all old screens, 15 years old, 10 years old screens. They're all mainstream

regular screens.

Nitin Sharma : Understood. And secondly, is there a level of gross debt that you aim to achieve by end of this year or the next year?

Gaurav Sharma : Can you please repeat?

Nitin Sharma : Yes. Is there a target debt level that you also achieve by end of this year or the next?

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Gaurav Sharma : Yes. I think our capital allocation strategy is clear that whatever free cash flow that we generate from the business after meeting our capex requirements will go towards debt reduction. And that's what you can see in this first half as well. While our gross debt levels have been same, our net debt levels have come down, we've built up reserves to take care of contingencies. Our idea is to reduce overall gross debt levels in the next couple of years by a significant number.

Moderator: The next question is from the line of Palvir Bahia from HALO Global Asset Management . Please go ahead.

Palvir Bahia : Yes, I just wanted like how do you think about profitability? Just going back to an earlier question, you're at sort of 25% give or take occupancy you're on a relatively good quarter. I appreciate what you're saying about next year. But again, that's very much reliant on the supply of new films and the success of those. In terms of how you're modeling your business, how should we -- and how do you think about the sort of ongoing profitability?

What is breakeven for your business? And is it really -- will it come down to occupancy for you to generate sustained profitability going from here? And what are the levers do you have to give us confidence that you can sort of sustainably be profitable on a continued run rate from here?

Gaurav Sharma : I think on profitability, if you look at our second quarter at a 25.5% occupancy, we did roughly 13% EBITDA margin, which is similar to what we did in financial year '24, where we had 25% occupancy and 13% operating margins. I think as the occupancy levels go up, which we feel should go up in the quarter three, quarter four and next year because of operating leverage, the improvement in operating margins will be more.

When you compare -- when you look at our quarter two earnings last year, where we had a 32% occupancy, we did roughly 22% EBITDA margins. So I think that's the range where we are operating. A lot of synergy benefits are already baked into the business. As the occupancy levels improve, we will see a substantial increase in operating margins of the business.

It's very difficult to model the occupancy numbers because it's highly dependent on the line-up of films and the performance of films which are released. But on the fixed cost control side, we are very, very focused towards controlling all the controllable fixed costs and trying to renegotiate rentals wherever the opportunity exists.

Palvir Bahia : It's difficult as analyst to try and just put in an occupancy number which is higher given the trend at the moment. And we've had -- I appreciate you've had a lot of disruption via COVID, with the election. But there's still a lot of hope, it's just I think we're getting a lot of questions on this.

Moderator: The next question is from the line of Ketan Athavale from RoboCapital. Please go ahead.

Ketan Athavale: Am I audible now?

Gaurav Sharma : Yes, we can hear you.

Ketan Athavale: Yes. I just wanted pre-Ind AS EBITDA guidance.

Gaurav Sharma : Sorry, can you repeat?

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Ketan Athavale: I just wanted pre-Ind AS EBITDA guidance.

Gaurav Sharma : Sorry Ketan, we don't provide guidance on EBITDA numbers. So I don't think we'll be able to address that question.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I would now like to hand over the conference to the management for closing comments.

Gaurav Sharma : Thank you so much, everyone,

for joining this call. I really appreciate your time.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

18th October , 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
Bandra Kurla Complex, PJ Towers, Dalal Street,
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Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation to our letter dated 9th October , 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. We wish to inform you that the officials of the Company had participated in the conference call for analysts and investors held on Tuesday, 15th October , 2024 for post announcement of Financial Results for the 2nd Quarter and six months ended 30th September , 2024.

Please find enclosed the copy of transcript in this regard.

This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Ajay Kumar Bijli
Managing Director

Encl.: a/a

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"PVR -INOX Limited
Q2 & H1 FY '25 Results Conference Call "
October 15, 2024

MANAGEMENT : MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. GAURAV SHARMA –CHIEF FINANCIAL OFFICER –
PVR -INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER ,
GROWTH & INVESTMENT – PVR -INOX LIMITED
MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER ,
REVENUE & OPERATIONS – PVR -INOX LIMITED

MR. KAMAL GIANCHANDANI – CHIEF , BUSINESS
PLANNING , STRATEGY – PVR -INOX LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited Q2 FY '25 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an Moderator: by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Perival from Axis Capital Limited. Thank you, and over to you, sir.

Ankur Perival : Thank you, Neha. Good afternoon, friends, and welcome to PVR INOX Limited Q2 and H1 FY '25 post result earnings call. The call will start with a brief management discussion on the earnings performance followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel. Over to Mr. Sanjeev for your initial comments.

Sanjeev Kumar: Thank you very much. Dear all, I'd like to invite you all to discuss the unaudited results for the quarter and the half year ending September 30th, 2024. We uploaded the earnings presentation and the results on our company's and the stock exchange's website earlier today, and I hope you've had a chance to review them.

Box office collection during the quarter saw a 40% sequential increase driven by a strong bounce back in Bollywood, led by the record-breaking success of *Street 2*. Now the highest grossing Hindi film of all time. This surge was further boosted by *Kalki*'s strong performance in both Hindi and Telugu markets as well as exceptional success of *Deadpool & Wolverine*, which became the highest grossing R-rated movie worldwide earning \$1.3 billion at the global box office. Our strategy of re-releasing older films has been highly successful contributing nearly 6% of admissions during the quarter. Re-releases offer consumers additional choices during leaner periods for a big screen experience.

The strong box office performance for both new releases and older classics demonstrates a good quality content with the primary factor that drives cinema attendance. This also reaffirms the profound love of Indian audiences for cinematic experiences. We celebrated the National Cinema Day on 20th September, which saw an overwhelming response. More than 11 multiplex chains and over 4,000 screens across India participated in this initiative and PVR INOX welcomed 1 million guests to our cinemas, making it one of the biggest days of the current fiscal year.

Overall, in Q2 FY '25, we welcomed 38.8 million guests across our cinemas. In terms of the financial results for the quarter, the following numbers are after adjusting for the impact of Ind AS 116 on lease accounting. Total revenue for the quarter was INR1,642 crores, EBITDA INR207 crores and PAT was at INR22 crores as compared to a revenue of INR2,020 crores, EBITDA of INR447 crores and a PAT of INR207 crores in the same period last year.

In the coming quarter, we have several exciting Hindi films. Last week, we had *Vicky Vidya Ka Woh Wala Video* and *Jigra* performing well at the cinemas. During Diwali in November, we have the highly anticipated multi-starrer release *Singham Again* and *Bhool Bhulaiyaa 3*. Pushpa

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2 is releasing in five languages in the first week of December and is expected to be a mega blockbuster. December also has *Baby John* starring Varun Dhawan.

From Hollywood, we have *Venom*, *Gladiator 2*, *Kraven the Hunter*, *Mufasa: The Lion King*, among others. And in regional languages, we have *Kanguva*, which is, again, a multilingual language release. We are highly focused on executing our strategy of

driving free cash flow

generation, improving return metrics and reducing debt. Despite a relatively soft first half in FY '25, the company generated positive free cash flow and reduced net debt by INR141 crores.

PVR INOX continues its strong growth momentum adding 71 new screens till date in this fiscal, while strategically exiting 42 underperforming screens. For the full year, the company expects to open around 110 to 120 new screens and exit 70 underperforming screens. Our current screen portfolio stands at 1,747 screens across 356 cinemas in 111 cities in India and Sri Lanka. Thank you very much, and I have opened the platform for any Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line Abneesh Roy from Nuvama Wealth. Please go ahead.

Abneesh Roy: My first question is on the re-releases. Two, three sub-questions there. One is when I see PVR share versus the India share, it's ranging from 50% to 95% in the three movies where you have given the data. So I wanted to understand why we have such a range, maybe because some are only in your screens and may not be widespread. So I wanted to understand what is the science behind this?

Second is in a year, how many movies would you be doing in terms of re-releases. For example, October month, again, the current month. Bollywood scheduling seems again quite weak. So are you planning some re-releases again right now? Third is in terms of variable cost, I understand you have got 6% admissions from re-releases. But in terms of variable cost and occupancy, if you could give some data, do you make good profits here?

Or it's more of a marketing exercise to increase the movie overall consumption habit as such?

Sanjeev Kumar: Kamal, would you like to take that on the re-release strategy first, there's multiple questions.

Kamal Gianchandani: Sure. Abneesh your first question, can you please refresh what was the first part of your question?

Abneesh Roy: Yes, 50% to 95% range between PVR and total in the three examples which you have given re-releases, the range is between 50% to 95%. So why such a wide range?

Kamal Gianchandani: Re-release is something which has been happening in film business for a very long period of time. And usually, it's been tactical. If it's an actor's birthday or if there is some event being celebrated, we tend to have either a festival or we bring back a popular film of that particular actor. But in the last, I would say, eight to nine months, we've seen consistent behaviour from re-releases, where re-releases quite a few of them have performed almost like a brand-new film.

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And this many people found it -- I mean this came in as unexpected. Many people were surprised and we thought it's a fluke, but it has managed to sustain itself. And initially because a lot of people didn't believe in the sort of long-term sustainability of this new trend that was emerging, a lot of exhibitors are not participating in re-releases. And as you know, PVR INOX has always been experimental. We've been more receptive.

We like to sort of push the envelope a bit. So we sort of participated aggressively. And this is why the earlier releases, Rockstar, Love Story, Rehna Hai Tere Dil Mein, PVR INOX had a disproportionate contribution in the all India because it's pretty much released in the entire chain of PVR INOX. By the time, Tumbbad came out in late August, September, more exhibitors sort of jumped on to the bandwagon.

And you see the contribution of PVR INOX in Tumbbad, has come back to -- has become more sort of closer to what a standard contribution is in the overall box office. So that's the answer to your first question. The second one was, I think whether this is a sustainable thing or just the marketing initiative...

Abneesh Roy: Given ATP is lower and m

y sense is occupancy also would be lower. If you could tell us in terms

of variable cost, would you be making money here in terms of do you take that into account?

Kamal Gianchandani: So without getting into specifics, it's a profitable initiative. You have to appreciate in our businesses, we -- there are weeks which are lean in nature and therefore, it gives us, the percentage occupancy that you do with the film is relative to the kind of period in which you're playing it, right? So we would not do a re-release in a week in which we've got two brand-new films which are blockbuster -- potentially a blockbuster category film.

We would never do a re-release in that week. But in a week where we have soft releases or we have scarce releases, we will come out with a re-release. And therefore, in that context, with that background, if a re-release does good business, above the threshold admissions that we normally do, is profitable for us. At a variable level, it's able to give us a contribution which helps us recover our overall fixed cost. What was your third question? Could you please repeat?

Abneesh Roy: Yes, it was again related to this only. So who is doing the planning for this? For example, in October month, again, Bollywood looks reasonably weak. So are there more movies planned in October month?

Kamal Gianchandani: Yes. We believe like the trend of South films being dubbed in Hindi, which has become like a sustainable practice or sustainable trend, which is doing very handsome numbers. We believe this -- the trend of re-releases is here to stay. We've got internally people who are constantly looking at opportunities and not, of course, not all re-releases do well at the box office. So you also have to curate content. You also have to be careful.

So we have a lot of people internally who are working at these gaps and opportunities. But at the same time, we also keep getting a lot of initiatives from the production houses, a lot of producers keep approaching us. For example, Khosla Ka Ghosla, which is releasing on 18th, we were approached by the producer. And of course, we depend on the producers for logistics,

So therefore, producers' initiative -- producers' interest in a re-release is also extremely important. So in many cases, we also get approached by producers. So it's a bit of both. Like we do a lot of internal planning, but producers also similarly take a lot of initiative.

Abneesh Roy: Sure. My second and last question will be on Q3. Last year, Q2 was extremely strong and you expressed optimism that maybe Q3 will also be quite close to it. Given how October month is looking, big week on the Hindi movie side. Is your expectation a bit on the optimistic side, given we'll have two months largely to overcome the very strong Q2?

Kamal Gianchandani : Well, looking at the line-up, looking at the line of sight in terms of films, we are confident November and December will do massive numbers. We don't want to get into specifics for these numbers. And I'm not trying to compare Q3 of this year with Q2 of last year. But suffice to say that in November and December, we'll do very strong numbers. In October, we are still in the middle of October. Venom is another film, which is keenly awaited. We expect Q3 to be quite robust. It will probably be the best quarter in this -- I mean most likely it will be the best quarter in this financial year.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi : Sir, I have a bookkeeping question. So if I remember right, our contract with BMS ended some time back. And now I believe the convenience income is variable in nature and ideally it should move in tandem with the box office performance, if I'm not mistaken. Now in this quarter,

we

saw a 25% fall on a Y-o-Y basis in our net box office collection, but the convenience income was down by only 5%. So has there been any revision in rates with BMS this time around?

Gaurav Sharma : Jinesh, this is Gaurav here. Let me take that question. The BMS contract was renewed last year itself, and we have a four-year term with BMS and that will expire by 2027. The 5% drop in convenience fee as compared to 25% drop in box office you've seen because during the quarter, what had happened was Paytm sold their ticketing business to Zomato. And as a part of that transaction, there was an arrangement between PVR INOX and Paytm, where IT integration services and support was provided by PVR INOX in the integration and transfer of their ticketing business to Zomato. And we have received some onetime payment on account of that IT integration process, which has been accounted for in the quarter two convenience fee. As a result, the convenience fee in quarter two is higher or the drop is lower compared to the box office drop in revenues.

Jinesh Joshi : Got that. Sir, second bookkeeping question is on the rent expense, which is flat on a Y-o-Y basis despite a 2% increase in the weighted average screen count. So if you can share the reason behind it? And also our film hire cost is down on Y-o-Y basis. So has there been any change in terms of our agreement with the distributors during the quarter? And the related follow-up is that for re-releases, do we pay a similar film hire cost? Or is it a bit lower?

Gaurav Sharma : On the film hire terms, there is no change in the contract terms. The drop compared to last year quarter two was mainly because of the revenue share that got triggered in both rentals as well as film hire charges last year -- sorry, only on the rentals, but in film hire charges last year in quarter

two, there were films which did very well. So we had to pay out some bonuses. As a result, last year, both FHC as well as the rentals to the landlords were higher compared to this year. In addition to that, we are also keeping a very close eye on our rental costs. We have taken a lot of initiative in renegotiating rentals in properties where there was underperformance and that is also reflected in the rental cost reduction.

Jinesh Joshi : And the re-release part, if you can just highlight that?

Gaurav Sharma : On the re-releases, I think Kamal had mentioned earlier, without getting into specific details, the film hire charges that we pay to the producers on older films that are re-released are lower compared to what we pay for a newer film. And therefore, the gross margin there is higher. But at the same time, the average ticket price is also lower. While in terms of percentage gross margin, it is higher but may be comparable in terms of absolute value.

Jinesh Joshi : Understood. Sir, one last question from my side. I think some time back, there was some news article in the media which stated that the Tamil Film Producers Association has called for a temporary halt on all film-related activities from November 1. Any idea whether this will be implemented or you expect some kind of a solution to be figured out by then?

Kamal Gianchandani : It turned out to be a media speculation. No such halt to the production has taken place in Tamil Nadu. Films are being produced and being shot at the regular pace. So it was just pure media speculation.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : See, this quarter, in many ways, represent a typical probably period for us where a couple of months were very strong , 1 month was relatively soft, we did reruns, etcetera. And still, after all that, the occupancy for the quarter was 25.7%. So is that the new normal that we should look at in the movie exhibition business? Because

e obviously, we can't expect every quarter to be like

Q2 of last year or Q3 of this year.

So just your view on what should be the new normal for occupancy? And if it has to go up on a sustainable basis, what would it take for the occupancies to move up?

Gaurav Sharma : Kamal, you would like to take that?

Kamal Gianchandani : Sure. So firstly, in terms of occupancy percentage, we hope and all the effort the entire PVR INOX team puts -- it's in the direction of raising this occupancy, improving this occupancy percentage. So while it's a good percentage, it's something which, especially given the backdrop of COVID, we've come a long way. But we believe there is a lot of headroom to grow, and we are not sort of pausing and being satisfied with this percentage.

The reason I say there is headroom to grow is because post -COVID the back -end production side of our business was, I wouldn't say disrupted. Disrupted in a strong word, but it was definitely disturbed. A lot of producers who are regularly churning out films took a pause and a PVR INOX Limited

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lot of people went into that zone where they became quite unsure whether they should make A film or B film or a C film .

And there is a lot of sort of the green -lighting process went through a lot of churn because the consumer taste was changing, box office had become more unpredictable. But in the last, I would say, 15, 18 months, there is more semblance to the box office, is becoming more and more like what we used to experience pre -COVID. And currently, the challenge that we face is with the quantity of films, quantity of, I would say, wide releases.

But in terms of quality, in terms of admission per film, we are pretty much back to 2019 levels.

So in terms of audiences coming and patronizing films of their choice , we are back to 2019 level.

And therefore, producers are very confident. They're enjoying a good run at the box office. A lot of producers are also laughing all the way to the bank because of the success that we're seeing at the box office.

But at the same time, the quantity is still not back in shape. It is still not back at the level at which it used to be in 2019. So that's an area where we are hoping over the next 12, 15 months, we will see a lot of improvement, the quantity of wide releases, good quality, big budget films or mid -budget films, that number will increase. And hopefully, that will help us increase the percentage of occupancy.

Abhishek Kumar : Okay. That's helpful. So just picking up on that, based on your conversations, do you think that the pipeline for next year by studios, etcetera, is looking better compared to what it has been so far this year in terms of just the quantity?

Kamal Gianchandani : Certainly, both in case in Hindi, regional Indian films and also in case of Hollywood. Hollywood, as you know, was disrupted because of the strike. That's behind us. And therefore, the number of wide releases that you will see globally, including India, would be much more than what we have seen in 2024 and '23. And in Hindi, we see a lot of producers who were on a pause mode. They have become active.

And we see -- looking at the -- I mean, the line of sight will become much more clearer by the end of the year by the time we get to December and January. But just basis what we know now, whatever it's releasing in 2025, we feel quite excited.

Gautam Dutta : And just kind of -- in addition to what Kamal said, one is the fact that you need to view the H1 of this year without any big starrer film getting released. So next year, hopefully, we'll get these blockbusters back even in the H1. Number two, the way this year is panning out and the way we are working on re -release strategy and the alternate content. It's something that will be hugely fine-tuned by the time we hit April of '25.

And we believe that this also has its own little churn and

a science to it, which I think we are

learning. And as Kamal had just explained about 80 -odd re -released films were marketed to our audiences in H1 alone, and this number would surely be upwards of 140, 150 by the time the year ends. So technically, next year, this is another line that we would have got created. Re -releases would be one and the alternate content would be the two.

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And with -- coupled with the fact that some of the big starrer which were completely missing in this year, your Ranbir Kapoor, your Ranveer Singh, Shahrukh Khan, Salman Khan, all of these guys have been -- have not really had any single release this year. And they all probably will be back next year.

Abhishek Kumar : Great. That's very encouraging. One last question on your operating leverage. Has it kind of run its course. By that, what I mean is if the occupancy stays where it is, is this the level of margins or fixed cost that we should expect for our models going forward?

Gaurav Sharma : Abhishek, taking a lot of steps to control our costs, especially the fixed cost and the biggest line item in our fixed cost is occupancy costs, rental and CAM which is driven by the contracts. But even there, wherever properties are underperforming or are located in malls, which are not doing well, we are picking up conversations with developers to re-negotiate rentals.

Rest of the costs on the fixed side, whether it is utilities, overheads, employee costs, we are trying to control as much as possible. And that's one area which the management team is very much focused on. So I think that's what I can tell you without getting into detailed numbers.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark . Please go ahead.

Arun Prasath : My first question is on the F&B spends. If you look at this metric for last four to five quarters, we are more or less -- this number is more or less stable. So have we reached kind of a maximum that we can extract out of the footfalls via the -- without the price increase? Is it -- from here the way forward is only the price increase? Or how we should think about it on this line item?

Gautam Dutta : No. There is a long way to go still. We believe that our SPH has a huge headroom to grow. The H1 really, you're right, has been a bit staggered in terms of when you compare it with last year, but there are reasons around it. There was huge blockbuster films last year, and that too Hollywood films, which drove SPH brilliantly well because Hollywood normally get high-propensity customers to our -- the top line of the cinema.

So because of Hollywood films, because of the fact that we have had muted ATPs, SPH has largely been in line with that. Apart from that, we've also done Cinema Lovers Day, which is also sort of brings down the SPH drastically for that month because roughly about 10% of the total month's footfall hits the cinemas on one day. So having said that, we believe that there's a huge headroom.

There's a lot of innovation that is happening. We are also looking at different formats within F&B to be able to take the growth forward. But this year, clearly, given the fact that last year, we grew fairly sharply, we will -- there will be a little bit of a pressure on SPH, but come next year, I think this will really explode.

Arun Prasath : Okay. Understood. Fair enough. And secondly, the capabilities of closing of the non-performing screens. Can you help us understand -- obviously we will be closing only if, say it's -- obviously for the malls, which are dilapidated, you will be closing no matter what is the rental is. In those cases where the closure is because the mall is good, but you closed it because of the non-performance, that part of the operation is that closure is done or still it is an ongoing process?

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Gaurav Sharma : I think the strategy on the closure of underperforming screens is mainly because we are a mature company with almost 20, 25 years of operations, a lot of cinemas are now -- which were opened maybe 15, 20 years back, are located in malls, which have lived their lives. So as a regular process, we will evaluate our entire portfolio every year.

And we will -- the endeavour is to improve profitability of the business and exit properties which are consistently not doing well because of the mall issue or the location issue or the catchment has become over penetrated. So I think while this year, we have identified about 70 -odd screens for exit .

But going forward, maybe about 1% to 2% of our portfolio will undergo a churn where we will replace older screens with newer locations -- newer properties in those locations.

Arun Prasath : Okay. Actually, what I was trying to understand is, what percentage of our, say, underperforming screens is yet to be renegotiated for any rentals if other than the mall -- that is a closure of the mall or other than the location issues and apart from that, is there any scope we have still some 30%, 40% of properties, which is not under -- is not yet renegotiated, but that will lead to a better rental cost control going forward? Is that kind of a commentary? Can you just give some understanding for us?

Gaurav Sharma : So as I said, Arun, I think this is a continuous exercise. We evaluate our entire portfolio on a regular basis. While we are not chasing any target in terms of closures, but wherever we are identifying locations which are not doing well, we are picking up discussions with the landlord or the mall developers to renegotiate the rentals or figure out some operating efficiencies to turn around the location.

Having said that, I think going forward, it's going to be a continuous exercise. There is no specific percentage of closures or there is no specific properties that we are wanting specifically

to exit.

Arun Prasath : Finally, we spoke about a lot of emphasis on the i ncreasing the screen presence in South. South is, obviously, beyond the top cities. If you look at the Tier 2, Tier 3 cities, the supply of mall may not keep in place. So how we are planning to address this supply issue because obviously, we will need some kind of developer support to increase our screen share in the South.

Pramod Arora : So wherever the malls are coming in, there we are going in. You addressed it right in terms of - your question is right in terms of suggesting that there are not too many malls coming up in the interiors of smaller towns in the South, but this is changing very fast. From Cuddalore to other small cities like Tirunelveli many, many small cities in South are now coming up with shopping centres or malls which are housing cinema s.

And that is where we are going. Besides that, we are also using the push factor to reach out to developers in these small towns, suggesting them for malls wherein we can house the cinemas looking at the economic viability of the complete shopping centr e, and that is working favourably for us.

Arun Prasath : And these new shopping malls or shopping centr es, this will be an asset -light model for us?

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Pramod Arora : Most of them would be asset -light model for us.

Arun Prasath : So developer has to contribute a substantial capex ?

Pramod Arora : Yes. The developer has to contribute substantial capex and he's getting returns in either in the form of rental or in the revenue share, where he is able to make up in case the centr e does well.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities Limited. Please go ahead.

Umang Mehta : Just continuing the last question. So what is the new screen guidance for next year FY '26, and the capex guidance for the same? And what would be

the mix of FOCO and management properties within that plan?

Pramod Arora : The first question, we shall be roughly going at 100 screens per annum, give and take 20 screens, it could be 80, it could be 120. That is the screen count that looks year after year for the next few years. In terms of the FOCO which is franchisee -owned company -operated, we are looki ng at about 15% of the screens coming up in FOCO which is franchisee -owned company -opera ted. About 35% to 50% coming up in the asset -light model. And balance would be again structured lease model.

Umang Mehta : Understood. Then maybe Gaurav could help. So in terms of capex , should we expect decline from INR475-odd crores, which you expect this year given that asset light is fairly high?

Gaurav Sharma : Umang this year, our endeavo ur is to do about INR400 crores of capex . In the first half, we have done about INR205 crores. So we are well within our target for the year. Next year, as Pramod said, the mix of asset -light or capital -light screens and properties will increase. As a result, our share of capex outflow for new screen additions should ideally come down. But we will not be able to give you exact guidance of what we are targeting next year.

We will do that as part of our AOP planning by the end of this year. But overall, I think we should be in the ballpark of INR400 crores to INR500 crores. As a strategy, we will allocate slightly more capex on renovation where our high value, high performi ng properties where the payback periods are much faster and the risk is much lower. So some -- incremental capex allocation will be towards the renovation side.

Umang Mehta : Understood. Makes sense. And just my second question, it is not related to your co re business, but on the food delivery business of PVR Cafe. Anything you can share on that, any current plans to scale it up or anything on that?

Gautam Dutta : So that's on course. We still need a lot of work to be done on that because when we work with Zomato and Swiggy there, we realized that given the fact that cinemas are on the third floor, our deliveries tend to get a bit delayed. The walkers need to come to the third floor to collect. So while in South, we're doing some brisk business around home del ivery because a lot of cinemas do manage to get the food down to the box office, where it's very easily collectible.

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But overall, I would say that we still have to crack this model fully and perhaps set up dark kitchens under the name of PVR Cafe to be abl e to deliver. Delivering from cinema will always give us an incremental food sales or an SPH, but it could only be limited to an X amount, and we need to re look at the delivery model completely there.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid : This is also in line with what the previous speaker had asked, what should we model in terms of

sort of annual occupancy ratios since this is mostly become a eight to nine-month kind of a business model with IPL every year and some of the other events and T20 World Cup every second year and 50-over World Cup every four years, and many of the sporting events. What should we work with in terms of annual occupancy rate, something that the company is targeting?

Gaurav Sharma : We're not targeting any annual occupancy rate because it's very difficult in our business to say how the films will perform also dependent on supply of the films and their performance. While -- therefore, it will be very difficult for us to provide you a guidance on what you should model in your assumptions for occupancy. But as Kamal was referring at the beginning of the call, in financial year '26, we have a very strong line-up of films .

Some of the biggest blockbusters from some of the biggest stars is lined up across Hindi as we

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as Hollywood and regional films. So on the basis of line-up, I think our feeling is that next year could be possibly a very strong year in terms of occupancy levels. Very difficult to comment on exact numbers. But I think I would restrict to that. Kamal, you would like to add anything?

Kamal Gianchandani : Yes. No, I think you've covered it well. I would only add to what Gaurav is saying that this point that you raised about World Cup and IPL or some other sporting event or some other global events, which could impact the release schedule in India. See it is a function of number of the quantity of films that get produced and which are ready for release. If that quantity goes up, producers would tend to come out and compete with these global or local events as they have done in the past, as they used to do pre-COVID. So once the quantity of films, good quality or wide release films goes up, you would find that they would also start releasing it during IPL, during World Cup, during other events. And they'll figure out a way to coexist with them.

Moderator: The next question is from the line of Sukant Garg from Equile Research Private Limited . Please go ahead.

Sukant Garg: So my question is related to the JV that we are pursuing with Devyani International, first one. And my second question is regarding PVR Cinemagic. So I heard news around four months back that there is a new range of cinema screens that has been launched by PVR called PVR Cinemagic, but that's been suspended in a very short span of time. So is there a particular reason for that?

Gaurav Sharma : Sorry, can you repeat your question on the food court, what exactly you're seeking ?

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Sukant Garg: So my first question is the state of the JV with Devyani International. When it is going to be launched, when it is expected to be launched? And my second question is regarding PVR Cinemagic. So which I heard that there is a new set of screens being launched by PVR around May '24 called PVR Cinemagic, but it is suspended in a very short span of time. Why so? So is there any particular reason for that?

Alok Tandon : Okay. So let me take the second question first. Cinemagic has not been suspended. Those 4 schemes are changing the interiors. We are doing some changes after. We've got some feedback from the guests. So just to assure you that Cinemagic has not been suspended and we'll be opening it soon. So that's first. Secondly, where with Devyani our joint venture is concerned, it's on track.

And we are hoping to open the first food court in December. So that's we are working towards it. That's our endeavour . And we all are looking to ensure that the first food court opens by December.

Sukant Garg: Just to follow up on that. For PVR Cinemagic, are we planning to expand that also in other parts of the country? Or it is just going to remain in very specific concept as an experimental experience?

Pramod Arora : Yes, Cinemagic would expand to different parts of the country, wherever the demographics permit us to do so. So it's conceptually a little different from the other cinemas. And it will expand into other parts of the country also as well.

Moderator: The next question is from the line of Ketan Athavale from RoboCapital. Please go ahead.

Ketan Athavale : I just wanted to know pre-Ind AS EBITDA guidance?

Moderator: Sorry to interrupt you, sir. I request you to use the handset, please.

Ketan Athavale : I will come back in the queue.

Moderator: The next question is from the line of Nitin Sharma from Seeberg Private Limited . Please go ahead.

Nitin Sharma : Firstly, can you please point out how many of this closed screens in the first half include premium format? And then I have a follow-up.

Gaurav Sharma : So there is no premium format. These are all old screens, 15 years old, 10 years old screens. They're all mainstream

regular screens.

Nitin Sharma : Understood. And secondly, is there a level of gross debt that you aim to achieve by end of this year or the next year?

Gaurav Sharma : Can you please repeat?

Nitin Sharma : Yes. Is there a target debt level that you also achieve by end of this year or the next?

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Gaurav Sharma : Yes. I think our capital allocation strategy is clear that whatever free cash flow that we generate from the business after meeting our capex requirements will go towards debt reduction. And that's what you can see in this first half as well. While our gross debt levels have been same, our net debt levels have come down, we've built up reserves to take care of contingencies. Our idea is to reduce overall gross debt levels in the next couple of years by a significant number.

Moderator: The next question is from the line of Palvir Bahia from HALO Global Asset Management . Please go ahead.

Palvir Bahia : Yes, I just wanted like how do you think about profitability? Just going back to an earlier question, you're at sort of 25% give or take occupancy you're on a relatively good quarter. I appreciate what you're saying about next year. But again, that's very much reliant on the supply of new films and the success of those. In terms of how you're modeling your business, how should we -- and how do you think about the sort of ongoing profitability?

What is breakeven for your business? And is it really -- will it come down to occupancy for you to generate sustained profitability going from here? And what are the levers do you have to give us confidence that you can sort of sustainably be profitable on a continued run rate from here?

Gaurav Sharma : I think on profitability, if you look at our second quarter at a 25.5% occupancy, we did roughly 13% EBITDA margin, which is similar to what we did in financial year '24, where we had 25% occupancy and 13% operating margins. I think as the occupancy levels go up, which we feel should go up in the quarter three, quarter four and next year because of operating leverage, the improvement in operating margins will be more.

When you compare -- when you look at our quarter two earnings last year, where we had a 32% occupancy, we did roughly 22% EBITDA margins. So I think that's the range where we are operating. A lot of synergy benefits are already baked into the business. As the occupancy levels improve, we will see a substantial increase in operating margins of the business.

It's very difficult to model the occupancy numbers because it's highly dependent on the line-up of films and the performance of films which are released. But on the fixed cost control side, we are very, very focused towards controlling all the controllable fixed costs and trying to renegotiate rentals wherever the opportunity exists.

Palvir Bahia : It's difficult as analyst to try and just put in an occupancy number which is higher given the trend at the moment. And we've had -- I appreciate you've had a lot of disruption via COVID, with the election. But there's still a lot of hope, it's just I think we're getting a lot of questions on this.

Moderator: The next question is from the line of Ketan Athavale from RoboCapital. Please go ahead.

Ketan Athavale: Am I audible now?

Gaurav Sharma : Yes, we can hear you.

Ketan Athavale: Yes. I just wanted pre-Ind AS EBITDA guidance.

Gaurav Sharma : Sorry, can you repeat?

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Ketan Athavale: I just wanted pre-Ind AS EBITDA guidance.

Gaurav Sharma : Sorry Ketan, we don't provide guidance on EBITDA numbers. So I don't think we'll be able to address that question.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I would now like to hand over the conference to the management for closing comments.

Gaurav Sharma : Thank you so much, everyone,

for joining this call. I really appreciate your time.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

13th February, 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, 5th Floor, Corporate Relationship Department
Plot No. C/1, G Block, 1st Floor, New Trading Ring,
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Company Code: PVRINOX/ 532689

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation to our letter dated 3rd February, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. We wish to inform you that the officials of the Company had participated in the conference call for analysts and investors held on Thursday, 6th February, 2025 for post announcement of Financial Results for the 3rd quarter and nine months ended 31st December, 2024.

Please find enclosed the copy of transcript in this regard.
This is for your information and records.

Thanking You.

Yours faithfully,
For PVR INOX Limited

Murlee Manohar Jain
SVP - Company Secretary
& Compliance Officer

Encl: a/a

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"PVR INOX Limited Q3 & 9M FY '25 Earnings Conference Call "

February 06, 2025

MANAGEMENT : MR. MR. AJAY BIJLI – MANAGING DIRECTOR , PVR INOX
LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR , PVR INOX
LIMITED

MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER , PVR
INOX LIMITED
MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER ,
REVENUE & OPERATIONS – PVR -INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER ,
GROWTH & INVESTMENT – PVR -INOX LIMITED

MODERATOR : MR. HARSH SHAH – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited Q3 FY '25 Results Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Shah from Axis Capital. Thank you, and over to you, sir.

Harsh Shah : Thank you, Seema. Good afternoon, everyone, and welcome to PVR INOX Limited Q3 and nine months FY '25 Post-Results Earnings Call.

The call will start with brief management remarks on the earnings performance, followed by an interactive Q&A session.

PVR INOX Management will be represented by Mr. Ajay Bijli – Managing Director; Mr. Sanjeev Kumar – Executive Director; Mr. Gaurav Sharma – Chief Financial Officer; and other Senior Management Personnel.

Over to Mr. Ajay for your "Initial Comments".

Ajay Bijli : Yes. Thanks. Good afternoon. I would like to invite you all to discuss the Unaudited Results for the Quarter and the Nine Months ending December 31st, 2024.

We have uploaded the "Earnings Presentation" and the "Results" on our Company's Website and the Stock Exchanges website earlier today. And I hope you have had a chance to review them.

Our Q3 recorded the highest box office collections of this fiscal year, driven by multiple blockbuster releases. This strong performance led to the highest quarterly ATP and the SPH reaching Rs. 281 and Rs. 140, respectively. While ad revenues touched Rs. 149 crores, highest since the pandemic. Pushpa 2 emerged as the biggest blockbuster in Indian cinema history, contributing nearly 36% to the quarter three India box office and 12% to the 2024 India box office.

Q3 started with Tamil and Telugu cinema leading the way. Devara Part -1 starring Junior NTR and Vettaian starring Rajnikanth dominated the box office in October, collectively, accounting for nearly a quarter of the month's total box office collections. Their success reinforced the growing strength of South Indian films which are increasingly finding traction across multiple regions. However, October was impacted by the underwhelming performance of Hindi and English films, as the releases like Jigra in Hindi and Joker 2 from Hollywood failed to make a mark at the box office.

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November saw resurgence of Hindi cinema with two Diwali blockbusters, Singham Again and Bhool Bhulaiyaa 3, each grossing about Rs. 300 crores at the box office. Regional films continued the momentum with Amaran grossing over Rs. 250 crores to become the second highest grossing Tamil movie of the year. Lucky Bhaskar, a mid-budget Telugu movie, achieved impressive box office success, grossing approximately Rs. 90 crores.

December was the biggest month of the year which saw the release of Pushpa 2, which shattered records grossing over Rs. 1,450 crores in India. Its dubbed Hindi version achieved Rs. 900 plus crores, setting a new record as the highest grossing Hindi film of all time. Hollywood also found success in Mufasa: The Lion King, which resonated with the urban family audience and collected over Rs. 100 crores at Indian box office. While Q3 witnessed significant highs, the postponement of key films like Sitare, Zameen Par and Chhaava amongst others disrupted the overall box office momentum. Overall, in Q3 FY '25, we welcomed 37.3 million guests across our cinemas.

In terms of the "Financial Results" for the quarter: The following numbers are calculated after adjusting for the impact of Ind-AS 116 on lease accounting. Total revenue for the quarter was Rs. 1,739

crores , EBITDA was Rs. 2 58 crores and PAT was Rs. 68 crores as compared to revenue of Rs. 1,569 crores , EBITDA of Rs. 226 crores and PAT of Rs. 41 crores in the same period last year.

After a weak 2024, Hollywood seems ready for a strong comeback in 2025. A lot of sequels of successful franchises are lined up for releases . We have three Marvel movies, Captain America in February, Thunderbolts in May, Fantastic Four: First Steps in July . Mission Impossible: Final Reckoning , Karate Kid: Legends in May. Formula One starring Brad Pitt, Ballerina, and How to Train Your Dragon in June. Other notable titles include Superman, Jurassic World: Rebirth, Conjuring: The Last Rites, Predator: Badlands, and Avatar 3: Fire and Ash among st others . From Bollywood we have Chaava starring Vicky Kaushal releasing next week, Shankara starring Akshay Kumar and Madhavan, Diplomat starring John Abraham, and Sikandar starring Salman Khan in March. Other notable titles include Jaat, Raid 2, Housefull 5, War 2, Jolly LLB 3, Son of Sardar 2, Sitare Zameen Par, Thama .

We also have an e clectic mix of regional movies signed up for release, we have Thandel starring Naga Chaitanya releasing tomorrow. Other notable titles include Good Bad Ugly , Retro , VD 12 , Thug Life , Kantara 2 , Raja Saab , Coolie and Thalapathy 69 .

We have added 77 new screens and exited 67 underperforming screens in the current fiscal year - to-date. For the whole year, the Company expects to open about 100 to 110 new screens . Our current screen portfolio stands at 1 ,728 screens across 350 cinemas in 111 cities in India and Sri Lanka.

An u pdate on our new growth strategy. We have signed 100 screens under the new capital -light growth model. Of these, 31 screens are under the management contract model, and 69 are under the asset -light model with 40 to upto 80% of the CAPEX investment is contributed by the developer . These screens are expected to come up o ver the next two to three years. P ost merger ,

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the Company has consistently managed to reduce its net debt. A s of December 2024, net debt stands at Rs. 996 crores , which is a reduction of Rs. 435 crores since March 202 3.

I would like to now open the platform for Q&A. Thank you once again for joining.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The f irst question is from the line of Abneesh Roy from Nuvama Wealth . Please go ahead.

Abneesh Roy: Yes. Thanks. My first question is on the overall consumption impact on your business. So, we have seen this quarter and maybe previous quarter also lot of the FMCG and even discretionary categories call out slowdown in urban of course yours is an essentially urban consumption. So, how do you see in the near term this impact ? I do understand Q4 because exam season anyway pipeline every year is a bit less. But would you be worried in the near term because of the urban slowdown? And on the flip side, because of the budget , the taxes have been reduced and substantially also . So, in the in the past have y ou seen any such measure , similar measure lead to more consumption ? Or is it still fully dependent on the quality of the content ?

Ajay Bijli : Abneesh , when I look at the content pipeline of this year, which has got impacted because none of the big superstars released any movies this year like Shah Rukh or Aamir o r Hrithik or Ranbir and even Ranveer was in an ensemble movie. So, I think this year in fact, the content pipeline of Hindi was subdued. Then we had , Hollywood had a strike and therefore , only the third quarter we found some momentum with Mufasa , Gladiator II and movies coming. But when I look at the next year 's pipeline and I look at the way people are watching re-releases . In fact, some of the re-releases like Yeh Jawaani Hai Deewani have made -up for some of the big m

ovies, which

did not perform well, like Game Changer.

So, I see that content will drive consumption. Of course, the new tax benefi t, which is income tax benefit, which the FM has announced, will definitely give more discretionary income to the consumers. So, add to that the content pipeline, I think c onsumption is bound to increase. It is still a very small ticket size in the overall spending pattern of anybody to watch a movie and have a three hours of pure escapism and entertainment. So, I see consumption pattern only improving going forward.

Abneesh Roy: My second question is a bit re lated to the content only and it is specific on the Hindi content. So, we have seen a few Hindi movie producers facing very tough times because one after the other, the movies have not done well. And we have also seen, for example, marquee producer like Ka ran Johar , sell out a major stake to another Company . And we have also heard that in terms of mid budget movie s there is a calendar which has become erratic and with the inconsistent trend . So, how do you see that the funding of Hindi movies? Because most of the hits are coming essentially from South India or dubbed South India. So, from a funding perspective, how FY '26 you see for Hindi movie?

And if you could talk about mid budget movies , how the calendar is? A nd FY '25 why did the large tentpole kind of Hindi movies not release? W hat w as the specific reason? Because normally these can be easily planned. What was the reason for lack of tentpole Hindi movies?

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Ajay Bijli : The reason was because I think a lot of movies got bunched up in 23, 24 that is why it was an aberration to see in one calendar year, three movies of Shah Rukh coming up. And you know Hrithik always makes a movie once every two years. So, therefore, no movie got released. Ranbir had about three films that got released in that particular year. So, I think last year was all being focused on production. And I also feel that Adar Poonawalla putting 50% or buying 50% stake in Dharma is a very good thing, because now there is enough capital there to make more movies. So, that was the reason why the movies did not come last year. I am talking about.

And this year now everybody's back. When I look at the lineup and the movies which have been announced and there is also scrambling for dates, which is a very good sign. When people are, saying okay, who wants, August 15th, who wants 26th January or Eid or big key dates which are coming. So, when scrambling for dates happens, that is only a good sign. So, when I look at the lineup, there is Sitare Zameen Par of Aamir Khan, a Lahore of Sunny, after the back of Gadar 2 successes. A big one, very anticipated Ranbir's Love & War, being made by Sanjay Leela Bhansali. Then, basically, War 2 is coming on August, in August, which is, so plenty of movies on paper which are released and announced.

And on top of Welcome to the Jungle, which is a very big franchise. So, I am, I am seeing only good lineup. On top of that Hollywood, which from quarter three onwards is now back, Captain America coming next week only. And then after that we have you know the final, the Mission Impossible, the new Brad Pitt Big movie Formula One. Superman is getting rebooted, Avatar 3. So, these are the, big blockbuster movies, so many franchises, Final Destination. All these films are coming, so for me the lineup is very strong.

Abneesh Roy: So, my second and last question is on the two new developments. One is that if you could talk about initial learnings and initial feedback on the first property, which you have opened in terms of food court with Devyani in Rajasthan, if you could talk about that. And second is in terms of the asset-light model again, how has been the initial discussions? Is it a game changer? Yes, I do understand. 10

0 screens over three years may not change your overall numbers significantly. But if you could talk about longer term in terms of your debt levels or your return ratio, how this impacts, not on FY '26 because that is the first year, but how does the longer term picture change because of this?

Ajay Bijli : If I can say myself in all humility, the brand basically anybody who is able to do an asset-light model or a FOCO model management fee franchise model goes to show that there is some strength in the brand. So, we have developed our brand equity with all the key stakeholders so that it is a customer, it is a film fraternity or the developer, and people are ready to spend money on the brand and let us only do the management. So, I think this has already been done by a lot of retail players. As you know, hospitality brands have done it. Nobody had ever done it in the cinema business.

So, we were very keen to test the waters with this. 100 screens we have signed, but there are lots of others which are in the pipeline and already a lot of capital has got deployed in the 1,728 screens that we operate. And I think time had come to now monetize on the brand equity that we build. And this will obviously reduce our capital intensity, improve our margins. But at the same

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time it will not reduce our growth trajectory. It will still grow by about 122 screens, a 100 to 120 odd screens every year. And I think it is a testament to the brand and definitely this is bound to bring our debt levels down as well. Because, if you have healthy cash flows a lot of, it only so much can be spent on renovations and new properties rest all will be utilized to pay down the debt.

Abneesh Roy: Sure. Thanks. That is all from my side.

Ajay Bijli : Thanks.

Moderator: Thank you, sir. The next question is from the line of Kavish Parekh from B&K Securities. Please go ahead.

Kavish Parekh : Hi, team. Thanks for the opportunity. Firstly, I want to get a sense on synergies, the numbers that we had laid out at the time for our merger. Where are we now? From here on what levers do we have to improve the cost structure or margin trajectory? Especially, if occupancy stays where it is? And secondly, what is the update on our deleveraging plans, we had set out plans to generate proceeds of about three, 3.5 billion from sale of some of our properties. Where do things stand as we speak? So, of course, debt reduction this quarter was commendable. But what from here on, considering the weak trends as we go into 4Q?

Ajay Bijli : Gaurav, would you like to answer the question please?

Gaurav Sharma : Sure, sure. On your first part of the question regarding synergies, I think to a large extent we have already implemented steps for integration over the course of last two years. And the cost structure also reflects, if you look at it over the course of last 4.5 years and compare on a per screen basis our fixed cost has been stagnant. Even for the nine-month period ending December '24, our overall fixed cost has been at a flat level, despite of the cost inflation. The cost structure is already reflecting, a bulk of the merger synergies, I think we will see the impact on margins as the footfalls recover.

Just to give you some directional sense, pre-COVID at a 32% occupancy the business used to deliver 18% margin. However, in quarter 3 itself this year after 25% occupancy, the business has delivered 15% margins. So, as the occupancies improve, the benefit of synergies and margins will start getting reflected. On your second point around deleveraging, I think deleveraging the balance sheet is one of the key strategic focus areas for us. All our efforts are geared towards generating free cash flow, despite of volatility in the box office we have been able to reduce our leverage over the course of the last 1.5 year

s. And the pivot towards capitalized model will only aid in that effort.

So, going forward, I think we will continue to see a reduction in our net debt levels. As far as the sale of properties is concerned, I think we have been working with some property consultants, and we have received some offers for our properties in Pune and Baroda. But even in those locations there are operating cinemas with positive EBITDA. So, at this stage, I think the value and the offer that we have received do not justify the loss of EBITDA that we will incur on the PVR INOX Limited

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sale of these assets. However, we continue to explore with the consulting, consultants for the values or better offers. But the priority is to generate organic free cash flow and reduce leverage.

Kavish Parekh : Understood. Thank you all for that detailed answer. So, just to follow up on our asset-light model, can we have some more color on how economics work in case of both the asset-light models? And if I can squeeze in one more question, any thoughts on price hikes in our F & B segment? So, I think the last hikes we took was in April '24. So, and this quarter, sequentially F&B revenues remained largely flat. So, what levels do we plan to exercise to ensure sustained growth in the F & B business?

Gautam Dutta : So, let me go first and then maybe Pramod can talk about the asset-light model. On the F&B side every year we do take an inflationary increase, and it is not going to be any different for the coming year. We are going to be taking a 5% to 7% increase on certain product items. But that has to be measured against the sales mix. So, the way we actually do this is that we always would want to have 50% of our increase coming through volume. And 50% of the SPH increase coming through value. So, that is really what we follow. Over to you, Pramod.

Pramod Arora : So, these are two different models when we are talking about in asset-light model, it effectively means that the P&L is to our books of account and the developer ends up investing anywhere between 40% to 80% of the capital that is needed to be deployed for the screen fit outs. In this model it is a while, it is comparable to a regular lease model. It becomes asset-light because most of the assets only fit outs, on the cinema fit outs are in the books of the developer partner, development partner. In the FOCO model, the investment is completely by the development partner or the investor and who ends up enjoying the profit and loss. And we are eligible to enjoy a management fee anywhere between 6% to 10% of the net of GST revenues that get generated from the property.

So, these are the two models. If you look at it, the 100 screens are a combination of asset-light as well as the management model, management is we call it the FOCO model, the franchises owned Company operated model. So, this is the combination. As we go forward, on this model, we do look forward to the major footprint of screens coming from our umbrella in this model. And it will also allow us to expand the footprint much faster. So, that is, that is how we look at it. I hope it does answer your query.

Kavish Parekh : So, I am clear about the management contract model that we will receive a 6% to 10% management fee. My understanding is this will be across all revenues, ticketing, F&B as well as ad revenues, is that right?

Pramod Arora : Absolutely.

Kavish Parekh : And under asset-light model, could you, could you just elaborate some more on how the model will work? So, I understand the CAPEX with 40% to 80% will be borne by developers, but how does this play out in terms of revenue sharing?

Pramod Arora : So, in terms of the revenue, should think about it that anywhere between 15% to 20%, 15% to 20% is the occupancy cost, which the developer would end up enjoying for giving the

property.

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For the balance CAPEX that he has given, he becomes eligible for a fixed yield. A yield which could be anywhere between 7% to 12%.

Kavish Parekh : Understood, sir. Thanks a lot. I will join the queue again. Thank you.

Moderator : Thank you. The next question is from the line of Arun Prasath from Avendus Spark . Please go ahead.

Arun Prasath : Yes, good evening, Arun Prasath from Avendus Spark here. Thanks for the opportunity. So, continuing the discussion on the asset -light model , can you just throw some light on how does this framework work from our perspective? I mean, if you are opening say 100 screen s. What you will do it for the , what you opt for FOCO model and what you will opt for the asset -light model? A nd which one will you be completely putting 100% of your CAPEX ? Or is it left to the, option is left to the developer, or do we have some say in this ? So, can you just help us understanding this, this framework? How do we distribute the new screen buckets among these, these 3 buckets?

Gaurav Sharma : Sure, Arun . I think as explained by Pramod earlier, the strategy is to leverage the brand now and the market presence and scale to drive growth towards more capital efficient screen openings. I think we will continue to have these, all the three models working in the market. Lease m odel will be there. Again, these conversation s will be dependent on location, market , developers . In, in, in certain locations, we would prefer t o go with these model. I n certain locations , the preference will be with asset -light or management contract models. We have also mentioned that, majority of new screen openings from the next financial year will be an undercapitalized model. So, that sort of gives you a directional sense. It is hard for u s to quantify how many screens will be there . But we have signed 100 screens and as they open up over the course of next two years to three years , we will see incrementally more new screen additions under this mode. But we will also have you know lease models are the older model working in certain parts of the country with certain developers in certain market s.

Arun Prasath : So, I was asking slightly a different question. Say you have, you want to do, go for a management fee model versus, where the developer has to pitch in say 50 % - 60% CAPEX . So, between these two say given a location, do you have anything say on this or the developer comes out and says that, okay, I want to put 100 % CAPEX . No, I will only be putting

Pramod Arora: It will be d ifferent strokes for different folks . So, each of the location or development represents a unique proposition or a unique opportunity . So, it will be very difficult or extremely impossible to suggest that , that which will be the preferred model, that is one. Our preference is absolutely clear that in certain markets it can only be FOCO in certain markets. We would basically have an option for an asset -light model. So, it will be given on a unique case to case basis. There will be no one shoe fits for all, one size fits for all sort of strategy .

Arun Prasath : Okay. L et me , frame it in a different manner. What kind of developers are interested in say, FOCO models? A nd what kind of developers are interested in say , the, the asset -light model ? Is it like more like

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Pramod Arora : All of them. So, I would say that , okay, I et me just explain it to you from a real estate perspective. So, let us say there are developers who have you know, who have a trust in the brand and they believe that the brand does a good job in terms of delivering cinemas. A nd if they are basically reitable assets, they would prefer t o get into an asset -light model. That is a preference from all the d eveloper 's perspective. If the developer is basica

lly doing one unique development, his interest could be aligned towards a management contract wherein he could be enjoying the P&L. But that is like it cannot be generalized across. So, if you say , the qualification of developers, which developers will qualify for a management contract? Which developers would qualify for an asset -light model again? The answer is, there is no one answer to this question.

Arun Prasath : Got it, got it. And second , when you said that thi s will ramp up your deployment of the screens, obviously the CAPEX is not a constraint here . But more mall supply especially in South was our constraint , capital is a secondary constraint . So, does this solve your primary constraint of mall supply in , in some of the regions where you are looking to grow faster?

Pramod Arora : So, two things, one is any organization, or any Company has a management bandwidth. The moment you get into management as an asset -light model, the resources which come in from the development partners also join hands in terms of developing the cinemas. Be it the d esign resources, be it the project management resources and then last the financial resources also as well. So, they all join hands together, s o which basically increases the bandwidth to be able to deliver the right cinemas in a given fixed time . The second thing in terms of you are asking the mall supply. So, the mall supply with the weeks opening up is now on an increasing trend .

Including South , you are seeing the coming up of new malls which are being invested by the larger funds. And even in these smaller towns, the , the, the malls or the shopping centers are coming up. So, the unorganized retail sector is giving way to the organized retail sector.

Arun Prasath : Okay , understood. And that means that most of these hundred screens that we are tied up should be coming from Tier-2, Tier-3 cities ? Is that right understanding?

Pramod Arora : They are in Tier-1, Tier-2, Tier-3. Again, there is , I am not in one of these statements have I said that there is a qualifier across management contracts of asset-light models to be in Tier-2 or Tier-3 towns. Many of them are in Tier-1 towns and Tier-1 developments of maybe, even 1 million square feet, we have centers even in 1 million square feet.

Arun Prasath : Understood. If I can just add one more on the bookkeeping questions. On the like-to-like basis, we are showing CAM growing at an alarming pace throughout this, in this nine months period much higher than the rest of the fixed line items. What is the reason for this kind of growth in CAM ?

Pramod Arora : So, if you look at CAM , CAM is our direct proportionality relationship to the , to the, to the input costs. So, input costs are human resources. If the wages are increasing, so the CAM would increase. So, are they dependent on fuel because the DG sets which still get utilized. So, again, if the diesel cost is increasing, CAM goes on for an increase. So, does it go for electricity unit charges , if they are increasing, CAM would increase . So, that is the proportionate increase which is visible in the CAM charges.

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Arun Prasath : Do we have any control on this or, or is it whatever the developer builds we need to take it?

Pramod Arora : We are working alongside with the Government as well as the developers. With the developers , we are looking at rationalizing , helping them rationalize these costs to optimize the common area maintenance charges for across the retail fraternity , which is sitting in the mall. Alongside the government, we are working on a possibility of introducing, like electricity on industrial rates and so on. So, a couple of initiatives which are, which are in work in progress with the development partners as well as a representation to the government.

Arun Prasath : Okay, all right . Thanks for answer

ing all the questions. All the best.

Moderator: Thank you. The next question is from the line of Jensen Jacob from Centra Insights . Please go ahead.

Jensen Jacob : Thank you for taking my question . I just needed a small clarification on our screen additions . At the end of FY '24, we had reported that our screen count stood at 1,748 screen and currently we are at 1,728 screens , which is a net reduction of 20 screen. But we have also reported that our net screen addition has been 10 screens year -to-date. So, could you please clarify this for us?

Saurabh Pant : Yes, Jensen. Hi, this is Saurabh from the IR team. So, maybe you can connect offline , but the figure that you might be referring to, it might not be as of March '24, it might be as on the date of the IR presentation . You can connect with me offline and then maybe I can take you through the number of screens that we have added. But till date we have added about 77 screens and we have closed about 67 screens. By the end of this year, we intend to add another 33 screens that will take the total addition 110. And then there will be an additional probably 5 screens , which will get closed so effectively bringing the total closures to 72 screens. This effectively brings the net addition for the year to about 38 odd screens , that is the max and maybe then we can talk offline on reconciliation .

Jensen Jacob : Sure, sure. We can take this offline, Saurabh . Thank you.

Moderator: Thank you, sir. The next question is from the line of Tanay from Investec . Please go ahead.

Tanay : Yes. Hi. So, the first question is regarding the SCREENIT initiative that you had launched regarding those rereleases and people being able to book their own shows. So, I just wanted to understand like how has it , how has it since the past? I think it has been one month or two months since then ? And how is the shows count per month and what you all expected to go ahead with this?

Gautam Dutta : So, these are early days for screen adds the only one thing that I can share with you that we have currently done close to about 100 odd shows under SCREENIT. These are confirmed screenings that have happened , which is very encouraging. Number two, the idea has really got some virality . A lot of people are talking about it and are inviting their friends and family to join the show that they have created . I think , this idea is going to be quite lethal and is here to stay . However , may not have the potential to really move the needle . So, it will kind of keep picking on 100, 200, 500 shows in a month . But that is where it is. It is a very strong proposition for

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consumers who love the cinema experience and want to watch movies that they have missed out

on. So, that is really what it. But I guess in about another three months to six months ' time, we will have a far more clearer picture on this. Thanks.

Tanay : Got it, thank you. And I just wanted to understand like just a bit of macro where like the past month, we saw a lot of cricket matches, a lot of events which are taking place like concerts and stuff like that. So, is that eating away from like going ahead do you feel that is eating away from the share of going to cinemas? Or both are growing side to side, like the entertainment industry?

Gautam Dutta : Actually I would say now each medium feeds off the other. In fact, we have also started to screen a lot of concerts and cricket matches. We are also in conversation with BCCI and other bodies to see some of the key matches , if we could screen. Concerts is something that we have been screening. In fact , since April till now , close to 4.3% of the total admissions have come in through re-releases , which is the bulk which is 90% and about 10 % through events . So, technically , this is a piece that we will be irrigating as we move forward

d. These are early days, but we feel that

each of this idea will feed into the other. If there is a concert like Coldplay happening. It has only limited capacity , whereas if it beamed live across all theater or even recorded and played , it is a fantastic revenue model for both, cinemas as well as for the concert owners. So, technically, we are working very positively and aggressively with all partners within the space to see how we can converge on this.

Tanay : Got it. But what I was trying to understand was basically, would you feel that the December, December month and probably even the other October and before that was affected by , was like the footfalls were great of course . But do you think it could have been higher , if like all these concerts were 'nt to take place?

Gautam Dutta : No, not at. Because a concert 's life is about three hours. So, it, it cannot and that too in a certain city. Technically , it has no bearing on any footfalls at all.

Tanay : Got it. Got it. Thanks. And I wanted to understand like I saw the other expenses were lower year - on-year as quarter -on-quarter basis. Was that in regarding some cost initiatives that you were doing or what was it specifically regarding?

Gaurav Sharma : So, we have taken very focused initiatives around reducing our other expenses . There are various line items in other expenses, including traveling, marketing, legal expenses, insurance expenses . In fact, we have renegotiated our insurance coverage for the entire Company . And there has been a substantial cost saving that is accrued to us. Again, on the marketing side, we have been very careful around what sort of marketing campaigns we want to run accordingly expenses have been curtailed, as a result of which seeing this flattish , other expenses line item in comparable cinemas.

Tanay : Okay. And final, final question, I think it was asked before by someone regarding the Devyani joint venture. I miss the answer for that. Just wanted some clarity on how .

Gaurav Sharma : No. So, what is the question if you could come again?

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Tanay : Yes. The Devyani joint venture which you all were looking at the food court . I am not sure if you all had answered it earlier. How it is and how is it going right now?

Gaurav Sharma : Alok would you like to take that one?

Alok Tandon : Yes, I will take it up. And I want to tell you that we are having this joint venture under the name of Prejunction , so that is the name given to the food court. We have opened one in Kota, and it has just been a month since we opened it. The traction is good and the brands over there like KFC, Pizza Hut, Costa, Vango , they are doing well. But it is too early to talk about it. The traction is there , footfalls is there and we will be expanding more in the next coming months.

Tanay : Thank you so much . Yes, those were all my questions.

Moderator: Thank you. The next question is from the line of Gaurav Gandhi from Glorytail Capital Management . Please go ahead.

Gaurav Gandhi : Yes. Thanks for the opportunity. Sir, what is your target percentage you wish to achieve in box office collection of regional movies ? I mean, how much share of box office collection of a regional movie you are targeting from its overall business? Currently, as per the presentation for Bollywood movies, it is around 35% roughly , that is our share. And for the region it is around 12%, 13%. So, now as we have good penetration in the Southern market , so what is your target I mean? How do you look at this?

Gaurav Sharma : So, I think there is no specific target that we are having our strategy is to penetrate more in South India . South India is a very lucrative market. And today, despite of the highest regional mix that we have in our portfolios towards South the penetration in South is the lowest in terms of multiplex penetration

ion. So, incrementally new screen editions that we do almost 35 % to 40% of new screen editions will be in South India. And South India as a market has been doing consistently well across all the four major languages. But I think to answer your question, there

is no specific number that we are chasing . But we are prioritizing the South as a region.

Gaurav Gandhi : Okay. All right, sir. Yes, thank you.

Moderator: Thank you. The next question is from the line of Aditya Sen from Robo Capital . Please go ahead.

Aditya Sen : Hi, thanks for the opportunity . Sir, I want to understand the occupancy part. If I am correct to frame like this, how many blockbuster movies do we need each quarter to get an occupancy rate of 28 % to 30%? Or rather, what are the factors that would lead us to the 28 % to 30% occupancy rate? You can answer it either way.

Gaurav Sharma : I think the occupancy is linked to supply of films and performance of films , both. Unfortunately , the occupancy in the nine-month period has been trending low partly because there was a drop in the number of films which were released in both Hollywood and from the Hindi film industry . And also , partly because of the absence of big mega blockbusters from the Hindi film industry . So, I think going forward and we have seen months and quarters where the occupancy has been very strong. December was in fact the biggest highest occupancy month for us where the

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occupancy was upwards of 30%. Again, going forward with a very strong line up in Hindi as well as English films, we feel that the momentum at box office will continue and the volatility on supply of films and occupancy that we witnessed over the course of last two years, that should subside to a large extent.

Aditya Sen : Okay. So, if December was 30%, then let us say we got two very good movies per quarter. Then that quarter can give us roughly 20 % to the 30 % market , sorry, occupancy rate, is that correct understanding?

Gautam Dutta : There is no such formula. Actually, we could have different concoctions , we could have all the firms doing mid business but being solid as they would work . We could have one mega blockbuster that could work. It could , it could have just a blockbuster film, along with some fillers in the other weeks. So, it really depends , it is not such a linear answer to say what would drive occupancy . But one thing that Gaurav said, having more films and films slotted for every week is really the crux . And that is the reason we are all very positive and hopeful that in the year 25 -26 we will get , the volume is going up dramatically across both Hindi and English. And because of which they will be no gap weeks.

The moment we have that scenario are in fact, leaning on even blockbuster reduces. Because if every film , it is like a cricket match, if everyone comes in, just scores 30 , 40 runs , you can still make 200 runs. It is not important that one guy has to come and hit a century. So, while December was a month where Pushpa came and , really hit a double tonne . But the reality is that if every player or every movie in this situation would come and perform adequately at the box office, we still would get a very, very healthy occupancy rate.

Aditya Sen : All right. And do we have anything in the re-release pipeline?

Gaurav Sharma : Re-releases.

Gautam Dutta : Yes, about seven films are getting released on 7th itself from Silsila to Jab to Met to Interstellar. Interstellar is one of the biggest Hollywood rerelease that is happening. So, the re-release pattern has already been carved out. This is a trend which is here to stay now. And there is a specific team which works along with programming , does a lot of consumer research and polling and figures out content that should be re-released. So, this trend is going to always stay and the ,

and

the fact that re-releases contributed close to over 4% of the total footfall is very, very encouraging.

Aditya Sen : All right, sir. Thank you for answering. Thank you.

Moderator: Thank you, sir. The next question is from the line of Vaibhav Mule from YES Securities . Please go ahead.

Vaibhav Mule : Hello, sir. Congratulations on a very good set of numbers for the quarter . My question was actually on the Q4 current performance in January . So, how has been the response for the movies? You know, key movies like Emergency, which were launched? And what is the expectation for the current quarter based on the lineup that we have? That is the first question.

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Gaurav Sharma: I think quarter four has started off well. January there were four films which were released, which crossed more than Rs. 100 crores and three of them were from South India . South India, in fact January is a big month due to Pongal many big films are released. Game Changer was a big film which was released on 10th of January, which did very well at the box office, followed by a Telugu film. There was a major film which was running in theatres again from Tamil film industry which has done very well Sankranti . And Sky Force from Hindi cinema has done Rs. 120 crores box office, which was released on the Republic Day weekend.

So, overall, January has done well. Of course, there are a couple of Hindi films like Emergency that you mentioned did not do as per our expectations. Deva has not done as what we thought it should do at the box office. But that is the nature of the business, few films do not perform. But some things outperform the expectations. Overall, going forward, I think there is a very strong lineup, Chaava is releasing on 14th Feb. Then Captain America is going to be big. Then there are, there are series of regional films. There is a Ajith film which is releasing today. Then there is a Mohanlal film. Then there is a Naga Chaitanya and Sai Pallavi movie in Tamil, which is coming in this month. Overall, the lineup for the month of February is extremely strong and March again is very strong. So, I think you know this is a point we mentioned earlier as well. The lineup is consistently improving across languages, including regional, Hollywood and Hindi film industry.

Vaibhav Mule : Understood, Sir. My actually next question was on the management contracts, our asset-light model that we are following? For the management contracts, if I am not wrong, the P & L would not be on our books, right? But the management fees that we will be generating around 10% of the revenues. Can we assume that this should improve our overall EBITDA margins?

Pramod Arora: See, overall EBITDA margins, yes we will improve, and ROCE will improve.

Vaibhav Mule : Okay, understood. And regarding our expansion in the South, any kind of guidance that you can give on the screen additions given the regional films are doing very well?

Gaurav Sharma : Yes, we have given an update on our growth strategy in the investor presentation uploaded on Stock Exchanges and our websites, where we have mentioned that we are on track to open 110 new screens this year and a similar number of screens next year. And we have signed about 100 screens under the, under the new capital light model, which will open over the course of next two years to three years.

Vaibhav Mule : And how many screens of these total are expected to be opened in the South market?

Gaurav Sharma : I think, just to give you a ballpark, incrementally new screen additions will be roughly about 35% to 40% in South India. That is, that is the sort of mix for South.

Vaibhav Mule : Okay, sir. And this last one question, if I can squeeze in about the screen churn. So, we have again closed, I think 25 screens in the current quarter making total to 67 screens for nine months.

onths.

Do you expect this screen churn to moderate going forward or can we expect the churn to remain at similar levels?

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Gaurav Sharma : So, we continue to evaluate our portfolio very closely at a property level. I think we have already exited 85 screens last year and already 67 have been exited so far. So, whether in the two financial years we have roughly exited about 150 underperforming screens. So, most of these screens are located in malls, which are dilapidated and, you know, lived their life. But I think to answer your question, the pace in our view should come down. But we will have churn in the sense that we will replace older screens in older malls with new properties, new cinemas opening in better malls in the same location.

Vaibhav Mule : Okay, sir. Understood. Thank you so much for the opportunity and all the best.

Gaurav Sharma : Thank you.

Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta : Hi. Thanks for the opportunity. So, I just wanted some guidance on the CAPEX for next year and that you would have a visibility right now given some risk fits out, already?

Gaurav Sharma : Yes, I think to answer the question on CAPEX. For the current financial year, we will be sub Rs. 400 crores in terms of our total CAPEX expenditure versus Rs. 625 that we did last financial year. So, there is a 35% deduction in CAPEX. And next year, while we are still in the process of doing our budgets and other planning. But overall, CAPEX spends will be somewhere in the range of Rs. 400 to Rs. 500 crores. We will try to be very, very, careful around our CAPEX expenditure and be capital efficient and at the same time not sacrificing the growth in terms of new screen additions. So, the new capital light model will reduce CAPEX intensity and our share of CAPEX will come down incrementally.

Umang Mehta : Got it. And the second question was on rental renegotiation, could you share some insight as to how many properties are currently seeing rentals consistently above 20% and how are the conversations going? And the related question was, is there any effort to convert some of the existing leases to contract? I am just checking on that, yes.

Pramod Arora : So, up till December we have rationalized about Rs. 50 crores of rental from the contracted rental. And to answer your second question, yes, as soon there is an opportunity where in the lock in is expired or there is an opportunity or an interest from the developer. We do end up converting the screen, if it is viable from the straight model to the other models that are available.

Umang Mehta : Got it. Those were my questions. Thank you so much.

Pramod Arora : Thank you.

Moderator: Thank you. We take the next question from the line of Raghav Bansal , an Individual Investor.
Please go ahead.
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Raghav Bansal : Hi, good evening . I have a few short and quick questions . First, can you explain how the economics of the distribution model work? Specifically for movies like Singham Again and Sky Force ? How do we ensure we do not make a loss there?

Gaurav Sharma : Yes. We have been in this business for more than 20 years and our strategy is to work with only big production houses with a credible track record. And, so we , our business team has that experience and expertise to assess the track record of the director, producer, the actors. And accordingly, we take a call on which we want to distribute. Singham is a very successful franchise. And normally the way it works is that we, pay in advance to the producer before the release of the film. And once the film is released in the box office, collections are there. We have , it is a commission based. We take our commission adjust the advance and pass t

hat the balance

to the producers. So, the commission is anywhere between 6 % to 9% of the total box office collections. So, yes, broadly, that is the business model. There is no out , we do not work on, outright purchase of rights for any title. It is a purely commission -based distribution model.

Raghav Bansal : Got it. Second, how is the growth and expansion of 4700BC is shaping up? And can it ever contribute significantly to the overall revenue in the coming years?

Gaurav Sharma : Yes, I think we are very excited about the brand. It is shaping up, I think, extremely well. It is on its course to cross Rs. 100 crores revenues in this financial year . And it has been growing at a very rapid pace of more than 25% top line growth every year. It is one of the very popular brands across quick commerce and modern retail channels. And we want to scale it up even more aggressively as we move forward.

Raghav Bansal : Great. Third, a lot of times we see occupancy shoot up for movies with lower pricing. We launch dynamic pricing are we seeing any benefits there or can we be more aggressive with dynamic pricing?

Gautam Dutta : Yes, dynamic pricing does work for us, and we have tried it. And it continues to give us a kind of a top up on ATP on some of the bigger films during weekends. So, it has a limited play and we also want to be very careful in deploying the dynamic pricing because. It somewhere goes against the grain of what the consumer is expecting. So, while we have tried it, we, we want to be very conscious of where and how we use it. And, and typically , in our business, sometimes we do not know how the movies will open up. That is where dynamic pricing plays a very important role where we open low. And if the film starts to get popular then at least we do not leave an opportunity or money on the table. We are able to maximize immediately within that show , if the content starts to gain acceptance with the consumer.

Raghav Bansal : Right, thank you. Finally, one suggestion from me, I am a regular PVR INOX customer , I go there every week. We need a very efficient, responsive and centralized customer support system for all the clients and feedback and queries that will be very helpful for us. Thank you.

Gaurav Sharma : Sure. Noted.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I will now hand the conference over to Mr. Gaurav – CFO for closing comments.

PVR INOX Limited
February 06, 2025

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Gaurav Sharma : Thank you all for joining us today. In case you have any incremental questions, you can reach out to the IR team or to Saurabh Pant . And we look forward to your support and keep you updated on the progress on its strategy. Thank you so much.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

May 16, 2025

The Manager - Listing
National Stock Exchange of India Limited
(Scrip Symbol: PVRINOX)

The Manager - Listing
BSE Limited
(Scrip Code: 532689)

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,
This is with reference to and in continuation to our letter dated 7th May, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company had participated in the conference call for analysts and investors held on Monday, 12th May, 2025 for post announcement of Financial Results for the Fourth Quarter and Financial Year ended 31st March, 2025.
Please find enclosed the copy of transcript in this regard.
This is for your information and to all concerned.
Thanking You.
Yours sincerely,
For PVR INOX Limited

Murlee Manohar Jain
SVP - Company Secretary
& Compliance Officer

Encl: A/a

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"PVR INOX Limited
Q4 & 12M FY '25 Results Conference Call "
May 12, 2025

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR – PVR INOX LIMITED
MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER – PVR INOX LIMITED
MR. KAMAL GIANCHANDANI – CHIEF BUSINESS PLANNING & STRATEGY – PVR INOX LIMITED
MR. PRAMOD ARORA – CHIEF EXECUTIVE OFFICER , GROWTH & INVESTMENT – PVR INOX LIMITED

MODERATOR : MR. HARSH SHAH – AXIS CAPITAL LIMITED

This transcript has been edited for factual errors.

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR INOX Limited Q4 FY '25 Results Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Shah from Axis Capital Limited. Thank you, and over to you, sir.

Harsh Shah: Yes. Thank you, Nadia. Good afternoon, everyone, and welcome to PVR INOX Limited Q4 and FY '25 Post Results Earnings Call. The call will start with brief management remarks on the earnings performance, followed by an interactive Q&A session.

PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel.

Over to you, Mr. Ajay, for your initial comments.

Ajay Bijli: Thank you. I'd like to invite you all to discuss the audited results for the quarter and the 12 months ending March 31, 2025. We have uploaded the earnings presentation and the results on our company's website as well as the stock exchange's website earlier today, and I hope you had a chance to review them.

Box office in FY '25 witnessed an uneven release slate across quarters, resulting in noticeable gaps in content flow and fluctuations in theatrical performance. Performance of Bollywood and Hollywood films was below expectations leading to a 9% drop in overall gross box office collections of the company. Hindi box office dropped by 26% this year due to 14% fewer releases, no major superstar films and several postponements. Bollywood collections were down by 28% due to the impact of previous year strike and weak lineup of the tent poles.

On the other hand, Hindi dubbed collections surged by over 150% with titles like Pushpa 2 and Kalki resonating nationwide showing how audience tastes are shifting towards big pan India stories. Chhaava was the biggest hit of the fourth quarter grossing around INR700 crores at the box office, followed by Sankranti Vasthunam, Sky Force and Empuraan.

With lifetime collections of INR125 crores, Empuraan became one of the highest grossing Malayalam films ever. In contrast, Sikandar starring Salman Khan fell short of expectations and INR30-odd crores (inaudible: 130 crores). We welcomed 30.5 million guests across our cinemas in Q4 FY '25 and 136.9 million guests in FY '25.

In terms of the financial results for the quarter, the following numbers were calculated after adjusting for the impact of Ind-AS116 on lease accounting. Total revenue for the quarter was INR1,285 crores. EBITDA was INR25 crores, and PAT loss was INR106 crores as compared to revenue of INR1,290 crores, EBITDA of INR35 crores, and PAT loss of INR90 crores in the same period last year. Despite industry-wide headwinds stemming from a limited slate of Hindi

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and English releases, the company remains steadfast in executing its strategic priorities during the year. We transitioned from managing footfalls to proactively manufacturing them. A shift that underscores our commitment to innovation in driving demand and enhancing audience engagement.

Our strategic focus on curating rereleases delivered strong results, contributing an incremental 7.1 million footfalls and approximately INR124 crores in gross ticket collections during the year. With an aim to making cinema going more accessible and habitual, FY '25 saw the successful execution of 4 Cinema Lovers Days and 1 National Cinema Day, offering tickets at just INR99. We have also launched blockbuster Tuesdays, a weekly initiative offering

g tickets at INR99 or

INR149. Despite content challenges, we balanced value promotions with strategic pricing on big releases, maintaining a steady ATP of INR259 same as previous year.

The company remains committed to disciplined cost control. On a comparable screen basis, total fixed costs were nearly flat at just 0.6% year-on-year growth. In fact, over a 5-year period from FY '20 to FY '25, on a per-screen basis, the company's total fixed cost per screen has increased by a CAGR of only 0.8% as compared to the CPI inflation rate of 5.3% in the economy.

We're actively transitioning towards a capital-light growth strategy. We have already signed 23 cinemas with a total of 101 screens under the capital-light model, most of which are expected to become operational over the next 12 to 24 months. In recent weeks, we inaugurated 2 new cinemas with 9 screens under the FOCO model, 1 in Jabalpur and other in Raipur. As the strategy scales, we anticipate a significant reduction in new screen capex intensity, reinforcing our focus on efficient and sustainable growth.

In line with our focus on profitability growth, we made a strategic decision to exit 72 underperforming screens and opened 77 new screens during the year. We're pleased to share that we continue to strengthen our balance sheet with net debt reduced from INR1,430 crores in March 2023 to INR952 crores in March 2025, a significant INR478 crores since the merger. This reflects our sharp focus on capital efficiency, disciplined cost control and proactive cash

flow management, even amid content volatility.

The year ahead looks very exciting with potential Bollywood tent poles like Sitaare Zameen Par, War 2, Housefull 5, Jolly LLB 3, Delhi Files, Thama, Alpha among others. Regional movies also have a robust lineup with Thug Life, Coolie, Raja Saab, Toxic and Kantara 2. Among others, major titles from Hollywood are Mission Impossible - Final Reckoning, Fantastic 4, Formula 1, Ballerina, Superman, Jurassic World, The Conjuring, Avatar 3. Our current screen portfolio stands at 1,743 screens across 352 cinemas in 111 cities in India and Sri Lanka.

Now I'd like to open the platform for any Q&A. Thanks once again for joining.

Moderator: The first question is from the line of Abneesh Kumar Roy from Nuvama.

Abneesh Roy: My first question is on the Hindi movie content. So last week, when the geopolitical risk was there, we did see one Hindi movie shift to OTT. So if you could discuss are there more such examples or it was a one-off because of the geopolitical issue at that time? And the Hindi pipeline, it is the last few quarters, always we are seeing bunching up and then weeks when no

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content is there. Is that issue getting resolved in terms of proper planning of the pipeline for the Hindi?

Ajay Bijli: Yes. I mean all these movies Sitaare Zameen Par, War 2, Housefull 5, Jolly LLB and all the various movies I basically talked about just now, they are all on track to come on the big screen. We also started off very well with Raid 2, before that Kesari 2 and Jaat also released.

So I think the momentum of Hindi movies has been very good and people are coming back to watch the big screen and even the industry believes that the big screen is a place where the movie must be released. That was a one-off that happened and the matter is sub judice.

Maddock last minute decided to release the movie which was already being promoted at the cinemas for the last 2 months. So we took the matter to court, and we've got to stay against its release on the OTT platform. And the matter is sub judice, so at the moment, I can't speak any further on it.

Abneesh Roy: And second question is on the expansion plan, 2 parts to this. One is the FY '25 net addition was hardly anything, 5 screens only. And now plan is to open, say, 100 to 110 screen in FY '26.

Could you tell us in terms of close

ure FY '26, what's the current number looking like? And second

is in terms of your new initiative of low capex plus management contracts, what has been the initial response of the developers? And any tweaking needed, what is the feedback, if you can share on that?

Ajay Bijli: You see the screens that we closed are like any other retail business. Ultimately, if the malls become old or if the shopping center has -- doesn't have the infrastructure of lifts and escalators, and there's no tenant left, and newer properties and newer malls are coming up at the vicinity or our lease has come to an end, and we don't see any revival of that property, this is a very normal thing to do for any retail business, and that's why these 72 screens were exited. And that is also saved INR8 crores of EBITDA loss that these cinemas were making. So I think that's a positive, and it will be ongoing.

And even in this environment to open 77 screens, if I can say it myself, I think it's a very positive step for the company because these are brand-new 77 screens and great catchments, great locations. Even -- so this year also about 110-odd screens will be there. As far as the exit rate is concerned, we don't have anything just now planned. We will continue. But if there are -- if there is something that comes up, which is not viable and it's not value accretive, that will be removed from the portfolio after taking all legal precautions.

As far as screen growth is concerned, I think the brand has got recognition in various parts of the country. And I think hospitality industry has done this since time immemorial, franchise-operated and company-owned model and where the brand earns the management fee. So we are growing by that model. And also, in certain cases, there's a large contribution from the developer himself. So recently, we've opened in director's cut in DLF Mall of India Mall in Noida, and that's also been with a significant contribution from the developer.

So I think we will be doing all 3 things. We will be doing the FOCO model, we'll be doing asset-light model and also whenever we do get an opportunity to where the -- all the things are in line,

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the rent is good, the location is good, and we can even spend our own capex as well. But overall, the capex intensity will come down without compromising on the growth trajectory.

Abneesh Roy: So one quick follow-up, and that is the last. You've given guidance for new screen addition in terms of the capex-light model and management contract, what is the number you have in mind currently? It may not be a strict guidance because the talks are ongoing. But what will be the

intent that most of the new expansion will be essentially through these 2 routes and any existing properties also where say renewal is going to happen? Do you think there could be a substantial number from there also?

Ajay Bijli: I mean I don't know exactly. 23 properties we have signed and 110 screens are in the asset-light model and the FOCO model. But coming up, there are some properties which were signed earlier, which are opening this year. So Gaurav, you have the number of how many are that are opening this year are asset-light and how many are the normal model that we have?

Gaurav Sharma: Abneesh, the 111 screens, 110 new screens that will open this year, majority of these screens will be under asset-light. I think it's very hard to put a number to that. But it will be a combination of asset-light and management contracts. We have already opened (1) 3 cinemas, 20 screens under this model in the first month of this financial year, 1 in Jabalpur, 1 in Raipur are under FOCO model. And 1 five screen director's cut in Noida, which is into an asset-light model. So you will see bulk of the screens this year will be under that model.

Ajay Bijli: Right.

Moderator: Next question is from the line of Kavish Parekh

from B&K Securities.

Kavish Parekh: My first question is on your expansion strategy. So over the past few quarters, you have laid out plans to expand via the asset-light models. However, no new screens were opened in 4Q. So were there any execution issues that seem to have emerged in this new model? And given the weak footfalls over a slightly longer period now, would it impact your ability to ensure that developers are wanting to work with us and incur capex on their books? That was my first question. I'll take the second question later.

Ajay Bijli: No, I just want to get some clarification on your first question. We've opened 77 screens and just in the first month itself, we've opened 20, so we're not seeing any challenge in opening screens.

Where do you -- where are you seeing a challenge here?

Kavish Parekh: No, no. I understand that fourth -- so as an end of 9 months and as an end of the financial year, we had opened 77-odd screen. In the fourth quarter, particularly no new screens came up. So I think that was on account of delays.

Ajay Bijli: Yes, yes, those got shifted to just now. So in the first month itself, we've opened 20. The ones which were to open in the last quarter due to ... nothing on execution, but sometimes licenses take time. So due to licensing issues, they got delayed by 1 month.

(1) We have opened 4 cinemas (20 screens) till date in FY'26 out of which 3 cinemas (14 screens) are under the capital light model.

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Kavish Parekh: Understood. And given the footfalls -- given that the footfalls have remained weak over a slightly longer period now, do you think this has an impact on developers' willingness to work with us and incur capex on their books?

Ajay Bijli: No. There is -- I mean long term, everybody realizes this a post-COVID period as a temporary period. Everybody realizes in the Indian film fraternity as well as the consumer that in the -- it's a matter of time. In fact, this year itself, people will come back to the cinema. They are coming already, we got 137 million people coming to our cinemas. It remains an integral part of any mall to generate footfalls.

So these are temporary dips, but everybody believes in the long-term potential of this format of multiplexes in a country like India with 1,800 films get released every year, and pre-COVID, close to 1 billion tickets used to get sold. So I think this format of going out and watching movies on the big screen is not going anywhere, and that reality is not lost on anyone.

Kavish Parekh: Understood. My second question is on your debt reduction plan. So most part of the year remains tepid with the exception of a few movies that would do well sporadically. And I understand that expectations for the next year are high. And the anticipated sale of certain key properties was to significantly aid deleveraging efforts, but those plans have been pushed for some quarters now. So could you elaborate on the revised timeline and strategy for these monetization initiatives? How do you plan to balance operational recovery with meaningful debt reduction in the, say, near to medium term?

Ajay Bijli: Gaurav, would you like to answer that?

Gaurav Sharma: Sure. So even in last financial year, despite a volatility in content and pressure on earnings, we were able to reduce our net debt levels by INR340 crores (1). We took various initiatives during the year in terms of aggressively expediting recovery of security deposits for properties that we exited, collecting GST tax refunds from authorities, also renegotiating terms with our creditors. As a result, we were able to sort of cushion the impact of operating cash flows, and we were able to achieve about INR350 crores (1) reduction in our net debt levels.

I think going forward, with uptick in earnings and increase in occupancy levels, we will have significant operating cash flow and the capex inten

sity in the business will come down as we transition towards the asset -light model. As a result, the operating cash flow from the business will be more than enough to take care of our repayment obligations and achieve a further reduction in net debt levels.

As far as your question on monetization of assets is concerned, I think we are very careful about making sure that we get the right value for the assets that we own in our balance sheet. They are high-value properties. And given that the business was organically generating sufficient cash flow, which was deleveraging the balance sheet, we will be very careful. And at the right time at the right value, we'll make those decisions.

(1) Net debt has reduced by INR 342 crores in year ending 31st Mar'25

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Kavish Parekh: Understood. The last question from my side is that on the increasing adoption of asset -light models, what impact do you foresee on overall margins? And as such properties constitute a growing share of your portfolio, what level of margin enhancement do you anticipate? And over what time frame? And what is the estimated capex for FY '26?

Gaurav Sharma: So I think in near to medium term, we will not see a material impact on the margins because we have an existing portfolio of 1,700 screens, which is on the lease model. As we are adding 60, 70 new screens every year on the new model, overall, margin impact will be immaterial. But overall cash flow impact in near term is going to be significant.

In terms of our capex, we expect that financial year '25, '26, we will incur a total capex of roughly in the range of INR400 crores to INR425 crores, which will be split across new projects, we will be spending slightly higher on renovating our existing high -value properties as well as maintenance and IT -related capex.

Moderator: We take the next question from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: I have 2. Firstly, sir, in your observations, how do you see the intensity from the OTT players on content buying currently? Is it coming down? Is the average window between theatrical and OTT releases increasing? Any sense on that would be helpful.

Ajay Bijli: Well, you see the window is 8 weeks just now, and it is only going to increase. If you look at the recent announcement by even Aamir Khan's new movie, Sitaare Zameen Par, in fact, he's not releasing it on OTT at all. So I think people -- the content makers have acknowledged the fact that if you make a movie and release it theatrically, and there are N number of examples last year and this year has also started off with Raid 2 and Kesari proving that, that there's no upper limit to how much a movie can earn. So the biggest monetization window continues to remain theatrical, which was there pre -COVID and is now as well. And then after that, it goes -can be then monetized by going to various windows. And so that's how the journey of any content happens.

And the OTT platform, of course, are also very careful now that they would like to see a theatrical performance of a movie before they buy. And because they use -- they were buying a lot of movies because shootings have stopped in the middle. And also, they were not being able to create TV shows. Now if you look at a lot of intensity of TV shows have come, which used to be -- what used to be seen, the long -form storytelling on OTT platforms. Movies were always going to the big screen. But now after they see the theatrical performance, they know exactly how much to bid for a movie.

So it works both for the OTT players as well as for the film industry because if your movie is small, but has hit a jackpot and done very well, now you can charge not just on the base of your cost of production, but you can charge on the base of the box office collections. And there are N number of studies which have shown that movies which get downloaded on OT

T platforms

are the ones which have done -- had a very good theatrical run. There's a certain recall value that comes when a movie does well. So I think water has found its own level now. And this -- I think

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this whole question itself has become OTT now over the top because water -- every single platform has got its own place in the sun.

Sameer Gupta: Got it. Sir, second question is on the FOCO model or asset -light model. I understand that this question was asked by the previous participant, but I have a slight different version of this. Now suppose you are making INR100 EBITDA in the normal model. What is the anticipated EBITDA absolute amount that you will earn from this new model? So I understand your revenues will be lower, but you will earn a management fee. So overall, EBITDA might be on the lower side. So just getting a sense on those numbers.

Gaurav Sharma: Sure. So it depends on what model is adopted. If it's a management fee model, then we just get

a share of overall revenues, and we don't get to consolidate the P&L in our books. In case of asset light where there is a joint investment by PVR INOX and our development partner there. We have some sort of revenue share arrangement in view of the investment made by the developer.

And it will vary from case to case, depending on the quantum of investment. If it's a 50% capex investment, then the sharing will be different versus it's an 80% capex investment. So there is no straight answer to that. But yes, the margins -- EBITDA margins will be lower versus a classic lease model simply because you need to share something in return of the investment made by the developer.

Sameer Gupta: Got it. But this is like the finance cost will come above the EBITDA line, something like that will happen probably?

Gaurav Sharma: It will be structured in the way like any other rental arrangement is. It will be in the form of revenue share that gets paid out as rental cost to the developer over the period of 15-year lease that we typically have for the cinemas that we open.

Sameer Gupta: But any ballpark number, like just an example of the already 20 screens that you have signed, what is the kind of absolute EBITDA versus had you signed it in -- versus if that was a classic model?

Gaurav Sharma: We have signed (opened) 2 cinemas, 1 in Raipur and Jabalpur under FOCO, which is a management contract where I think the revenue share is in the range of about 8%?

Pramod Arora: 8.5%, that's some of the fee, which accrues to us on account of the IT services. So effectively, about 10% of the revenue is what we end up getting.

Gaurav Sharma: Correct.

Pramod Arora: So that is basically the -- that is the FOCO model. When you come to an asset-light model, you have to think about the REITs and then combine the model with us. So in a REITs model, which is a real estate investment trust, which most of the developers in the country basically end up pursuing. So the yield is on the basis of REITs on the investment that the developer partner makes.

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Sameer Gupta: Got it. This is helpful. And this revenue share is on an entire suite of revenue, including ad income, etcetera apart from the...

Pramod Arora: There are 2 models out there, like in Raipur. Raipur is an ad-free model. So there are no ads. Instead of the ads, there is an additional show that the developer partner ends up running. So we are basically making the fee out there. And in case there is ads, on the ad revenues, we take 35% of the revenues.

Moderator: We take the next question from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, I just want 1 clarification. I mean, out of the 100 to 110 screens that we plan to open in FY '26, how many of them will be on FOCO model because ultimately, those screens will not be consolidated into our P&L, and the actual open

ing number could be slightly lower. So can you just share the FOCO count for FY '26?

Gaurav Sharma: I can directionally tell you that bulk of -- more than 50% of the new screens will be under the capital-light and it will be a combination of FOCO and joint investment as above. Many of the screens are in the process of getting signed, the agreements are getting finalized. We've provided in our investor update also that out of 46 screens across 11 cinemas, we have signed under the FOCO model, and there are 55 screens across that that have been under the asset-light model. And typically, it takes about 12 to 18 months for all these screens to get fitted out in all the licenses in place and they open up. So it will stagger over the period of next 18 months, and they will open as per their respective date.

Pramod Arora: So in terms of a very vague guidance, it will be like 30-70. So 30% of the screens would not be accounted for in our balance sheet because they will be under the FOCO model and 70% would be the ones which are effectively getting accounted for in our model.

Jinesh Joshi: Got that. And sir, one bookkeeping question. So while our other income is about 40% in this quarter, and we have stated in the footnote that it is predominantly due to income from distribution of movies like Sky Force, et cetera. But if I look at our movie distribution and print cost, that is down 10% Y-o-Y. So can you please explain the reason behind the cost reduction when the income is up quite substantially?

Gaurav Sharma: There are various elements in the distribution income. We get to have a pure revenue share from the proceeds that we collect like there is other elements around marketing, promotion, etcetera. So while you're seeing a 40% uptick in the movie distribution revenue, but on the cost side, we have been able to control cost in a meaningful manner, and there is almost a 10% reduction on the movie distribution cost.

Jinesh Joshi: Is this a new normal? I mean I understood what you're trying to convey, but the margin this time around on distribution appears to be quite high. So is there any change in terms, which you

would want to highlight? Or this is something which is kind of slightly one-off in nature?

Gaurav Sharma: So I think you should look at the distribution business and rather the entire exhibition business, the right way to look at it would be on an annual basis. There will be quarter-on-quarter

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variations because this is dependent on lineup of films and the rights that we get for distributing certain films in certain quarters. So if you look at overall increase in revenue from other operating income, which is largely distribution income, on a year-on-year basis the distribution income is up by 70%. And so is the distribution, movie distribution and print charges. But quarter-on-quarter variations will always be there.

Jinesh Joshi: Got that. Sir, just one small clarification from my side. I think under the asset-light model, I mean, we have mentioned that the developer fund majority of the capex and perhaps it is compensated by the MG and rev share. But do these properties also get capitalized on the balance sheet as ROU or how does it work out?

Gaurav Sharma: So the FOCO model, we don't capitalize because there is no investment from PVR. On asset-light model, we only capitalize the capex that we invest in the property. As far as the lease rentals are concerned, they are capitalized as per Ind-AS116 lease accounting, where the rentals are -- the discounted rentals are recorded as ROU assets on the balance sheet, and there is a corresponding lease liability that's created on the liability side on the balance sheet.

Jinesh Joshi: Got that. Sir, just one small clarification. The ROU figure that has fallen from '24 to '25, that could predominantly be because of the closures, right -- the screen closures.

G

Gaurav Sharma: That's right.

Moderator: We will take the next question from the line of Vaibhav Muley from Yes Securities.

Vaibhav Muley: I just had a question regarding your FOCO model. So you mentioned that the revenue share will be around 8.5% of the revenue. But is there any incentive in terms of -- related to the performance of that particular screen if a screen does particularly well then, is there an incentive of a higher revenue share?

Pramod Arora: It's covered up in the percentage itself. The percentage remains consistent. So effectively, if you look at the success rate in terms of the proposals that come to the table, so it's about 20%. So if there are 10 people who end up approaching us for a FOCO model, only 2 get selected because there are very strong guardrails around the -- around the brand, which we end up working around. Unless the model is something that works for our development partner and us, we don't end up picking it up. So it is not a straight up franchisee model. While we call it FOCO, which is franchisee-owned company operated, the model is more like DOCO, which is developer-owned company-operated model.

And in this model, the feasibility studies are carried out on a very stringent basis where there is no upside or a downside to the percentage. It's getting covered in the percentage itself. So there is no sweetener out there in terms of seeking a higher percentage if the screen does well.

Vaibhav Muley: Understood. And my second question was on the Hollywood side. So Q4 also had decent line up in terms of -- lineup in terms of Hollywood movies like Captain America, then we had Snow White. And however, the box office collection for these movies was pretty low. And given that

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there's a good amount of movies lined up on the Hollywood side for the coming 2 quarters, what kind of expectations do you have in terms of revival in footfalls for the Hollywood side?

Gaurav Sharma: Kamal, would you like to take that question?

Kamal Gianchandani: This would be a strong year for Hollywood. And if you look at the advance that we've had for Mission Impossible 8, which is coming out on 17th May, that's an indicator of things to come. Fortunately, we have a lot of sequels, films from big franchises, Marvel has -- Marvel has just delivered Thunderbolts, did really well.

So our expectation from Hollywood films is extremely buoyant this year. We are feeling extremely positive. And by the way, this is the same feeling which the entire world has, including the North American box office because they're totally dependent on Hollywood films. There is buoyancy all across, in the entire world.

Vaibhav Muley: Understood, sir. And if I may just squeeze in one more question. On the -- for Q1 until now, how has been the box office collection so far?

Kamal Gianchandani: Well, typically, we don't make forward-looking statements, but if you look at the global box office, that's tracking about 7% higher than last year same period. In India, if you look at the first quarter year till date, similar numbers.

Moderator: We take the next question from the line of Umang Mehta from Kotak Securities.

Umang Mehta: My question was on the cash balance. So while we acknowledge that gross debt has come down.

Any specific reason why we are accumulating cash, especially since incrementally capex is expected to decline?

Gaurav Sharma: So as a strategy, Umang, we maintain a certain cash reserve in our balance sheet given the fixed cost heavy nature of our business. A lot of work has been done in terms of expediting collections across all our receivables. There's been a lot of work around working with the ticket aggregators in terms of advances on convenience fee. And as a result, quarter 4, we saw a significant buildup of cash.

We will continue to be conservative in terms of making sure that liquidity levels are healthy, given the

recent volatility in the last couple of years, we have seen in the business when there are gaps in months when the box office has not performed as per the expectation. So overall, I think the net debt and the cash levels will -- the debt level will continue to come down. There are obviously quarter-on-quarter variations.

But on an overall year-on-year basis, you will continue to see a reduction in net debt levels and a healthy cash balance sitting in the balance sheet.

Umang Mehta: Understood. And the second related question was on capex. So you mentioned that it will increase to INR400 crores plus because you'll be renovating more than what you did in last year. Would it be possible to split the capex in maintenance and new cinema capex? That's it.

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Gaurav Sharma: I think broadly, we will spend roughly INR250 crores to INR300 crores on new projects, which will include projects which are currently under fit-out and will open in the next few months, plus giving advances for new handovers that we take for fit-outs. And the balance we intend to spend across renovations, maintenance of our existing circuit as well as IT-related capex.

Moderator: We take the next question from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: My first question is this 1,800 movies a year, this number has been probably there for the last 10 years. But has the number of films who can do good at box office, like that number, has it stabilized? Like it's been on a downtrend, but has it stabilized? So that's question number one. And question number 2 is, sir, if you can give some idea on how this Bollywood content creators are thinking?

Because see, how much ever we may say it does not affect this Bollywood boycott thing is probably big. And we saw this during the war period also that there are so many Bollywood actors who are either -- like people do point out their Pro Pakistan behavior or things like that. So is that realization finally dawning upon Bollywood that they'll have to give up their old ways, probably figure out new things? Any comment you can make on this part?

Kamal Gianchandani: To your first question, the -- there was a significant drop in mid-sized and big Hindi films post-COVID. And in fact, that number has been improving gradually. Year-on-year basis, that number has been inching up. Last year was we had in terms of quantity of films, decent number of films. But unfortunately, we didn't have enough big films. We had mid-sized films and small films, but we didn't have enough big films.

But overall quantity was -- in this year, quantity is a little better and the big films, sequels, mid-sized films, sequels again, that number has gone up, which is making the outlook very positive. If you look at the April and May period, May period till now, films like Jaat, Kesari 2, Raid 2, they've done extremely well at the box office. And of course, there is a general positive sentiment for Hindi films across the country.

Your second question, again, because Hindi films are stabilizing. So this is one industry where actors and directors and celebrity producers are constantly in news. Media is very keen. There is a lot of curiosity around what celebrities think and their viewpoint on various aspects of social life. Things which are happening at geopolitical level. Media is very interested to know that. And with this oversupply of views and information, often there will be missteps.

So I think that's part and parcel of the way media operates, the way celebrity culture operates. But its impact on our business? Not too much. I mean there was this whole thing about boycott Bollywood. People wanted to sort of not support Hindi film actors. But no, that's been long dead. I don't think that issue is there anymore. And I don't think there's any impact of any views actors have on our business.

Digant Haria: Okay. Okay. That's very

clear. And my last and second question is, sir, on the cost side, we have done quite well last 3 years. What line item of the cost do we still have some levers like will it be the rent, trends, or will it be the CAM or what line items still has some levers left for us on the cost side?

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Gaurav Sharma: Yes. So I think we continue to be working across all line items in our P&L to control cost. That's what is fully under our control, unlike content quality and other things on the revenue side. Rent and common area maintenance, which is occupancy cost is bulk of our fixed cost and which is driven by lease contracts. We -- and our development team has been working very hard to negotiate with the developers to get relief on rentals.

So that is one line item I think we will continue to work on. There are -- all other line items, including manpower cost, we will continue to see if there is more automation that we can bring in our cinemas in terms of self-ticketing kiosks and other initiatives that can reduce manpower. As well as electricity utilities in some of our cinemas, we have deployed solar panels and moved to renewable energy that has resulted in controlling utility cost.

Similarly on other line items. So there is a continuous regular review on each and every line item in our P&L on the cost side, and we are pretty hopeful that we will continue to be disciplined on the cost front going forward as well.

Moderator: We take the next question from the line of Yash Sonthalia from Edelweiss Public Alternatives.

Yash Sonthalia: So I have 2 questions. First, I need a small clarity like in our FOCO model, where we are getting 6% to 10% of revenue sharing, is there any particular cost we will be inculcating in those screens or it will be only the revenue sharing or there will be no cost?

Pramod Arora: There's no cost that -- there's no physical cost, which is basically getting incurred in this model.

Yash Sonthalia: So 100% of the revenue sharing we are getting will be transferred into our EBITDA, right?

Pramod Arora: Yes, absolutely. So when the screens are under development, including the cost of people visiting those sites is incurred by the development partner.

Yash Sonthalia: Understood. And in our recent year, our variable cost for movie exhibition has decreased a lot. So is it like something related to the mix of movie and the weeks the movies run on? Is it a structural thing we have done by the efficiencies?

Gaurav Sharma: Our film hire cost is normally in the range of 45% to 46%. However, in financial year '25, it was 44.6% simply because there were no -- the number of movies which crossed INR500 crores plus were lesser. As a result, in our film hire contract, we -- there was a less amount of bonus payouts that happened.

Also, we did a lot of rereleases during the year. 5% of the admissions during last year came from rerelease and rereleases typically have lower film hire charges as compared to a fresh film.

So that's why you're seeing a 137 bps reduction in FHC. But I think going forward, we will be in the range of 45% to 46% or 44.5% to 46%.

Moderator: We take the next question from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My question is on the asset-light models. So we have signed around 11 cinemas and management contracts and 12 in asset-light model. So based on this, can you explain us what kind of developers are going for management contract and what kind of developers are going for asset

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light? Is there any commonality about this geography -- geographically or the size of the developer? Some light on this will be helpful.

Pramod Arora: So the way it really happens is the process of selection is strategic in nature. So in many of the territories where we already have an existing release model, we may perhaps go for an asset-light

model. And the new territories wherein we do not have cinemas or we have cinemas which are sparsely spread out, we may go in for a franchisee-owned company-operated model. So that is one distinction that we end up using in the selection process.

Other than that, there are certain metrics that we end up using wherein if the economies of scale happen to favor in the FOCO model, then we will choose the FOCO model. In effect, to give you an example, if the development partner has certain leverages around the cost that has to be incurred into the cinema, we will end up using it to our benefit and go for the FOCO model instead of an asset-light model.

Arun Prasath: Sorry, I didn't understand this leverage part, can you just explain?

Pramod Arora: Let's say if there's a development partner who is operating multiple malls or has a very large mall under his purview in terms of managing that mall or having developed the mall and then managing it, lots of costs are common costs. The security cost is a common cost wherein the same security agency gets used even for the cinemas. The housekeeping costs are common costs, wherein the same housekeeping agency gets -- ended up getting used for that.

So in which case, we are able to save certain costs in the model and we end up going towards the franchisee-owned company-operated model. So that is another side of the selection criteria that we end up using. Other than that, it is a model which is agnostic of any Tier 1, Tier 2, Tier 3 cities. So we are even going to have the FOCO model cinema coming up in Mumbai by end of the year.

Arun Prasath: Right. So does the developer has a say on this? Or it's we present in this option and he has to

choose other than that?

Pramod Arora : Yes. We are managers who have guardrails around the brand -- the brand guardrails are given in. Other than that, the developer has a lot of say within the model, wherein he's empowered to take certain calls in terms of let's say, a ticket price, let's say, some of the other things that he is looking at in the model.

It's a typical franchisee -owned company -operated model. Alongside the guardrails, the developer has a say in terms of the revenue metrics that we end up doing for him.

Arun Prasath: No, I meant whether he can choose, say, we are offering him a management fee model. Can the developer say, no, I want an asset light model? Or I want a traditional model where it needs to be completely leased out?

Pramod Arora : Yes, he has every right to choose and we have every right to reject.

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Arun Prasath: Okay. Understood. And when we are designing the -- so for example, in asset -light model, you have mentioned 40% to 80% capex by developer. How this is also decided?

Pramod Arora : So this is a typical model wherein the development partner ends up investing a part of the capital into the fit -outs of the cinema. There are certain fit -outs which we call as the movable asset, certain are immovable assets. In the immovable assets, which amounts to about 60 % plus, the development partner ends up investing the money. And in many of the movable assets, the company would end up investing the money.

In terms of the returns that the developer got -- get, there are 2 models that are invoked and that are getting practiced. One is there is a yield -driven model which is akin to a REITs model, wherein the developer ends up getting a yield on the investment that he has made into these immovable assets on the cinema fit -out.

The other is, he may basically choose to go in with a higher revenue percentage sharing on the rental model wherein he is able to get the similar yield from the revenue share that is there. There is an upside in the revenue share model wherein if the cinema super performs, he ends up making superior monies on the revenue share.

Arun Prasath: So on a REIT -based business model, he has a

very little downside?

Pramod Arora : He has a very little downside. Let's say, let me give you an example. Let's say if the yield on our REIT model is going -- hovering around 8%, and if we are giving a 9% yield, so he has a benefit on the table itself. For us, the asset is basically been created by the developer wherein he gets a fixed yield over the time of the lease.

If the model does not perform, let's say, hypothetically in a period of 5 years or 6 years, then the lock-in triggers in and in which case. We have the option to walk our way and the developer ends up being with the asset to be given to another operator.

Arun Prasath: Okay. So this 9% or 8% yield is irrespective of the content quality or how the content has performed? So that is basically...

Pramod Arora : It is irrespective of the content quality. It is irrespective of the content quality. For the content quality, the developer has to choose the other model, wherein if you believe that the content is going to be super good and the mall or the shopping center is going to perform much better than anticipated, in which case he -- instead of choosing a fixed yield model, he ends up choosing a rev share model.

So our standard rev share is 15% of the box office and the concessions revenues. And we -- the trigger basically depends either a 2% or a 3 % over and above that model for the developer to cover his investment, in which case, he will benefit if the content quality becomes better.

Arun Prasath: Understood. Finally, on the existing set of 1,700 screens, is there any possibility we will transition as and when the lock in period ends or as and when the contract ends? We will give an option to the developer to...

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Pramod Arora : So never say never. So never say never is the thing. So it all depends how this whole traversing happens. And the potential opportunities cannot be negated as of today, but suggesting that is there a firm plan or something? No. Going forward, there may be opportunities which may come on to the table in terms of being able to convert a regular model to a FOCO model. And depending on the financial viability, we may end up choosing that.

Moderator: We take the next question from the line of Abhishek Kumar from JM Financial Limited.

Abhishek Kumar: My question is also on the FOCO model. Thanks for all the explanation. I'm still not able to figure out why is it attractive for a developer? I mean this is a business where you despite the scale and so much efficiency are making -- barely breaking even. And in that, if the developer has to give you 10% of the revenue, for him with little expertise and a little benefit of scale, how

will he make money?

Isn't it more beneficial for him to just take 15% as rent of revenue and leave the operations and the cost associated with it to you?

Pramod Arora : So absolutely, a great question, but we should have that availability from a top of the mind recall operator to be in his mall. So usually, shopping centers work on the principle of 5 Fs, which is fun, food, fashion, film, fitness. These are the 5 Fs, which gets covered in a shopping center development.

Now in this -- so in this -- the film side that we represent, we are talking about the fact that if he wants to be in bed with the top operator, then perhaps if the FOCO model or an asset-light model is available, he will or may consider us. So it's an optionality, which is there. Most of the shopping centers today as we see in the country are incomplete if they do not have a cinema operation.

So that is where it goes. And in terms of financial modeling, as you go up, so cinemas are usually placed on the third floor, which is the top floor of a shopping center. So shopping centers would get a yield of something like 25% on the ground floor. As they go up, this yield decreases to 12%. As you go further, it decreases to 6%. So that your average

yield basically is coming into

the line of 15% to 18% from the whole shopping center.

So that's how the mechanics of a shopping center model works.

Abhishek Kumar: Okay. My question was more around whether if we have to choose between a FOCO model and the traditional model, I'm not very clear if the risk reward favors a developer given how the Bollywood and the exhibition business is performed?

Pramod Arora : So 2 reasons out here. When you look at a development partner who is coming in with us, this is a very large country. Unlike a small part of Europe, or a small part of any other part of the world, this is a very large country. So most of the development partners that we come across actually know the consumers psyche perhaps a little better. So they have certain levers out there to be able to improve the revenue metrics.

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So they are able to help us give that support also as well. Let me take an example of a concession pricing or even a ticket pricing. They're able to perhaps fine tune it to better revenue modeling by giving in the inputs, in which case, they also feel empowered to be able to maximize their yield from the cinema assets. So that is one.

Second is since they are -- there is a little bit of pride of having a PVR INOX cinema being your own cinema. So there is something connected on the emotional side also as well, which we end up leveraging because the brand has been delivering consistent results year-after-year. So one, you're talking about the breakeven point not being achieved over the last 2 years.

Now that has not been the case because this is like a 30-year game that one is talking about. There is a precedent of 30 years and there would be a precedent of an infinite number of years, which will be available to the brand. So most of these development partners believe in the long stay of the game. They are not living on a quarter-by-quarter basis unlike a financial institution. Moderator: We take the last question from the line of Pankaj Mehendiratta from Bank of America.

Pankaj Mehendiratta: Three quick questions from my side. First one, your thoughts on Karnataka government budget announcement on capping the movie prices at INR200. Where are we -- how much impact do you see? Have you gone back to the government and asked for further concessions out there?

Pramod Arora : So the government has not taken any -- yes, Kamal, go ahead.

Kamal Gianchandani: No, no, go on, please. Sorry.

Pramod Arora : So as of now, this has not basically been implemented by the government. So as of now, it is in abeyance. So until such time the matter comes up, there's no -- there's no need of any analysis to be done on that count.

Pankaj Mehendiratta: Second question is around the use of cash. So assumption is there is nothing inorganic as an opportunity probably out there. So would the Board have thought around doing dividends again or some buyback? Is there a sort of conversation happening around or not really?

Gaurav Sharma: I think, as I said earlier, our capital allocation strategy is very clear. We will focus on generating free cash, which would be used towards deleveraging the balance sheet further. We would ideally want to come down to a negligible net debt level over the course of medium term, over the course of next 2 to 3 years. So that's our priority number one. And once we have achieved that goal, then the Board will decide on dividends and other alternative uses of cash.

Pankaj Mehendiratta: And so is it safe to say that once that happens and if there are the sale proceeds from the management contract cinemas, then one might expect that as a bullet payment for dividend?

Could that be a scenario?

Gaurav Sharma: See, I would not like to make a specific comment on that. That's a decision that the Board will take at the right time. So I think we should leave it at that.

Moderator: Ladies and gentlemen

lemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.

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Gaurav Sharma: Thank you, everyone. Thanks so much for joining this call, taking out time today, and we're very happy to address your questions. In case there are any further questions that you may have, you can reach out to the Investor Relations team at PVR INOX or you can write to me. Thank you so much.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 12 , 2025
The Manager - Listing
National Stock Exchange of India Limited
(Scrip Symbol: PVRINOX)

The Manager – Listing
BSE Limited
(Scrip Code: 532689)
Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Ma'am,

This is with reference to and in continuation of our letter dated 31st July, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company participated in the conference call for analysts and investors held on Wednesday, 6th August, 2025 post announcement of Un-audited Financial Results for the First Quarter ended on 30th June, 2025.

A copy of the transcript of the proceedings of said conference call is attached herewith for your information and records.

This is for your information and to all concerned.
Yours sincerely,
For PVR INOX Limited

Murlee Manohar Jain
SVP - Company Secretary
& Compliance Officer

Encl: A/a.

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"PVR INOX Limited
Q1 FY '26 Results Conference Call "
August 06, 2025

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR – PVR INOX LIMITED
MR. GAUTAM DUTTA – CHIEF EXECUTIVE OFFICER -- REVENUE & OPERATIONS – PVR INOX LIMITED
MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER – PVR INOX LIMITED

MODERATOR : MR. ABHISEK BANERJEE – ICICI SECURITIES

This transcript has been edited for factual errors.

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August 06, 2025
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Moderator: Ladies and gentlemen, good evening, and I welcome you all to the PVR INOX Q1 FY '26 Earnings Call. As a reminder, all participate lines will be in listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhisek Banerjee from ICICI Securities. Thank you, and over to you, sir.

Abhisek Banerjee: Good afternoon, everyone. On behalf of ICICI Securities, I would like to welcome you to the Q1 FY '26 earnings conference call for PVR INOX Limited. Representing the company, we have Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel. The call will begin with brief management remarks followed by a Q&A section.

I would now like to hand over the call to Mr. Bijli for his opening remarks. Over to you, sir.

Ajay Bijli: Thank you very much, Abhisek. Good evening, everyone. I'd like to invite you all to discuss the unaudited results for the quarter ending June 30, 2025. We uploaded the earnings presentation and the results on our company's and Stock Exchange's website earlier today, and I hope you've had a chance to review them.

The Indian box office has started on a strong note in FY'26, led by robust performances from both Bollywood and Hollywood movies. Bollywood box office collections surged by 38% year-on-year, driven by a steady flow of successful titles such as Raid 2, Sitaare Zameen Par, Kesari Chapter 2, Housefull 5 and Jaat.

The year so far has relied less on the big ticket blockbusters and more on a consistently performing steady flow of films with five Hindi films crossing the INR100 crore mark, including three films, which crossed the INR200 crore mark.

This signals a healthier theatrical environment where performances are less skewed by mega blockbusters and more anchored in the sustained strength of mid to high performing titles.

Hollywood movies too, where PVR INOX enjoys a dominant market share, delivered a sharp 72% year-on-year growth in collections, powered by super hit franchises like Mission Impossible, Final Destination and Ballerina.

The major summer event film like F1 Inspired by the World of Formula 1 also stood out with its high-octane racing action, placing it among India's top-performing Hollywood releases for this period.

These titles performed exceptionally well in our premium and experiential formats, which recorded an impressive 20% year-on-year growth in admissions. On the other hand, regional content demonstrated stability. Regional performance was well supported by hits like Good Bad Ugly in Tamil, Thudarum in Malayalam and sleeper hits like Tourist Family in Tamil. We continue to focus on our manufacturing footfalls initiatives to drive demand generation. In April, PVR INOX Limited

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we launched blockbuster Tuesdays offering tickets starting at just INR99, which has quickly emerged as a very high-impact footfall driver for value-conscious weekday patrons. Impressively, it brought nearly 1 million new and lapsed transactors back to cinemas, highlighting its effectiveness in revitalizing weekday cinema going habits. Our live events initiative also progressed well with screenings of IPL matches, which drew enthusiastic crowds and showcased how cinema halls can be multipurpose entertainment venues.

While these initiatives delivered strong engagement, the quarter also saw some external disruptions and the release of Punjabi film like Akaal and the indefinite suspension of Sardar Ji 3 collectively impacted footfalls, resulting in a loss

of nearly 6 lakh to 7 lakh admissions.

All key operating metrics registered strong year-on-year growth. Admissions rose to 12% -- by 12% to 34 million, while average ticket price increased by 8% to INR254. We also achieved our highest ever spend per head on F&B at INR148, reflecting a 10% year-on-year growth. Advertising revenue reached INR110 crores, the highest for any quarter post pandemic, marking a 17% increase over the previous year.

In terms of the financial results for the quarter, the following numbers were calculated after adjusting for the impact of Ind-AS 116 on lease accounting. Total revenue for the quarter was INR1,488 crores. EBITDA was INR114 crores and PAT loss was INR34 crores as compared to revenue of INR1,209 crores, EBITDA loss of INR20 crores and PAT loss of INR137 crores in the same period last year.

On growth investment front, we are actively implementing the capital-light growth strategy. During the quarter, we opened a total of 20 new screens, of which 14 were under asset-light and FOCO models. In addition, we have signed 55 new screens under the FOCO model and 72 new screens under the asset-light model, reinforcing our focus on capital efficiency and scalable expansion.

During the quarter, we have not closed any screens. Our net debt stands at INR892 crores at the end of June 2025, marking a reduction of INR61 crores since March 2025 and an impressive INR539 crores or 38% reduction since the merger, underscoring our commitment on financial

discipline and deleveraging.

The upcoming quarters look promising with a robust lineup of releases across languages. Key titles include War 2, Coolie, Jolly LLB 3, Ikkis, Thama, Tere Ishq Mein, Dhurandhar, Avatar: Fire and Ash, Rajasaab, Alpha, Border 2, Love & War and Toxic. With such a diverse and high potential content slate lined up, we expect strong audience traction and healthy footfalls in the quarters ahead.

We will continue our efforts towards manufacturing footfalls through innovative promotions and programming while prudently managing cash flows and reducing leverage. Our current screen portfolio stands at 1,745 screens across 353 cinemas in 111 cities in India and Sri Lanka.

Thank you for joining us today. I now open the floor for any questions you may have.

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Moderator: The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: My first question is on the FOCO and asset-light models. So you've opened around 14 screens in these 2 models this quarter. So if you could comment what was the response. And if you could also comment on the FY'25 screen openings, if any, in this model. Any tweaks that are needed in terms of expansion? And are you happy with the initial response in these 2 asset-light and FOCO models?

Ajay Bijli: This is Ajay Bijli, Abneesh. Yes. I mean out of the 20 screens that we've opened, Raipur is on FOCO model, Jabalpur is on FOCO model, and also Director's Cut in Mall of India DLF project in Noida is an asset-light model. And we are extremely happy because we are not compromising on any of the things that we look at when we do a normal lease model, even when we're doing these models. Because, in fact, our responsibility increases to make sure that these projects are successful and quality of the operations, quality of the fit-outs are equally good.

And the response even from the developers and those who invested money in the FOCO model is also very good. So I think as I mentioned in my opening speech or whatever talk, 127 screens have already been signed, and we're going to be opening these screens in the next -- in this financial year and the next financial year, 18 to 24 months.

This is obviously the EBITDA margins are going to be same as what we normally look at, but the ROCE, because the contribution is less from our side and more from developers, but the

ROCE numbers are much healthier. And it's part of our strategy to sweat the brand now, which is recognized by all stakeholders, especially the developers and the consumers, that much as the way it has been done in hospitality for a long time, but I think it's the first time a cinema company has basically gone on this path. And we are very happy with the results.

Abneesh Roy: Sure. My second question is on your manufacturing footfall initiative. Tuesday INR99 pricing seems to have done well. Now weekend customer and weekday customer generally is a bit different because of the nature of the job profiles, et cetera. So does it make sense to extend Tuesday to bit more weekdays?

And second question is on the F&B side also you have done affordable pricing. Any numbers you can share that on a percentage basis conversion of the occupancy? How can we judge that this is also working? Because in India, anything affordable always works. Just wanted to understand if any data points you can share how it's working?

Ajay Bijli: Sure. Is it okay, Abneesh, if I give the answer to -- request Gautam to answer this, yes? Gautam, can you answer this, please?

Gautam Dutta: Yes, sure. So your question on whether this affordable pricing is working, the first answer is that if you look at our 10% growth, the majority of the growth is coming through value and not through volume, which is very healthy in the sense we are able to take the strike rates up by converting some of our non-eating consumers on the weekdays through the INR99 plan. And through the unlimited refill promotion that we run over the weekend, we try sort of to cover a larger audience through that.

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So by and large, there's been a very focused approach on trying to get more conversions to the candy as well as keep the pricing up there. So the split between -- on the growth is 50-50 or 60-40 in favor of volume to value. And that shows clearly that this is working.

So that was -- and what was your first question? On -- whether we can extend the pricing to week ends? No, we don't want to do that.

Abneesh Roy: No, that was not the question. My question was, currently, I think the INR99 is more on Tuesday. And now weekend and weekday crowd is different. So instead of Tuesday, can you have one more weekday? Does it make sense?

Gautam Dutta: No. This is an industry-specific program where not only PVR INOX, but the entire industry has been galvanized to actually have this specific one day off. We don't want to start shifting our value customers from other days into INR99 day because that would begin to erode our profits.

The idea was to get new customers on a specific day, and it's working brilliantly well. We don't see the need for extending it beyond one specific day because, as you would understand that cinema does cater to various audiences with different pocket size, and this day has been marked out for people which are time -rich, cash -poor and still have the ability to walk into a PVR INOX cinema or any cinema for that matter.

And because all the cinemas are at INR99, we get that advantage because clearly of our positioning. And that's a big one for us. So we don't feel the need for extending it beyond one day of the week.

Abneesh Roy: So one follow -up, I wanted to understand more in terms of the understanding. So you mentioned industry -wide Tuesday, that is something which I get. What I did not get was time -rich, cash -poor. Now if you see weekend audience, generally, my understanding is will be the office -goer and the student who has classes on the weekday. So isn 't the customer base largely disparate? So if he's free on Tuesday, there can be customers who are also free, say, on the Thursday or Wednesday.

So I just wanted to understand why only one day you are restricting. By opening up more weekdays, which are an yway under -occup

ied, what is the issue? Because see, someone who is coming on weekend, he is office -goer or a student who has classes, right? So to that extent, he can't come on the other weekday.

Gautam Dutta: Yes. I understand. But the way we look at it is that the weekend is more family. And the way we classify them is cash -rich, time -poor is the weekend customer because he has the ability to pay. And we would really want to cash in on that audience in a different manner.

The fact is Monday to Thursday, any which way, we operate on lower pricing than the weekend, Plus on the Tuesday, we even lower it further to INR99 flat pricing. So we believe that we are giving audience such as students, housewives and senior citizens, which are largely the case between Monday to Thursday, opportunity to come and watch the film.

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But even on Tuesdays, even for the drop down to INR99, on a weekends, we believe that we any which way work on higher occupancy. If you see the weekend occupancies are much higher than the week day occupancy, that is largely because of the fact that it's a family audience. And this audience is willing to pay additionally for a great experience of coming to a cinema.

So this is how we have allocated time zones for just about every category within the space. And it's kind of worked for us. We don't feel that there would be a need to change that equation because we need to maximize on a few days. Fridays, Saturdays, Sundays also, the first 3 days of when a movie is absolutely fresh and caters to an audience which is willing to pay the maximum price. As days and weeks go by, the pricing keeps coming down and keeps opening a different subset of the market for us. That's the way we've planned it.

Abneesh Roy: Sure. Last question. So highest ever SPH. If you could discuss what was the reason. Second is post-pandemic, highest Q1 ad revenue. So what was the key drivers here? Was it the Hollywood box office finally seeing a good number, INR200 crores after 2 years, and now the Hollywood pipeline is looking good.

Overall advertising when I see for FMCG and for the media companies like Zee and others, it is not that good. So you have obviously done better. Your overall ad revenue is a bit more unpredictable and a bit more movie -led. But what is the key driver for ad revenues being multiyear high from a Q1 perspective?

Gautam Dutta: So on advertising -- for advertising revenue, we tend to lean a lot on big starer films. That is something that has always worked for us. Unfortunately, sleeper hits don't work for advertising business. So from that point of view, we had some big star rer films that came in, which was Kesari with Akshay Kumar. He also endorses a lot of brands.

We had Ajay Devgn in Raid 2. We had Good, Bad, Ugly with Ajith again, which -- who endorses a few brands in the South. All of these bigger films -- and Sitaare Zameen Par, of course. The fact of the matter is we garnered fairly decent advertising revenue on back of these films which did not only -- which opened well and had huge expectations with the advertiser, and because of which we were able to get better numbers.

Abneesh Roy: And SPH?

Gautam Dutta: On the SPH end, as I said, the INR99 menu on the weekday and the unlimited popcorn and Pepsi refill pack, along with that offer where anybody could buy a glass of Pepsi by paying INR50 extra, all these offers really helped us to increase strike rate and get the SPH up.

Also the fact that some of the big films that came in this quarter were Hollywood films, which actually garners a very different audience, which is a high -ATP audience and they like to come and spend. At the candy, there were hardly any films where the youngsters came in alone. So this was all family content that came in, a high spending audience that came in, and because of which we were able to sort of galvanize a

better SPH.

Abneesh Roy: One clarification here, does the INR99 pricing help you in augmenting SPH? Because I thought INR99, affordable pricing, it may help you in conversion. It may help you in getting new

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customers. But we are talking about spend per head, and INR99, the affordable pricing, does it help SPH in going up?

Gautam Dutta: Yes, it does. It does because if you look at the way it operates Monday to Thursday till 6:00 p.m .

Till 6:00 p.m., our strike rates are normally slightly dented because of the kind of consumer we get. Again, these are very value -conscious consumers who would typically wait for a Monday to a Thursday and come and watch a film. And they, at times, found our F&B pricing a bit high or -- but with INR99, they were easily able to convert. So you've got to see that while the SPH was low, but the conversion was better, thanks to the INR99 offer.

Abneesh Roy: Okay. I'll discuss offline. I still don't get it. Bu t thank you.

Moderator: The next question is from the line of Vaibhav Muley from YES Securities.

Vaibhav Muley: Congratulations on a good set of numbers. My first question was on your asset -light and capital -light strategy. So going forward, what kind of margin expansion do you foresee because of the addition of capital -light screens? The reason I'm asking is there has been a significant cost reduction across the cost headers in Q1 results. So is there any particular reason for that? Or are we already starting to see the benefit of shifting towards capital -light model?

Gaurav Sharma: So -- Gaurav here. Today, if you look at our circuit, the number of screens which are on asset -light are very miniscule. So to answer your question, the control on cost that you are seeing is not because of asset -light. It's largely because of the cost discipline and various efficiency initiatives we have implemented across our circuit, electricity, water, utilization of resources, optimizing and controlling on a variable basis linked to footfalls. All of that is driving the control on fixed cost, not because of FOCO or asset -light.

Going forward, yes, majority of our new screen additions will be under the asset -light model.

And in asset -light model, as I said, 2 different are there. One is a FOCO where we don't consolidate the P&L. We only get the management fees. And the other is where w e have a developer invest or co -invest in the capex , where we share a certain percentage of rental -- incremental rentals with the developer in lieu of his investment, where there is a margin impact, but that margin impact is, to a large extent, taken care by the improvement in ROCE.

And as a result, the free cash flow that the property will generate in the breakeven period improves dramatically. So -- yes, so that's our response. Any further questions or any points you want to clarify?

Vaibhav Muley: So w e can expect the current levels of cost as a percentage of sales to continue going forward or even reduced from the current levels?

Gaurav Sharma: Yes. I think you -- in the near term, the existing cost structure will continue. But as the share of asset -light improves -- increases over medium to long term, the cost structure will shift a little bit.

Vaibhav Muley: Understood. My second question was on the performance in July. So you have mentioned in your press release regarding highest admissions in the pa st 18 months. But in terms of financial

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performance, what kind of color you can provide for the -- one month and one week gone by.

So what kind of admissions we are seeing and also the trend in terms of ATP and SPH? If you can provide a broad color.

Gaurav Sharma: Yes. I think July has been a very, very strong month. Hindi films like Saiyaara, Mahavatar and English films like Jurassic World, Superman, even reg

ional films have done very well. So all

across the board, across all languages, the turnout of admi ssions and occupancies have been pretty strong. I think we would not like to comment specific on financials for the month of July.

We will report that as part of our quarter 2 earnings and give you more insight on how the quarter, including July month has panned out.

Vaibhav Muley: Perfect. And just lastly on the net debt. So we have reduced the net debt by around INR61 crores in the Q1. So can we expect more net debt reduction because free cash flow generation can be pretty strong going forward given the k ind of outlook that we have. And now we are shifting towards the FOCO and capital -light model as well. So given the strong free cash flow generation, net debt should accelerate going forward?

Gaurav Sharma: Yes, that's our priority to reduce net debt. I think you should expect the net debt levels to further come down. As the operating cash flow increases, we will use the surplus cash to pay down debt.

Yes. So you should expect further reduction in debt levels.

Moderator: The next question is from the line of Jayaram Shetty from ICICI Securities Limited.

Jayaram Shetty : Sir, what could be the impact of the Karnataka tax on PVR profitability and operation, overall operation?

Gaurav Sharma: So yes, the Karnataka government order is yet not notified. There was a draft notification released in mid-July, where the government sought feedback and objections from the public at large. A lot of feedback and objections have been sent out, more than 700 objections on the price cap has been sent out to the government. We have not yet heard anything after that. There is no clarity by when this notification, if at all, will become applicable.

But also whether this will be applicable across the board or there will be exclusions in terms of weekday sorry, weekends and special formats and whether tax will be part of this 200 cap or not. So there are a lot of moving parts depending on the final structure of the government order, including the applicability across premium formats and weekends, the financial impact can be determined. So I think at the moment, it's a little bit premature for us to comment on this aspect.

Jayaram Shetty: Okay. And my second question would be your consolidated loss has narrowed down significantly to INR54 crores in quarter 1 FY '26. So what are your key levers to sustain this momentum through FY '26 and beyond?

Gaurav Sharma: Yes. I think in our business, the biggest driver of revenues and profitability are footfalls. So the lineup of films across languages in the upcoming months and quarters is something which we are pretty optimistic. We feel that the momentum will -- momentum is very strong currently, and the lineup will only support this momentum. So that's one lever. Other is pricing on our tickets and F&B. We are very careful. We are doing a lot of initiatives.

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We are also trying to address the price-sensitive audience by bringing out more promotions on both tickets and F&B through various initiatives. And third is our control on operating costs.

That is something which is a top priority for the entire organization. We are trying to make sure that the cost discipline continues. So yes, these are the three big drivers for the profitability in the remainder of the financial year.

Moderator: The next question is from the line of Vaibhav Muley from YES Securities.

Vaibhav Muley: I just had a follow-up regarding 10 movies have done more than INR100 crores of collections for the quarter. So what has qualitatively changed according to you compared to previous quarters? Of course, one of the reason is slightly improved content pipeline.

But apart from that, we have had good movies in the past as well, but revenue distribution has been very skewed towards a particular movie,

while many of the movies have performed poorly

on the box office. So what exactly has been changing fundamentally among a consumer that has led to more distributed collections across movies?

Gautam Dutta: So there could be many reasons for this, and we keep debating internally as well as keep checking with consumer and do deep insight sessions with them. But what we clearly are getting is that there is an OTT fatigue. Clearly, that's one. The content overall has become a lot sharper and better. And the fact that people do want to come out and understand and enjoy this movie experience is the pivot point.

The more and more that we are talking to consumers is they are saying the best and the only way perhaps to enjoy an unadulterated movie experiences at the cinema. So I think the swing is completely back, and you can see this across -- we've been sort of doing deep research at each of our cinema locations. The sheer footfalls has increased and consumers are very actively now seeking for fresh content.

And I think what we've been lucky is the fact that the directors and producers of new content have clearly got the vibe of the consumer and are creating stories, which are kind of connecting with the today's audience and their requirement. Also, one big move that we are seeing is this whole shift from stars to stories. I think if you look at the success of some of the films, you will clearly see that the move from just a multi-starrer or a big starred film to great stories has come into play. And that really augments better footfalls to the cinema.

The last point that we have kind of again captured through the creative fraternity is now across the board, whether it's Bollywood, Hollywood or Tollywood or the regional film, they're all eyeing a pan-India market. So there is no longer a regional divide for a film. So if you talk to today any film creator, he's not creating a film for a certain boundary. His stories, the way they are shooting, the way the production values are, they are trying to cater to a much, much larger audience and which really augments really well for us.

Regional content is on a high. And along with the fact that regional stars -- and when I say stars, I mean great actors are coming into fore. This is something which we will continue to see even in the 2 big starrer films, which are due to come on 14, which is Coolie and War, where we have the leading Bollywood and the South stars coming together. And same is the case with Coolie,

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same Rajinikanth and Aamir Khan coming together. So I think this is a few trend lines that we are seeing, which is resulting in higher footfalls at the cinema.

Vaibhav Muley: Understood, sir. Just a follow-up on that. You said OTT fatigue is there. So what do you mean by that? Are the investments behind OTT platforms are starting to slow down or new content -- the amount of new content is slowing down? Or it's just that the consumer preference is now again shifting towards the movie exhibition, towards the movie on the big screens?

Gautam Dutta: While I will react more from an outside-in perspective, we don't have an inside view of what's happening really at the OTT side. But what -- if you see is, it's not as if that there is a complete lack of content. Content is coming in there as well, but there's clearly a fatigue where people are saying, I've seen it all. In fact, they seem to be now getting into a rut where a similar kind of content is finding way.

They have now got into a bit of a constraint where stories, cast, everything is playing to a certain plot, whereas cinemas have started to now break the mold, come up with far more fresh stories and coupled with a great experience that the family gets when they come and visit a cinema because this unadulterated cinema experience is something which only cinema can deliver. Sitting at home

, there are just far too many distractions which consumers are now coming to terms with. And what happens is we've often seen that through 20 years, 25 years that once a consumer is out to watch a film at the cinema, he gets hooked on and would come back to a cinema quite often. So if he comes out once, you will see the same customer coming out again and again and again because that's when he begins to enjoy the sheer experience of a cinema.

Vaibhav Muley: Got it, sir. And is there any chance of improving the -- increasing the OTT window from the current, I think it's about 4 weeks and also to make it consistent across regional languages?

Gaurav Sharma: No, the current window is not 4 weeks. For Hindi films, the theatrical window is 8 weeks before it's available on streaming. And the global windows are also 6 weeks for a pay-per-view or transaction and minimum 8 weeks for subscription-based OTTs. Windows in South India are slightly shorter. But there is no change, and these are the windows which were there in pre-COVID period also and the same windows are currently applicable.

Vaibhav Muley: Got it. And just lastly, on the -- I had heard Mr. Bijli saying that PVR will eventually become along with the movie exhibitor and overall platform for out-of-home entertainment and entertainment consumption entity. So are there any steps that we are taking in that direction from a long-term perspective?

Gaurav Sharma: So I think our mainstay -- the way the infrastructure is designed is for movies, what our long-term view is that how we can utilize the existing infrastructure for alternative content other than movies. And that is the strategy that we want to focus on, which is to say that if we can do more of live event screenings, IPL matches, comedy shows, conferences in our cinemas, which are not dependent on films only.

And the other piece is rereleases of the huge library of films that we have access to, depending on the audience buzz around what sort of genres and films that they would like to see, we decide

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on a rerelease strategy. So we want to use our existing cinema infrastructure for multipurpose

entertainment out of home, including movies and other live events and alternative content.

Moderator: The next question is from the line of Kavish Parekh from B&K Securities.

Kavish Parekh: Congratulations on a good set of numbers. Firstly, on the margin front, fairly healthy show, 730 - odd bps sequential margin improvement on the back of 150 bps occupancy expansion. You've already touched upon that part of it was aided by increasing share from Hollywood, part from cost control. Any cost levers that can further be exercised to sustain or rather derive these benefits in lull periods, which usually see sharp dips in margins? Any thoughts on that?

Gaurav Sharma: Sorry, can you repeat your last sentence? It was not very clear.

Kavish Parekh: So increase in share from Hollywood as well as cost control aided us to deliver these margins. Any cost levers that can further be exercised to sustain or rather derive these benefits in lull periods, which usually see sharp dips in margins?

Gaurav Sharma: Yes. Our business is a business which is dependent on flow of footfalls and admissions. And over the course of last 2 years and especially post merger, we have leveraged technology, we have leveraged scale to control and variabilize our cost at the ground. So when there is less number of footfalls or week days, our usage of contractual staff is accordingly monitored and altered.

Similarly, for electricity, air conditioning, utilities, it's also controlled based on occupancy levels within the cinema hall. As a result, we are able to control electricity cost. We are also deploying solar panels in cinemas where our dependence on grid electricity reduces and cost-effective solar electricity is being su

pplied.

So these levers are being put into place, and they will give benefit to us. But yes, I think most of the cost areas we have explored and we have put in place the efficiency measures. Benefit of this will be visible as the operating leverage in the business shows up with increase in footfalls.

Moderator: If there is no response from the current participant, we will move to the next participant. The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: So my question was again linked to one of the previous participants. While you mentioned that you can't share details on July kind of profitability, you delivered 6.5% margin with 22% occupancy. As we enter the seasonal period where ATPs will be even better, would it be too farfetched to think that with the 25%, 26% occupancy, you could do mid-teen or even higher EBITDA margins, I mean, given the current cost structure?

Gaurav Sharma: See, if you look at our financial year '24 results, which is a year ago, at a 25% occupancy, we did about 13.5% EBITDA margin. So that's a mid-teens EBITDA margin at a 25% occupancy.

Now a lot of the margin is dependent on how the other levers in the business like pricing, advertisement income, cost, they pan out. So yes, I think it's very hard for us to say where exactly the margins will be if the occupancies are 25% in subsequent quarters.

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Gautam Dutta: I'd like to add one point to what Gaurav said. If you traditionally look at our business, our business quarter 3 is by far the biggest quarter. So as far as the trend goes, quarter 1 and quarter 4 are kind of comparable. And then the biggest quarter is quarter 3 followed by quarter 2. So the better quarters are yet to come. So from that point of view, overall, all the matrices going up is quite likely.

Umang Mehta: Understood. That's helpful. The second one was on the full year kind of footfalls. Now we generally rely on your assessment of the pipeline on how it looks for the rest of the year. Would you be confident at this stage that footfalls for the year could cross FY'24 levels, roughly around 150 million plus basis whatever you see in terms of your assessment of the pipeline?

Gautam Dutta: Yes, absolutely. In the sense, the way the pipeline is stacked up, there is absolutely no doubt that we would cross. We were very confident when we were starting off the year in April. And now after the end of quarter 1, it's only looking better. So as Gaurav has shared that July was a bumper month for us. So all indicators are that we would surely cross the last year footfall numbers.

Umang Mehta: Sure. Last year, you mean '24, right, FY'24?

Gautam Dutta: Yes.

Umang Mehta: Understood. And just the last one was on capex. Gaurav, would you still maintain the INR4 billion to INR4.25 billion capex for this year? Or does it go down further given your progress on capital-light models?

Gaurav Sharma: No. So for the new screen additions of 90 to 100 screens that we plan to open and our increase in renovation capex that we decided at the beginning of the year, we have not changed our capex guidance. We will spend roughly in total about INR400 crores to INR425 crores, which will include about INR250 crores to INR260 crores on new screens, about INR70 crores to INR75 crores on renovation and remaining INR75 crores on maintenance, IT and other related capex.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, my question is on our management fee income, which was about INR2.4 crores in this quarter. I know the figure is quite low. But given we have plans to expand via the FOCO route, I mean, where do you see this number stabilize at, maybe in 2 to 3 years? I mean just wanted to get some sense on this because I believe in this model, your flow-through to EBITDA is quite high.

Gaurav Sharma:

Yes, management fee is entirely flowing through to our EBITDA. And this number is only going to increase as the new signings of FOCO will happen. We've shared that we have signed about 55 screens under FOCO model. And as these screens open, the management fee income from these screens will accrue in the P&L. So it will continue to grow. To what number it will be and what level it will become, it's hard for us to say. But clearly, it's on an uptick growth trajectory.

Jinesh Joshi: Got that. And sir, secondly, I believe our fixed contract that we had with BMS ended some time back, and we are on the revenue share arrangement, if I'm not mistaken. Now in this quarter, while our convenience fee has increased on Y-o-Y basis, the contribution of convenience income

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to the overall box office collections is down on Y-o-Y basis. So has there been any change in the revenue share arrangement? If you can please clarify on that side?

Gaurav Sharma: So there is no change in the revenue share arrangement with our ticket aggregators. It remains as per the contract. The growth in convenience fee we have seen is roughly around 10% versus a 22% growth in our box office collections. So actually, there was an impact of a certain provision that we had reversed last year in quarter 1 of roughly around 3.5 crores because of which the last year quarter 1 convenience fee was higher by INR3.5 crores.

If you adjust for this reversal entry in last year quarter 1, then the growth in convenience fee will be largely in line with the growth in the box office. So roughly around 19% to 19.5% growth in convenience fee, which is in line with the box office growth – but change in the revenue share

or the change in the convenience fee contract with the ticket aggregators.

Jinesh Joshi: Understood. Understood. And sir, one last question on Karnataka. I know this was discussed earlier in the call. But given the situation over there in terms of price cap, have we slowed down our expansion plans over there? That is one. And secondly, have we also seen any kind of cancellations come through from our FOCO partners given the fact that their ROI can also get compromised if prices continue to remain capped?

Gaurav Sharma: No, there is no change in our expansion strategy in Karnataka. It's -- as I said earlier also, Karnataka, there is no government order, which has been released on price cap. So it's premature for us to make any strategic decision based on this. We have plans to open screens in Karnataka, including in Bangalore. We will assess how the situation unfolds on this pricing issue.

Jinesh Joshi: Understood. But any cancellations or any change of plans from our FOCO partners, which you would want to highlight?

Gaurav Sharma: No, no. Nothing that I want to highlight on that. There is no change. There is no cancellation. There's nothing of that sort happened.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: So I just have two questions. When you spoke about this blockbuster Tuesday, you spoke about three types of categories of people coming in, college students, senior citizens and housewives.

I think two out of those three categories as per any -- as per the industry research done in the past were the categories which are not really coming in, in the past, I mean, housewives and senior citizens.

I think that age cohort also was lower down in terms of the growth. So do you see this strategy as being kind of medium - to long -term structurally positive for you as in that can really drive up footfalls from these cohorts, which are especially probably challenging post -COVID?

Gautam Dutta: So first and foremost, they were coming. It's not as if they weren't coming. But this was an available cohort to us from Monday to Thursday. And all our footfalls that we were getting even earlier,

Monday to Thursday, they were the kind of people. And when we had launched this, we

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-- as per our plan, we felt that we could galvanize a larger chunk of people within this cohort to come out and watch movies.

And that's exactly what has happened. So more number of students, more number of housewives and more senior citizens who were still on the brink earlier to come and watch movies at the normal weekday pricing, and they were -- they still felt a little resisted, now felt that as if it was a day when they could just go and watch.

So it's just that it expanded the market, and it's worked brilliantly well for us. And we believe it's a long -term initiative for us. We intend to keep this running. The beauty of this model is also that the prices start at INR99. So if a film which is new or doing well, we do have the program in a manner where films can run at INR99, INR149 and INR199. So we technically work within the 3 bands. And this is really helping us because, as I said, it is galvanizing a much larger footprint of people coming in.

Now even in the evening shows on Tuesday, we are seeing some of the office goers and families are also coming out because they feel it's a great value day. And so while we've just had a couple of months in this promotion, after about 6 -odd months, we also want to do a frequency analysis to ascertain if we have managed to not only get them out, but manage to get them out more often and watch more movies.

This is something that we can't do it now simply because it's too short a period. But after about, I think, 6 months, we'll have a very good idea on 2 things. One, have we managed to create a bigger market? The answer clearly seems to be yes. The second is, have we managed to get them to watch more movies because of this promotion, something we can't answer today. But hopefully, in next 5 to 6 months, that answer will be very clear.

Harit Kapoor: Great. And we look forward to what your research throws up. The second thing was on ATP. This quarter, 8% growth, should we assume that there is a little bit of a drastic mix change also here, which is affecting this number? I mean, much lower South, stronger Hindi, stronger Hollywood, especially and this 8% growth, hence, is not representative of what the full year could be?

Gautam Dutta: Yes, you're right. But the fact of the matter is Hollywood, IMAX films, 4DX films, Bollywood big star rerun films do end up driving ATP. But also, if you look at the lineup, with so many blockbusters, regional blockbusters lined up, we believe that all should get blended up really well. And this is quite possible to maintain this growth.

Gaurav Sharma: Yes. I would like to just add to what Gautam said, Harit, that if you see our last financial year '25, our ATP was flat compared to previous year. We had 0 growth. Also, last financial year, Hollywood saw a significant drop because of the Hollywood strike. And as a result, the content mix was more in the favor of regional and Hindi. Hindi also had hits and misses and volatile year.

So with Hollywood bouncing back and coming back to its normal contribution the way it used to be earlier, the growth in ATP will be there year-on-year. To what level and how much is -- only time will tell depending on how the films perform at the box office.

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Harit Kapoor: Gaurav, the third one was on rental. So all your cost levers you have exercised are showing great results. Rental per screen, if you just do that math, is up 5%. I just wanted to understand with FOCO as well as your negotiations -- ongoing negotiations always with landlords, is that still a cost lever which can still grow slower than revenue over a 2 -, 3-year period, and that's something which is -- which can incrementally provide you some benefits over a 2 -, 3-year period

?

Gaurav Sharma: Yes. The rentals, unfortunately, we have registered leases, and they are governed by the escalation clause in those leases. Having said that, even this growth in rentals that you are seeing is after taking into account a lot of renegotiations and waivers on escalations that were triggering in quarter 1.

Now without getting into specific numbers, I can tell you, we -- our growth in rentals just purely on account of escalations would have been higher compared to what we've reported if these renegotiations would not have been done.

The benefit of this will be visible in the quarter 2 and the full year financials also. But it's a big task. We have a INR1,250 crores of rental cost a year, and bulk of this is from registered leases in existing properties, which are not FOCO or asset-light. So this will -- this is a priority for us, and we are focused. But as a percentage of revenue, it is still a significant cost in our P&L.

Moderator: The next question is from the line of Kavish Parekh from B&K Securities.

Kavish Parekh: On the asset-light models, could you share some details about how the unit economics or margins look like in properties that you have already started operating? What does the revenue share agreement look like both in FOCO and asset-light?

Gaurav Sharma: So in asset-light, we've opened one property in Mall of India, Noida, where the developer contribution is there, and this got opened only early this year. So we will look at the performance for some period of time before coming on to any conclusion and sharing the performance. But as such, the developer contribution unit economics in terms of margins, depending on the level of developer contribution, the margins are accordingly calculated because whatever is the developer investment in view of that incremental rentals are given.

But the return on capital employed profile and the breakeven period is far better than a traditional 100% lease model. In a FOCO property where the 100% investment is done by the developer there -- because we don't have any investment, there is -- it's all flowing through directly to the EBITDA in the form of management fees. So that's how it is. But we will give you more color and more insights on the asset-light developer contribution model once we have some reasonable period of time for their performance to monitor.

Kavish Parekh: Sure. And lastly, very quickly, how is the Passport initiative doing? Any updates on that?

Gautam Dutta: Passport has been discontinued simply because the film fraternity did not sort of agree to the fact that the film should -- their film should be discounted. They wanted it to be labeled under the marketing structure for PVR INOX and which was really not the way Passport could have survived. So we have given a kind of a break to Passport. And we are still working both internally and externally to see if there was a way that we could relaunch it in a couple of months.

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August 06, 2025

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Kavish Parekh: Any thoughts on resuming loyalty program...

Gautam Dutta: There is another way to -- sorry.

Kavish Parekh: Sir, please continue.

Gautam Dutta: Sorry?

Kavish Parekh: I was asking any thoughts on relaunching the loyalty program similar to what you had before the merger?

Gautam Dutta: Not really. In the sense, we really went out and spoke to the consumers. Again, loyalty program works when you can influence a consumer to come and watch a film of your choice. When I say your choice, I mean when an exhibitor is able to push a certain film, because if you will only collect points and watch a film that you want to watch, and I'm not able to propel you to come to the cinema again, it wasn't working. So we felt that blockbuster Tuesday was doing that job much better. That's number one.

Number two, in a market where any which way, some of the key markets where

we have key

dominance and with high-quality cinema experience, we felt that these miniscule points that we were giving out was not able to influence the consumers to come to the cinema. So it was just an expense sheet that was being maintained, but not something that was resulting in any great

business for us.

Moderator: Ladies and gentlemen, this was the last question. I now hand the conference over to the management for the closing comments. Thank you, and over to you.

Gaurav Sharma: Thank you all for joining us on this earnings call today. In case of any questions, you may reach out to our Investor Relations team or directly to us. Thank you so much for your time.

Moderator: Thank you. On behalf of ICICI Securities, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

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The Manager

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Listing

National Stock Exchange of India Limited

(Scrip Symbol: PVRINOX)

The Manager

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Listing

BSE Limited

(Scrip Code: 532689)

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Ma'am,

This is with reference to and in continuation of

our letter dated 10th

October

, 2025 and

pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we wish to inform you that the

officials of the Company

participated in

the conference call for analysts and investors held on

Fri

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October, 2025

post

announcement of Un

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Audited Financial Results for the
Second

Quarter

& Half year

ended
on 30
th

September
, 2025.

A copy of the transcript of the proceedings of said conference call is attached herewith for
your information and re
cords.

This is for your information and to all concerned.

Yours sincerely,

For

PVR INOX Limited

Murlee Manohar Jain

SVP

-

Company Secretary

& Compliance Officer

Encl: A/a.

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Moderator:

Ladies and gentlemen, good day, and welcome to the PVR INOX Q2
& H1
FY '26 Conference
Call.

As a reminder, all participant lines will be in the listen

-

only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Sho
uld you need assistance
during this conference, please signal an operator by pressing star and then zero on your touchtone
phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr.
Abhisek Banerjee

from ICICI Securit
ies. Thank you, and
over to you, sir.

Abhisek Banerjee:

Good afternoon, everyone. On behalf of ICICI Securities, we welcome you to PVR INOX
Limited Q2 and H1 FY '26 Post Results Earnings Call.

The call will start with brief management remarks on the earnings performance, followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel.

Over to Mr. Ajay Bijli now for his opening comments. Over to you, sir.

Ajay Bijli:

Thank you. Good afternoon, everyone. I'd like to welcome you all to discuss the unaudited results for the quarter and the half year ending September 30, 2025. We've uploaded the earnings presentation and the results on our company and the Stock Exchanges website earlier today, and I hope you've had a chance to review them.

As we close the first half of the current fiscal, I'm pleased to share that the momentum built on Q1 has only accelerated in Q2, making H1 one of the most remarkable periods in recent times with robust contributions from Hindi, Hollywood and regional films.

What is especially encouraging is that the performance this year is increasingly looking structural with total India box office growing by 15% year-on-year in H1, driven by a steady and diverse flow of films across languages and scales rather than one

or two

mega blockbusters. In Q2 alone, 12 films crossed the INR 100 crores

mark and 22 films did so in H1, the highest post

COVID, underscoring the depth and durability of the box office performance.

Hindi films have been a --

have seen a remarkable turnaround this year, powered by a steady release calendar and strong content. Unlike last year, when gaps in releases held back momentum, a regular supply of films has kept audiences engaged and theaters buzzing.

Blockbusters like Saiyaara, which grossed nearly

INR
400 crores and Mahavatar Narsimha w
ith
collections of around
INR
300 crores highlight how quality content rather than just star power is
driving demand. At the same time, we also saw movies high on star power
such as War 2

and
Jolly LLB 3, perform strongly during the quarter. This balance be
tween content
-
driven successes
and
star
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led hit, signals a very encouraging sign for the long
-
term growth of the industry.

Hollywood had a particularly strong quarter. Industry collections grossed
INR
500 crores, driven
by a big franchise title such as
Jurassic World, The Conjuring, Superman, Demon Slayer and
The Fantastic Four with F1 carrying its momentum into Q2. This underscores the growing
appetite for global content among Indian audiences, especially in premium formats.

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The balance of content and
star power was also evident in the regional box office this quarter.
K

an
n
ada box office grew by over 100% year

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on

-
year, powered by the phenomenal success of
Su from So, while Malayalam box office expanded by 50% on the back of Lokah Chapter 1,
which has now become the highest grossing Malayalam film ever with industry collectio
ns
crossing
INR
180 crores.

At the same time, movies high on star power like Coolie in Tamil, They Call Him OG and Mirai
in Telugu also resonated strongly with the audiences, reinforcing the strength and diversity of
regional content.

During the quarter,
we welcomed 44.5 million guests to our cinemas, the highest in the last 8
quarters, representing a growth of 15% year

-
on

-
year and nearly 31% sequentially. Occupancies
improved to about 28.7% compared to 25.7% in Q2 last year, reflecting both the strength o
f
content and the impact of the various footfall driving initiatives we've been implementing.

ATP grew by 2% year

-
on

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year to
INR
262, while F&B SPH for the quarter was at
INR
134.

Advertising revenue maintained strong momentum with highest second quarter po
st

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pandemic

income of

INR

126 crores, up about 16% year

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on

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year.

On the financial front, the company delivered the highest quarterly revenue, EBITDA and PAT
in the last 2 years. Adjusted for Ind AS 116, total revenue for the quarter was

INR

1,843 crores,

EB

ITDA was

INR

327 crores and PAT was

INR

127 crores as compared to revenue of

INR

1,642

crores, EBITDA of
INR
207 crores and PAT of
INR
22 crores in the same period last year.

Following the government's recent GST rate reduction from 12% to 5% on tickets priced

at
INR
100 or below, we have fully passed on the benefit to our customers. This has enhanced
affordability and strengthened consumer trust. For instance, our popular blockbuster Tuesday's
offer earlier priced at
INR
99 is now available at
INR
92, fully reflecting the GST relief in the
final price.

During the quarter, we added 22 new screens while rationalizing
eight
, staying true to our
capital
-
light and scalable growth strategy, we now have 132 screens signed under the capital
-
light model with 44 screens under the FOCO and 88 under the asset
-
light model. We have continued
to maintain our focus on financial discipline and deleveraging.

As of September 2025, our net debt stood at
INR
619 crores, the lowest level since the merger,
down
INR
333 crores since March 202
5 and
INR
812 crores or 57% from merger levels. This has
been driven by strong operating cash flows and a calibrated capital allocation approach.

The outlook for the upcoming quarters is very encouraging, supported by a strong and diverse
multi
-
language release slate with marquee titles such as Thama, 120 Bahadur, Tere Ishk Mein,
Dhurandhar, Avatar: Fire and Ash, Raja Saab, Alpha, Border 2, Mardaani 3, Love & War, and
Toxic on the horizon. We are well positioned to drive robust audience traction and sustain
ed
footfalls. Our current screen portfolio stands at 1,761 screens across 354 cinemas in 111 cities
in India and Sri Lanka.

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Thank you once again for joining us today, and I now open the floor for any questions you may have.

Moderator:

Our first comes from the line of
Abneesh Roy

from Nuvama.

Abneesh Roy:

Congrats on the good recovery, especially Hindi movie

s
. My first question is on the dine

-
in
cinema, which you have started in Bangalore. One, is this a pilot project? And globally, does

this kind of a format work in the emerging markets? And second, what exactly are you fulfilling in terms of customer need there? Because the same mall will have those high

-
end restaurant
options.

And in your current cinema also, consumer does have enough

F&B options. Plus if you see the
listed restaurant players, except maybe the largest pizza player, none of the other listed restaurant
players
those may be QSR, so it is a bit different

.

But those have not really become very successful even in Q2, if you

see the results which have
come out even today. So what is the plan here? Is this a scalable model or more of a marketing

statement from you in such a key market like Bangalore? That is the first question.

Ajay Bijli:

This is the first question, right?

Pr
amod Arora:

Shall we answer it one by one?

Ajay Bijli:

Okay. Pramod, you want to answer it or...

Pramod Arora:

No, no, you go ahead.

Ajay Bijli:

No, no, no. Go ahead, and I'll fill in the blanks.

Pramod Arora:

So Abneesh, this is yes, you're absolutely right, it's a POC that we have worked around. As soon it basically gets its due success, then we scale it up across the country. The objective out here is that you are watching a film alongside you have the gourmet food options coming across to you or being serviced to you.

Since this is an LED screen, so you can totally look through the food and while you're eating because people eat with their eyes mostly when you're eating gourmet foods, that's what it's called.

And dine

-

in option gives you an opportunity

to eat along

--

your gourmet foods alongside the film that you're watching, which is not available in a regular cinema. This is one of its kind and the first one perhaps in the country. I don't think anyone else has done a concept like this.

This sort of

a concept, a little similar to this was done by CJ Group out of South Korea, which was an extremely successful concept or which is an extremely successful concept. And this one is still much better than what CJ has done. We do believe that in the times to

come, this is going to catch traction and then we shall be

able to scale it up across other parts of the country also as well.

Ajay Bijli:

Abneesh, just to add to what Pramod is saying that basically, cinema is all about experience and having this circuit

of close to 1,800 screens, we obviously have to be always innovative,

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experimental. 2004 is when we started our first gold class. It's been over 10 years since
D
irectors
cut.

So every format has to evolve. It's a pilot, but it's already very successful.
It is not a pivot for the
company to get into
--

compare ourselves to some F&B or QSRs that you mentioned. It is just
that movies and food coming together has been our mainstay right from the beginning, and we'll
keep experimenting with formats.

With the
grace of God, fortunately, this experiment has worked, and we will be rolling it out in
various places. But this is for the discerning audience. It is such a disparate market India, and
PVR INOX has always been committed to coming out with a solution for e
very demographic.

So this is not for everybody. It is for a certain demographic who is wanting to combine the 2
experiences of F&B and watching a movie on the big screen. And we're going to continue to do
that being in an innovative company.

Abneesh Roy:

That's quite insightful. My second question is on your statement wherein you said that very good
recovery in the Hindi movies, which I think is very important for health of the industry. So here,
I wanted to understand the issues for Hindi movie industry h
ave been more the calendarization,
so we had long gaps where no movies were releasing and suddenly they were again competing

on the same weekend also. So that was one.

Second one was definitely quality, VFX and original storylines and compelling screenplay, etcetera. So on these two

aspects, have the core issues been addressed because some of these are, frankly, very difficult to monitor or very difficult to predict also. If you could comment what exactly is giving you the confidence on this recovery?

Ajay

Bijli:

No. What is giving me confidence is that two things. One is that this quarter is special because the movies were not necessarily the barring, let's say, War 2 or Coolie, they were not blockbusters as such to begin with. But that is what I like about the Indian market as opposed to any of the market is it's a very volume driven market. A lot of supply comes and not always you can predict that what movie is going to do well and what is not going to do well.

And therefore, in this volume that comes along, you get these sleeper hits, you get these surprises, and --

which make up for if there's a blockbuster that doesn't do well. So this quarter, if you look at it, Saiyaara is like INR 400 crores almost. Nobody expected it to be doing so well. Mahavatar Narayana, nobody thought it will end up doing so well. Sitaare Zameen Par had Khan, Amir Khan, but yet it was not positioned as a blockbuster, still did a bit over INR 200 crores.

And of course, the movies like even Coolie and War 2 have all done close to some INR 330 crores, the other one has done INR 283 crores. So --

and then you had your Kesari 2, Raid 2, and lots of --

and Jolly LLB 3, Housefull 4. So I think what has given us --

what is giving me confidence, our confidence is the fact that people are coming out, that fatigue factor of staying at home has crept in, and they want to get out.

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So that
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and movies, if they keep coming continuously, which they are coming continuously
because even the producers have now realized that they can make a movie even

for a smaller
budget.

But if the script is a hero, if they can make a movie which connects with the audiences, people
will come. And so both the en

gines which have always made us
--

made our business robust,
which is the content guys as well as the consu
mers, both are clicking and coming to the cinemas.

So that consistency of films, as I said in my opening remarks, 22 films this year since the first
half
--

in the first half
ha
ve

crossed
INR
100 crores and not a single movie has done more than
INR

500 crore as opposed to previously where you had these peaks and troughs, you had this big movie like a Jawan or Stree 2 or Patthar
h
an or something like that would come very high, KGF
and all that. And suddenly, there will be a lull.

H
ere
there's a consistency that
of films, which is quite exciting. And not only Hindi films, but
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which again, of course, contribute, PVR still has
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46% of its revenues have come from Hindi,
but the overall box office of contribution of Hindi film is even going to be much larger. Kam
al
can tell you the number. But even Hollywood, after its strike has bounced back with F1, Mission
Impossible, Jurassic Park and all that. And even South continues to come out with movies, which
are very consistent.

Abneesh Roy:

Last quick question. So in
terms of Q2 advertising, what are the top
five

sectors? And now with
GST consumption boost of
INR
48,000 crores, we have seen that 2

-
wheelers, 4
-

wheelers have
seen a very good recovery, even FMCG companies, yesterday Nestle results also came. That
was not a

GST impact.

But generally, FMCG, auto and many other sectors, white goods, there is going to be
consumption boost Q3 onwards. So are you well placed from an advertising boost in your top
five

sectors, are these sectors seeing some kind of an improvement
in Q3, if you could tell us?
And Q2, what were the top
five

sectors from an advertising perspective?

Ajay Bijli
:

Can I request Gautam to answer this?

Gautam Dutta:

The top
five

sectors were FMCG, banking, textile, e

-

commerce and jewellers. And our

automobi

le was ranked 6, so for us, automobile and retail were sixth and seventh. But the big

sectors were FMCG, banking, textile, e

-

commerce, jewellers, automobile and retail in that order.

Moderator:

Our next question comes from the line of Kavish Parekh from B&

K Securities.

Kavish Parekh:

Congratulations on a solid set of numbers. My first question is on your balance sheet. While the reduction of net debt is commendable, could you elaborate on the rationale for maintaining about

INR

680

-

odd crores of cash on the

books instead of further paring down gross debt.

So is this a strategic decision to preserve liquidity amidst continued content volatility? While this quarter was good, but broadly, there still remains some volatility and uncertain box office recovery trend. Is that the thought process?

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Gaurav Sharma:

So Kavish, Gaurav here. Our guiding principle and strategy for cash is that because we are a fixed cost business, bulk of our costs are fixed in nature. We carry anywhere between 45 to 60

days worth of fixed cost coverage in the form of liquidity. This quarter, we have seen an increase in cash balance.

But for the next 6 months, there are a lot of screens which are under pipeline for opening and payments for those screens will be released. So there will be some bit of utilization of this cash balance that will take place by the end of next quarter.

And overall, we will take a relook at the strategy for the liquidity and the overall debt levels by the end of the year depending on where we end up, where we land

up with the operating cash flows for the full year and how the capex pans out for the rest of the year.

Kavish Parekh:

Right. I think, yes, that's right. You will need to take a view given that now the expansion strategy is also increasingly more towards the capex - light models.

Gaurav Sharma:

Yes. Correct, correct. So as I said, we'll take a call on reducing or prepaying some of the debts by the end of the year once we have the full year picture with us and then we'll take a call.

Kavish Parekh:

And could you share some visibility on the upcoming slate under PV R

INOX pictures for the second half of the year and FY '27, particularly the scale and kind of movies you are targeting?

Gaurav Sharma:

So there are a lot of films under distribution right now. I would request maybe Kamal, if you're there on the call, you can share that.

Kamal Gianchandani

Sure, Gaurav. So we've got --

-- we are distributing Thama, which is coming out on this Tuesday, which is a Diwali release, followed by De De Pyaar De 2, which is a franchise --

a sequel and a successful franchise that's releasing on 14 November. Also along with De De Pyaar De 2, we are also releasing Now You See Me sequel, which is again a successful franchise.

Christmas Karma, which is the next film from Gurinder Chadha, that will come out in November. Gustaakh Ishq, which is Manish Malhotra's first production as a producer. That

come
s out on 28th November. Junaid Khan's, Mr. Aamir Khan's sons next film would come out
in December.

And then there are many more in the pipeline. Suffice to say that PVR Pictures

—

PVR INOX
Pictures continues to have a very robust pipeline of films, and we

are building our slate every
quarter. Most Hindi films tend to materialize maybe a month or two months before release, and
therefore, it's very tough to give visibility for the next quarter or the next financial year. But I
would say this that we would re
lease 8 to 9 Hindi films in a year and typically about 15 to 20
Hollywood films in a year. That's been our track record. I see no reason why this track record
will not be maintained going forward.

Moderator:

Our next question comes from the line of
Jinesh
Joshi

from PL Capital.

Jinesh Joshi
:

Sir, my question is on our SPH trend while it was flat on Y

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Y basis, sequentially, there has
been a dip of about 9.5%. Now given the fact that this quarter, the footfall number was quite
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healthy, I believe the SPH growth should have been better because one would expect a slightly better strike rate will be there. So any specific reason as to why there has been a dip on sequential basis.

Gautam Dutta
:

Yes, there are broadly two reasons for this dip. And the reason one is that Siyaara and Mahavatar Narsimha were the two

dominant films. Mahavatar sort of worked with a certain religious community who believed that they would not want to consume F&B from a canteen that was serving non-veg food.

Also, they have a lot of Jain community people came and watched the film in huge numbers. So our cinemas were turned into temples during those 4 week period. And this audience was refraining themselves from eating at all.

Then even parallelly going through Siyaara. Siyaara appeal to a very different audience, young teenager. And again, the admissions in the Tier 1 as well as Tier 2 markets were very, very strong. We got a very different kind of a clientele with Siyaara. And again, they sort of chose not to eat at the candy.

The third thing
--

the second reason rather, was about 4 adult films sort of getting bundled together. And normally, in the past, we have seen wherever we get A-rated films, this audience is slightly more careful, a little more rational. And hence, refrains from again hitting the candy in a big way.

The
four

films I'm talking about is Conjuring, Baaghi, Bengal Files, Demon Slayer. So they were all sort of contributed a lot of footfalls and yet did not convert in great concession number. And the reason three is the popularity of the Tuesdays, Savers Day, which has been racking in really well. We get close to about 15% to 17% footfall off the entire quarter coming in from Tuesdays alone.

And there, again, we see this clientele not eating as much. So these are broadly the three reasons why the SPH was down. The first two will --

is completely controllable in a manner because we don't get a slate of all adult films coming together, so it was a rare thing. And Sa
i
yaara and Mahavatar again sort of rallying together created this little dip in the SPH sale.

Jinesh Joshi:

Secondly, I believe
C
C
I have
s

initiated an investigation against us for levy of V
P
F
. So just wanted to check on two

things over there. I mean are we charging VPF on both Bollywood and Hollywood, that is question one.

And secondly, is there any expiry to this clause in the sense that after a few years, maybe will have our recovery in place for the investment that we have made towards acquiring the digital equipment. So after maybe a few years, I mean, will we continue to charge? Or is there a time line beyond which this fee

comes to an end?

Gaurav Sharma
:

So on VPF, on the CCI investigation that you are referring to, I think to the first part of your question, currently, we had --

we are charging VPF to all film producers and all film makers other than Hollywood.

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And Hollywood has already seen a sunset globally. There is no VPF charge there. But this is an industry

-
wide

practice, not only PVR INOX but all other cinema exhibition companies are charging VPF for basically to recoup the continuous substantial investments that are made for digital cinema equipment.

So as of now, it's
--

there is no sunset or there is no such

discussions. It's an important stream
and the CCI order is currently an investigation directive only, it's not a final finding. So yes, I think I would
--

at this stage, it will be premature to comment on any specific measures or give any specific comments there. The matter is still under investigation, and we will evaluate appropriate steps if required at the relevant time.

Jinesh Joshi:

Just one last question from my side. If you can just share some progress on the smart screen initiative plan that I think was being communicated earlier. I think we have plans to open about 50 screens and maybe the first screen is going to make a debut somewhere around December this year. So just wanted to check, I mean, have you identified the sites and signed the agreements and also the fact that this year the pricing might be slightly cheaper. So how will the ROI stack up against our existing portfolio?

Gaurav Sharma
:

Yes. I think smart screens has a strategy basically to penetrate into Tier 2, Tier 3 locations. There's a huge untapped market there. India is one of the most underscreened nations. And that's a model that we feel has a lot of potential to expand rapidly. We will have one of the smart screen cinemas coming this year as a POC.

And then we feel that there is a strong market there. And depending on how the POC pans out, we will take a call at what rate and at what scale we will roll it out in other parts of the market.

Would you like to add anything,
Pramod
?

Pramod Arora
:

No, I think that's about it. Yes.

Jinesh Joshi:

Anything on the ROI side you would want to comment? Is it better?

Gaurav Sharma
:

No, I think it's a little early for us to comment on the ROI because we will launch, as I said, a POC first in a market, and we will see how the market reacts to

that, what's the kind of demand
that we are able to satisfy with this format. This will be a value format, smart cinemas with a lot
of use of digital technology in its processes.

And ATP and concession pricing will be lower than what we have currently at

PVR INOX level.
So we feel that lower pricing with smarter use of technology, we expect a good occupancy and
good demand in the markets where we launch
it.

Moderator:

Our next question comes from the line of
Harit Kapoor

from Investec.

Harit Kapoor:

Just
two questions. In the last
--

the first half of this year has been strong in terms of footfalls.
Regarding this, I had two points. One was given films like Saiyaara, Mahavatar Narsimha has
opened up, I won't say new cohorts, but cohorts which were probably

not coming to the cinema
as often, senior citizens, much younger population,

et
cetera
.

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Do you see this as an opportunity even like that content will be created in that order, which can result in higher footfalls incrementally?

And the second question is just from a pipeline perspective, while you remunerated all these names in the second half of the year, what's your level of confidence in terms of occupancy being fairly robust H2? So those are my two questions.

Gaurav Sharma
:

Gautam, you would like to take on the first one?

Gautam Dutta:

Yes, I could. So, your first question was on the fact that how is the pipeline looking? Is --

or was that the second question?

Harit Kapoor:

That was the second one.

Sanjeev Kumar
:

First one is on the segmentation, right?

Harit Kapoor:

Yes.

Gautam Dutta:

Yes, absolutely. I got that question. So basically, see, of course, what you're saying is absolutely right. These movies have actually opened up new audience. And this is --

we always believe that when a consumer comes to cinema once, he keeps

--

he comes back again and again and again.

So it's a fairly intoxicating experience. And only when you get to the cinema, you actually realize what you are missing sitting at home. So, invariably, our data seems to prove that the biggest, toughest challenge is to get the person to get to the cinema once. If that comes in, he keeps coming back.

Now on the second part where will creative guys now be seeing this trend and making more movies? Yes, absolutely. And it always happens that when a film does well, more than we strategize, the content owners and creators sit back and realize there have been so much of data collection, understanding of what really has happened and how this movie seem

--

these movies
have seemed to do well.

Maha
vatar has opened another floodgate for animation in another way because so far in India, animation never did so well. But after the success of this film, it has encouraged so many people to look at this as a very strong genre going forward. And it's always

globally did so well. But in
India, it hasn't done so well.

However, after Mahavatar, that's opened up. Saiyaara, of course, signals the clear path from stars to stories where stars are very, of course, very, very powerful. They are looked up
, but stories
s
have now become the mainstay. So when even a star is backing a great story, I think it would tend to do a lot bigger and much better business than just relying on the star power.

I think these are very, very refreshing good trends that have opened up and has got the entire industry, be it exhibitor or be it content owners, all wanting to strategize and see how they can sort of work with this trend and grow this further.

Harit Kapoor:

Yes. And on the pipeline bit also comment would be helpful.

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Gaurav Shar
ma
:

Yes. On the pipeline yes, Har
it
, on the pipeline, the second part of the question, I think the lineup
for Q3 and Q4 is very strong. Typically, October, November, December is festive season.

In the past, we have seen a very strong performance, and we e
xpect that Q3 as well as Q4, the
second half performance will be at least equal to, if not better than what we have done in H1.

I
think overall, looking at the lineup, we feel reasonably of doing better numbers and the
momentum is li
kely to continue.

Moder
ator:

Our next question comes from the line of
Varun Mule
from Y
es

Securities.

Varun Mule
:

Congratulations on a very strong set of numbers. My first question was regarding the movie
distribution side. Has there been a dip in terms of the number of movies
distributed in Q2, which
has led to lower other operating income during the quarter?

Gaurav Sharma:

I'll take one.

Kamal Gianchandani
:

Yes, go ahead, go ahead.

Gaurav Sharma:

So, in terms of the absolute number of films, there's been no change. But last ye
ar in quarter 2,

which was in the month of August, Stree 2 was released, which was distributed by PVR INOX Pictures, which was the biggest film of last financial year.

And as a result, it was the biggest quarter for last year versus this year in quarter 2, the big film that was distributed was Son of Sardaar 2, collections were slightly underwhelming as compared to what was expected.

So, as a result, there is a dip. But in terms of the volume of films, there's no drop in terms of the number of films that we are distributing.

Varun Mule:

Understood. And could you repeat the number of films that you're planning to distribute over FY '26 for the remainder two quarters?

Kamal Gianchandani
:

So, like I said, our overall annual slate looks something like this. We end up distributing somewhere between 8 to 10 Hindi films. This is a bouquet of mid and big films, and we tend to do between 15 to 20 Hollywood films. So in terms of number of films in our slate, that number has remained --

is expected to remain in this range in this current financial year.

Varun Mule:

Understood. And regarding the box office collection over July, August and September, we have seen a bit of a deceleration happening from July, which did very strong collection across the industry with INR 300 crores plus movies collection for two movies.

August saw a big deceleration and September was even lower. So has there been again a pickup that we have seen in October? Or do we expect a bit of pickup post Diwali? How has been the month - on - month collection trend?

Gaurav Sharma
:

So, month - on - month is strong. October has been panning out very good for us. Kantara, which was released on 1st of October is the first movie of this financial year to cross INR 500 crores India gross box office.

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And on the back of
Kantara, Jolly
LL
B

spillover in this month and a few other movies, Sunny
Sanskari, which was released in the first week of October, the footfall momentum is pretty
strong, plus there's a movie called Thama coming on 21st October and then a few good films
a
Iso releasing in October.

So, yes, I think you will see month

-

on

-

month up and down in footfall
depending on what movies are there. But as such, the demand momentum that we are seeing is
very, very strong.

Varun Mule:

Understood. Regarding the Thama release
, so we have seen a bit of a lower number of launches
for Diwali calendar. Do you think that will have some impact? Because last year, we did have
Singham and Bhool Bhulaiyaa launching during the Diwali, which did almost total of
INR
500
crores to
INR
600 cr
ores collection. So could that have some impact in terms of base effect?

Gaurav Sharma
:

No, we don't feel so. This year, we had Kantara. In fact, it's a good thing that we have no two

big film clashes on the same Diwali weekend. We had Kantara coming on 2nd October, which was a long weekend and now Tham a coming in the Diwali weekend.

So as a

result, the spread out of big films over two or three weekends is a healthy sign for the business.

So I think the big clashes that we have seen in the last couple of years on big days, on big weekends is no longer there, which is a healthy sign.

Varun Mule:
e:

Understood. Lastly, just on the new screen additions. So

do we have 132 screens signed under our capital

-

light strategy. When is the launch expected for these screens? And if you can just give a broad time line? And what would be the mix going forward in terms of FOCO versus asset

-

light and own?

Gaurav Sharma:
:

So these are screens which have been signed, and they will come up over the next two years.

18

months to 24 months. As and when these sites and malls are ready, we will open these screens.

We are

also

--

we are getting a lot of inbounds from all across the country on franchisee deals and franchise opportunities for PVR and INOX branded cinema.

So, yes, I think going forward, we will have a healthy balance between asset

-

light and our own

cinemas. I

think it will be almost 50

-

50 where 50% will be in the capital

-

light model, a combination of

asset

-

light and FOCO and the balance 50% will be cinemas where we invest 100% of our own capital.

Varun Mule:

Understood. And regarding the capital

-

light model, asset

-

light

light will continue to have higher share compared to FOCO?

Pramod Arora
:

Yes, that's right. So FOCO would have a lesser share than asset
-
light model.

Moderator:

Our next question comes from the line of
Sameer Gupta

from India Infoline.

Sameer Gupta:

First
question is on the regulatory aspect. So we have the US government coming up with tariffs
on non
-
US

made content. Now technically, it shouldn't have any issue for a PVR INOX. But
typically, the movies, they do have some portion of revenue coming from the o
utside markets.
And if that impacts the budgets of the movies going forward, do you see an impact on theatrical
revenues and footfalls as well?

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Gaurav Sharma
:

Kamal?

Kamal Gianchandani

:

That's a fair question. But at this point, we don't really have clarity as to in what shape and form this tariff will be imposed on international films traveling into U.S. And therefore, it's very difficult to comment on the implications and the second order effect if that will end up reducing the number of films being produced. Very difficult to comment on that at this point.

So we are watching this space very closely. And as you rightly mentioned that for a domestic market focused company like PVR INOX, this development in U.S. has very little impact on a day

-

to

-

day business,

but we are watching it very closely.

Sameer Gupta:

And sir, any update on the Karnataka order that was aimed to cap the movie ticket prices?

Kamal Gianchandani

:

Gaurav?

Gaurav Sharma:

Sorry, can you repeat the question, please?

Pramod Arora

:

Karnataka
order.

Gaurav Sharma:

No, there's no

--

I think we have already got a stay in our favor. And after that, there was an appeal, which was filed by Karnataka Film Chamber of Commerce and some other appellants in the High Court of Karnataka against the stay order. However, High Court in its order of dated 30th September has upheld the stay on the price cap. And the next date of hearing is awaited. As of now, there's no further update.

Sameer Gupta:

Got it. Another question, sir, just more of a conceptual question. So what is better for PVR INOX as a business, a blockbuster movie, which has run for many weeks or a decent hit, which runs for two weeks, but many more decent hits.

So, let's say, both of them end up clocking

--

both of these teams end up clocking the

same

revenue. But from an EBITDA perspective, a movie that runs

--

has a much longer run should technically benefit you more, right? Because typically, the percentage that you share with the producers decreases in the subsequent weeks.

Gautam Dutta
:

It's

like a cricket team. We need all players and there is different roles. So blockbusters definitely have a role to give big openings to get big numbers. And then, of course, you have these content that should sort of come

good content that plays out for a couple of weeks fades

out and another one comes in. And the sheer strength of PVR INOX being spread into the entire country and being able to get numbers through many languages has a huge advantage.

So, during Durga Puja, it was four Bengali films that rallied together and got a number. Next week, there's a big Punjabi film and the entire Punjab region would possibly prosper with great admits.

So actually, there is not an either/or kind of an answer here. We need both. We need blockbusters because big stars have their own charm, their own following, and they have the might to be able to get a lot of people into cinemas and create that FOMO. And of course, you need a lot of good PVR INOX

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content to coming in, which plays out about a couple of weeks and giving way to the next one.

So actually, there is a space and role for both to coexist and do well.

Sameer Gupta:

Both is always better, sir, but let's say, either/or would you like to come

--

I mean, I'm just trying
to understand financially, nothing else.

Gaurav Sharma
:

No. So financially, as Gautam said, both are important. Big films drive a lot of excitement, buzz. And as a result, even advertisement slots are booked in advance for a longer period of time and helps in advertisement revenues. Sleeper hits and on the other hand, they run probably longer and from a film hire perspective, benefit PVR. But on the other hand, because they are sleeper hits, the ability to generate buzz amongst marketeers is limited.

So it's a combination of both the films that is required and a balance between mega blockbusters and regular hits. Both of them are important. Financially, there's no substantial difference when you look at comprehensively across all revenue streams.

Sameer Gupta:

Wish you a very happy Diwali to all the team.

Moderator:

Our next question comes from the line of
Abhisek Banerjee

from ICICI Securities.

Abhisek Banerjee:

Congratulations on a great set of numbers. But looking ahead, while there is enough clarity on Q3 pipeline, but Q4, despite a strong pipeline in the first month, there is also the Cricket World Cup, T20 World Cup. So how are you kind of thinking about that? I mean, will there be enough releases during that time to keep the occupancy levels high?

Gautam Dutta
:

Kamal, would you want to take this?

Kamal Gianchandani
:

So, Q4 traditionally has been a lean quarter amongst the four quarters. But in this case, in this financial year, Q4, in fact, is going to be a very strong quarter, a, because a lot of strong films like Raja Saab and Border are releasing in January and then some of the films which were

slated
for December release like Romeo,
with
Shahid Kapoor have moved to February.

And also Toxic, which is Yash, the person who was

hel
m
ing

KGF, the KGF franchise. His next outing, which is a very big multilingual mainstream commercial film, which is coming out in the third week of March. And the reason they're coming out in third week of March is such a big film is because Eid this year, Eid traditionally has been a strong week to release big films is falling in March.

Typically, it falls in April or May. But with the movement of moon and the whole calendar this year, Eid is in March and

--

excuse me, can you put yourself on mute, please? There's a lot of background. So this year, because of Eid happening in March, you would find a lot of big films which will come out in March as well.

Vis

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a

-

vis cricket, I mean, our business has learned to co

-

exist

with cricket. Cricket is happening now throughout the year. I mean there is World Cup every second year or every year almost. There is a World Cup with either a 50 over World Cup or a T20 World Cup or a Test Match
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Cricket World Cup or a women Cricket World Cup. Therefore

--

and then, of course, we've got
IPL, which is happening every year in March, April, May

.

Therefore, film business has learned to cope and coexist and flourish along with cricket. We don't see that to be a big competition. I think people have adjusted their lifestyles and they sort of make time for both activities.

Gautam Dutta

:

We may also
end up playing the World Cup at our cinemas as well. So from that aspect, there will be an
added

advantage as well.

Abhisek Banerjee:

Got it. Just also wanted to understand like while big producers generally refrain from releasing movies around cricketing tournaments,

--

is it the same for smaller budget movies as well? Or is there more acceptance yet?

Kamal Gianchandani

:

There are two school of thoughts. One school of thought is that if you release a big film during when there is a cricket tournament or so me sort of a cricket plan unfolding, because there is less competition, your film will have a longer run, longer stay at the box office. And not everyone is a cricket follower, like even in a large country like India, even in the cricket fanatic

country li
ke

India, which is fairly large, people have diversity.

And there are a lot of people who don't follow cricket that well. And therefore, if you have a big film playing at that point in cinemas, producer gets the advantage of lesser competition. So that's one school of thought.

And the other school of thought is that let's

--

if we have a big film, let's stay away from cricket
let the smaller films come out and use that as an opportunity to maximize the box office potential. Both school of thoughts exist.
We'll wait and see how producers perceive this World Cup cricket to be. But our sense is big films will come out.

Abhisek Banerjee:

Understood. And recently, Aamir Khan gave an interview where he actually spoke about the problem that is ailing

the movie industry is that there is a very short window for theatrical run and then it goes on OTT platforms. Now is that just a one man talking? Or do you really see a change in thought process of the producers of Indian movies?

Gaurav Sharma
:

Kamal, are you there?

Moderator:

Mr. Kamal, if you are speaking, you are not audible at this moment.

Kamal Gianchandani
:

Hi, can you hear me now?

Moderator:

Yes, you are audible, sir.

Kamal Gianchandani
:

Okay. We agree with Mr. Aamir Khan's statement, windows are short, and we do believe there is potential to make the windows longer.

Your second part of your question, whether other producers will follow the same thought process. We think so. We think there is a gradual but sure

shift, which is taking place in the thought processes of producers.

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They are appreciating the value for each eyeball that they get from theaters, which is much higher than the value that you get from streamers or television. And therefore, they want to bet big on theaters. They want to go all in. Like in case of Mr. Aamir Khan, he went all in. He said, I will not release it on SVOD.

There are a lot of other producers who are making the same --

who are sharing privately the same point of view that for their films, they want to release it in theaters and then go for TVOD transaction VOD, but not SVOD.

So we do think his thought process, what he did, the strategy that he followed with Sitaare Zameen Par is influencing the thought process. It's influencing thought process of a lot of other producers. And you would see some action in that direction as we move forward.

Moderator:

Our next question comes from the line of Pravesh Kochar from FourLion Capital.

Pravesh Kochar:
:

On your comment about animated movies also sort of picking up in the Indian cinema

demographics and the cost of making such movies now coming down with the advent of technology, are you seeing any incremental excitement from producers of these kind of movies, and we should expect more supply in the medium term, two to three years or too early to say that?

Kamal Gianchandani:
:

You would surely see supply of more animation films. What's happened with Mahavatar Narsimha is definitely a case study. And a lot of people in the industry also believe that the animation that was used and the overall production values, which were there in the film had a lot of scope for improvement.

So therefore, people also talk about the possibilities that when the production values are up to its fullest potential, animation quality is 3D in true sense using all sorts of high dynamic range and all sorts of new technologies and the storytelling, which is which is grounded in Indian ethos, the kind of results that you can see could be at par with what we see in Hollywood.

So, of course, there is a lot of excitement around animation films rooted in Indian stories. A lot of producers are thinking about it. A lot of producers are already investing money in that direction. You would surely see a lot of action in this area of film as we move forward.

Pravesh Kochar
:

Is there any potential of two

- way collaboration where there is some incremental insight you can give from the data that you have on the viewers and the group sizing or the number of visits they have, multiple visits they have or that's not something that's being undertaken right now.

Kamal Gianchandani
:

So our producer partners are extremely intelligent and very well informed with the trends which are going on in the market. They do tremendous amount of research. They do tremendous amount of qualitative studies to figure out what consumers are seeking from them in terms of storytelling, in terms of technology, in terms of immersive experience.

And of course, part of that exercise is also to take our inputs as exhibitors. So that knowledge sharing, that exchange of notes is a constant process. It's an ongoing process between producers and exhibitors. But I must give full credit to our content suppliers.

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They are

--

we have amongst the best in this city of Mumbai and other cities in South Chennai and Hyderabad, where the regional cinema gets conceived and produced. So we have some really talented people, but we do our best in sharing our notes and intelligence that we collect from the market, and that's an ongoing exercise.

Pravesh Kochar

:

Understood. And last question more on the data side. So, for H1, 78 million

-

odd footfall, whichever way you track, how many would be unique versus repeat visitors? And also if you can give the group size for H1?

Kamal Gianchandani

:

Well, this is sensitive information. We would not

be comfortable to put it out in public domain.

Moderator:

Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Gaurav Sharma

:

So, thank you, everyone, for joining us today. If you have any further questions, please feel free to reach out to our Investor Relations team. Wishing you and your families a very happy Diwali. Thank you so much.

Moderator:

Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

PVR
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Call: Feb 2026

February 12
, 2026

The Manager

-

Listing

National Stock Exchange of India Limited

(Scrip Symbol: PVRINOX)

The Manager

—

Listing

BSE Limited

(Scrip Code: 532689)

Sub:
Compliance under
Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015

Dear Sir / Madam,
This

is

with

reference

to

and

in

continuation

of

our

letter

dated

29

th

January,

2026

and

pursuant

to

Regulation

30

of

the

SEBI

(Listing

Obligations

and

Disclosure

Requirements)

Regulations, 2015, we wish to inform you that the officials of the Company participated in

the

conference

call

for

analysts

and

investors

held

on

Thursday,

5

th

February,

2026

post

announcement

of

Un-Audited

Standalone

&

Consolidated

Financial

Results

for

the

Third

Quarter & nine months ended 31

st

December, 2025.

A copy of the transcript of the proceedings of said conference call is enclosed herewith for your information and records.

This is for your information and records.

Thanking You.

Yours sincerely,

For

PVR INOX Limited

Murlee Manohar Jain

SVP

-

Company Secretary

& Compliance Officer

Encl: A/a

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"PVR I NOX Limited Q3 & 9M FY 2026 Earnings
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MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR , PVR INOX
LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR , PVR
INOX LIMITED
MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER ,
PVR INOX LIMITED
MR. GAUTAM DATTA – CHIEF EXECUTIVE OFFICER ,
PVR INOX LIMITED
MR. KAMAL GIANCHANDANI – CHIEF BUSINESS
PLANNING & STRATEGY , PVR INOX LIMITED

MODERATOR : MR. ABHISHEK BANERJEE – ICICI SECURITIES

This transcript has been edited f or factual errors

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Moderator: Ladies and gentlemen, good day, and welcome to PVR Inox Q3 FY 2026 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for y ou to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference call is recorded.

I now hand the conference over to Mr. Abhishek Banerjee from ICICI Securities. Thank you, and over to you.

Abhisek Banerjee : Good afternoon, everyone. On behalf of ICICI Securities, I welcome you to the Q3 and nine-

months FY 2026 post results earnings call for PVR Inox Limited. The call will begin with brief management remarks on the earnings performance, followed by an interactive Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel.

Over to you, Mr. Ajay Bijli, for your opening comments. Thanks, sir.

Ajay Bijli: Thank you. Good afternoon, everyone. I would like to welcome you to discuss the unaudited results for the quarter and the nine-months period ending December 31, 2025. We uploaded the earnings presentation and the results on our companies and the stock exchanges website earlier today, and I hope you have had a chance to review them.

Let me begin with the broader industry context first :

Calendar 2025 emerged as the strongest year ever for the Indian theatrical business with highest ever all -India gross box office collections of Rs. 13,400 crores up 13% year -on-year and nearly 32% above pre -pandemic levels. Notably, 37 films crossed the Rs. 100 crores mark, the highest ever, reinforcing the depth, resilience and long -term relevance of the theatrical medium in India. Original Hindi language films contributed substantially to the growth. Hindi box office delivered its strongest year ever with collections of over Rs. 5,500 crores, representing an 18% year -on-year growth. This performance was supported by a healthier genre mix and more consistent release slate led by a few large tentpole releases, including Dhurandhar, which has emerged as the highest grossing Hindi film of all time with cumulative box office of Rs. 1,000 crores.

Hollywood also staged a strong recovery in India, delivering its best post -pandemic year with box office collections of Rs. 1,400 crores, up 49% year -on-year, aided by a stronger and more consistent content slate.

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Regional cinema continued to deepen and diversify its contribution in Calendar Year 2025.

Overall, regional box office grew by 4% year -on-year, led by standout performances in select languages.

Gujarati cinema recorded a sharp 188% year -on-year growth, supported by Laalo - Krishna Sada Sahaayate, which became the first Gujarati film to cross Rs. 100 crores. Kannada Cinema grew 74% year -on-year, driven by Kantara Chapter 1 , and Su from So. Malayalam Cinema crossed Rs. 1,000 crores milestone for the second consecutive year, reinforcing its strong content credibility and loyal audience base.

During the quarter, we welcomed 40.5 million guests to our cinemas, representing a growth of 9% year -on-year. Occupancy improved to about 28.5% compared to 25.7% in Q3 last year, reflecting both the strength of content and the impact of various footfall driving initiatives we have been implementing.

Average ticket price and food and beverage spend per head both increased by 4% year -on-year to Rs. 293 and Rs. 146, reflecting stable consumer spend trends. On the back of a strong performance from titles such as Dhurandhar and Avatar Fire and Ash, December emerged as the third high

est month in terms of admissions and the highest month post pandemic in terms of revenue and EBITDA, highlighting the operating leverage inherent in strong content -led footfall recovery.

In terms of the financial results for the quarter, the following numbers were calculated after adjusting for the impact of IndAS 116 on lease accounting.

Total revenue for the quarter was Rs. 1,908 crores. EBITDA was Rs. 345 crores and PAT was Rs. 115 crores, as compared to revenue of Rs. 1,739 crores, EBITDA of Rs. 258 crores and PAT of Rs. 68 crores in the same period last year. We recognized a onetime provision of Rs. 44.6 crores in Q3 relating to adoption of the new labor codes treated as an exceptional item below EBITDA impacting reported PAT for the quarter.

Importantly, for two consecutive quarters now, the business has delivered 18% EBITDA margins at an occupancy of around 28% , compared to pre -COVID levels where similar margins were achieved at 350 to 400 bps higher occupancies. This underlines the sustained benefit of merger synergies and structural cost optimization, resulting in a more resilient and efficient operating model.

During the quarter, we added 20 new screens while exiting three underperforming screens located in malls that are nearing end of their life cycle. Year -to-date, we have added 62 new screens and exited 11 loss -making screens , and are on track to add nearly 100 new screens in FY 2026. Staying true to our capital -light and scalable growth strategy, we now have 149 screens signed under the capital -light model, of which 54 screens are under the FOCO model and 95 screens are under the asset -light model.

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We remain focused on generating healthy free cash flows, deleveraging and strengthening our balance sheet. As of December 31, 2025, net debt reduced to Rs. 365 crores, representing more than Rs. 1,000 crores reduction since the merger, driven by strong free cash flows and disciplined capital allocation strategy. In line with this focus, last month, we concluded the divestment of our entire stake in 4700BC premium snacking brand to Marico for an all-cash consideration of Rs. 226.8 crores, further strengthening our balance sheet and moving us closer to negligible net debt levels.

Looking ahead to Calendar Year 2026, we are increasingly optimistic on the outlook for the theatrical industry with content visibility that is stronger and evenly distributed. The Hindi slate for 2026 is anchored by several large and mid-scale films, including Dhurandhar 2; King starring Shah Rukh Khan; Ramayana Part 1, starring Ranbir Kapoor; Battle of Galwan with Salman Khan; Drishyam 3, Love and War, O'Romeo, Bhoot Bangla and Dhamaal 4, amongst many others.

Regional Cinema also enters the year with strong momentum led by titles such as Toxic, Peddi, Fauji, and Jailor 2; while Hollywood pipeline for India looks particularly robust with high-profile releases, including Avengers Doomsday, The Odyssey, Street Fighter, Mortal Kombat 2 and Dune 3. These collectively provide a healthy mix of franchise extensions, event films and mass appeal entertainers. Our current screen portfolio stands at 1,791 screens across 358 cinemas in 112 cities in India and Sri Lanka.

Thank you once again for joining us today, and I now open the floor for any questions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Thanks. The first question is on advertising revenue. We have seen a GST rate cut in many of the consumption segments. So, any changes you are seeing post that? And FY 2027 outlook, how do you expect ad revenue for the entire year?

Gautam Dutta: Ad revenue has been low this quarter. It's largely on account of the fact that we had fewer marketable films, while

Dhurandhar really caught up a lot in December, we were devoid of any big titles. And advertising, as against the core cinema business, works on the perception of a big blockbuster film. Last year same quarter we had eight very marketable films, whereas in this quarter we had only four, that kind of dented the advertising. But having said that, we believe that we are on the path of being able to post a marginal growth over last year.

Ajay Bijli: But Abneesh, I must say that you picked up one thing. But overall, ATP, SPH, number of people who are coming, the EBITDA margin, so even if there's a bit of a dent in advertising, which, as Gautam said, is temporary, I think overall we are very happy with the kind of performance that we have given, and we fired in all cylinders.

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Abneesh Roy: Sure. 4700BC divestment I think makes a lot of sense. My question is, in the next two years, anything more we can do in terms of any property, any other kind of cash flow generation? Any more plans?

Ajay Bijli: Well, because of our FOCO model and asset-light model, I think the cash flow generation has become healthy, with a strong lineup that is there. So, I think even if we do not have anything to divest, accruals will be enough to take care, and the strong control that we have around CAPEX, as well as operating expenditures, are going to ensure that the debt levels, which have already come down a lot, can come further down to negligible levels.

Abneesh Roy: Thanks. That's all from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. Sir, my question again is on 4700BC. Given the divestment to Marico, will the brand get discontinued in our cinemas, and correspondingly, will there be a revenue loss? Or will we source it from the supplier and continue to sell? That is one. And if it is later, what could be the incremental impact on margins that you may see?

Ajay Bijli: See, roughly over Rs. 1,800 crores is our revenue on F&B, and 4700BC gourmet popcorn was only being sold in 50 of our screens and 50 of our properties, and represented only Rs. 13 crores of revenue. So it is less than 1%. Having said that, it will continue to sell in our premium properties. So it will hardly have any dent on our margins or hardly have any dent on our revenues because our focus is on in-cinema F&B more than out of cinema F&B. And as I said, it will continue to sell in the cinemas where it was selling. So there's not going to be any dent whatsoever.

Jinesh Joshi: Understood. And the second question again is on the ad revenue. While you highlighted the

reason as to why there was a Y-o-Y decline, I just wanted a clarification on two small sections. First is that, was there any cut down in the ad time this quarter versus the base quarter? And is it possible to share, I mean, how much of the inventory typically do we sell at a pre-contracted rate, and how much is sold on the spot, to just get a sense as to whether these also had played any role in terms of revenue decline?

Gautam Dutta: It is largely we had lean weeks and months this quarter where we did not get enough advertising. So clearly, the volume dipped, it was not about the yield at all. We control our yield very strongly in the market, and ensure that the yields do not get affected. But the sheer demand does go down when there are films that technically do well at the box office, people are coming in, but do not have the perception for advertisers to come in.

Now to answer your other question, on an average, we sell about 14 to 15 minutes of advertising. This is all averaged out at the end of the year. That's the kind of time we utilize per show per auditorium.

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Jinesh Joshi

: Got that. One small follow-up question. Can you share what is the screen outlook guidance is for 2027 and the CAPEX figure?

Ajay Bijli: First of all, we will be opening about 96 screens roughly this year. And next year, we are looking at about 150-odd screens to open. And CAPEX intensity, Gaurav, can you just help me out there?

Gaurav Sharma: Yes, it will be between Rs. 350 crores to Rs. 400 crores of CAPEX outlay that we are planning for next year, all inclusive, including new screens plus renovations and maintenance.

Jinesh Joshi: Sure, sir. Thank you so much. All the best.

Moderator: Thank you. The next question comes from the line of Kavish Parekh from B&K Securities. Please go ahead.

Kavish Parekh: Thanks for the opportunity. Congratulations on two great quarters consecutively. My first question pertains on the debt side, so second quarter of a solid show on the net debt front. I believe the company remains well placed to be net debt-free by the end of FY 2026, if not by Q1 FY 2027 max. But on the gross debt, do you plan to pare it gradually while holding on to cash? Or will there be accelerated payments on the gross debt front? That was my first question.

Ajay Bijli: So, one is the scheduled repayment of gross debt, which is largely term within our case. So that will happen. On top of that, we will also prepay some of the gross debt using the surplus cash that we are carrying. So that exercise will take place over the course of the next couple of months. So we are expecting that gross debt levels will also fall materially by the time we finish this financial year.

Kavish Parekh: Understood. And secondly, given that content has been doing well for some time now and the near term also appears promising, do you find any low-hanging fruits to extract more juice for realizations like ATP and SPH? And secondly, do you find the need to have a loyalty program to sort of lock in users at times like these, when consumers are more likely to enroll for any loyalty-based offerings times when content is doing well?

Gautam Dutta: So first on the loyalty, see, there are schemes today, and we believe that we have been studying consumers very closely, when there is a big film that a cohort wants to watch, there are enough and more deals that are being given, more personalized, more targeted and sharpened deals so that we can get more footfalls to the cinema. We believe that a loyalty program on a broader base does not work, because every film has a very different fan following, and those have to be targeted with more specific deals. And given our marketing department and the way we are using AI, we are able to now target a much smaller, sharper cohort of audience and work out deals for them to get better footfalls.

In terms of your question on ATP and SPH, the reality remains that bigger films, stronger films and different format films do garner a higher ATP, and that will continue to happen. On an even

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ground, every year we are looking at about 3.5%, 4% increase in ATP and that would be the trend going forward and so would be the case with SPH as well.

Kavish Parekh: Understood. And just to reconfirm the screen addition target that you mentioned, both for FY 2026 and 2027, 2027 especially, is that on a net basis?

Ajay Bijli: Yes. I think we are talking about gross new screen additions. The screen exit will be negligible because bulk of the underperforming screens have been closed in Financial Year 2024 and Financial Year 2025. So the gross screen additions and the net screen additions will not be substantially different.

Kavish Parekh: Understood. That was super helpful. Sir, if I can squeeze in a follow-up on the debt front. You plan to sell off some of your properties a few quarters ago, realizations were expected to be

around Rs. 3 billion odd. Now with net debt lev

els coming down and gross debt also being at comfortable levels, do you still plan to sell those off? Is there any progress on that front?

Ajay Bijli: So, I think we will be very careful about what sort of value that we will get. Even in the past, we have explored options, but we decided not to sell. And the case for selling properties is now not so much there given the fact that the overall liquidity levels in the company is pretty healthy and balance sheet is stronger. Also, some of the properties that we own have operating cinemas, which are generating positive EBITDA. So, we would also take that into account when we look at assessing any property sale.

Kavish Parekh: Understood. That was helpful. Thank you so much. All the very, very best.

Moderator: Thank you. The next question comes from the line of Priyadarshini, an individual investor. Please go ahead.

Priyadarshini D: Thanks for taking my questions. Congrats on a good set of results. I just wanted to talk about how do you look at the business from an annual point of view? So like there are still variations across quarters, even though the last two quarters have been consecutively very good execution on the occupancy front. But how do we look at 4th Quarter and also on a yearly basis, where do the occupancy rates settle? Do you think that there was a little bit of consumption slowdown, which also played into it and therefore, the occupancy rate go up from here or it will stay where it is on an annual basis?

Gautam Dutta: Kamal, you would like to take that?

Kamal Gianchandani: I think on an annual basis, Q4 traditionally has been a weak quarter, the weakest quarter amongst all the quarters. But that said, this quarter, because we have got Toxic, Dhurandhar right towards the end of the 4th Quarter, one can expect some aggressive numbers. But overall, I think you should see Q4 in line with what we have done in the past few years in terms of Q4 as a ratio vis-à-vis Q3 or Q2, one of the higher generating quarters. So that sort of trend, that sort of framework is what would continue. And I think we have a long history of performances pre-COVID as well

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as post-COVID. So there's enough data to sort of look at various quarters and their relations. So that's one aspect.

But in terms of the larger question that you are posing, which is, are these occupancies sustainable? And how should we sort of factor them going forward in our numbers? I think these occupancies definitely are sustainable. And the reason we say that is that post-COVID, of course, there were a lot of structural changes, consumption pattern changes. The content supply went through its own share of disruption because a lot of films were traveling straight to streamers. And because the consumer taste had changed, producers also took some time to sort of adjust their filmmaking as per that taste.

But now all of those factors have fallen into place. The content cycle is pretty much well-oiled and working in a very synchronized manner like the way it used to work pre-COVID. There are hardly any gaps between weeks. Films are very well spaced out. There are a lot of wide releases, films which go out in maximum number of theaters, big star cast, big production values, broad-based successes, not just the bigger films are working, but mid-sized, smaller films are also succeeding.

So, I think the content cycle is pretty much in shape, and one should expect sustenance in terms of occupancies. I would go to the extent of saying that our best years are ahead of us. We have not yet seen our best years post-COVID. 2026, 2027, just on paper looking at the slate is looking like a very, very strong year. The kind of content mix we have in Hollywood, Hindi and regional cinema is so strong that we would stick our neck out and say that 2026, 2027 definitely would surpass what we have seen in

2025, 2026. I will pause. And if you have any follow-up questions, happy to answer.

Priyadarshini D.: That's very heartening. Thanks a lot. I just have one follow-up. Like when you do the benchmarking of content, right, because this year was also a cyclical recovery we saw in terms of content quality, et cetera. So what gives you the confidence to say that next year, if you benchmark the two years, it is going to be better. What are the factors that, I know that in our business, we can still see a difference, right, when the actual numbers come. But the point is, what are the drivers? How do you benchmark these two years?

Kamal Gianchandani: I think if you look at the breadth of content in terms of offerings, we have got a great mix of big budget, big star-driven films, mid-level films which are more content-driven, smaller films which continue to surprise at the box office, well supported by regional cinema in all wings. So not just Tamil, Telugu, Malayalam, Kannada, but also in languages which are up and coming like Gujarati films, a lot of action happening on the Bengali front. And Hollywood is finally getting its act together in terms of films which go wide, release in U.S. in 2,000 or more theaters.

That number has been consistently going up.

All studios, including Paramount and Universal, have been talking about increasing the number of wider releases in the slate. They are talking about increasing their overall slate but in addition

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to that, they are also talking about increasing the wider releases in their slate. So when you look at the quality of films getting better, quantity going up, you feel confident that the next year would be much more buoyant as compared to this year. So these are some of the factors that we watch very closely.

Priyadarshini D.: That makes sense, thanks a lot. One last question from my end. So you have demonstrated that you are achieving the same EBITDA margin at 28.5% occupancy, which you used to do at 32% occupancy. And therefore, what other runway do you have there? I mean, at this point 28.5%, can it go down further?

Kamal Gianchandani: Gaurav, do you want to take this?

Gaurav Sharma: I think it's already at a very optimal and healthy level in terms of the margins, if you look at it at 28% occupancy, 18% margins. Having said that, there are still line items in our P&L where we are working towards optimizing. For example, electricity cost is one area where if you notice, we have seen a 4% year-on-year drop because we are deploying solar panels on the rooftops of many of our cinemas, which are on the top floor of the malls. We will accelerate that deployment further. Also, rental renegotiations and seeking discounts and moving to more revenue share kind of deals will further make the overall rental cost more efficient.

Ajay Bijli: So I would say that to answer your question straight, in terms of margin there will be a slight increase, but a bulk of the margins is already --

Moderator: Sir, there is a kind of disturbance coming from your end.

Ajay Bijli: Priyadarshini, that answer your question, or do you want?

Moderator: The line for Mr. Ajay has been disconnected. We are connecting him back again.

Gautam Dutta: You do not need to connect Mr. Bijli back. I think he's dropped off. But the answer was to the question raised by Priyadarshini. If that addresses your question, maybe we can move on to the next one.

Moderator: Alright. The next question comes from the line of Siddhant from Goodwill I. Please go ahead.

Siddhant: I wanted to ask about, now that we are very likely to be net debt free by 31st March, any plans on restarting final dividends and buybacks considering the low promoter stake? And just a follow-up to that, what is the runway to the promoter pledge ahead?

Gaurav Sharma: I think capital allocation with respect to

distribution to shareholders is a decision that the Board will take at the right time. We will not be able to give any guidance on that at this stage. But the cash which is there will be definitely used towards reducing debt as well as funding growth. As we had said earlier that there are ample growth opportunities in the country, there are markets where multiplex penetration is low, and those are pretty attractive markets. So we will take a

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holistic picture in terms of how we deploy the capital and accordingly decide. At this stage, there is no guidance on any dividend or distribution.

Siddhant: Okay. And on the promoter pledge?

Gaurav Sharma: On the promoter pledge, I think the pledge levels have been pretty sort of at the same level for quite some time. We do not expect that to change, or rather we do not expect that to increase.

Siddhant: Okay. My one more question was about our tax shield and our tax losses, how much would they be? And how much do we expect it to be utilized over the next two, three years?

Gaurav Sharma: I think our estimate is that our deferred tax assets will be utilized fully over the course of next three and a half to four years. So from a tax perspective, we have enough losses to absorb any future tax payouts for the next three to four years.

Siddhant: Okay, that's good. So one more is that because we have been asset-light and we have been doing lesser CAPEX, do we expect maintenance CAPEX to go up now because there's less stress on our balance sheet because we do not want the quality of cinemas going down, right?

Gaurav Sharma: Absolutely. I think customer experience is paramount, and we are pretty much focused in terms of maintaining the standards of our older cinemas. In fact, we will be deploying a greater percentage of CAPEX towards renovation of our high-value cinemas where the overall look and feel of the cinema now looks dated as compared to the new properties that we are opening. We are also upgrading many of our cinemas with newer technologies, better projection and sound system, overall seating. So the CAPEX outlay towards renovation will be slightly higher in upcoming years. Also, renovation is far less risky as compared to opening a new cinema given that you know the operating profile of that property and location and the payback periods are

much faster. As a result, their return metrics on renovation CAPEX is also pretty healthy. So yes, I think we will be focused on that piece, going forward.

Siddhant: Okay. And just on the film distribution business, what would be the approximate margin band that we operate over there?

Gaurav Sharma: You mean in terms of EBITDA margins?

Siddhant: Yes.

Gaurav Sharma: So I think on EBITDA margins, we will be roughly in the range of 8% to 9% overall on the revenue. It's a business where we sort of take distribution rights and it's a working capital focused business, but a very high return on capital kind of business profile.

Siddhant: Okay. Just one last question. So when two big films, example, the one on 19th March or the Hollywood one that's happening in December this year, is that a benefit for PVR in terms of pricing and lack of supply? Or it's better when films are divided over a period of time?

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Kamal Gianchandani: I think you have to see it on case-to-case basis. There are times when a big regional film, non-Hindi Indian film clashes with a big Hindi film. That becomes synergistic in the sense that the territories where the films are stronger differ, right? So suddenly South becomes extremely strong for the regional film, the non-Hindi South Indian film, and the rest of the territories become very strong which are Hindi language dominated for the other film. Also, I think we have seen with many films that in terms of capacity we have en

ough and more for two films to

coexist and do something like Rs. 110 crores, Rs. 125 crores sort of a net box office, which translates to something like Rs. 135 crores, Rs. 140 crores gross box office in a day, all India, all theaters put together. Now that's a very healthy number.

Typically, a big film opens with Rs. 50 crores, Rs. 55 crores sort of a net box office. The other film tends to open with Rs. 20 crores, Rs. 25 crores. So even if there are two big films releasing, I will use Singham and Bhool Bhulaiyaa as a case in point, both released in Diwali, very strong period, both targeting Hindi audiences, but very comfortably coexisted. And ended up doing very strong numbers for that week and the subsequent weeks in November last year. Similarly, this year, we have got Dhurandhar, which is a very, very strong film targeting the Hindi audiences. And then we have got Toxic, which is also dubbed in Hindi, but is extremely strong in the South Indian markets, whether it's Kannada, Tamil or Telugu or even Malayalam for that matter of fact.

Which means we can have very strong performance in South, and we will also have very strong performance in the rest of the country, which is Hindi speaking. And that augurs well for us.

That augurs well for the chain because you want all theaters, all seats to be filling up when there are big films releasing, and Eid is a big week for us. So yes, mostly it is positive. In some cases, films tend to cannibalize, take away business from each other, it becomes a bit of a negative.

Very tough to sort of forecast these things. But more often than not, I would say this is a positive.

Siddhant: Okay. Just one last question. Any plans to impair or reconsider the goodwill on our balance sheet because it really skews our return ratios?

Gaurav Sharma: No, there are no such plans as of now.

Siddhant: Okay, perfect. Thank you so much.

Moderator: Thank you. The next question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi. Thank you for the opportunity. Congrats on great consecutive quarter. My first question was on your footfalls. So if we look at calendar 2025, you have done around 15 crores footfalls. This is a decent growth on last year, which was around 14 crores. But the year before, we were at 15 crores. So if you can share some insights as to how the trends in unique visitors is? Have we seen more unique visitors come through last year versus earlier years? And what do you expect on unique visitors in the coming year? That's the first question. Thanks.

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Kamal Gianchandani: So, we have seen more unique visitations in 2025 calendar versus 2024. There has been a healthy growth. That said, we would not like to get into specifics because this is business-sensitive information. I hope you understand. But yes, there has been a very, very strong noticeable growth in the unique visitations.

Gautam Dutta: I would also like to add one thing to this, what Kamal said, our Tuesday promotion has been a huge galvanizer for getting in these new users to the cinemas. And it's been a consistent promotion that we have been doing throughout the year, and that's kind of propelled many fence-sitter audiences to start now experiencing cinema so much so that there is a huge audience set now looking to come to cinemas on every Tuesday.

Umang Mehta: Got it. Just one clarification versus Calendar Year 2023 as well, there would have been growth in unique visitors?

Gautam Dutta: Yes.

Umang Mehta: Got it. The second kind of question had three basically recent developments or some concerns from investors that we were gathering. If you can share some comments on the CCI investigation and latest update, the Netflix, Warner Bros kind of development globally and on Karnataka price stand.

Gautam Dutta: Gaurav?

Gaurav Sharma: On VPF

CCI matter, the process with CCI is ongoing, and given that it is subjudice, we are fully cooperating with CCI and sharing information. At this point, there is no new material update to share. On Karnataka pricing update, the Karnataka High Court had stayed the state government's order on capping the ticket prices. The matter is again currently subjudice at the High Court level. And there is currently no cap implemented in Karnataka. We are continuing to engage with all the stakeholders through appropriate legal and regulatory channels. And on Warner Bros. and Netflix, maybe Kamal, if you could give some insights on that piece.

Kamal Gianchandani: On Warner and Netflix, again, the matter is ongoing. We continue to monitor it closely with our colleagues in North America, Europe and other parts of the country. It's an event which is going to have an impact on the global exhibition industry and, therefore, all exhibitors are looking at the events and the developments in a very close fashion.

Now, there was a Senate hearing yesterday in U.S. It was well covered by television media. And of course, a copy of that is also available, a streamed copy of that is available on YouTube. We would encourage everyone to have a look at that video. Clearly, the U.S. government is also in a very proactive fashion, looking at this combination in a very serious fashion because they feel it will impact a lot of stakeholders and not just customers, but also the professionals and talent which is deployed in the entertainment business.

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But at this point, there are events in motion, not much to comment. We are observing everything very closely, keeping a tight watch. We will see how things play out as we move forward.

Umang Mehta: Got it. Thank you so much for all your explanation. All the best.

Moderator: Thank you. The next question comes from the line of Rishi Dilip Mody from RDM Advisory LLP. Please go ahead.

Rishi Dilip Mody: Hi, guys. First, I have a bunch of questions. On the results, I just wanted to understand, our employee cost kind of eats up the operating leverage that one would expect in this business, especially given how we have reduced our costs over the past several quarters. So, is there like some variable incentive which is built into the employee cost, which is leading to the 10% YoY increase in employee cost? Or I do not know, like could you just explain that 10% raise?

Gaurav Sharma: Our employee cost typically grows between 7% to 8% in line with the wage escalation, and a large portion of our employees are off-roll employees where at state level minimum wages go up. But particularly in Quarter 3, there has been a slightly higher growth. You are right, there has been a onetime nonrecurring impact of certain team incentives paid out during the quarter, but that's nonrecurring only for Quarter 3. Excluding that impact, the growth in personal cost would have been 6.4% during the quarter.

Rishi Dilip Mody: Excluding the incentive, it would have been 6.4% per quarter. Right?

Gaurav Sharma: Right.

Rishi Dilip Mody: If I heard you correctly. Understood. Second, now just coming to the business model, I had two questions. First, how do the economics for us stack up for regional films, say, a Gujarati film, Punjabi film, Marathi film versus, say, a Bollywood film, and also within these big production house versus a smaller production house, bigger distributor, smaller distributor, how do the economics stack up, if you could just give some details?

Kamal Gianchandani: So I think you mean the way we share revenue with our suppliers in different languages.

Rishi Dilip Mody: Yes.

Kamal Gianchandani: Without getting into specifics because, again, this is business-sensitive information, we tend to have same sharing terms language-wise. So when it comes to Hindi films, what we offer to a big

producer, we have percentage revenue sharing. So whatever is the collection, a percentage of that is shared with the producers, with the distributors/producers. And it's same across both for each language, whether it's a big film or a big producer or a smaller or a midsized film, it's the same percentage. Same applies for Gujarati film, same applies for Tamil, Telugu. Within languages, there could be a differentiated sharing ratio, sharing percentage. But within the language, it's the same sharing ratio with all producers in all shapes and sizes of films.

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Rishi Dilip Mody: Understood. And would I be correct in assuming that Bollywood would be the lowest sharing versus then followed by South Indian and then finally, the other languages?

Kamal Gianchandani: They are all comparative is what we would say.

Rishi Dilip Mody: Okay. All right. So not much gap between the sharing differential?

Kamal Gianchandani: Sure.

Rishi Dilip Mody: Second, with the advent of AI, especially on the media front, bringing the costs down, do you see more pipeline of production or lower cost of production for the production houses, which will ensure that, say, better content or more content comes out? And secondly, in the past, we have been producers, but then we stopped being producers. And given the recent success of animated films like Narsimha, do you think you would want to get into the animated side of this business, especially with AI now bringing the costs down? Would you be open to that and hence, ensure that you can fill up periods when there is no content?

Kamal Gianchandani: So AI and various other tools and other advancements are definitely helping producers, content creators towards data-driven learnings, analytical advancements, better understanding of audience behavior, automation improvements are getting enhanced with every passing month, and that, of course, improves the way people conceptualize or program content or write a film. So their understanding of what could work, resonate with a large number of people is improving because of these advancements and learnings. We in our business and other exhibitors use them to improve their pricing decisions. Various operating decisions, various operating platforms, we are able to enhance, improve upon using technology, automation, AI.

And of course, from a marketing perspective, and I think Gautam spoke about it earlier, targeted marketing. All of these things are providing material benefits quarter after quarter to both producers and exhibitors. But I would not go as far as saying that AI is ready to make a film, which can be theatrical in nature or even for that matter of fact, which could be released on a streaming platform or another distribution platform, but it was produced end-to-end using AI. I would not go that far.

The way we see it from our prism, technology is not advance to that level, at least at this point. We will see what happens. We are watching these developments very closely. We will see what happens in future. But at this point, in near-term, that does not seem likely.

Your second question about us getting into production, we are a prolific distributor. We are actively engaged in working with producers and ensuring that their films get the best marketing and distribution exploitation as and when they are ready to release. At this point, we have no plans to go back to production. If anything changes, of course, we would definitely come back and report it.

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Moderator: Thank you. The next question comes from the line of Vivekanand from AMBIT Retailer and Developer. Please go ahead.

Vivekanand Subbaraman: This is Vivek from AMBIT. I have two questions. One is on the unique visitors to your cinema screens. You said that they are growing. I would like to know from you the extent of b

ooking

that happens through online platforms and the data sharing that you get from these platforms. That's number one. So how confident are you in being able to gauge or maintain a database of the patrons that visit cinema and then decipher their frequency of viewing? That's question one. The second question is on the adjacencies that you were focused on. So you have divested out of 4700BC, but in the past you have made multiple attempts not just there, but also in, say, setting up a branded food court, your JV with Devyani. So I know you spoke about capital allocation and your intent to penetrate into under-screened markets further. But from a number two, number three perspective, what are the other priorities of use of cash now that you are able to generate significant amount of free cash flow?

Kamal Gianchandani: So I will answer question one, and then I will request Gaurav to chip in with the answer for question two. So in terms of data sharing with the aggregators, we have full access to customer data and customer data at a transaction level, at an individual level, we have full access to that information. And of course, we use it for analytics, various other data-driven learnings. What is the proportion of online to box office, again, business sensitive information. We would not like to get into specifics. But I would say this that a substantial portion of more than 50% of our tickets gets sold through the online channels, be it our aggregators or our own digital platforms, the PVR app and the INOX app. So a substantial portion gets sold through the online channels and data is shared by the aggregators with us. Gaurav, over to you.

Gaurav Sharma: Yes. Thanks, Kamal. Just to add, Vivek, on that, we can also connect separately and through our Investor Relations team and give more color offline on that. On your second question around

adjacencies in the business and our growth strategy around that. I think, first of all, I want to make it clear that 4700BC has been always a noncore asset for PVR Inox because it's a brand. It scales significantly over time outside the cinemas. It has evolved into multiple channels across quick commerce and some of the others and more than 85% of its sales comes from outside the PVR cinemas. And we have no aspiration nor the expertise to build and scale a nationwide FMCG business. And therefore, there was clearly a strategic rationale to exit it. However, we will continue to retail the products in our cinemas, but we will not own the equity in that company.

With regard to our joint venture with Devyani on food court side, I think the whole objective is that how we can grow our F&B business in partnership with other players in the market. And given that all our F&B comes from purchase of products over -the-counter within cinema premises, we felt that there is an adjacency in terms of expanding on the same floor of the mall by moving into a food court where we can partner with other products, other brands and have a pre-ticketed F&B kind of business. That was the vision behind that. And we have already opened

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three food courts. We are in the process of scaling and opening more. But F&B definitely is a big growth driver for us.

We have also launched some new brands in food categories where there are limited other third-party brands. For example, on hot dog, we have launched a brand called Dogfather, which is currently being sold in our cinemas, similarly on the pizzas, French fries. And we will continue to nurture them and see if they have potential to scale beyond cinemas as well.

Vivekanand Subbaraman: Just one small follow-up on the second answer. Do you have any budget earmarked for initiatives outside of cinema for, let's say, the next couple of years?

Gaurav Sharma: Yes, definitely, we have internally allocated capital towards growing our

F&B business, which

includes building and growing our own brands within the cinemas. But in our overall CAPEX outlay, that's not a material number as of now.

Vivekanand Subbaraman: Alright. Thank you. Thank you for the clarity and all the best.

Moderator: Thank you. The next question comes from the line of Arul from Bajaj Life Insurance Limited. Please go ahead.

Sujit Jain: Thank you for the opportunity. This is Sujit Jain from Bajaj Life. So when we look at this company, the pre-COVID 2019 quarterly average advertisement income, and you can correct me on this number was Rs. 146 crores. We have not been able to reach there. Pre-COVID occupancy in FY '19, we are truly appreciative of all the initiatives the company is taking, whether it is FOCO, asset-light model, value formats, dine-in pilots, et cetera. But somehow, this has not happened, we are still at 28%.

So when as investors, we think about this company and invest in this company, the pushback that we get from analysts is that perhaps structurally, this has changed. What is it that, in your opinion, that one can do and will eventually take this industry to the pre-COVID highs of occupancy that you achieved then and plus the advertisement income?

Gaurav Sharma: On pre-COVID versus now, I think the way to look at it and the way we look at this business is that while the occupancy levels have been continuing to improve, and we have seen 2 successive quarters of 28% occupancy. But financially, if you look at the business, we are delivering same EBITDA margins as what we used to do in the pre-COVID financial year, which is around 18% margin, but at a substantially lower occupancy level. So, I think from a financial lens, the business is generating similar margins and similar returns. The return on capital metric is also on an uptrend given the balance sheet strengthening that is happening and pivot towards asset-light model will further reduce the CAPEX intensity and strengthen the balance sheet.

So overall, return on capital employed in the business is improving and will definitely be in double digits very soon. I think we feel that the trajectory of occupancy is upwards. The kind of films we are seeing for next financial year and next calendar year, in fact, are much bigger than

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what we saw last year. Last year, we did not have any of the big Khans other than Amir's one film. Shah Rukh was not there, Ranbir Kapoor's film was not there. But next year, we have some of the biggest titles from Hindi Film Industry.

And we feel that there is no reason for us to believe that the occupancy levels will be lower than what we have today. Even Hollywood has a very strong lineup and regional continues to outperform across different languages. So I think from an investor point of view, analyst point of view, the focus should be on operating cash flows, operating margins, return on capital and the balance sheet position.

Maybe on the second question on advertisement, I will request Gautam to take that one.

Gautam Dutta: So on advertising, if you see until about H1, we were completely on course. And I do understand that Q3 has been a bit of a dampener. I believe that we are on path. It's just that there has been just so much of chatter around this media that a lot of advertisers have started to now pick films rather than the category because the media perception and the chatter around people coming to cinemas has grown. So we have a counter plan to this, and we are very aggressively working with agencies, our media partners and brand managers.

And I think next year would be the pivotal year because we have all the three streams working concurrently, which is Hindi film industry, English as well as regional. There is a very strong pipeline. And we believe that it could be the turning point along with the fact that there's actually been

a lot of work now to see whether we can also make our media more relevant with what the brands are asking. So we have now started to also furnish a lot of data around advertising that is happening at the cinema, which is getting huge amount of traction, and we hope that we will be able to get that confidence back from advertisers and get cinema back in a big way in terms of advertising. So it's a journey. And I guess we are more than halfway done on that journey.

Starting next financial year, things would really begin to look up.

Sujit Jain: What is the ROCE that you said you achieved in nine months?

Gaurav Sharma: I think we will be in single digit, in the high single-digit number adjusted for goodwill, if you look at the overall capital employed.

Sujit Jain: So the screener that I used, we were at 18% in FY'19

Gaurav Sharma: Correct. So we are improving. If you look at last year and year before that, the ROCEs were much lower and the trajectory is upwards.

Sujit Jain: And one last question is what is the KRA set by the Board to the management? And does it also include value creation? Because if you see, there is -- that has been the issue, which obviously we discussed as to why there is an issue in terms of some of the glory that we were in the past and now we are scaling back. But what are the exact KRAs of the management sent by the Board?

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Gaurav Sharma: Yes. I think the Board and the management is focused towards improving the financial profile of the business. And the overall leadership level deliverables include revenue, EBITDA, overall balance sheet and cash flow as well as some of the qualitative factors around organization structure, customer experience, which are very critical. So I think those are some of the important things. As far as the value piece is concerned, there are multiple factors which affect value.

Financially, I think we are focused on delivering the right results and moving in the right direction and trying to leverage the scale, market share and leadership that PVR Inox has today in the exhibition business to the best of our advantage. And definitely, early signs are visible in the numbers that we have delivered. And on a long-term basis, we are pretty optimistic about the overall business and performance of the company.

Moderator: All right. Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing remarks.

Gaurav Sharma: Thank you so much for everyone to join this call. If there are any more questions, feel free to reach out to our Investor Relations team. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

May 18, 2026

The Manager – Listing
National Stock Exchange of India Limited
(Scrip Symbol: PVRINO X)

The Manager – Listing
BSE Limited
(Scrip Code: 532689)
Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Dear Sir / Madam,

This is with reference to and in continuation of our letter dated 4th May, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company participated in the conference call for analysts and investors held on Monday, 11th May, 2026 post announcement of Audited Financial Results for the Fourth Quarter & Financial Year ended 31st March, 2026.

A copy of the transcript of the proceedings of said conference call is enclosed herewith for your information and records.

This is for your information and records.

Yours sincerely,
For PVR INOX Limited

Murlee Manohar Jain
SVP - Company Secretary
& Compliance Officer

Encl: A/a.

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"PVR -INOX Limited
Q4 FY26 Earnings Conference Call"
May 11, 2026

MANAGEMENT : MR. AJAY BIJLI – MANAGING DIRECTOR – PVR -
INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR –
PVR -INOX LIMITED
MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER –
PVR -INOX LIMITED

MODERATOR : MR. JAYRAM SHETTY – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the PVR -INOX Limited Q4 FY26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be

in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jayram Shetty from ICICI Securities. Thank you , and over to you, sir.

Jayram Shetty: Good afternoon, everyone. I welcome you all to PVR -INOX quarter 4 FY26 earnings call. The call will start with brief management remarks on the earnings performance, followed by interactive Q&A session. PVR -INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, CFO; and other senior management personnel. Over to you, sir.

Ajay Bijli: Good evening, everyone. This is Ajay Bijli. I'd like to welcome you to discuss the audited results for the quarter and the year ending March 31, 2026. The earnings presentation and results were uploaded to our website and the stock exchanges earlier today, and I hope you've had a chance to review them.

FY26 was a defining year for PVR -INOX . We delivered our best ever financial performance, brought net debt to a negligible level and pivoted decisively to a capital -light growth model even as the Indian box office reached an all -time high. Today, PVR -INOX is structurally stronger than at any point in our history. Within India's exhibition industry, PVR -INOX stands apart as a well-loved consumer brand with unmatched market leadership and scale.

Today, we operate nearly 40% of the country's multiplex screens and capture 31% of India's box office with prime locations, premium formats and the trust audiences placed in our brand. We are the preferred partner for India's leading mall developers and top film producers and the industry we lead is itself on a strong long -term trajectory.

India's box office has grown at a 7% to 8% compounded growth rate over the last decade, reflecting the sustained structural demand for movie watching in cinemas. Theatrical first is now firmly the dominant release model as producers and OTT platforms alike recognize that theatrical performance sets the quantitative and the qualitative benchmark for a film.

Against this backdrop, FY26 was the strongest year in the industry's history with collections rising 11% to INR13,519 crores. The standout was a resurgence of original Hindi cinema with Bollywood collections growing 55% year -on-year, delivering its best year ever. English cinema also delivered a strong year, growing 54% on a robust slate of Hollywood releases.

Another big positive trend in FY26 was a solid comeback of mid -scale films grossing between INR100 crores to INR200 crores, which saw its share rising from 12% to 20%. Growth is now broader, more resilient and less dependent on a handful of mega blockbusters.

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Coming to our performance, Q4 FY26 recorded our highest ever fourth quarter collection supported by titles like Dhurandhar: The Revenge, Border 2, Project Hail Mary amongst others. We welcomed 31 million guests in the quarter and 150 million across the year, which is a 10% growth over FY25.

ATP for the year stood at INR280, which is up by 8% compared to previous year and SPH at INR147 compared -- up by 10% , both record highs. In Q4, ATP touched INR315 and SPH INR165. On an IND AS 116 adjusted basis, FY26 revenues was a record of INR6,742 crores, up 16% year -on-year. EBITDA before exceptional items doubled to INR968 crores with margins expanding from 8.4% to

14.4%, reflecting both strong revenue growth and the cost discipline we have sustained for several years.

FY26 also recorded the highest ever PAT at INR386 crores against a loss of INR152 crores in FY25. For quarter 4, revenue grew 25% to INR1,577 crores . EBITDA rose nearly six fold to INR169 crores and PAT was INR178 crores versus a loss of about INR10 crores -- INR106 crores. PAT for Q4 '26 and fiscal 2026 also included gains on the divestment of 4700BC to Marico.

On growth, our model has pivoted decisively to capital -light. Of the 93 new screens added in FY26, 55% came under capital -light formats with around 44% of additions in underpenetrated South India. Screen exits dropped sharply to 18 from 72 last year as the post -merger portfolio rationalization is largely behind us.

Our signed capital -light pipeline now stands at 138 screens, 52 under FOCO and 86 under asset -light. Capex intensity is down 24% year -on-year basis. Robust operating performance, sustained cost discipline and reduced capital intensity have driven consistent free cash flow generation over the past 3 years, with FY26 free cash flow reaching an all -time high of INR790 crores.

This cash flow has been deployed towards debt reduction, thereby strengthening the balance sheet. Our net debt now is nearly down 90% since the merger to a negligible level of INR161 crores as of 31 March 2026. Return on capital employed has improved to 10.2% in FY26, a clear

breakout, and we will continue to work towards improving it further.

Looking ahead, FY27 content pipeline is broad and diverse across Hindi, English and regional cinema, giving us strong confidence in the trajectory. On the Hindi front, anticipated titles include Cocktail 2, Dhamaal 4, Welcome to the Jungle, Awarapan 2, Ramayana: Part 1, King, Love & War and with several other films also lined up.

Regional cinema continues to offer exciting content lineup like Peddi, Toxic, Jailer 2, Spirit amongst others. Hollywood is lined up with Masters of the Universe, Toy Story 5, The Odyssey, Spider-Man: Brand New Day, Avengers: Doomsday and many others. We enter FY27 with the strongest balance sheet in our history, an exciting and diverse content slate, a strong pipeline of new screen signings and an industry tailwind that is structurally stronger, we are confident the next chapter will compound on what we delivered this year.

With that, I open the floor for questions. Thank you.

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Moderator: We have first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on fantastic debt reduction. So that will be my first question. So in terms of debt, obviously, now it is negligible. So what will be your expectation given light-asset strategy going ahead in next year, FY27 also? So what kind of screen addition you expect, what kind of own screen versus the low-asset model? And what would be the plan once you have net cash? Would you like to start dividend also?

Ajay Bijli: Well, firstly, the pipeline, about 120-odd screens visibility we have to open, we have that we'll be opening next year. And the percentage of screens opening in FOCO and asset-light model will -- was 55% this year. It will continue to be between 55% to 60%. And so that is your first question.

And secondly, with the kind of lineup that we are looking at, I think we will continue to have healthy cash flows. And definitely, we want to get into a situation where we are cash positive. And of course, then the Board will meet and decide what should be done with the accruals. We haven't given it much thought at the moment. Gaurav, would you like to add something to it?

Gaurav Sharma: No, I think you've covered all the key points and nothing incremental.

Ajay Bijli: Okay.

Abneesh Roy: Sure. My second question is slightly on the macro side. So 2 parts to that. One, of course, Prime

Minister has said yesterday not to buy too much gold jewelry next 1 year and not to travel outside also. Now obviously, diesel and petrol price hike is just an event which will happen very quickly now. So would you expect some kind of a consumption impact on multiplex being also given urban disposable income can get impacted?

And slightly related question, one of the key South Indian state now has a Chief Minister, who is obviously one of the biggest CEO. So any possible positive news either in that state or any of the other state, any positive regulatory you expect in the medium, long term? Not asking immediate because these things can't be predicted.

Ajay Bijli: Yes. I mean, first -- firstly, I must tell you that obviously, it's not very -- if the macroeconomic scenario is something that the PM has spoken about and asked to take certain austere measures.

That's all due to the West Asia crisis. And obviously, that doesn't sound that good overall.

But having said that, we -- history has shown that cinema being still a very small ticket size, if you look at PVR, ATP is INR280. And overall, if you look at India, India is -- maybe the average ticket price is somewhere between INR100 and INR150 maybe if you look at all the single screens, multiplexes, which are there. It's still a very -- and our average transaction size is 2 to 2.5 when people go and watch a movie.

Typically, history has shown that -- I don't want to use the word recession, but I'm just saying in challenging times, cinema going actually benefits. People do go out and then they eliminate all other discretionary spends of traveling and other things that they do, leisure activities, but cinema generally bounces back and people do like to entertain themselves in the cinemas. So I'm not

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saying that it's good, what is happening as an impact of Western Asia crisis, but we do not directly see that there will be any impact to our own business due to this.

Abneesh Roy: And on Tamil Nadu or any of the other states, anything positive you expect given regulatory changes, government policies?

Ajay Bijli: It is too early. It's just -- I think only today he's become the CM. There is no -- I don't think that is probably number 1 on his agenda just now. So we don't know of any regulatory positive or what kind of news is going to come out of Tamil Nadu.

Abneesh Roy: Last quick question. If I see your revenue streams, advertising seems to have been the slowest

growth. Obviously, now there will be margin pressure for all corporate advertisers and even non-corporate advertisers in Q1 and possibly Q2. So what is the outlook on that? And when I analyze IPL, in cities where IPL has been held and cities where not -- there is no IPL actual match, have you seen box office performance different? Because, say, in Bombay, there is an IPL match, obviously, a customer has a choice. But in cities like Patna, where there's no IPL match or say any other city like that, are you seeing box office growth in Q4 where IPL has been there a bit faster in such cities?

Ajay Bijli: No, I think IPL is completely -- has no impact on cinema going at all. We have seen no correlation. So many movies have got released in the last few weeks ever since IPL has started, whether in the city where it is being played or in any case, the city in which it is being played, there's only so much capacity that city can take in a stadium and all these cities are pretty populated.

And I think both of these things are very different forms of entertainment. Those who want to watch cricket, they watch cricket. Those who want to go and watch a movie, they watch a movie. So I don't think one eats into the other at all. We haven't seen any evidence of that. And as far as advertising is concerned, I will let Gautam Dutta, our CEO, answer you -- address that question for you.

about the impact of any challenging times on advertising revenues. Gautam, would you like to answer this?

Gautam Dutta: Yes, yes. So thank you so much. First and foremost, I would want to also add on IPL, we are also screening quarter finals, semifinals and the finals in our cinemas and completely validated what Mr. Bijli said that there is absolutely zero impact. In fact, it plays pretty well for us, and there's been absolutely 0 impact.

On advertising, just to -- while these numbers are a bit subdued, most of our growth this year also came in from a lot of sleeper hits, which became really, really big at the box office, which was great news. And there were about 2 or 3 big blockbuster films like Jana Nayagan and Toxic, which technically moved.

If those 2 films would have got released because they were a Pongal release and then early Jan release, that would have actually helped us to register at least a 7%, 8% growth on advertising.

So largely, we are on track. It's just that some of the big blockbusters moving has kind of PVR-INOX Limited

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impacted. And whenever a movie moves, there is a bit of a vacuum that gets created and because of which this happened.

But having said that, this year seems to be a very balanced year, both in terms of Bollywood, Hollywood as well as regional. And while the primary growth in advertising, the way we are seeing will come in H2 simply because of the mega titles getting released in October, November, December period. But we are well poised this year to be on our projected growth path as we've shown over the last so many years, and there would be no deviation there.

Moderator: We have the next question from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Congrats on a strong year. My first question is on the pipeline. So currently, based on whatever in the pipeline, what's the conviction in terms of footfall growth or occupancy for FY '27? Any guess you can hazard for us?

Ajay Bijli: You're talking about the pipeline of this full year?

Umang Mehta: Yes, FY '27.

Ajay Bijli: Yes. I mean I can start from this quarter itself. You've got this Pati Patni Aur Woh Do coming.

And then you've got later on, so many films. Odyssey is there. Ramayana is a big one. Drishyam 3 is coming. You've got Dhamaal. You've got Welcome to the Jungle. You've got Cocktail 2.

There's a movie called Chand Mera Dil, which is coming. And later on, big movies like Odyssey.

In Hollywood films, you've got this time Star Wars, Toy Story. You got Evil Dead. Odyssey is a very big one. Spider-Man is coming. Dune 3 is coming. Avengers, which is always very big in India, Jumanji, a lot of regional movies. I mean, Toxic is bound to come this year.

There was a gentleman who was asking the question about the Chief Minister of -- newly appointed Chief Minister of Tamil Nadu. His movies, Jana Nayagan is coming, and that's got a very good traction. Peddi is coming. Gabru of, what you call Sunny Deol is coming. So plenty of movies. I can rattle off the entire lineup, but I think this should be enough. So you're okay with it.

Umang Mehta: And so in this -- on this -- like given this backdrop, are you confident that occupancy levels will keep inching up? Can we maybe pencil in more 27% plus for FY '27? Or how are you thinking internally?

Ajay Bijli: The trend is only that it goes up. And I've been talking to a lot of people about the macro picture of India, 1,500 films get released every year. So movie by movie, if one movie does well, one doesn't do well, it doesn't matter to us that much. But on an overall basis, I think there's a CAGR growth of 8% in the Indian box office. Our occupancies are increasing.

The number of films which are -- the bracket of INR100 crore s to INR200 crore s movies is only increasing every year. The bracket of 500 -plus movies has only been increasing post -COVID.

So obviously, all these factors, more and more investment is being made by the film fraternity into movies for the big screen. If you look at OTT ver sus exhibition, there was an EY report,
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which basically just got released, wherein calendar year 2022, 217 movies first came to the theaters and 105 came to OTT.

This year, 470 have come to theatrical and only 30 have gone to OTT. So a theater -first model is a very clear model for all the producers. So I think there is no reason for us to not be optimistic that occupancies from now on are only going to improve.

Umang Mehta: Sure, sir. The second question was on one of your growth vectors, which you mention ed about Tier 2 and below cities. So any update you can share on the smart screens pilot, which you were kind of running?

Ajay Bijli: Yes. I think by July 15, a couple of pilots will open. I think we're calling them pilots. We're very confident because the se are in good cities. Good deals have been signed by the developers. Demographic studies have been done. So by July 15 or mid -July, at least 2 of them are open, and we're hoping to open close to 28 to 30 screens under this model.

Umang Mehta: In FY27 or o ver the next year? Okay. Sorry.

Ajay Bijli: No, this financial year.

Umang Mehta: Got it. And just 2 bookkeeping questions for Gaurav. So one is the capex outlook. I mean, if you can share a ballpark range for next year? And what was the management fee inc ome in F '26 from the FOCO screens?

Gaurav Sharma: So next year, I mean, financial year '27, we expect around INR375 crores to INR400 crores of overall capex , which will be spent across new projects as well as renovation of some of our high - value cinemas. And our management income has seen a sharp increase, even though at an absolute level, it is about close to INR10 crores for financial year '26. But on a run rate level, it is at about INR13 crores to INR14 crores per annum, and it's growing.

Moderator: We have next question from the line of Harit Kapoor from Investec.

Harit Kapoor: So first question was just to get your sense on the capital -light model. If you could just help us understand that what is the number that we currently have already in this mode l? And incrementally, what's the kind of -- within the 120 screen pipeline, what that number looks like going forward? That's the first question.

And the second one was on the rental side. So I've seen that there is some reduction as the rent as a percent age of sales starting to kind of come down as maybe capital -light model kicking in as well as some operating leverage that you're getting on revenue. Just wanted to understand that over a 2 -, 3-year period, once this capital -light piece picks up as well, w hat kind of basis point savings one can think of in this line item, which is your largest opex line item?

Ajay Bijli: Gaurav, would you like to answer this?

Gaurav Sharma: Sure. Sure. So Harit , I think we have given that data as part of our investor presentation as well in current, in financial year '26, overall, we have added about 51 screens under capital -light

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model, of which 29 were asset -light wh ere developer contribution was 40-80% of Cap ex and 22 screens were under FOCO model, where it was completely franchisee -owned and company operated.

Overall, I think going forward, we have about 138 screens, which are signed under capital -light, of which 52 are under FOCO model and about 86 are unde r asset -light. So that's one. Second, in terms of going forward, our rental cost, of course, in capital -light model and franchisee model is going to be lower as compared to cinemas where we invest our entire capex and that appears in our P&L.

At this stage, it's hard for us to give a guidance on what exact percentage drop that will

happen

in terms of percentage of revenue. But overall, the trend will be on asset -light will be on the lower side.

Harit Kapoor: And Gaurav, just a follow -up is that this 13 8 number that you mentioned, that gets executed over what period of time?

Gaurav Sharma: This will get executed over next 18 months.

Harit Kapoor: Okay. Okay. Next 18 months.

Moderator: We have next question from the line of Arun Prasath from Avendus Spark .

Arun Prasath: My first question is on this asset-light model. I understand capital-light model helps us in diversifying the risk of content. But what I'm trying to understand is now that we have a very neat balance sheet, our constraint on balance sheet is not there.

And unless and until we go for a very large number of screens, how is that asset-light model helping us? Because the way I'm seeing is that your screens count is increasing, but your capital deployed -- capex deployed is decreasing, which will be at this point of time because we have enough resources.

So can you just throw a light on what is our objective of doing asset-light model going forward if we have enough resources, if you are generating enough operating cash flows and we don't have any restrictions because of the balance sheet debt constraints?

Ajay Bijli: Asset-light model and the FOCO model is straightaway, your ROCEs improve dramatically. So I think beyond a point, if you look at our entire circuit, I mean, this we just started about 3 years ago. I mean, of course, we had some properties under management earlier on. But I think because the brand is now recognized and everywhere, I think sweating the brand is something that -- is something -- it's a very natural progression for any brand to do.

So in the hospitality sector, retail sector and even in some of the restaurants, F&B sector, this is something which is very common. So you have a healthy balance of growing with your own capex as well. And at the same time, wherever the opportunity lies to improve your ROCEs, you should be looking at this model as well. And I think even if we have cash flows, it doesn't matter they have to be deployed on our own expenditure, number one.

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Number two, a screen expansion of 120 to 150 screens in a year is quite healthy because we still want to have unit level economics working, both for us and the developers who are spending the money. So we -- always PVR-INOX has been very careful about our screen expansion strategy. Not for the heck of it, we should just put screens everywhere. Wherever the demographics are correct, market dynamics are correct, where we get a good deal is where we want to grow. So unit level economics have to make sense. And given the pace of shopping centers and malls and opportunities in the smaller towns, I think growing by 100-odd screens every year is still pretty healthy. Gaurav, you'd like to add something more?

Gaurav Sharma: No, nothing incrementally, sir.

Arun Prasath: One just clarification. The unit economics of the screen is not dictated by who funds the capex. So obviously, ROIC at the property level is not going to change because of us putting an asset-light or obviously, under our balance sheet, it makes a difference. But as long as that unit economics works in a particular catchment area and ROIC is not going to be different because of what -- who funds the capex.

So ideally, if we have enough balance -- unless and until as I said the mall supply is so high and we can't be catering to all those screens by our selves, then asset-light makes sense to me. Just a bit more nuance of why we are doing this if we have enough balance sheet is what my original question is.

Ajay Bijli: Gaurav, I'll leave it to you to answer that, please.

Gaurav Sharma: I think the -- as Mr. Bijli explained earlier, the strategy is not to use our own capex, use our own

capital to open every screen. I think the idea of the merger that we did 3 years back was to create market leadership, a strong brand that we can leverage vis-a-vis the new screen additions. We are -- what we are saying is that our new screens will be a healthy mix of lease model where we will put in our own capex, especially in markets where there's high competitive intensity, particularly in South India.

And in other markets in the country where there is -- we have a good market share and a very strong brand and the competitive intensity is less, we would like to partner with the developers with capital contribution and also do only franchise deals. The whole idea is that we fund our growth through our own internal accruals rather than using capex and borrow through debt and grow and make -- use the strength of our balance sheet to fund the growth for future. It also helps to improve the return matrices, and that's quite visible when we look at the numbers that we have reported in financial year '26.

Arun Prasath: Okay, right. So which means implying -- what it implies is if we are going to steady state generate an operating cash flow of north of INR700 crores, INR800 crores, ideally we should put all this into the deployment and develop more screens. That is what we can expect in a steady-state basis? So -- because India is so underpenetrated market in terms of screens, multiplex screens.

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Gaurav Sharma: There has to be enough opportunities and unit economics should stack up for that location, for that mall for a multiplex to be operating. So it's a combination of multiple factors.

Ajay Bijli: And basically, screen expansion is not getting compromised because of asset-light and FOCO model. Screen expansion is completely robust and wherever there is a good opportunity, we're just utilizing our capital in such a manner where there is -- we are being prudent about how to utilize our capital. That's all we're doing.

We're not compromised just because we're doing FOCO and asset-light, it is not compromising on the screen growth strategy. That continues to remain whatever opportunities which are coming our way. And when we -- if we evaluate it and the unit level economics work, we basically are grabbing on to it. What model we work it in is not going to compromise on the screen growth, the percentage growth we want to increase.

Moderator: We have next question from the line of Mr. Jinesh Joshi from PL Capital.

Jinesh Joshi: Yes. Congrats on the balance sheet improvement. Just one observation on the balance sheet side. I see that our ROU asset has come down from about INR4,900 crores in FY25 to about INR4,600 crores in FY26. But correspondingly, we have added about 42-odd screens on lease basis and about 29 on asset-light basis, which effectively means that there has to be some capitalization on the balance sheet with respect to these screens. Just wanted to know why the ROU figure has come down when we have had screen additions in '26?

Gaurav Sharma: So ROU, as you know, ROU assets depreciate over time and simply because the depreciation over the last 1 year has been more than the gross additions on the ROU on lease model screens.

That's why there is a drop in ROU as sets, because if you add -- if we add FOCO screens and asset-light screens, the contribution of these screens on ROU assets is much smaller than a fully leased sort of screen additions.

Jinesh Joshi: Do we also capitalize FOCO screens? My understanding was that under that model, the P&L belongs to the developer and not us.

Gaurav Sharma: We don't capitalize FOCO screens.

Ajay Bijli: Sorry, Gaurav, you go ahead, please. Yes.

Gaurav Sharma: We don't capitalize FOCO screens on our books.

Ajay Bijli: And the P&L, the asset-light model belongs to us, I mean belongs to the company. In the asset

light model, where there is a developer contribution, the P&L is ours.

Jinesh Joshi: Right. And secondly, I just wanted some clarification on the capex figure that you mentioned for FY27. If I heard you right, you have given a figure of about INR375 crores to INR400 crores, and we plan to open about 120 screens in '27, whereby 55% to 60% will be only FOCO and the asset-light model where typically our capex commitment has to be very negligible.

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Just wanted to understand why this figure is high. I understand we have renovations as well, which you highlighted in the opening remarks, but if you can break this number into new organic capex and renovations, it will be really helpful.

Gaurav Sharma: Yes. Roughly around about INR225 crores to INR250 crores we will spend on new projects, which will be across payments which are due for projects which are under fit-out as well as new handovers that will take within the year. And about INR80 crores to INR100 crores will be spent on renovation and the balance we will spend on maintenance and IT related capex.

Jinesh Joshi: Got that. One last question from my side on -- in FY26, we closed about 18 screens, and I believe we have had some closures in FY25 as well. Just wanted to get some sense, have any of these properties that we have vacated, have they been occupied by any of the peers? Can you give some color on that?

Ajay Bijli: Because some of the malls themselves are very decrepit and they did not have any potential at all to be revived because PVR itself started in '97, INOX started in 2000. So some of these malls and leases are all 20 years -- I mean, say, 15, 16 years in existence, 20 years in existence. So they've been replaced by newer malls and newer multiplexes in the same demographic by us only.

So we've only moved to a better mall, better destination. And in certain cases, the malls have been converted into other uses and some malls have closed down and certain -- some operators have taken it. But from our scheme of things, it did not make sense for us to grow -- continue on those properties.

Moderator: We have next question from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Sir, I had a broader industry question. Now this is regarding industry footfalls and occupancy. What I understand is that FY26 has been quite a normal year in terms of say, Hollywood coming back, OTT heat normalizing and we've seen that evidence in terms of direct OTT releases and so on. Also overall I consumption across the board has been picking up.

When I look at our occupancy level of 25.8%, this is very similar to '23-'24 levels. So what gives us the confidence that this is still not the new normal post-COVID and there can still be

improvement? I understand content lineup, but quite frankly, there are like 1,500, 2,000 releases in a year. I mean 1,500 will be of good quality is the general consensus.

Ajay Bijli: 26.2% is what we closed the year on.

Sameer Gupta: Okay, sir. But still, the question still remains.

Ajay Bijli: Yes, yes, yes. So it's -- so every year, there are explainable reasons. This particular year, I think February was not very good. Diwali, which is an aberration, wasn't -- normally, you have big Diwali releases. So that didn't happen.

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But I think we're moving in the right direction of more and more movies coming on the big screen, more and more people preferring to watch it on the big screen than any other format. And so I see no pessimism or skepticism to think that this occupancy level will not come up. Secondly, we are not just -- we're looking at occupancy levels at one level, but we're also looking at our costs so that even at, say, 27%, 28% occupancy, we are able to get the same EBITDA margins that we were getting pre-COVID. And of

course, if it does go to 31%, 32% occupancy, then you are bound to get much better margins than even what we were getting pre-COVID because of our cost efficiency that we are achieving post the merger.

And optimism is also coming from the lineup. Optimism is coming from the fact that more and more filmmakers are making film for the big screen, not just in India, but India when I say Hindi, regional and also Hollywood.

Sameer Gupta: Got it, sir. But is there evidence now that the OTT heat is now behind and this is the new normal? Or there is still some bit of story left there as in there is still a fatigue associated with OTT that might come in future or that has largely played out?

Ajay Bijli: No, it's played out. It was always a -- it was never a substitute. It only became a substitute during the COVID period, obviously, when cinemas are shut. It was always something complementary. Home entertainment has always been complementary.

TV shows people watch at home. But when it comes to movies, the first platform where movies are monetized and seen has always been big screen. So I think this debate is quite hackneyed and outdated now. And there is enough evidence also about the degrowth of OTT and the growth in people going out and watching movies on the big screen.

Sameer Gupta: Got it, sir. So fair assessment here is that pickup from here on is more driven by macro factors and not specifically to PVR-INOX or the cinema industry as a whole, but more to do with macro factors? Is that a correct interpretation?

Ajay Bijli: No cinema very much due to the -- because cinema is very much in the cultural fabric of our country, cinema going. So macro factors can be anything. But this is -- I'm specifically talking about the film industry. And in the film industry, all the stakeholders, which are the filmmakers, the OTT platforms, the consumers, the mall developers, everybody is now making way for theatrical.

So I think the fundamentals of the business have always been strong. That's the reason why the growth in box office numbers are there. This year, the INR13,395 crores, whatever calendar year has been the highest ever. And also PVR is -- it's not just a passive brand. It's a very active brand. We have got the best locations in the country. We are proactively doing so many marketing activities to make sure people come to our cinemas. So PVR does get a delta over any other operator, any other cinema chain because of the way we positioned ourselves. So I think it is not just macro. It is a lot of proactive effort that PVR Cinemas -- PVR-INOX makes and also because of the way the film industry is currently poised.

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The fact that movies are doing so well at the box office, that fact is not lost out on any of the filmmakers because there is no cap to how much a movie can earn when it gets released on the big screen. Smaller movies like Saiyaara, Mahavatar Narsimha, Laajo, all these movies were small to medium budget movies and look at the box office collections they have got.

Moderator: We have next question from the line of Parag Thakkar from Fort Capital.

Parag Thakkar: Yes. Thanks a lot for giving me the opportunity and thanks a lot for the very good performance. I would like to ask that, see, fundamentally speaking, our stock is completely undervalued. And now, of course, as you rightly said, the trend is changing from last 6 months, we are seeing good footfalls. So -- and you are generating so much of operating cash flow and your capex is limited. So why would you not consider a buyback?

Because if you remember, during COVID also, we did a QIP at around about INR1,300 and still the stock price is below that even after such successful movies. So -- and you are saying that pipeline is also looking very robust. So why a buyback where promoter will not participate is

not an opti

on as a capital allocation decision now that your net debt is just INR160 crores?

Ajay Bijli: Gaurav?

Gaurav Sharma: Sure. So Mr. Thakkar, I think we have been on the journey of deleveraging over the course of last 2, 3 years, as you've seen. Our net debt levels have come down by almost 90% since the merger time, and we are now negligible net debt. I think the first goal objective for the company is to become a positive net cash, which is looking very likely in the near future.

And I think once that is achieved at the -- under the guidance and discussions with the Board members, and we will also discuss the capital allocation priorities and objectives of the company post that. At this stage, yes, it is definitely one of the things which is there in the list. But at this stage, we don't have any incremental guidance to offer.

Parag Thakkar: Okay, sir. It is my genuine request that once you are net cash, I think because the stock is completely undervalued based on the fundamentals and of course, the stock has not rewarded shareholders because of other reasons which are not in your hand. But now that the tide is turning, I would seriously recommend that we should go for a buyback.

Gaurav Sharma: Sure.

Ajay Bijli: Your point is well noted. As I said nothing is off the table.

Moderator: We have next question from the line of Kavish Parekh from 360 ONE Capital.

Kavish Parekh: Congratulations on a good set of numbers. Sir, your initial capital-light screens are now almost 8, 10 months old. How would you assess the progress on this initiative so far across both the FOCO, asset-light models, what have been the key learnings, positive challenges or areas where further improvement is required? And could you also quantify the margins you are generating on such screens today?

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Ajay Bijli: Yes. Gaurav, can you answer that? Yes, if you have the numbers? Yes.

Gaurav Sharma: I think we've had very strong response on both franchisee as well as asset-light models. On the franchisee screens, there has been a very strong response, especially in Tier 2 and Tier 3 towns, a lot of cinemas that we have opened in the recent past, for example, in Siliguri, Gangtok, Agra, Leh, they have been all franchisee deals. And the performance has been pretty strong.

The response from the local partner that we have given the franchisee to has been satisfied and the overall growth in the management fee on a run rate basis has been upwards of 40% to 50%. Even though on an absolute basis, it is still a small portion of our total top line because we have almost 1,750 to 1,800 screens on the lease basis. As set-light, which is where we partner with the developer where developer contributes anywhere between 40% to 80% of the capex. Again, there are a few cinemas we have opened in the last 1 year under that model. And we are yet to see 1 full year of operations.

But so far, I think the earliest one that we opened was last year sometime in the month of April and May and which has completed 1 full year of operations and the performance has been pretty healthy. ROCs are in line with what we had estimated at the time of feasibility of those cinemas. As we open more cinemas in the asset-light approach, we will also learn about how they are performing and overall response from the developer partners there.

Kavish Parekh: Got it. And on the expansion plan, 75 net screens added this year, what is the plan for FY27 in terms of gross additions? Would it be around 100, 120? Apologies if I missed this number earlier.

Gaurav Sharma: That's right. Between...

Ajay Bijli: Expansion will be continuing to be over 100 screens. Some will be through this model of FOCO and asset-light, some will be -- we will be spending our own money. There's a lot of focus on Tier 2, Tier 3 sort of cities as well with our Smart Cinema initiative,

which is -- I think the first one will open by mid-July.

But -- so we are expanding in those smaller towns as well. And of course, big cities continue to surprise us because the CBD keeps changing, newer malls, newer shopping centers continue to come in, cities like Bangalore, Bombay, Hyderabad, Chandigarh, Kolkata, Surat. So -- and big developers like Phoenix, Prestige, DLF, Oberoi Realty, Nexus Malls, they continue to expand into various regions and various cities.

So we are very much their preferred partner with most of the -- in fact, all of the top developers in the country today. So they are continuing to have shopping centers and having spaces allocated for cinemas.

Kavish Parekh: Sure. And on a capex basis, on the capex front, what would be the average capex per screen on the smart screen model, the one that you plan to ramp up in Tier 2, Tier 3?

Ajay Bijli: Gaurav, will you give the comparison between normal screen and...

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Gaurav Sharma: Yes. Roughly for smart screens that we want to open up in Tier 2, Tier 3 locations, the offering will be more affordable, both in terms of capex and more cost efficient in terms of operations. So we expect that our per screen capex for a smart screen will be at least 30% to 40% lower than mainstream cinema in that same location. So depending on where we open, it will be about 30% to 40% lower.

Kavish Parekh: Got it. And last question on the debt position, stellar debt reduction over the full year. From here on, what is the thought process on gross debt? You have a cash balance of about INR6 billion, gross debt of about INR7.5 billion. Do you plan to pair it gradually while holding on to cash? Or will there be accelerated payments on the gross debt front? Of course, as you mentioned, dividends could be considered at some point in the future, but what is the intended use of cash here with respect to debt?

Gaurav Sharma: I think in the near term, we will use it to further bring down our gross debt. Our gross debt as of 31st March is around INR760 crores, and we intend to bring it down to about INR500 crore levels. And in the last year, we've prepaid a lot of our term loans. We will continue to prepay some of the term loans and some loans will -- with the flux of time, will get reduced. So we want to bring it down to about INR500 crore levels at a gross debt.

Kavish Parekh: So then net debt coming down to 0 is a possibility by, say, 1H FY27?

Gaurav Sharma: Yes. While I would not like to comment on the exact timeline, but in near term, it's definitely on the horizon.

Moderator: We have next question from the line of Saurabh Beria from Sameeksha Capital.

Saurabh Beria : First of all, congratulations on the great set of numbers. I wanted to understand some unit economics on the new model. First of all, for say the FOCO model, we are not contributing on the capex side. So on the Consolidated basis, we are not even adding the top line in -- revenues in our top line.

So what exactly do we combine in the P&L, the management fee? And is that on a fixed basis or what is the proportion? And secondly, same on the asset-light structure, for say, they contributed 50%. So do we add the entire into the ROU asset and then what do we book in the P&L? So I wanted to understand on this part.

Gaurav Sharma: Sure. So on the FOCO model, we only book the management fee. We don't consolidate the P&L of the property. The P&L is retained by the landlord. And the management fee varies between 10% to 14% of the top line of the cinema. That's how we record the financials in our books. On the asset-light model, where there is a contribution coming from the landlord anywhere between 40% to 80% of the overall cinema capex.

Depending on how much the developer contributes, we work out an arrangement of yield on his investment. So the balance cap

ex, which comes to our account, which is, let's say, 40%, 50% is something that we capitalize in our books and gets recorded as ROU assets and lease liabilities. And the entire P&L is consolidated. The yield that we pay is in the form of rentals and appears as a rental expense in our P&L.

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Saurabh Beria : Okay. Perfect. Another thing, just confirm if I'm right. On the FOCO side, if you are not adding incremental capex and getting a fixed top line of their revenue. So this is the way we improve our ROI going forward, right?

Gaurav Sharma: Sorry, I missed your last part of the question. Can you repeat it?

Saurabh Beria : If we are not contributing capex on the FOCO side, and we are getting top line added to our revenue, their share. And so this is the way our ROI improves going forward, right?

Gaurav Sharma: Yes, the management fee gets recorded in our P&L. So if -- let's say, this year, for example, we have added about close to 18 or 19 FOCO screens. So we just get management fee in our P&L.

And incrementally, whatever FOCO we add, the revenues are recorded. There is no cost to it.

Saurabh Beria : But we do operate. So there is some employee cost incurred by PVR on these screens?

Ajay Bijli: No, no, no.

Gaurav Sharma: So as I explained earlier, the P&L is with the landlord.

Ajay Bijli: Yes.

Saurabh Beria : So we incur no expense on the FOCO screens?

Gaurav Sharma: No.

Ajay Bijli: No, no. Not all. Not capex, not opex.

Moderator: Ladies and gentlemen, this will be the last question. I would now like to hand the conference over to the management for closing comments.

Gaurav Sharma: Thank you all for joining this management earnings call for quarter 4 and FY26. And if you have any further questions, you may reach out to me or my colleagues in the Investor Relations department. Thank you once again for joining this call.

Ajay Bijli: Thanks. Thanks.

Moderator: Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2026

July 30 , 2026

The Manager - Listing
National Stock Exchange of India Limited
(Scrip Symbol: PVRINOX)

The Manager – Listing
BSE Limited
(Scrip Code: 532689)

Sub: Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is with reference to and in continuation of our letter dated 16 th July, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the officials of the Company participated in the Q1 FY27 earnings conference call for analysts and investors held on Friday, 24th July, 2026.

A copy of the transcript of the proceedings of said conference call is enclosed herewith for your information and records.

The transcript shall also be available on the website of the Company
<https://www.pvrcinemas.com/investors-section> .

This is for your information and records.

Thanking You.

Yours sincerely,
For PVR INOX Limited

Murlee Manohar Jain
SVP- Company Secretary &
Compliance Officer

Encl: A/a

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“PVR INOX Limited
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MANAGEMENT : MR. AJAY KUMAR BIJLI – MANAGING DIRECTOR –
PVR INOX LIMITED
MR. SANJEEV KUMAR – EXECUTIVE DIRECTOR – PVR
INOX LIMITED
MR. GAURAV SHARMA – CHIEF FINANCIAL OFFICER –
PVR INOX LIMITED
MR. GAUTAM DATTA – CHIEF EXECUTIVE OFFICER ,
PVR INOX LIMITED
MR. KAMAL GIANCHANDANI – CHIEF BUSINESS
PLANNING & STRATEGY , PVR INOX LIMITED
MODERATOR : MR. NIRANT DHUMAL – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to PVR INOX Limited Q1 FY '27 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Nirant Dhumal from ICICI Securities. Thank you, and over to you, Mr. Nirant.

Nirant Dhumal: Good afternoon, everyone, and welcome to PVR INOX Limited Q1 FY '27 Post Results Earnings Call. The call will start with brief management remarks on the earnings performance, followed by a Q&A session. PVR INOX management will be represented by Mr. Ajay Bijli, Managing Director; Mr. Sanjeev Kumar, Executive Director; Mr. Gaurav Sharma, Chief Financial Officer; and other senior management personnel. Over to you, sir.

Ajay Kumar Bijli: Yes. Thanks very much. Good evening, everyone. This is Ajay Bijli. I'd like to welcome you to today's call to discuss the results for the quarter ended June 30, 2026. The earnings presentation and results were uploaded to our website and the stock exchanges yesterday, and I hope you've had a chance to review them. Q1 FY '27 was a strong start to the year.

India's total box office collections grew 20% year -on-year this quarter with broad -based growth across metros as well as Tier 2 and Tier 3 markets across a wider set of successful and mid -scale films and across languages. The strength we are seeing in India is also visible globally.

North American box office is running 14% ahead of last year at \$4.8 billion for the first half of 2026. Its second best first half performance since 2019, reaffirming that theatrical first remains the release model of choice for filmmakers everywhere. The quarter saw strong performances across languages, Hindi Cinema held its ground with titles like Bhoot Ba nglā, Cocktail 2 and Main Vaapas Aaunga, while it was regional, Hollywood content that drove the outperformance. Hollywood found success from non -franchise titles such as Project Hail Mary, Michael and Obsession. Regional cinema delivered multifold growth on the back of compelling local content such as Raja Shivaji in Marathi, Drishyam 3 in Malayalam and Karuppu in Tamil, amongst others. Our own performance mirrored this momentum. We welcomed 36.6 million guests during the quarter, up 8% year -on-year.

Equally encouraging is that guests are spending more with us on every visit with ATP touching INR273, which is up 8% and SPH at INR161, up 9%. When footfalls and per guest spends rise together, it reflects the underlying strength of the cinema going habit and of our premium offering.

This translated into a strong financial performance during the quarter. On an Ind AS 116 adjusted basis, revenues grew 12% year -on-year to INR1,642 crores, while EBITDA nearly doubled to PVR-INOX Limited

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INR230 crores at a 14% margin. This margin expansion reflects the benefit of operating leverage and the cost discipline we have sustained for several years. PAT came in at INR71 crores against a loss of INR34 crores in Q1 last year. The standout achievement this quarter is on the balance sheet. 3 y ears of sustained free cash flow generation and disciplined capital allocation have taken us to a net cash position of INR80 crores as of June 30, 2026. This gives us a complete strategic flexibility. We can now fund our growth from our own cash inflows, c ontinue on our capital -light path and do so without the weight of leverage on our balance sheet.

On the growth front, we remain on track to open around 100 screens over the course of the year through a combination of our lease and capital -light models. Lo

oking ahead, the slate for the remainder of the fiscal gives us real confidence.

Hindi Cinema has some of its biggest titles lined up, Ramayana Part 1, King and Love and War among others. Regional Cinema continues to deliver exciting content with titles li ke Jana Nayagan, Toxic and Jailer 2. Hollywood brings major tentpoles, including Avengers:

Doomsday, Spider -Man: Brand New Day and Dune: Part Three, several of which will release in our premium large screen formats. The breadth of this lineup across langua ges, genres and budgets is exactly the kind of slate that plays to the strength of our network.

Beyond the films, we continue to build PVR INOX into India's leading out -of-home entertainment destination. Recent live streaming of the IPL and the FIFA World Cup 2026 drew a fabulous response across our network, reaffirming that audiences want to experience marquee sporting moments together on the big screen. This sits alongside our alternate content programming, streaming concerts, live events and curated rer eleases, along with premiumization of the in -cinema experience and an expanding food and beverage ecosystem.

The vision is to use our screens, locations and audience trust to be present in more moments of people's leisure time, not just when a big film releases. We enter the rest of FY '27 with the strongest balance sheet in our history, a diverse content slate ahead of us, a strong pipeline of new screen openings and an industry whose growth is broader-based than there has been in years. We are confident of building on this momentum.

With that, I open the floor for any questions. Thank you.

Moderator: The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats. This is Abneesh Roy from Nuvama. So two questions. So great revival across all the genres and all the languages. I wanted to understand how concerned are you on no INR500 crore plus movie in the first 2 quarters. So is that a good thing that it is well dispersed?

And is that happening because now the overall calendar is something better planned because that was an issue earlier. And if you could tell us on specific of FIFA, how much was the revenue footfall? Is it a good overall development for us? Or is it just that it helps from a marketing angle, it helps from a -- if there is a lean calendar, it helps. If you could elaborate on that?

Ajay Kumar Bijli: Yes. I mean the movies have become diversified, which is very good. I am really not that concerned with the fact that there's no INR500 crore movie in the first quarter. Second quarter

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is still running. Only 1 month has gone, and we still have a huge lineup of movies coming like Batwara, there is Toxic coming. So you never know where these movies will go.

But the good thing is that mid-scale movies are doing well. And as long as we get our numbers, that's very important. And we had Bhoot Bangla. We had some tailwind of Dhurandhar as well. We had Main Vaapas Aaunga, which is a mid-scale movie. Then we -- Hollywood has done incredibly well with Michael and Obsession, which is a small movie project, Hail Mary. And in my opening remarks, as I said, these are franchises. These are like brand-new stories and Obsession, in particular, was a small film, and it did incredibly well.

Then, of course, regional films, Raja Shivaji, Teddy, Drishyam 3, Karuppu in Tamil, all these movies have played out very well. So I think for us, it's important that the movies should perform. They don't all have to be blockbusters. And as I've mentioned earlier, also for us, a blockbuster is not according to the budget, it's according to its performance. And the performance has been phenomenal. But they're still early days. We still have lots of months left before this fiscal ends. And we also have Ramayana coming the first part. We also have King coming. We also have Love and War

coming. So a lot of big movies are coming. So it's looking good.

On FIFA, definitely, it's not just a marketing spiel at all and it wasn't filling up a very lean period because it came while big films were already playing. And yet we got 64,000 people only for the World Cup final. Now what is absolutely phenomenal about this is that, a, of course, the average ticket price was also reasonable.

I think it was close to INR380 or INR400. My colleagues on the call can correct that. And also, there was a good SPH. And plus, this happened at 12:30 in the night. So 12:30 in the night up to whatever, 2:00, 3:00, whichever time the match went, it's really not just a lean period, it's a closed period. And yet people came in.

And as I said in my opening remarks, I think we are looking at PVR INOX's circuit, not just to be movies, of course, movies are our mainstay, but also to be a destination for all sorts of out-of-home activities for people to step out for. So I think that's a slight pivoting that we are doing by having lots and lots of things. And I think we've paved the way now for sporting events, for musical events, for standup comedy shows, and it's quite exciting.

Abneesh Roy: Sure. My second and last question will be on the balance sheet and way forward. So of course, landmark quarter with net cash levels. And clearly, balance sheet has never been this stronger in the last many years. So I wanted to understand any more asset monetization left either in terms of real estate, et cetera?

Second, in terms of asset-light model, given now your balance sheet is net cash positive to better participate in the box office revival, would you like to tweak towards lesser low -- light asset model given balance sheet issue is resolved?

And third, obviously, last 4, 5 years, stock return has been fairly disappointing. Any medium, long-term signal to investors on boosting the confidence, investor confidence?

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Ajay Kumar Bijli: Well, that's quite a few questions. So let me just first talk about the asset-light model. Yes. I mean, we've reached our growth, and we've been able to deleverage the balance sheet only because of the asset-light and FOCO model. And I think that we will continue to do because

with the grace of God, we've got a brand now and sweating of the brand is the ultimate testament to the quality of the brand, which is liked by developers.

So I think FOCO model and asset-light model definitely does not impede our growth. Our growth, as I said, we are still going to be doing 100 screens. However, whichever pockets where we need to deploy capital, we will be deploying capital. And so Asset-light and FOCO model will not come on the way of growing by 100, 120 screens a year.

And so wherever there is a need to deploy capital, we'll definitely do, but we don't have to leverage and borrow for that. So that's one thing that I've addressed. What else did you ask me about capital allocation. I mean, capital allocation priorities remain focused on driving sustainable growth.

And the whole focus is on how do we improve our ROCE and ROE. And whatever is best to create long-term shareholder value is what we'll be doing. So very appropriate capital allocation to improve these metrics is the most important focus of the company at the moment. Have I missed out anything else?

Abneesh Roy: Any further real estate monetization possible or everything is done?

Ajay Kumar Bijli: No. No, not as yet.

Moderator: The next question is from the line of Harit Kumar from Investec.

Harit Kapoor: This is Harit from Investec. Just 2 key questions from mine. One was on ATP, SPH, the growth has been consistently strong Q1 as well despite really strong like a INR500 crore film as the earlier participant was mentioning.

Just wanted to understand, is there an element of price increase, like -to-like price increase here? Or is

it largely driven by mix because Hollywood has also done well, et cetera, on ATP? and also on F&B, is it more higher conversion led or higher basket size led? Or is there's also an element of price increase here?

Ajay Kumar Bijli: Gautam, would you like to answer this, please? Gautam?

Gautam Dutta: Yes. Am I audible?

Ajay Kumar Bijli: Yes, yes. I thought you're the best person to address this.

Gautam Dutta: Yes. So on the SPH side, we've grown by about 9%, and it's largely split between value and volume. Both have grown. We have a series of promotions run to increase the strike rate at our cinemas, along with the fact that we've taken a price hike for a few items. So I would say the split would be more in the region of about 70-30, 70% on value and 30% on volume. So that's the way the SPH stacks up. What was your first question, please?

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Harit Kapoor: Similar question on ATP...

Gautam Dutta: Yes. So even on ATP, as you know, we have dynamic pricing, and we managed to now keep a very close eye on the sentiment of how the movie is performing. We have a lot of help from a lot of AI systems where we are able to prompt a certain kind of pricing that we need to follow once the films open up.

So basis all of that, and it's not as if that consumers who wish to watch a film at lower pricing are not getting an opportunity. So whether it's a Tuesday, whether it's the morning shows, whether it's the front seat, all of that is getting hugely discounted so that we can get -- garner in more footfalls from one end of the bucket, which is technically time-rich cash-poor.

And on the same end, on the weekend, we tend to capitalize on big movies, fresh movies and see if we can take up the pricing on a dynamic manner and at the same point in time, ensure that the maximum footfalls sort of get to our cinemas.

Ajay Kumar Bijli: Just to add to that, we also had movies like Project Hail Mary, Michael. I mean, these movies are all IMAX films. 16% of our circuit is premium screens like IMAX, 4DX, ICE and ScreenX and lots of recliners and Insignia, Director's Cut, LUXE. A premium customer when he comes and he wants to see the movie without compromises, obviously, that also takes the ATP up.

Harit Kapoor: Got it. Got it. And the second question was on advertising. So what's your prognosis? It's been about 5 quarters odd that we've seen very good growth. Overall, footfalls have continued to do well. Last year was overall a good year for us. This year has started off well. As you mentioned, the pipeline also looks good. What's your prognosis on ad revival?

Do you think brands need to see a little bit more proof of concept to drive this up in line with what your growth is? Or do you believe that there are too many other avenues like platforms, et cetera, where they are needing to spend and hence, this will take a little bit more time. Just some thoughts on that would help.

Gautam Dutta: So first and foremost, you need to understand that when we came into play post COVID, this was one end which literally came down to a zero. And then we had to start all over again. No other media in the country had that kind of revival. In fact, if you look at the revival, the revival of cinema and PVR revenues from 0 to INR500 crores has been all in last 4 years. So it's not only grown steadily for us. It's also amongst all other media categories, we have technically

grown the fastest over the last 4 years. So we are galloping.

Yes, it would take another maybe a year before we get to the post -COVID and go ahead of that. Having said that, media sales largely comes on wake of big blockbuster films because advertisers tend to buy anticipated films.

So movies like Dhurandhar 1 and 2 and this year, specifically talking about King, Avengers, Cocktail, this Odyssey has garnered some great numbers. And there is some big titles

which are

lined up for Q3 and Q4, where we expect huge amount of advertising to flow in.

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We are also making some fundamental changes within our offering where we are getting more conversation with clients around eyeballs rather than films.

But this would -- this is a change that is augmented in the market and it would take a few more quarters before media planners and buyers start to understand that vocabulary of media buying within cinema. But by and large, I can tell you that cinema advertising, the way it's jumped back, has got its mojo and we are very, very certain that very soon, this would be outperforming like other parameters of the categories. Thank you.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Congratulations on a good quarter. My first question was on screens. So this quarter, we've seen slightly higher closures. Your guidance of 90 to 100 on a full year basis, is it on a gross basis or a net basis? And similarly, again, the mix of asset-light seems to be higher than last quarter. So would your capex guidance of INR4 billion for FY '27 be revised downwards now? That's the first question.

Gaurav Sharma: So Umang, Gaurav this side. On the screens, I think we are on track to add about 90 to 100 gross screens. And while in the first quarter, we did not open any new screens because many of our screens, which had completed fit-out were awaiting regulatory license.

And due to delay of the license received, we are expecting a bunched up opening in quarter 2 and quarter 3. So based on the visibility of screens which are under fit out, we believe that by end of this fiscal, in this financial year, 90 to 100 is pretty much possible.

I think on the closures, the screens we have closed in the first quarter were all loss-making screens, and they had been more than 18 to 20 years old. But I think bulk of our closures for this financial year have already been done in quarter 1. There will be very few closures for the rest of the year. On a net basis, I think we will be around nearly 80 net screens additions during the financial year '27.

On the second question on your capex, I think we believe that with a very strong response from the market on capital light and FOCO, I think our capex will be slightly lower than the earlier expected number of INR400 crores for the year. We feel that it will be in the range of around INR350 crores. Plus we are also prioritizing renovation of a few of our high-value properties, so renovation capex share will be slightly higher this year. Overall, it will be in the ballpark of INR350 crores for the year.

Umang Mehta: Understood. Very helpful. And the second question was for Mr. Bijli. So I think in the interview yesterday, you mentioned about 1,000 new screens over the next 5 years. So are we seeing a ramp-up beyond FY'27, say, FY'28 onwards, should we expect an acceleration in screen additions?

Ajay Kumar Bijli: Yes. I mean, sorry, I had got disconnected and I'm back now. Basically, I said that because we are looking at, I don't know whether Gaurav has already covered that. We're looking at the Tier 2, Tier 3 markets now, population where anything more than 150,000 people are there. And of

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course, there are other criteria that we've got as well to make sure that people have -- the demographic is correct and they have the spending power to come to our cinemas.

So I think that -- there are so many cities still, in our view, almost 300 cities in Tier 2 and Tier 3 markets, which are still underserved. So I think we'll be opening our first one very shortly in Muzaffarpur. And I think that's the reason why I mentioned that I think that once we penetrated to these towns and every nook and cranny and bring the PVR INOX experience over there, I

think growth will further accelerate.

And there, again, the response that we're getting from the developers, local developers over there is also of a FOCO and capex light model, asset-light model, so which again will not be a strain on our capital intensity, but the growth will be, I think, fast tracked from -- it's already there, but it's going to get faster from next year onwards even more.

Moderator: The next question is from the line of Vivekanand S from AMBIT Capital.

Vivekanand S: So since the time of the merger, your screen count has increased by around 100. And most of the new screens have come in South, right? So your concentration to southern markets has gone up to maybe 34%, yet when I look at the footfalls or walk-ins over, let's say, any rolling 12-month period, it's remained practically in the 14 crores to 15 crore range. I want your take on why the footfalls have remained stable while the screens have -- the screen SKU has increased towards markets with structurally higher occupancy. That is my first question.

The second one is, thanks for the color on capital allocation. Just trying to understand if you will be putting in any more money into areas like branded food courts because you still have a JV with Devyani. Are you going to commit any extra capex there? And also, any other areas that you're eyeing, which you mentioned in your opening comments that you want to be the preferred destination for outdoor events. So is there any capex that is earmarked for those areas?

Ajay Kumar Bijli: Yes. So your first question was about -- since the merger, how many screens have we added? I think we've added -- I think at the time of merger, Gaurav, please correct me. I think we were about 1,450 or something roughly. So we've added about 300-odd screens, right? Net addition of screens.

Gaurav Sharma: Yes. We were about 1,650 screens, and we are at about 1,790 screens today. On a net basis, we have added about close to about 120 screens over the course of last 4 years.

Ajay Kumar Bijli: Yes, yes. So your question is that why -- so if you look at pre-COVID, of course, if that's what you're asking, that we were getting about, I think, together about 160 million people to our cinemas roughly. And if you look at the trajectory, it is in the right direction. So 150 million people that we got in the last fiscal is the highest number of admissions we've ever got in terms of our admits basically post-COVID.

So I think it's all inching up. Every year, it's going up because there were very identifiable reasons why suddenly those kind of numbers that were coming pre-COVID are not coming and primarily because of the fact that there was the movies but less number of movies were coming, PVR-INOX Limited

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then there was a Hollywood strike that happened in the middle. So there were highly identifiable reasons plus some movies were going directly to OTT. That's all come back now.

The windows of 4 weeks, now they come back to 8 weeks. The consumer was always there, but now he's realized that the only best experience to watch a movie theatrically, not just for big tentpole movies, but also for smaller movies, which we've already seen last year with Saiyaara and all and now with Main Vaapas Aaunga and Obsession.

And even the film fraternity has now decided that first, they will come to the cinemas only and only TV shows are coming to OTT. So all the factors played a role in the per screen occupancies coming down but now all that is behind us now.

And we are seeing that the kind of movies which are getting made, the number of INR100 crores to INR200 crores bracket of films, INR200 crores to INR500 crores bracket movies, INR500-plus crores bracket movies, nobody has seen these kind of numbers pre-COVID. So given all that, I think it's a matter of time that we reach those occupancy levels.

However, at the

same time, what we've done is that since we are very focused on getting the margins that we were getting pre-COVID, we've really had a very strong control on our costs. So line by line, whether it's utilities, whether it's manpower, whether it's rental, any other costs whatever costs are there, even COGS, if you look at our COGS on food and beverage, that's come down. So we are saying that even at lesser occupancy levels, even at say, 27%, 28%, we should be able to achieve the margins that we were achieving earlier.

So the focus is both on the denominator being reduced and the numerator increasing, which is the reason why you see a lot of promotions that Gautam has already mentioned of getting more people in. So the trajectory is right. We haven't arrived there, but we are in the right direction and right momentum.

So that, I hope, answers your first question. The second one is this, definitely, we believe we've got 15 million square feet of space that we are under lease in our cinemas. And we believe that we can sweat the asset by beyond just showing movies and which is the reason why we are showing all these things. Plus the food court JV is going strong. Devyani is a great partner. But again, we've opened 3, but we'll be opening many more are in the pipeline.

And that, again, basically repositions our company as not just a cinema, but also offering something pre-ticketed food and beverage offering. We're looking at evaluating other out-of-home entertainment options that either can be done within our cinemas by repurposing certain cinemas or taking maybe some additional space and which also then become very attractive for the youth, which goes out to the malls and wants to be entertained out of home. So there is a conscious effort to have movies definitely as our mainstay, but also pivot a little bit into more out-of-home entertainment formats that can stand the test of time.

Vivekanand S: Sure, Ajay. Very helpful. Just 2 small follow-ups. So on the first answer you gave, I'm just trying to understand better in terms of regional occupancy trends because you've broken it up broken up the screen count across the 5 key geographies.

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So since your business has skewed more to the South, my understanding was that the South audience typically tends to have higher occupancy because love for movies is a lot more in the South or perhaps craze, a lot more in the South than the rest of the country. Is that still the case? And if you could just touch upon, let's say, occupancy trends across the cuts that you make, regional as well as the city tier distribution, I think that will be very helpful. The second follow-up is as far as those initiatives you gave, is there a budget you have in mind of capital expenditure that you need to undertake in fiscal '27 and '28 to make these goals translate into revenues?

Ajay Kumar Bijli: Yes. So India is such a diversified country and which is the reason we don't go anywhere beyond the Indian market, barring that one cinema that we've got in Sri Lanka and the way PVR has made sure that our screen spread is all across the country is that we are not depending on one language at any given time.

So 600 of our screens are already in the South, and then we have a fair distribution in West and North and Central and East. So this is the beauty of the way our circuit is placed and spread across the country and also the way the content pipeline comes out.

Definitely, South the movie going culture is stronger. But that's not the only reason we are growing there. We're also growing there because still the single screen penetration is the highest in the South. And therefore, all over the rest of the country, single screens became lesser and shopping centers and malls came up where PVR INOX put its multiplexes.

And now similar opportunities are now coming in South because a

s I said, single screen

penetration was much more over there. And so that's the reason why you see a skew towards South. It's more due to where the opportunities are available. Otherwise, there's nothing wrong with even the other regions where if an opportunity comes like we just opened in Delhi in Elegante Mall in and it's doing phenomenally well.

Similarly, we've got a couple of projects with DLF, one in Gurgaon, one we opened in Midtown and Moti Nagar, which is doing very well. So there's no necessary that it has to be south. But yes, definitely, it's a prime market and under screened market from multiplex point of view. So we have a SKU there. That is one part.

Even like to elaborate a little bit more like people like developers like Lulu, Prestige, many of their malls, Brigade, we're going to be opening one in a mall in a development called Utopia over there very shortly. Hyderabad has got lots of opportunities. So wherever good opportunities come, we open our cinemas there.

And as far as capital allocation for these activities is concerned, definitely, we have a capital budget. I don't know offhand how much it is. Gaurav, you can tell me. But it's obviously, we can't run the company without budgeting for any capex that we do. Gaurav, can you help me out there?

Gaurav Sharma: So Vivek, I think the overall number of INR350 crores for the year includes everything, including our investments in the food court joint venture plus the other initiatives. But in overall scheme of things, the investments in food court is much lower because it's less capex-intensive

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business in terms of the assets involved there. And therefore, in the overall scheme of things, it's not a very material investment...

Moderator: Sorry to interrupt, sir. Your voice is not clear.

Gaurav Sharma: Can you hear me?

Moderator: You're clear now. Can you repeat the last sentence?

Gaurav Sharma: Yes, I was just saying that our overall investment in food court business is part of our capex outlay for the year of INR350 crores. And not a very material number from overall scheme of things at a company level.

Moderator: The next question is from the line of Kavish Parekh from 360 ONE Capital.

Kavish Parekh: Congratulations on a great set of numbers. A question on the balance sheet side. Commendable show on the debt reduction. Free cash flow generation last fiscal was about INR570 crores, excluding the sale of 470. What is the target or aspiration you're working with for this fiscal for FCF considering almost 80% of the screens this year are coming on capital-light models?

And what would be the intended use of the cash of course, INR350 crores, INR400-odd crores, INR350 crores capex. Would the company on top of that, hold on to the cash on the books? Or are there any thoughts on rewarding shareholders via buyback? Part of this question was

answered earlier, but wanted some more color on what parameters or thoughts will be looked into to sort of make a decision on this?

Ajay Kumar Bijli: Gaurav, would you like to answer that, please? Gaurav, you're not audible.

Gaurav Sharma: Kavish, I'll take this question. In the last few years, we have worked hard to bring down the debt levels, and we are now sitting at a debt-free balance sheet. I think cash is a very strategic asset for us, and we are prioritizing allocating capital towards growth. And also, we want to make sure that any investments with the scale and size of the business that we run today should be value accretive, should be improving our return on capital, return on equity.

So we are evaluating all options, including growth as well as allocating this capital, which is best for the long-term shareholder value creation. So from our perspective, on shareholder returns through the right sort of instruments, we'll share any material updates as and when the Board decides and it's appropriate to give more insights on that.

Kavish Parekh: Sure. And any target or aspiration that you are working with for the full year in terms of FCF?

Gaurav Sharma: No, there is no target. The target is to improve return on capital and the business -- the immediate target for us is to come back to the pre-COVID levels of ROCE that we used to operate at. So that's the only target that we are carrying right now. Of course, revenue growth and margin expansion continues to be the focus. But ROCE expansion is something that we are pretty clear on and we want to drive that up.

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Kavish Parekh: Noted. Could you also share some color on unit economics of properties which are operating on either of the 2 capital-light models, say properties which have been operating for the last, say, 3 or 4 quarters now, some cases?

Gaurav Sharma: So normally, a property takes about 12 to 18 months to mature. So the properties which were opened in financial year '24 and in financial year '25, they saw their full run of operations in financial year '26. So both the vintages of '24 and '25 are operating at very healthy margins. I would say, better than the company level margins. We have been very careful in terms of selecting the right locations and also doing the right rental deals.

And with the operating leverage and the cost efficiency, we have been able to drive healthy margins in the new properties that are coming out. So overall, I think the asset-light thing, which we've started in the last 12 to 18 months will pan out their maturity for the first set of properties over the course of this financial year. And we will share more insights on their performance by the time we'll finish the year.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Congratulations on the balance sheet improvement. Sir, I have 2, 3 small questions. One is with respect to the increase in the online ticketing penetration to about 69% in this quarter, which has led to a surge in the convenience fee income. So if you can highlight the reason behind this surge and whether this is sustainable? Secondly, also, if you can talk a bit about your new digital revenue stream that involves app and web monetization. Basically, how do you make money here? If you can perhaps elaborate a bit on this aspect?

Ajay Kumar Bijli: Kamal, would you like to answer this?

Gautam Dutta: Yes, I will take the second one on web and app...

Kamal Gianchandani: Yes. So the increase in the online penetration, which was hovering at about 63%, 64%, going up to 68%, 69%, plus the increase in admits, plus the increase in average ticket price. All of these factors compounded have resulted in a steep year-on-year growth as far as the convenience fee 29% growth is concerned. What was your second question? Can you repeat, please?

Jinesh Joshi: Sir, the app and web monetization revenue stream. But sir, the first question remains unanswered. I would want to know what was the reason for increase in the penetration in this quarter?

Kamal Gianchandani: Well, I mean, our content mix often plays a big role. But in addition to that, the marketing programs, which are run by PVR and INOX's own digital platforms, our colleagues at BookMyShow and District, our online aggregators, all of us are fairly aggressive when it comes to marketing programs, incentivizing customers to come back more often, giving them compelling reasons in case if we were thinking of buying at the box office, giving them compelling reasons to book it through the online channels and do it as quickly as possible. Those are the other factors which have contributed to this very strong growth in the online penetration.

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Your question on whether this is sustainable, absolutely, we'll make every endeavor

vor to ensure

that we continue to grow the online penetration. But that said, we have to appreciate that we already near 70% online penetration. And there is definitely a factor of diminishing returns as far as the online penetration goes.

So the rate of growth will definitely be slow from here on. But with the growth in average ticket price, with the growth in admits, we expect that the overall online revenues from convenience fee will continue to grow for the company. Gautam, you want to take the other one?

Gautam Dutta: Yes. On the web and app monetization, am I audible?

Ajay Kumar Bijli: Yes, yes.

Gautam Dutta: Okay. So on web and app monetization, we have created certain assets by way of which we are able to offer our clients this unique opportunity to be on our web and app and advertise their proposition. PVR INOX is now seeking ways to move from a traditional media bucket to a more digital aligned media bucket. So there are a lot of changes that we are doing overall. This is one of that many steps forward.

So overall, these are early days. We've just launched this a month back. And we believe the annualized revenues could be in the line of about INR2 crores to INR3 crores. But having said that, this is a start for brands and clients to start engaging with the brand on a digital platform. Hence, it's strategically very important.

Jinesh Joshi: Got that. And sir, secondly, the ATP of our alternate programming that we have shared in the presentation is at about INR409, which I think is materially higher than our movie ATP. So can you just talk what is the content cost over here and how to think about margin?

Gautam Dutta: So the content cost would vary from program to program. It is the deal that we have with the artist. Sometimes just the duration of the program, the stature of the artist would determine the kind of pricing that we can have. And each artist would come with its own negotiation, so to speak. So somewhere the cost could be as low as 35%. And in some, it could be, say, 65%, 70% of the ticket. So that's the gamut in which we will need to be sharing revenues on ATP for alternate programming.

Jinesh Joshi: Got that. Sir, one last bookkeeping question from my side. Generally, our film higher cost and COGS tend to remain in a very steady state band. But in this quarter, we have seen about 200 basis points decline on a Y-o-Y basis on both these cost elements. So is there any specific reason that you would want to call out for this decline?

Gaurav Sharma: So there are 2 things. Film hire costs are terms with producers in terms of sharing of box office revenue. There is no change. The reason you see a decline of film hire cost compared to last year's quarter 1 is because of the mix of movies and their third and fourth week of run. Dhurandhar, which was released on 19th of March in the month of April got played in its third, fourth week where the film hire terms are lower than the first and second week also.

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And also because there was no mega blockbuster during the quarter, as a result, the bonus payouts for many were lower as compared to last year when Ra id 2 and Sitaare Zameen Par were released. That's the reason why it's lower. But overall, on a full year basis, it will be in the range of 45% to 45.5%.

On F&B COGS, I think we continue to focus on controlling our costs, reducing wastage, use technology and also offer a wider F&B offerings now at cinemas are also resulting in higher offtake of F&B food. As a result, our F&B COGS have continued to come down year-on-year. Over the course of last 2 years, every year, there has been a reduction in COGS. And we believe that during this year, we will be lower than last year in terms of full year COGS for the F&B sales.

Moderator: The next question is from the line of Parag Thakkar from Fort Capital.

Parag

Thakkar: Yes. First of all, I would like to congratulate the management team for fantastic capital...

Ajay Kumar Bijli: Yes, yes.

Parag Thakkar: For reducing the debt level from peak level of INR1,450 crores to now net cash of INR80 crores. This is excellent achievement. As earlier participants also asked, I would still request for a buyback because I would feel that now that you have net cash and you are going to generate cash flow every quarter, I think it makes sense to do a buyback where it gives a clear signal to investors and where promoters should not participate, like recently in Bajaj Auto buyback, promoters did not participate, right? So which gives you a very strong signal as an investor to us that promoters feel the intrinsic value of the stock is much higher. So this is my request, sir.

Ajay Kumar Bijli: Yes, yes. It's noted and as Gaurav answered earlier that we are evaluating everything just now. And the Board will decide. And at an appropriate time, we will take a call what needs to be done. But as I said, our focus continues to remain on expansion of our margins, improving our ROCE and taking our occupancy levels up.

Parag Thakkar: Correct, correct. And sir, just your own internal assessment of this year's movie pipeline, how does it look? Of course, this quarter, for example, everybody was surprised to see your results,

and we can see that reaction in the stock price also. But what is your internal assessment of FY '27 movie pipeline and hence, your occupancy?

Ajay Kumar Bijli: Well, I mean, occupancy is difficult to predict, but all I can say is that every year, there's always a very big film, a couple of very big films that come. And this time, it's Ramayana, it's looking extremely big. Of course, it's going to play across all sorts of cinemas, and it's a story that everybody knows, and it's been executed very well by Prime Focus. Toxic is a very big movie, which is coming.

And also King is coming, which is Shah Rukh Khan's movie. Shah Rukh Khan has given 3 massive hits post COVID. This also looks very promising. Love and War is coming with Vicky Kaushal, Ranbir and both have given more than INR500 crore movies Sanjay Leela Bhansali.

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Hollywood is looking very good. South pipeline is looking excellent with Dune: Three, Avengers coming, Spider-Man coming next week. So I think there is no issue with the lineup. It's as strong as what we had last year. And so even now this month, Odyssey is playing, which is doing well. So yes, I mean, there's no dearth of films, both in terms of quantity and quality.

Parag Thakkar: And sir, in Hollywood, our market share is what? Generally, if a Hollywood movie makes -- say, for example, say, Spider-Man makes INR150 crores, INR200 crores, what should be the share for PVR logically based on your assessment?

Ajay Kumar Bijli: Kamal, what is the share of Hollywood now when it comes to big movies and small?

Kamal Gianchandani: So for the big films, so firstly, on an overall basis, it is as high as about 60%. For big films, it can be even better.

Ajay Kumar Bijli: 60%.

Kamal Gianchandani: Yes, for big films, it can be around 50%. And for mid and smaller films is as high as 80%. In a lot of films, we do 90%. So when it comes to Hollywood films, we play a very, very critical role in the kind of business Hollywood films see in this country. And at the same time, Hollywood films are very, very important for our overall mix of admissions.

Parag Thakkar: Correct, correct. And sir, any plans to do something where we can earn some rental income or some annuity income?

Ajay Kumar Bijli: Well, we have already 15 million square feet, out of which we -- some of the areas that we feel are not needed by the cinema business and excess space, those we are speaking to the developers to give it sublease, allowing us to sublease. So that is one focus area

that we've got. And other

than that, there is no rental income as such because we're paying rent, but our rent decreases if we also are able to sublease some of our areas which are not needed by the cinema operations.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to the management for closing comments.

Gaurav Sharma: Thank you all for joining us this call. In case of any more questions, feel free to reach out to our Investor Relations department or write us directly, and wish you all the best. Thank you so much.

Ajay Kumar Bijli: Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.